

Max Financial Services Ltd. (MFSL)

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August 8, 2022

BSE Limited

Phiroze Jeejeebhoy Towers

Dalai Street

Mumbai - 400001

Scrip Code : 500271 FINANCIAL

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National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kuria Complex

Bandra (E),

Mumbai 400051

Name of Scrip : MFSL

Sub: Regulation 30: Transcript of Investors & Analysts Conference Call

Dear Sir/Madam,

Transcript of Investors & Analysts Conference Call held on August 2, 2022 post declaration of un-audited Financial Results of the Company for the Financial Year ended June 30, 2022 is enclosed.

The same is also being uploaded on website of the Company at

<https://www.maxfinancialservices.com/wp-content/uploads/2022/08/MFS-Earnings-call-transcript-Q1FY23 FINAL.pdf>

You are requested to take the above on record.

Yours faithfully

For Max Financial Services Limited

V. Krishnan

Company Secretary

IEnc: as above 4

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Max Financial Services Limited

Q1 FY23 Earnings Conference Call

August 02, 2022

Moderator:

Amrit Singh:

Prashant Tripathy: Ladies and gentlemen, good morning, and welcome to Max Financial Services Limited Q1 FY'23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amrit Singh, Chief Financial Officer, Max Financial Services Limited and Max Life Insurance Company Limited. Thank you, and over to you, sir.

Good morning, everyone, and welcome to our earnings call for the quarter ended June '22. Our results have been made available on our website and as well as on the stock exchange. I'm also joined by Prashant Tripathy, MD and CEO of Max Life Insurance.

I will hand over to Prashant to share the developments during the quarter. Thank you, Amrit. Good morning, everyone, and thank you very much for taking out time to be on the call this morning. Let me first begin by sharing a couple of achievements of Max Life Insurance. Staying true to its purpose, Max Life once again emerged as number one in the claims paid ratio with 99.34% claims paid in FY'22. This is the third year in a row that we're number one. We had earmarked INR 500 crore of reserves in March '22 to settle any future pandemic related claims, which remain unutilized as on 30 June 2022.

Max Life was also recognized among Best BFSI Brands 2022 by the Economic Times, selected among India's Most Trusted Brands of 2022 by

WCRC International. Before moving on to business updates, let me share some of the developments on regulatory and macro front. With the vision to drive insurance growth for all, the new IRDAI Chairman has introduced changes to lower the compliance burden and also has enabled ease of doing business through rationalizing regulatory provisions.

Many more changes are expected to happen at a rapid pace. We see all of them as welcome step, which paves the way to deepen insurance penetration, build customer confidence and more importantly, bodes well with the purpose of our organization. We are very happy about some of the developments which are going to take place, and we believe that it's going to help life insurance as a sector.

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On macro front, financial markets have remained volatile amid continuing geopolitical conflicts and subsequent inflationary pressure. Most central banks have increased interest rates, leading to net outflows of FII over last few weeks. The current volatility is expected to continue in near-term, and we are already starting to witness some pressure in consumer demand in certain categories of the business because of this. However, we need to witness the progress on macro front over next few weeks or months to see how it evolves.

Moving to the quarter 1 business update for Max Life Insurance, let me pick up our strategic areas of focus. Firstly, on building a predictable and sustainable growth engine. We do want to share that we are maintaining our growth trajectory in quarter 1. Our new business premium grew by 20% and total APE grew by 15%. Our focus on building proprietary channels resulted in growth of 32% in quarter 1, experiencing strong momentum in both online as well as offline proprietary channels.

Offline channels grew by 34% and online channels grew by 24%. Within online, our SEO leadership and best-in-class issuance continue to put us in leadership position in online protection sales, and we have launched many new initiatives, including combo plans, homemaker campaign on website, NRI segment in Policybazaar and progressive web apps to deepen our presence in online markets. These steps have enabled us to grow online savings portfolio by 10x year-on-year in quarter 1 of FY'23, though on a smaller base.

In the offline proprietary channels, the growth is driven by improvement in active agents, which is year-on-year up 33%, which in turn is driven by positive changes and simplification in adviser rewards program. Our focus on variabilizing agency resulted in increase in the share of variable agency by about 200 basis points year-on-year. Banca grew 8%, which is lower than the 32% that we witnessed in proprietary channels and the predominant reason for slower growth in Banca for Max Life Insurance was the full-blown impact of open architecture.

However, the base impact of counter share is expected to run off by quarter 3 of FY'23. I'm happy to share that Max Life's counter share in Axis is being maintained since January, and multiple initiatives, coupled with strong governance is in place to improve it further. We have been working with our bank to ensure that the growth momentum for Max Life Insurance at the bank counter comes back quicker.

On product innovation to drive margins, which is our second strategic area, we're happy to share that product mix has remained very balanced in quarter 1 of FY'23 with par about 17%, non-par savings at 27%, ULIP at 38% and protection at 18%. In line with our strategy to focus on retirement business, we have embedded annuity products in the mainstream product category for our distribution and build product superiority on features, pricing and innovation, which enabled us grow annuity by 125% in quarter 1 in FY'23.

Synergistic to our individual offerings, we have received Certificate of Registration from PFRDA for Max Life Pension Fund Management and all necessary requirements for obtaining certificate of commencements have been complied with. We expect the operations to start in quarter 2 of this

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year as soon as Certificate of Commencement is received from the regulators. Regulatory inspections just got concluded last week. Non-par savings business grew by 20% as we passed on the benefit of interest rate increase to consumers without affecting profitability. To increase penetration in online savings space, we launched smart fixed return digital plan with simplified onboarding process along with instant confirmation of issuance.

Total protection grew by 7%, supported by strong growth in group protection business. Retail protection, however, de-grew by 19% year-on-year, which definitely can be attributed to a natural demand increase that we have seen in the quarter 1 period of both of last year FY'21 and '22 due to COVID and some moderation in demand. However, on a 3-year CAGR basis, retail protection grew at 14%. As we have shared in past, protection is a very important area of business, and we are very hopeful that by every passing month, we will start to witness growth in this segment.

ULIP grew by 21% on the back of launch of a new ULIP design, which is called Flexi Wealth Advantage Plan, with industry first features like auto debit boosters, 5 pay whole life variants and return of all charges and new ESG fund, which has already mobilized about INR 87 crore in quarter 1. These concentrated efforts, put in innovation of new products while focusing on increasing their profitability led to a VNB growth of 23% in quarter 1. Our new business margin improved from 19.7% to 21.1% year-on-year.

We calculate margins on the actual cost basis and hence, because of seasonality, you would have noticed that every year, our first quarter margins are lower and the margin improves subsequently quarter-on-quarter. So just to clarify, it is consistent with the methodology that we followed every year. And hopefully, by the time we finish the year, we will take it closer to how the last few years ended. We always report NBM on actual cost basis.

The third priority area is customer obsession across value chain at Max Life and that is quite reflected in the claims paid ratio number that I just shared with you. In quarter 1 of this year, 13-month persistency of regular pay premium was at 84% and 61st month persistency is at 50%. For FY22, I'm happy to share that on a number of policy basis, Max Life Insurance, on both 13th month and 61st month persistency is at number one and number two position respectively.

Performance on customer satisfaction experience is also measured through a globally established metric called Net Promoter Scores. During the first quarter, we witnessed an improvement of 2 points from 49 to 51 in the overall company NPS scores. Max Life also bagged the Best Customer Initiative and Best use of Relationship Marketing at the Customer Fest Award in 2022.

On the fourth priority area, which is digitization for efficiency and intelligence in quarter 1, we have strengthened our underwriting practices with the industry-first launch of in-house underwriting AI models for fraud prevention. The objective is to curb diagnostic center-related frauds through an in-house intelligence model, which can grade the diagnostic centers, identify mirror reports and provide a deviation score to share

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additional insights on the health of customers. Max Life also launched Video Point-of-Sale Verification for the verification of high-risk customers as an additional measure for controlling mortality-related risks and improve the quality of sales.

To offer frictionless experience to our customers, Max Life also introduced common in-house dialer, a single platform to implement multiple functionalities, operating centralized campaigns, generating real-time insights from call metrics. Early trends post implementation show 40% improvement in agent efficiencies. Also to have standardized online payment checkout experience across all the customer journeys. Max Life has developed a unified payment platform. The platform will minimize redirection during the payments journey, thereby increasing the overall payment success rate for online transactions and improving NPS. Our digital transformation has positively affected customer loyalty and

agent productivity. In addition, growth in Max Life's cloud footprint now is at 46%, significantly higher than last year. And that has helped us improve the company's infrastructure resiliency, which can now easily support business spikes such as during new insurance product launches. I'm now going to hand over to Amrit Singh, the CFO of Max Life and Max Financial Services to share with you some of the key metrics for the quarter.

Amrit Singh: Thank you, Prashant. I'll focus on some of the financial metrics that Prashant hasn't spoken of. On a consolidated basis, Max Financial revenue, excluding investment income is at INR 4,003 crore, growing at 17% in quarter 1, FY'23. The consolidated post-tax profit for quarter 1, FY'23 is at INR 68 crore, 91% higher than last year, primarily on account of lower tax expense compared to previous corresponding period.

Max Life renewal premium has grown by 17% to INR 2,619 crore. Gross premium grew by 18% to INR 4,103 crore. Max Life MCEV stands at INR 14,152 crore at the end of June '22, with an operating RoEV of 13.5% for the first quarter of FY'23. The MCEV has remained flat on account of economic variances, which is expect to reverse once matter situation settles down. Policyholder OpEx to GWP ratio improved to 16.9% from 17.4% year-on-year.

Max Life quarter 1, FY'23 profit before tax is at INR 91 crore, an increase of 18% year-on-year, aided by growth in back book surplus. The profit after tax is INR 77 crore for Max Life. Max Life solvency ratio stands at 196%, and AUM is at INR 1,07,140 crore as on June '22, a growth of 14%. To conclude, we remain committed to our purpose of inspiring people to increase value of their life and work across all possible areas of business to make it happen.

We are now happy to take any questions that you may have, and I will now hand over the call to the moderator to open the floor for Q&A.

Moderator: The first question is from the line of Swarnab Mukherjee from B&K Securities. Please go ahead.

Swarnabha Mukherjee: I have 2, 3 questions. First one on the product side. So ULIPs, as you have mentioned, the performance has been on the back of the new product

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launch, generally, we are seeing a weaker environment of ULIPs when other peers reported their numbers also and normal market coming through. Now do you think this momentum in ULIP is going to sustain in the upcoming quarters? Or after the initial push, do you expect it to normalize a bit in line with the rest of the market?

And also in terms of your ULIP sales across different channels, what I see is that the growth was coming much more from the proprietary channel than the Banca channel, sir, in Banca, PAR has actually seen a better growth. So are we having a differentiated strategy across channels in terms of product mix? So that is my first question, sir.

Amrit Singh: Your observation is actually right. So for the quarter, our ULIP proportion and you see sequentially over quarters, it will appear higher because of the launch of a ULIP product. We do intend to keep the overall product mix similar to how it was for the full year. And you will see some moderation that we do as we progress into the quarters going forward.

With respect to demand momentum, historically, it has always been the case that whenever the markets have become choppy, 6 months, 12 months later the life insurance ULIP product demands have got impacted. But as we speak, we haven't experienced any of those trends yet. Maybe if the continued underperformance of the market remains, there could be certain pressure points that we'll get. But more importantly, even we are intending to have moderation in ULIPs as we look forward. So you will see some bit of a change in the mix.

For your question on differentiation, whether we do any differentiation in proprietary and non-proprietary channels with respect to product mix. That's always been the case that one of the thing that we drive, we optimize for both the customer segments availability to various channels and also the cost structure dynamics of certain channels to optimize the product mix. So that's a play that we have always kept. So yes, we do differentiate the target mix between channels.

Swarnabha Mukherjee: One question on the embedded value side. So your operating RoEV is slightly lower than what we generally see in your range is. Is there any operating variance playing out or any operating assumptions strengthening over the quarter? And is this number, basically the operating RoEV that you have mentioned, is this from the end of FY'22?

So operating variance, are you calculating from what it was at the end of FY'22 and then annualizing or this is 10 last year versus 10 this year?

Amrit Singh: Yes, that's what happened. So the first quarter, largely because of being lower on sales and higher on expense, there is always an emergence of maintenance operating variance, which comes. But as the year progresses, this does disappear with respect to the negative operating variance that you will see on the maintenance side. Because we just annualize it, it does appear a bigger number, but as time progresses during the year and that seasonality goes away, the operating variance will move out with respect to maintenance overrun.

Swarnabha Mukherjee: Sure, sir. And just 2 quick questions. One is on the group protection, is this largely from credit life? And if yes, who are your key partners apart from Axis? And second is share of Axis in your overall APE.

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Amrit Singh:

Swarnabha Mukherjee:

Prashant Tripathy:

Moderator:

Avinash Singh:

Amrit Singh:

Avinash Singh:

Amrit Singh: So individual partner level metric we won't share. But if your question was where is the growth coming from? The growth for us has come out of a little bit of term life actually during the quarter. The credit life growth is in line with how the disbursement growth is. We have been sharing consistently that this is a bit of a tactical play. And last year, both the mortality experience emergence, we have renegotiated some of our contracts. And we have optimized for the portfolio that we're holding and the partner that we are working with, but credit life continues to remain a tactical play for us.

Okay. Sir, and my question related to the share of Axis was more pertaining to your overall mix, which you earlier used to disclose. So would it be possible to say?

So it is consistent with how it's been maybe 1% or 2% lower because our propriety channels have grown more, but majority of our sales actually comes from the bank.

The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.

A couple of questions. The first one is particularly on protection, I mean, yes, the slowdown now probably led by demand challenge is there, and it is not for you. But by considering the realistic scenarios and the macro, by when do you expect the growth in number of policies to return? I mean, I see in the 01, a decline is close to 19%, 20%, but based on maybe policy count, the decline is even surplus, because some partly compensated by, of course, ticket size increases. So I mean, considering the entire macro environment, by when do you expect this to turn around, because this kind of a slowdown is now for almost like 5, 6 quarters, and that's not just for you, for everyone. So that's number one.

And second, in terms of the sales in retail APE, the share of web aggregator, where do you classify that? And what would be that amount? I mean web aggregator/broker, I mean, non-bank channels, but not proprietary?

If I got your first question right, your question was around the protection business that is being seen with respect to the first quarter performance on the retail side.

Yes. I mean when do you expect growth to come back? I mean it is just not 01, I mean last few quarters have been weak for entire industry. And we say that, okay, there is enough protection demand and I mean the

customer segment level, but the weakness.

We are hopeful that in quarter 2 itself you will see a recovery with respect to growth in protection volumes. Again, it's a bit of a base play out. I think it is important to understand that both in FY'21 and '22, these were the periods when the COVID fear was actually at the peak, and there was very heightened demand, et cetera. And also a little bit of upfronting that happened with the protection volume during the quarters in these financial

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years. Some bit of that moderation will happen. In the second quarter we do expect that the growth should come back on protection business.

Avinash Singh:

Amrit Singh:

Avinash Singh: Okay. And on the second question, that's on the share of web aggregator /brokers in your retail APE?

So I mean, on the online space, it continues to remain in the ratio of 40% our own website, 60% for aggregators and brokers of the online business.

Okay. And how much is your total online?

Amrit Singh: Online, just give me a second. It's around 6%.

Prashant Tripathy:

Avinash Singh:

Prashant Tripathy:

Moderator:

Nitin Aggarwal:

Amrit Singh: Of the number of policies that get generated from the online channel is significantly higher. We do closed about 21% from our online channels. It's more our customer acquisition engines that we have.

And a couple of quarters back, I recall you had launched some protection product, particularly targeting non working women. I mean, of course, I understand that the market will be sort of something new category you have entered into, I mean the industry has not been offering that product. I mean what has been experienced so far? Is there sort of a demand that will make any difference? Or it's just like that the one of another product. You're reasonably good Avinash, yes, actually we feel very good and proud of this segment that we have created. And we are already seeing month-on-month volume buildup and by every passing month I'm seeing months on months increase. So we are hoping to do a respectable business.

The next question is from the line of Nitin Aggarwal from Motilal Oswal Financial Services. Please go ahead.

So a couple of questions. Like, firstly, how do you now see the pricing in the non-PAR business moving? Do you think it is getting too aggressive? Another leading insurer has reported very strong growth in non-PAR. And related to it, like, how do you see the margins therefore trending in this segment?

On non-PAR, I think margins are stable as how they were for the previous quarter. And over the last year same quarter, there has been an improvement. But I must at the same time say that the yield curve movement does help for some bit of that. But at the same time, it's important that we keep the product proposition strong. So we do have passed on some of these benefits to the consumer as well with respect to an improvement in IRR and we'll keep doing so. But the margin has been kept stable or has improved as we see from previous quarters last year.

Nitin Aggarwal: Right. And the overall pricing as such?

Amrit Singh: Growth perspective, non-PAR category for us in the first quarter has grown around 20% and a category which has a robust growth momentum that benefited.

Nitin Aggarwal: Okay. And secondly, Amrit, if you can also talk about how the Bancassurance share do you likely to see moving like we have seen good

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ramp-up on the agency channels, but Banca has been like going soft. So how do you see this mix moving? And if you can also detail out the share of Axis Bank within this?

Amrit Singh: Yes. So on Banca, we have been sharing that, given the open architecture that we are experiencing in both our counters, at Axis and Yes Bank and the scale-up that happened last year. There is a very high base of which we are kind of sitting on. And it will take 2 quarters before some of that basis has settled. But once those quarters are behind us, the counter share will stabilize. And Prashant mentioned in his opening remarks that the counter share has now remained stable for over 6, 7 months. And once counter share is stable and the base is kind of settled over previous quarter, we would start seeing an improvement in the growth trajectory as well. So whatever will be the planned growth rate, it will be similar growth rate that the Life Insurance companies will also accrue.

Moderator: The question is from the line of Madhukar Ladha from Elara Capital. Please go ahead.

Madhukar Ladha:

Amrit Singh: So a couple of things. First, the margin improvement that we are seeing, now I remember in your earlier meetings and commentary, you had mentioned that you would be investing in the Banca channel and in the other channels as well. So first, have we sort of done that? Or have we pushed that back. So what I mean to say is, how much of will we see sort of softer margins even going ahead in Q2, '23?

Second, you mentioned that the product mix is really driving better margins. But if you see individual protection is down in the mix, individual protection and year-over-year is down about 250 basis points and so credit protect is probably up 250 basis points. So is it more driven by the channel of acquisition or non-par business? Are we seeing better margins over there? Or have we changed assumptions a little bit? Maybe you could give some color over there. I think these 2 would be my questions.

I heard actually a couple of questions there. So on margins, the reason for expansion of margins and your observation is right to see the mix and compare it to the last quarter same time, it's very similar. In fact, probably if individual protection is lower than the non-PAR and the annuity and the group elements have been higher. But the big reason for actually margin improving is across all categories, and it is across participating and non-par category

Participating category, you will recall we had launched a product around November, December, which was a better margin profile product, which has now become the part of the mix. And similarly, the non-par margins have actually improved because of certain shift within the products that we actually have in the non-par suite as well. So it's a bit of a play of some of these things, which has actually helped us.

And even the protection margin in this quarter is better than the protection margin, how it was in the last quarter, same period. You will recall that at that point in time there were some reinsurance changes which had happened last year in that quarter, which had a bearing on the margin, which is actually now gone. So individually, all categories, actually, whether it is protection, whether it is PAR, whether it's non-PAR, there has been an improvement in the margin profile and further mix of products which

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actually are more accretive. So that's the dominant reason why the margin profile has actually improved.

With respect to assumption change, we have done no assumption change in the quarter. So that is not the reason which is actually driving. You asked the third question, which is, around expense and how do we see it. And whatever we have shared in the previous quarter, we have continued to committed to increase our distribution and far across the channels and more specifically in our open architecture channels. So as to have a differentiation edge and we are increasing that manpower. It does take some time to increase that manpower probably on the OpEx side, you're not seeing that, but we do anticipate the OpEx to stay higher or stay elevated because it will be important imperative for us to build a distribution muscle to continue delivering strong sales up.

Madhukar Ladha: Got it. So your earlier margin guidance of between 26% and 27% that remains?

Amrit Singh: Yes, that's right.

Moderator: The next question is from the line of Aman Agrawal from Cernelian Capital. Please go ahead.

Aman Agrawal:

Prashant Tripathy:

Aman Agrawal:

Amrit Singh:

Moderator: My first question was on this business target, which IRDAI seems to have given to the life insurance companies. So how do you think this will shape up the industry like? Will it lead to more competition for the players given everybody will be targeting growth and higher pricing pressure? Or like do you think the overall price will expand and it won't affect the profit materially?

It's really heartening that IRDAI is pushing the life insurance industry towards growth. And my assumption is what comes along with that is, all the facilitation, all the help, all the favorable decisions that could aid growth, of course, these are aspirational plans and Max Life Insurance will try to do its best to come as close to those plans as possible. There are suggestions and requests that the industry has put forward to the Chairman. And depending on how the outcomes turn out to be, we will drive more and more growth.

Irrespective of the numbers being given, I think we have to focus more on purpose. I think the industry, the players, as well as the regulators, all the important stakeholders do want to drive growth, which is definitely a very positive news for the industry.

Right, sir. My second question was on the solvency, like right now our solvency is at around 196%. So do you think we will need a fund raiser, this will be sufficient for the next 1 or 2 years?

We are actually guided by internal threshold that we compute basis stimulations. Basis that threshold, we are actually comfortable for over 1, 2 years. And that's how the position stands.

The next question is from the line of Nidhesh Jain from Investec. Please go ahead.

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Nidhesh Jain: Sir, firstly, is there an update on the Axis Bank transaction? I think we have been waiting for the regulatory approval for the MSI transaction. Is there any update on that?

Amrit Singh: So there is no incremental update to share at this point in time, Nidhesh. There is conversation with the regulator in play. We are in no receipt of any incremental information from them. So we are working, forward for this to get close soon in.

Nidhesh Jain: Sure. Secondly, in the holding company, the operating expenses have come down to around INR 10 crore per quarter. So is it a new normal? I think earlier our expectation is that for the full year, the OpEx will be around more like INR 60 crore. So this INR 10 crore per quarter is a new normal or we should expect INR 60 crore annual OpEx run rate for the HoldCo?

Amrit Singh: This is in line with what we've been sharing that we are working towards rationalizing the OpEx at the HoldCo level. And you can assume this to be the new normal there with respect to expense line.

Nidhesh Jain: Sure. And lastly, from a 2 to 3-year perspective, how should we think about the margins for our company. There are a couple of companies who have reached 30% VNB margins, and it seems like that could be the new normal for them. How should we think about our VNB margin from a 2 to 3-year perspective?

Amrit Singh:

Nidhesh Jain:

Amrit Singh:

Moderator:

Prateek Poddar:

Amrit Singh: So they have been speaking about this, Nidhesh, the competitive intensity also is increasing and across categories of non-PAR and protection. Now it's potentially possible to reach those on excel basis but keeping competition in play, I think 100 basis points, 200 basis point improvement in margin is definitely a possibility. But 30% level might be a bit high. And we are biased towards driving growth, so some bit of spend towards that will come in play.

And what we remember is that we have guided for 25% to 26% margin in the last quarter for FY'23. Has that trend changed to 22% to 25% or 25% to 26% guidance?

26%, yes, I think that's a figure largely because of the spend increase that we are anticipating to continuously keep growing, which will have some bearing and that spend increase is going towards distribution buildup. So it's consistent with what we shared last quarter.

The next question is from the line of Prateek Poddar from Nippon India Mutual Fund. Please go ahead.

Yes. I just wanted to check with you, you guys mentioned about demand moderation. Are you seeing it currently or you are anticipating?

So on protection, we have seen it. But on ULIP category, it's an anticipation of if economic condition continued to remain the way they are or if they become worse, so it's a bit of an anticipation there.

Prateek Poddar: And non-PAR?

Amrit Singh: Non-PAR continues to be robust. I think actually, at this quarter, if you really see each of the product categories, except for protection, there is

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healthy and strong growth, even non-PAR has grown 20% for the quarter overall.

Prateek Poddar:

Amrit Singh:

Prateek Poddar: Okay. And just wanted to check with you, Amrit. With the way the yield curve is behaving, will there be pressure on margins on the non-PAR side?

Or could there be a lower offtake? Or that doesn't seem the case given the things which you are seeing on ground in terms of demand?

Yes. I responded. So on the non-PAR side, we would have benefited more from the yield curve movements, the way they have happened. But we have passed on some of that benefit to the consumer with respect to improvement in IRR. And we'll continue to keep doing so to keep the product competitive. And hence, whatever gain potentially can come because of the curve will get offset by what we try to pass on to the consumer. And within the mix, again, I always say that there are many other levers within the non-participating savings mix as well, that we can continue playing, which is longer income design, all those things that we have controls over to ensure that the margin remains protected.

Got it. And lastly, I just wanted to check, I don't know whether this was called out. On the online protection side, was there growth this quarter on a Y-o-Y basis or over there also on the online channel also we witnessed a degrowth on a Y-o-Y basis?

Amrit Singh: It was a bit flattish.

Moderator:

Neeraj Toshniwal:

Amrit Singh:

Neeraj Toshniwal:

Amrit Singh: The next question is from the line of Neeraj Toshniwal from UBS. Please go ahead.

Just wanted to understand on a like-to-like basis, VNB margin, if you start giving this fixed cost absorption like our peers, what would have been because I know there's seasonality, but to have a better idea of the VNB margin, I think we don't show in the VNB walk the kind of absorption impact, which would kind of reverse in the future quarters? If any color on that will be helpful.

The only color that I can provide there, Neeraj, is that the methodology, etc, all remains consistent of how we allocate cost or where we allocated on basis of actual and whatever gain that you saw last year over as quarter progress, not just last year, actually you go back many years, you will see from the first quarter movement to the quarter 4, there is an improvement that starts appearing. So you will see similar improvements as well in this year as the year progresses.

And in the online bit more color on that would be helpful, how much we have grown in online? And what is driving sales, protection have been flattish?

We mentioned that we have entered into the savings category. And that category has grown multi-folds, though on a low base, which is where the growth is actually kind of coming for us.

Neeraj Toshniwal: Sorry, what has grown the interest rate, annuities has grown for us in the

Amrit Singh: Online, we have entered the savings category as well last year, and that is what is kind of driving growth for us, where protection has remained flattish for the quarter.

Neeraj Toshniwal: How much was growth, if you can quantify on online?

Amrit Singh: 24%.

Neeraj Toshniwal: And that is 6% of the overall mix?

Amrit Singh: Yes, right.

Moderator: The next question is from the line of Sanketh Godha from Spark Capital.

Please go ahead.

Sanketh Godha:

Amrit Singh:

Sanketh Godha:

Amrit Singh:

Sanketh Godha:

Amrit Singh:

Sanketh Godha: Amrit, just wanted to understand our dividend strategy going ahead. We did not pay any dividend last year, at least Max Life did not pay any dividend last year. So to conserve capital, is the same strategy we're going to follow going ahead?

Sanketh, that's a fair understanding. We have indicated that for the aspiration that we have laid out for ourselves, we will be consuming capital and retaining dividend to provide support would be one of the strategies that we'd follow. So Max Life is not anticipating to give out any dividends to Max Financial Services.

Got it. Perfect. And this impact of solvency from 201% to 196%, definitely there is some bit of new business strain. But other than that, any mark-to-market hit on the derivative contracts or FRA, has led to that impact, if you can quantify that impact on the solvency? And do you see that, that impact to further, if there is an impact of FRA on solvency, do you see that to play out further in the subsequent quarters? Or we think it has largely played out in the current quarter?

So your observation is correct. Actually, the impact on solvency and to, obviously, the strain elements of it has come from those derivative contracts which you have seen reflected in the fair value change account in the balance sheets of Max Life. But as we speak, actually, all of that has corrected, it has reversed. So that impact would have been of the 196%, maybe 3%, 4% actually if you add back to it would be the derivative impact. Got it, Amrit. And the another point, if you can quantify the negative economic variance number for the quarter, though you have not given the walk, but just wanted to understand how much it is as a percentage of the opening EV for us?

So we don't do a detailed analysis actually in the first quarter. Typically do it in 6 months' time frame. But as I mentioned that this is largely the maintenance overruns in the first quarter because of the seasonality in the business. And as time progresses this goes away, that's the large reason for the operating variance to actually have happened.

No, no, my question was not on operating variance, Amrit. I understand that point what you have told, my more point was towards economic variance number, the investment variance number, which impacted every

insurance company probably. So in that sense, I was asking, can you quantify that number to us?

Amrit Singh: Yes, it was around 3-3.5%. Minus INR 477 crore is the negative operating variance.

Sanketh Godha: Negative economic variance, sorry, minus INR 477 crore, you said, right?

Amrit Singh: Yes.

Sanketh Godha: Okay. Perfect. And on the non-PAR growth, which you said is around 20%, given annuity has grown by 125%. If I do the ex of annuity non-PAR savings growth, whether it is in single digits or is it still in mid-teens because we don't have annuity numbers for like-to-like quarters, so we just

have growth numbers. So just wanted to check that part?

Amrit Singh: So your question is that adjusted for annuity, what is the non-PAR growth?

Sanketh Godha:

Amrit Singh:

Sanketh Godha:

Amrit Singh: Yes. Sir, basically, because it's a new product which would help us to report that 20% kind of a growth.

I don't have it readily available actually at this point in time, but I will have it sent to you separately.

Okay. Perfect. And final one. See, these better profile products, both in PAR, non-PAR or properly in ULIP, were largely launched in second and third quarter last year. So that benefit should normalize going ahead because that benefit of better product profile within PAR and non-PAR will not be there incrementally. So the delta expansion, what we saw around 140 basis points on year-on-year in the current quarter, should we expect that number to moderate given it is already there in the previous quarters?

Yes. So PAR was launched November, December. So yes, it will start getting moderated at that point in time. And non-PAR is a bit more of a certain particular products selling more than the other products in the suite. If you are able to maintain that, that benefit does come through. But as I've reiterated, we are increasing the intensity with this distribution spend and operating expenses. So some bit of drag will get created in this particular year because of that reason.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Securities. Please go ahead.

Nischint Chawathe: The share of Bancassurance has gone down this quarter. And I know you discussed the base effect with Axis and Yes. But just curious, how do you see this ratio kind of settling by the end of the year or probably, let's say, exiting the year? Would it be something similar to last year? Or would probably be kind of gain market share on a year-on-year basis?

Amrit Singh: The proprietary channels are expected to gain share as compared to non-proprietary. Non-proprietary, the bank stabilization, we do expect it to start coming through in quarter 3, quarter 4, so that's when the base will start stabilizing.

Nischint Chawathe: And any sense in terms of how many basis points of kind of Y-o-Y proprietary gains would we see? This quarter, obviously, it appears to be

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very active, but anything you could guide for maybe 1 year or 2 years down the line as to how they settle? Or how do you see this going?

Amrit Singh:

Moderator:

Nilesh Jethani:

Amrit Singh:

Nilesh Jethani:

Amrit Singh:

Nilesh Jethani: I mean over a 2 or 3-year kind of horizon, the non-proprietary share acquisition it should inch up to 35, 65 kind of ratios from the 30 that we were operating last year.

The next question is from the line of Nilesh Jethani from BOI Mutual Fund. Please go ahead.

My question was related to the recent article on the newspaper, which said that corporate agents would be allowed to do more than 3 tie-ups with life insurance companies. So just wanted to understand today with regards to top 10 or top 15 distributors, what is our position there? What are the low-hanging fruits over there, which we can do easily if the proposal becomes a reality? And according to you, what time does it take from this proposal coming into reality and the first tie-up being in place?

I mean, 3 moving to 9, I think it just opens more counter for players like us. And we will go aggressively out in the market. We have strong experience and expertise of handling all sorts of banks and all sorts of complexity within the bank. So that actually becomes a strength point for us. And we will be fairly aggressive trying to see whoever is opening up for counters, we'll want to participate in that opportunity.

And I think your next question was that timeline, it's a bit in the regulatory

realm actually. We haven't even got a draft out yet. It is a conversation that some news articles which have been picked up, post the draft, there will be industry consultation and then the final elements will come through, very difficult for us to give a judgment on how much time would that take when this becomes a reality.

And one more question on that was, today, with the top 10, 15 corporate distributor, with how many guys you would be present and according to you, what are the low-hanging fruits over there, which you can do tie up easily?

At this point in time, because of the 3 cap, there is only so much opportunity. But if 3 is becoming 9 and it all depends on the stance that various banks take. Difficult for me to give a judgment on it. I think the least that I can say is that whoever is in open architecture and decides to expand that open architecture, you will see us participate in some of those counters, aggressively. And we're hopeful that we will secure wins in those counters actually. Among the big distributors, we do work with Axis and Yes, which are among the big top 5, 10 distributors, the rest is all opportunity.

Got it. Second question was on the credit life side. So now already into Q2, are we seeing any slowdown as far as the pickup is concerned, the credit life or some deceleration in the growth or growth momentum continues?

Any understanding and any sense on going forward also, what is the attachment rate today with our partners? And has there been any improvement in that attachment rates?

Amrit Singh: So credit life, obviously, the fundamental buildup that it works on is, disbursement growth and disbursement momentum of any particular

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partner. And then attachment rates and then the ticket sizes kind of come through. Disbursement momentum has continued to be quite robust in the first quarter when you look individually at partners. From attachment, we are already operating very high levels of attachment. We attach upwards of 65%, 70% and even 80% in certain categories of product. The benefits that we are getting today is disbursement momentum and also some enhancement in ticket size, because the rates got renegotiated over the last couple of quarters. So the same protection is now a bit more expensive to the consumer. And those are reasons which are driving the growth element.

Moderator:

Shreya Shivani:

Amrit Singh:

Shreya Shivani:

Amrit Singh:

Shreya Shivani: The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

I am with just one question and one request on data disclosure. So the question is basically around your target product mix, I can see that though you had launched a PAR product last year and has been driving growth. The share of PAR has been at 20% and first quarter, it might be lower, but largely at 20% since past 2 years. So do we plan to keep it at that level? First, my question is on that? And second, on the data disclosure is, you guys used to give in your public disclosures, the linked PAR and non-PAR-wise breakup of benefits paid and operating expense, etc, until last year. That's missing from FY'22's public disclosure, it's quite useful to have that breakup actually. That's it from me.

So on your first question, with respect to the product mix, a very similar product mix of how we ended up last year is what overall we will work towards, where obviously driving annuity and protection is always within the focus. And quarter 1, typically, because of the ULIP launch, there is a higher proportion of ULIP, which is evident. But as we move forward, you will see some bit of moderation that will happen. Now PAR is at around 20%, maybe it will be 20%- 22% similarly where it ended last year. So that range is where we are looking it to continue to be at those levels. On data disclosure, so you're saying the PAR and non-PAR disclosure? Sorry, I

didn't get that.

So there are these public disclosures, L 4, 5, 6, 7. These have benefit paid commission, operating expense details. Those till last year, you had the segments of operating expense, how much was in linked, how much was in PAR, how much was in non-PAR, so that was quite useful data, so if that can be repeated.

Everyone will get a circular from the regulator, standardizing the schedule, and we have made ourselves consistent. So we have done in line with what the regulator has actually asked for.

Okay. Because what happens is, other life insurers, at least in their annual report, I can get that breakup, if not in the public disclosure. So here, if it's not in the public disclosure, then I just can't find that data. So I mean, that's my request, yes. That's it for me.

Moderator: The next question is from the line of Swarnab Mukherjee from B&K Securities. Please go ahead.

Swarnabha Mukherjee: Just a quick follow-up. So your VNB have a positive sensitivity to interest rate movements. I was just wondering how much that would have

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contributed to the expansion in the margins for this quarter? And for, say, if I isolate categories like non-PAR savings where there is a repricing element that is there, if you can also guide us regarding the sustainability of these margin in the non-PAR category, in case you reprice it higher in response to competition?

Amrit Singh:

Swarnabha Mukherjee:

Amrit Singh:

Moderator:

Amrit Singh:

Moderator: So I did mention that on non-PAR, obviously, the sensitivity comes through because of there is interest rates move up and changing the IRRs to the consumer, the margin profile will look better. But the reality is that we will also change the IRR to the consumer. And hence, consequently, the margin expansion opportunity gets offset with what we price, what we give out to the customer. And we have been reiterating that to keep the product competitiveness, we will pass on some of these benefits that we will see for ourselves on the yield curves and the interest rate movement to the consumer so that the product remains competitive across other categories as well.

During the quarter, again, I did mention that we have done a repricing. And also there is an improvement in the non-PAR, which has come on account of shift between the product suites that we have within non-PAR category. So if you are asking that with further improvement in interest rate that there could be an expansion on margin, my answer to you would be that you should not assume that any benefit of the interest rate play, we will pass on to the consumer, so that the product competitiveness remains strong.

Sure, sir. And other way round also, I mean, given the recent trends of the 10-year yield, etc, and yield curve also, with the interest rates also settled down somewhat, then do we expect, again a normalization of the pricing?

This we keep doing. The interest rate movements and how the relative product categories are looking, this is like an ongoing process that we do and we follow. And we have the flexibility to change this on a monthly basis as well. So we will leverage and use that flexibility that we have for ourselves.

Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Thank you. And thank you, ladies and gentlemen, for being on our call. We look forward for more such interactions in the future. Thank you once again and have a good day. Goodbye.

On behalf of Max Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Oct 2022

October 28, 2022

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL
Dear Sir/Madam,

Sub: Regulation 30: Transcript of Investors & Analysts Conference Call
Dear Sir/Madam,

Transcript of Investors & Analysts Conference Call held on October 20, 2022 post declaration of un-audited Financial Results of the Company for the quarter and half year ended September 30, 2022 is enclosed.

The same is also being uploaded on website of the Company at
https://www.maxfinancialservices.com/wp-content/uploads/2022/10/MFSL-Earnings-Call-Transcript_Q2FY23.pdf
You are requested to take the above on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

V. Krishnan
Company Secretary & Compliance Officer

Encl: As above

Max Financial Services Limited
Q2 FY23 Earnings Conference Call
October 20, 2022

Moderator: Ladies and gentlemen, good day and welcome to the Max Financial Services Limited Q2 FY23 Earnings Conference Call.

I now hand the conference over to Mr. Amrit Singh, Chief Financial Officer, Max Financial Services Limited and Max Life Insurance Company Limited. Thank you and over to you sir.

Amrit Singh : Thank you. Good morning, everyone, and welcome to the earnings call of Max Financial Services for the quarter. Our results were made available on the website and stock exchange last evening. Today, I'm also joined by Prashant Tripathy, MD and CEO of Max Life Insurance. I would request Prashant to share the first half business update. Over to you, Prashant .

Prashant Tripathy : Thank you, Amrit. Good morning, everyone. Let me just share the developments of first half as well as for the quarter on the key priority areas .

1. Predictable & Sustainable growth by building distribution:

In the first half of the year, we continue to invest in building our distribution capability

and our focus in last quarter to expand our distribution footprint was of a very high order. It gives me a great pleasure to announce that we have tied up with a new bank partner Tamilnad Mercantile Bank and signed MoU with a Small Finance Bank, the name of which will be disclosed at a later date. .

Additionally, we have also entered into agreements in offline insurance broker ecosystem with renowned brokers like Bluechip, Muthoot, Turtlemint, NJ and Vlover. With these relationships on-board and several others underway, we remain confident of projecting a sustainable growth for Max Life. In the first half of the year, the new business premium grew by 9% to INR3,378 crores and total APE grew by 2% to INR2,200 crores. Our prop channels grew 23% in H1, led by strong growth in both online as well as offline prop channels. Offline channels grew 21% and online channels grew by 35%.

Online channel, we continue to dominate online protection market both on our website and partner channels as we penetrated deeper into existing customer segments and entered into new segments of NRI, home maker and self-employed. With an ambition of becoming leaders in online savings market, we launched an industry-first short-term savings product with best-in-class returns. This led to a 100% growth in savings run rate and enabled us to grow online savings portfolio by 7 times year-on-year in H1 FY23.

Offline channels, the growth is driven by 15% improvement in productivity of active advisors, 15% g

rowth in top advisors count and 31% growth in life advisor activation, which in-turn is driven by positive changes and simplification in adviser rewards programs. Our direct customer acquisition channels also witnessed improvement in front line sales productivity of 14% and headcount growth of 23%.

Banca channel de-grew by 7%, in H1FY 23, due to full blown impact of open architecture and general slowness observed in banking channels predominantly because banks focused on building liability business which is the core part of their business. The base impact of counter share is expected to run-off by the end of Q3 of FY23. And I do want to again share that Max Life share in Axis Bank counter is maintained since January of '22. So, we have not lost any incremental counter.

2. Product innovation to drive margins:

Product innovation is also very important and that's one of the core reasons why our margin looks promising compared to last year as well as first quarter. It remains balanced with PAR being 19%, non-PAR savings at 36%, ULIP at 38% and protection at 8% on individual APE basis in the first half of the year. Max Life has successfully created new product categories in online savings, home maker segment, NRI, self-employed and has accelerated product innovation agenda. The culmination of all this has led to increase in profitable product mix and resulted into a margin expansion of 140 bps year-on-year.

In-line with our strategy to focus on retirement business, we have commenced business in our wholly owned subsidiary Max Life Pension Fund Management. This has strengthened our existing retirement offering comprising of annuity and smart wealth long-term income savings plans. We now cater to customers at each of their life stage when they are accumulating funds, planning for retirement and also post retirement. We also have enhanced our annuity offerings with flexibility of premium payment term as well as extended entry ages to broad base new customers. This led to a growth of 86% in annuity business in first half of FY23.

Retail protection which has been a matter of discussion over last few quarters also saw an uptake and grew by 11% in Q2 and witness 22% sequential growth from Q1 to Q2 as we forayed into new segment of self-employed individuals to buy protection with launch of two new plans - smart secure easy solution with four prepackaged solutions and frictionless onboarding and smart flexi protection solution, which is an investment cum protection solution launched for primarily self-employed segments with smooth onboarding. This bounce back on protection growth and entry into new segments further strengthens our belief in the long-term opportunity of protection business. With an objective of increasing penetration in online savings market, smart fixed return digital plan has seen huge positive uptake in building the savings category on both website and web aggregator space.

3. Customer obsession across the value chain:

At Max Life, customer satisfaction is an organizational priority. It's a part of management goal sheet and our best-in-class claims paid ratio of 99.34 % is a testimony of our focus towards customer obsession. The first half of FY23, 13th month persistency of regular limited pay premium policies was 84% and 61st month persistency at 50% which is more or less stable. Happy to share that for Q1 of the current financial year, Max Life 13th month persistency ranked number one in number of policy basis. Performance on customer experience is also measured through a globally established metric called net promoter scores. During the first half of the year, we witnessed an improvement of 2 points from 49 in March '22 to 51 in September '22 in the overall company NPS scores.

Max Life also bagged Best Customer Initiative and Best use of Relationship Marketing at the Customer FEST Awards for 2022.

4. Digitization for efficiency and intelligence :

And the last one which is our commitment to digitize this organization for efficiency and intelligence, in FY'23 first half, we have strengthened our underwriting practices with an industry-first launch of in-house underwriting AI model called MediCheck for fraud prevention. The objective is to curb diagnostic center related frauds through an in-house intelligence model. This model has helped us delist 388 medical centers in September, where we suspected fraudulent activities.

In e-commerce, we launched multiple initiatives, including new ways "do it yourself" saving journey with enhanced customer experience, leading to improvement in lead to quote by 80% and WhatsApp bot journey enabling 63% query resolutions and improvement in user engagement. mSmart, which is a sales management and activity monitoring tool launched -- was launched for Axis and APC channels, we are on a rapid journey to fully digitize our sales management processes and this year has seen very active work in that area and Axis and APC are two channels that got done last quarter. This will enable better activity traction, leading to increased conversion.

QR code launched for customer servicing which will enable friction less "do it yourself" digital transactions. Our digital capability has stood the testimony of agility in integration of technology with new partners as we took less than a week's time in onboarding three brokers and one new banca partner. We also launched our pension fund management business with "digital first" approach as treasury systems, website and finance systems are hosted on cloud. To summarize, there is very active growth taking place in all the strategic areas. And I'm going to just hand it over to Amrit Singh to talk about the financial outcomes from the first half of FY23.

Amrit Singh: Thank you, Prashant. Moving on to key financial metrics, on the consolidated basis for MFSL the revenue excluding investment income stands at INR9,720 crore, a growth of 12% in H1 FY22. The consolidated profit after tax is at INR130 crore, up by 56% largely due to lower tax expenses in the corresponding period. Renewal premium grew by 14% to INR6,526 crore for Max Life and gross premium grew by 12% to INR9,904 crore. Value of new business stands at INR586 crore versus INR546 crore in the previous year, representing a growth of 7%. The NBMs have improved from 25.3% to 26.7% in H1 FY23.

Embedded value as on September 30, 2022 stands at INR14,704 crore. Operating ROEV over H1 FY23 on annualized basis is at 15.7%. Policyholder Olex to GWP ratio improved to 15.1% from 15.5% last year. H1 FY23 profit before taxes is INR144 crore, a decline of 3% year-on-year. Profit-after-tax is INR123 crore for Max Life Insurance. Solvency of Max Life Insurance stands stable at 196% and overall assets under management at end of September 30, 2022, were around INR1.13 lakh crore, a growth of 13% year-on-year.

Lastly, before I hand over to the moderator for Q&A, as you would be aware that recently in relation to the transaction involving Axis Bank and Max Financial Services Limited with respect to transfer the shares of Max Life which will all duly approved by the Board and shareholders of Max Life and MFSL, IRDAI vide an order has issued a penalty aggregating to INR3 crore for alleging non-compliance on certain items of its approvals granted. With the view to pave the way for the future including strengthening the long-term strategic partnership with Axis Bank and avoiding unnecessary and long legal escalations Max Life has

paid the penalty imposed by IRDAI, while it is of belief of not committing any wrongdoing.

Given the discussions are currently underway with the regulator on the above-mentioned

transaction including the MSI transaction, we will request you to refrain from questions on this matter and keep your questions within the scope of operating performance. On behalf of our JV partner Axis Bank, we would like to indicate that Axis Bank is committed to its long-term association with Max Life as its promoter and bancassurance partner. So, in summary, to conclude, we remain committed to our focus on inspiring people to increase value of their life and work across all possible areas of business to make it happen.

We are now happy to take any questions that you may have, and I will now hand over to the moderator to open the floor for Q&A.

Moderator: Thank you very much. The first question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh : Good morning. The first question is on growth. You know the base numbers and the current macro reality also the individual channel dynamics. In this backdrop, can you provide some sort of a guidance how the growth is going to look in H2 particularly? And coming back your last year, Q3 was also very strong because you have some kind of good off take of ULIP products. So, balancing all these factors, how do you see growth in H2? So, that is my first question. And the second question would be on embedded value, if you can provide some color on what had been the amount of investment and economic variance, probably I mean that would have had some negative impact, so what extent on that. Thank you.

Prashant Tripathy : Good morning, Avinash. Always great to hear from you. Let me answer the first question. Any performance is a combination of the internal issues as well as external macroeconomic issues. Firstly, talking about the internal issues, we've been updating you that we are going through a process of open architecture on both our bank counters. I'm very hopeful that through the second half of the year some of those internal issues will get resolved as the base settles in, which will be a positive thing for Max Life Insurance.

However, you highlight pertinent issue with respect to macroeconomic challenges and we have seen that in the second quarter the industry has grown much slower than how the first quarter was. In view of that, at this point in time, giving a guidance or forecast is going to be quite difficult for me. However, I will say we will do the best that we can. I'm very optimistic that with all the initiatives that we've taken in proprietary channels, the investments that we're making to build distribution capabilities with new sign-ups that we've done with banks as well as brokers as well as the effect of open architecture stabilizing and settling, I'm optimistic that second half we will be do as best as possible.

Amrit Singh: Second question, Avinash, you asked on the non-operating variance that is negative of INR545 crore, largely because of the interest rate movements. But of it around INR502 crore is because of interest rate movements which you are aware it's transitory in nature because generally our portfolio is all hold to maturity.

Moderator: The next question is from the line of Yash Jain from Sunrise Capital. Please go ahead.

Yash Jain: Good morning, gentlemen. I just wanted to understand something. I mean, not taking questions on the transaction, how fair do you think it is in the conference call since it's a meaningful deal for both Axis Bank and Max Life. I still have two questions on the transaction, the management can choose not to have them and not an

swer. But my first

question is with respect to the transaction there was a report yesterday that suggested that the regulator may look at only allowing the balance 7% acquisition at a fair market value and a uniform price which the understanding of course is that they'll be much higher. My question to the management is that, is the management in talks with Axis Bank on arriving at a fair market value and is Axis Bank ready to buy that stake at a fair market value, if not then what happens with this transaction?

And the second thing, can the management please explain the recent eight transactions that have happened, except for the three transactions which happened with Axis Bank, they have happened at price points per share which are far from each other. In fact, 15 days ago before the main transaction, the transaction happened at INR166 then straightaway we went down to INR31 rupees. Why should it not be open to investigation and assessments from various regulators including SEBI?

Prashant Tripathy : Yash, thank you for your question and I do appreciate the question. Max Financial Services and Axis Bank are listed companies and anything which is worth disclosure, which is a material information to investors we will absolutely disclose as soon as it comes to our notice. At this point of time, we have no communication from the regulator around any valuation recommendation or guidance. So, hence, we are staying away from any disclosure, number one. Number two, Max Life Insurance is an unlisted company and Max Financial Services is the owner.

There are several valuation methodologies recommended and all the valuations which were done were as per the legally permissible valuation techniques, so while I do appreciate the question that you asked. It is a transaction which has happened in a private company between two shareholders and all the valuation methodologies which were used were as per approved legal valuation techniques. So, I hear you, I understand you, but at the same time let the other regulators decide, let the overall ecosystem decide rather than we being judgmental about the valuation methodologies.

Yash Jain : Just one clarification, the regulator's order does mention that the necessary changes which the regulator thinks, that the previous transactions are not at a fair market value and uniform price. The necessary changes should be incorporated in future transactions, should that not be interpreted as that whatever happens even the balance part of the deal, that is 7%, the necessary wrongdoings will have to be corrected and will have to be implemented?

Prashant Tripathy : I think the words that you use Yash again have a bit of judgment in it. The wrongdoings, we have gone public to communicate to everybody that we don't believe that there is a wrongdoing. But at the same time we want to move forward with the transaction. And hence we have paid the penalty. There could be several interpretations. Let the process get followed. The process says, we are waiting for the MSI approvals, subsequently we will apply for the 7% share transfer, in which case we will see what the regulator has to say.

At this point of time, both Axis Bank and Max Financial Services, Max Life we remain committed. Axis Bank has reaffirmed their commitment to being the promoter as well as distribution partner for Max Life Insurance. Let's leave it at that level. And as I mentioned, both the companies are listed companies. If there is any information which is worth investors information, we will promptly come back and inform.

Moderator: Thank you. The next question is from the line of Sahej Mittal from HDFC Securities. Please go ahead.

Sahej Mit

tal : Hi, good morning, everyone. So, a couple of questions from my side. Sir, firstly, if you can comment on the sharp increase in the non-PAR savings in the mix to about 36%, 37%, right. Sir, how sustainable do you think is this, because even in the last year we saw the share of non-PAR savings shot up in one quarter and then again mean revert to 25%, 26% levels. So, if you can talk about the on-ground demand in terms of the non-PAR savings. And how do the margins look like on the new short-term savings product which we have launched? And I missed on the growth bit on this product. And also, for Max Life mean retail protection has grown quite well, which is contrary to the industry trend. So, what is sort of driving this? And are we still maintaining our guidelines on the 26% - 27% margins for FY23-24, are we re-calibrating this number? And fourthly, on the wallet share in Axis Bank channel, how does Max Life share look like in the Axis Bank wallet right now? And where are we in terms of the sales person deployment in Axis Bank channel if you can comment on these questions? Thanks.

Amrit Singh : You asked four questions. The first one I think this is on non-PAR mix, the stability as you rightly pointed out that for the quarter, we have seen the mix improve and it's very similar to how it was for last year. And where is this mix improvement coming from in overall non-PAR category is also success that we are experiencing on the annuity side. Our annuity business has grown 86% for the first half that is also sitting in the non-PAR line. And with respect to how on the ground things look like for future quarters, I think non-PAR mix will be fairly steady and stable. And again, you're pointing out as last year quarter three was very high in ULIPs as we have entered this particular quarter, the non-PAR mix is actually far more steadier as it was in this quarter two and we'd quite hopeful that it will remain steady in these lines and we will continue enabling this particular

product category.

The second question you asked was the on protection. As you rightly pointed out, we have experienced growth of protection of around 11% for the quarter. Though this is still quite less as compared to how we would have anticipated and expected, largely because of some bit of demand moderation after COVID fear actually abating in the consumers' mind, but in our assessment protection is the long-term opportunity where there is severe under penetration. And as both the life insurers and re-insurers also start easing out supply side constraints, we will see the momentum kind of start building up. So, we continue to remain positive on protection. I think for us it's an important category we have ensured that we are focusing on all across all channels. So that is what I'd call help us drive this particular growth from there.

The third question you had was on the short-term digital plan that we have launched with very attractive rates. It's a good shareholder IRR product. It might be a bit lower from a margin profile perspective, but overall, it's part of our portfolio strategy, wherein we will continue driving this particular product for more Millennials and savvy consumers. The last question you asked was on OA share, as Prashant mentioned, the OA share has remained stable since January and why January is important is because that's when the open architecture is completely scale-up at Axis Bank. We have remained stable in the ranges of 69% to 70% and that's the level that we are today at.

Sahej Mittal : And where are we in terms of the sales per person deployment in the Axis Bank channel ? Are we done with it or how is it looking right now?

Amrit Singh : So, we are investing over time with respect to manpower. We

are ramping up as we had planned and we will continue doing so, because the moment the business volumes start slowing, the benefit of that will get amplified towards us. So, we are on that trajectory.

Sahej Mittal : Could you quantify the number of the salesperson we have right now in the Axis Bank channel as of date?

Amrit Singh : It's around near about 6,000 is the levels of front-line sales team members that we have.

Sahej Mittal : And this compared to our competitor in the Axis Bank channels would be?

Amrit Singh : So, I won't have that specific details. We had higher than them and our deployment is actually on-schedule and on plan.

Sahej Mittal : Right. And sir just one clarification on the non-PAR savings side, how should we look at the full-year number in terms of the business mix from non-PAR savings?

Amrit Singh : We would likely to remain in this range bound that you are seeing at this point in time and you should see that actually also pan-out in the full-year basis.

Moderator : Thank you. The next question is from the line of Manoj Bahety from Cernelian Capital. Please go ahead.

Manoj Bahety : So, Prashant, couple of questions. First is that the way we have given away in Axis some of our market share, I understand with open architecture and a new entry. But my question is that what gives us confidence that our wallet share in Axis will remain at 70% . The way initially your competitor has gained some market share from you, it may continue. So, is there anything which gives you a confidence that your wallet share in Axis will remain at 70%, so that is my first question.

My second question is along with this if you can also touch upon the new partnership agreements which you have done with leading broker as well as with Tamilnad Mercantile Bank. So, if you can just give us update how you are seeing this partnership helping you going ahead. And lastly if you can give us update on stake purchase or the swap with Sumitomo, which we have filed with the regulator, but I think because of some top level changes in IRDAI it was getting delayed, so if you can give update on that one also. These are my questions. Thank you.

Prashant Tripathy : Let me first talk about the open architecture. It's very common that when an open

architecture gets implemented the incumbents loses anywhere between 30% to 40% of the counter share. In our case we lost about close to 28% to 30% as the full-blown open architecture comes in. So, I do appreciate your question, but it is a very, very common. It is very hard to retain 80% - 90% of counter share with the full-blown open architecture. What gives me the confidence that we will be able to maintain, or grow is the confidence of last nine months. The last nine months our counter share has remained at the same levels more or less. And there are attempts of course made. It's a competitive play there the attempts made to keep at the same level or grow. However, the experience of last nine months gives me the confidence that we will be able to maintain that or take it forward.

On your second question on new partnerships, any banca relationship in the context of life insurance is very important and we're very happy that we were able to get into a relationship with Tamilnad Mercantile Bank. It has very strong presence especially in Tamil Nadu and this is a reputed bank with very loyal customer franchise and I'm very hopeful that when we launch it we will have reasonable success. This is an open architect

ture counter again and the new partner, the name of which we'll disclose at the right time, will also be an open architecture counter. Compared to Axis Bank or Yes Bank there'll be small counters. The approach that we're taking is to increase our bouquet of Bancassurance relationships. I will assume that both these will add to the distribution muscle that we're trying to build.

On the third question that you asked about swap with Sumitomo, yes, I'm very hopeful that in reasonably in near-future we should have approval. We are yet to hear from IRDAI on that one, but like we stated in our disclosures that in view of moving forward with the series of transactions which expected to happen first with MSI and then with Axis Bank, we've gone ahead and paid the penalty. So, I'm sincerely hoping that in near future we will have the approval.

Manoj Bahety : Sir, just one small question I have. We have got now Mix Life Pension Fund Management, earlier I think this part was missing in our bouquet. If you can touch upon like how you see this is going to help you in terms of growing your business and if you can touch upon the strategy on that side that would be helpful? Thank you.

Prashant Tripathy : Since last year we had been articulating that two areas are very important for us and we believe that those segments have the potential to become really large, one of them is retirement and the other one is health protection and wellbeing and in both areas, we are taking solid steps and setting up the pension fund management business was the step in that direction. We have sharp focus on all solutions pertaining to retirement. So, in our own business we have lot of focus on trying to drive annuity to some extent even the non-PAR portfolio that we have, especially the income-based solutions target the retired segment or retiring segments. We have just launched another product within the annuity space.

So, while on one side we are trying to enrich our product portfolio with very competing product solutions we are also trying to be sharply added to the ecosystem of retirement and the NPS is one of them with a view of that we have set-up the pension fund management business. In addition Max Life Insurance is an annuity service providers which is another license and we have also applied for the POP license so that we can become a full suite provider in the NPS space. So, there are series of activities that we are doing. Of course it's a long-term play, but one is trying to penetrate deeper into the retirement solutions and the ecosystem to make sure that we remain a dominant player and we become a part of the retirement business as this particular segment evolves and grows with time where we have a very high level of belief.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Elara Capital. Please go ahead.

Madhukar Ladha : Hi, good morning. First question just belaboring on your share in the Axis Bank channel. Now, we have about a 69% -70% share in that channel. Is there any commitment from Axis Bank that it will not allow our share to fall below a particular threshold or any insurer can take whatever it can from that channel. So, I'd like to understand if there is any such implicit understanding over there in that channel.

Second, the margin has done quite well this quarter. And it seems that if your non-PAR share in the mix continues this way, will probably be higher than what you guided for.

Your earlier guidance was between 25%, 26% VNB margin. Would you want to sort of change that right now, re-state that right now?

And lastly, I see your new business strain has increased quite a bit in the first half of this year. I'm guessing this is because of strong sales of these non -PAR and

the individual

protection growth also that we're seeing. Is that assessment, correct? Yes, those would be my three questions.

Prashant Tripathy : I will take the first two and Amrit will take the last one. On the first one, with respect to counter share, one part is Axis Bank is our shareholder. We sit together. We have Board meetings that take place with very senior officials being in our Board. So, is it something which is written as a part of contract that we'll have to be 70% answer to that is no but of course there are some underlying sales assumptions on which we have agreements. And one is also high belief that we'd be able to maintain, and Axis Bank will be supported in the counter share. At the same time, the inputs that are required to maintain the counter share; A, product; B, types and quality of resources; C, presence. I think Max Life Insurance will do whatever it takes to maintain that counter share. And over the experience of last many quarters there is a reasonable confidence in the management team as well as at the Board level that we will be able to sustain.

On your question on non -PAR, yes, the guidance was to be in the range of closer to 26%, but at the same time what we are witnessing is a much richer product mix. And because of that in this quarter margin looks reasonably healthy. I think I'm not going to really take a bet on what the margin numbers will be, but I'm very hopeful that through the year we'll be able to maintain a healthy product mix. And hence I remain optimistic about our margin outcome. On the third one, Amrit if you want to take that.

Amrit Singh : So, your observation is correct actually. The strain has increased. And the reason for strain increase comes from non -PAR design and more specifically annuity design. So, the annuity design are the designs where the strain is higher, which is the reason why the strain is higher. And with a non -PAR long-term income mix also can cause it. So, these are the two reasons why the strain is higher.

Madhukar Ladha : Just to follow-up on that, have we increased any sort of commission payout to any of our partners?

Amrit Singh : Commissions to any specific partner, our agents, you're always optimizing of how and who is kind of rewarding awarding, what kind of product mix they are selling with the factor or what is the variants that you are selling. So, I'm not sure where this question is coming from. The commission structures have remained stable over the years that if you pick-up a particular design let's say a protection, regulation allows you to offer 40% commission. So, those kind of constructs have always remained.

Madhukar Ladha : Right, and we're probably paying closer to the max that what we are allowed to pay, so it's not the new business strain would not be because of some...

Amrit Singh : No, no, no, so if you're linking that with commission increase no that is definitely not the case that is. That is not the case.

Madhukar Ladha : Okay, okay. So, any -- can you throw some color on what sort of expense line items are used?

Amrit Singh : I said the strain increase is because of reserving requirements of these products, because you're assuming more risk on to the books. So, the reserving requirement of this product is higher. So, if I have higher component of annuity in my non -PAR the strain will increase. That's the reason for the increase of strains.

Madhukar Ladha : Understood. More because of that and because of actual expenses.

Prashant Tripathy : The increase in expenses are not the reason for a added strain.

Moderator: Thank you. The next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain : Yes. So, the first question is on group term business. There has been a sharp decline in this quarter Y -o-Y. What drove that decline?

Amrit Singh : Yes, hi, Nidhesh. The group term life decline is largely happened because you will recall last year was the COVID year and these are annual contracts and we were all going through COVID assumptions, the pricing to the corporates were actually much higher. And as the COVID year is behind and mortality has come back so the pricing to the corporates have reduced. So, it's largely coming out of the pricing to the corporates reducing over time and that's driving this.

Nidhesh Jain : Sure. Secondly, if I look at the margin expansion Y -o-Y for H1 versus last year, the product mix has not materially changed in fact I think ULIP share has gone up a bit for H1 this year. So, does it mean that the margins on product level has increased and what has led to that?

Amrit Singh : Yes. Your observation again is correct. There is some attribution of product mix, but that's far smaller, largely it is because every line of product there has been an improvement in margins because of the new product categories that were launched during the second half of last year, so whether it is participating design, whether it was protection, where all sorts of repricing actually happened or whether it is the non -PAR savings design all of these have fundamentally gone structural margin improvement that we have seen for ourselves.

Nidhesh Jain : So, is it on account of increasing tenure of the product? If you can elaborate what is the change in product design that would be helpful.

Amrit Singh : It has elements of design, and it has elements of tenure as well and it has elements of pricing to consumer as well.

Nidhesh Jain : Sure. And lastly, how the expenses have moved in this quarter or in first half, operating expenses for Max Life, given that we have articulated that we will ramp -up the distribution, but I think the expense ratio has improved for the company, so will it be back -ended or how should we think about expense ratios?

Amrit Singh : You would have observed that opex actually has increased by 9%. The reason for improvement is that the gross written premiums have actually increased higher than the expense increase. But if you see our expense line QoQ, you will see on the quarter two the expense actually has increased to around 19% and large part of this expense is in -line with our stated objective of investing in distribution whether it is our own branch offices, whether it is our resources in our proprietary channels and whether it is resources in the non-proprietary channel. So, you will see that coming in the trend line.

Mod erator: Thank you. The next question is from the line of Dhaval from DSP. Please go ahead.

Dhaval Gada : Prashant, for benefit of all and if you could just repeat the transaction with Sumitomo as well as the residual stake with Axis Bank, what's the timeline and in your interpretation at what price the deal is likely to go through? So, your version of it that would be very useful. Thanks.

Prashant Tripathy : Yes, while we said we're not going to take questions, but Dhaval I'll definitely try to give the best shot. We are hoping that after this order which has come from IRDAI several reports actually suggested that now we will

move ahead and perhaps approval would be forthcoming on the MSI transaction which was filed about a year -ago. So, I'm very hopeful that over the next few weeks we should have the approval for the MSI transaction which will be between Max Financial Services and MSI and that will clean -up the overall structure at the operating company level. Subsequent to that we will file for approval for the balance 7% for Axis Bank. And we are hopeful that we will secure the approval like we secured last time that is our belief and we will keep you updated as we go along through the process.

Dhaval Gada : Prashant, any clarity on that pricing of it. I think that there is a lot of debate around it. Anything that you could say - will it be at the same price at which you had agreed previously in both the cases in your version is there any change that is likely?

Prashant Tripathy : I can speak on behalf of the shareholders on Axis Bank as well as Max Financial

Services. We are quite committed to moving ahead with the transaction, with the methodology that was followed earlier and that's the approach that we'll take.

Dhaval Gada : Okay. And just last point, is there a probability which is reasonably high that some of these steps could get delayed beyond this financial year or you're very hopeful of committing -- completing these steps in the current financial year?

Prashant Tripathy : We're sitting in October actually and I'm very hopeful that the first part of the transaction which is MSI transaction must happen in this financial year. On the second part even last time it took longer. So, it is very hard actually to commit that it will happen this financial year, but it is highly likely that will make the application this financial year.

Dhaval Gada : Got it. Thanks, Prashant. Just one last data keeping question, if you could just split the Bancassurance AP E for the first half, the INR1,411 crore between Axis and other banks and similar like-to-like number for the INR15 18 crore of last financial year, just trying to see the performance between Axis and other banks that would be useful. Thanks.

Amrit Singh : Individual partner level details, we are refraining from sharing going forward. However, with respect to the de-growth that you have seen, it's similar actually and largely because of the reason that open architecture scale-up is very similar in its timing for us across both the partners.

Moderator: Thank you. The next question is from the line of Neeraj Toshniwal from UBS India. Please go ahead.

Neeraj Toshniwal : Wanted to understand -- as you mentioned that there has been some improvement in margin in product category, but are we seeing some change in the margin in the first quarter to second quarter especially for retail protection given I think there have been some pricing revision which is happened?

Amrit Singh : So, this is quarter one to quarter two you are asking or quarter two to quarter three, which quarter...

Neeraj Toshniwal : Last quarter to this quarter, because I think we have taken some price cut in retail protection.

Amrit Singh : No, no, so Neeraj you would have historically seen Max Life, because our methodology of expense allocation is on actual basis of whatever gets spend and typically quarter one is lower on sales volume and quarter two is higher on sales volume and consequently the residual quarters also. There is always this historical improvement that happens. So, it's not coming out of any specific changes that are happening in the mar

gin profile of the product or the pricing of the product. I mean, obviously, we will tactically keep changing our IRRs etc. for the non-participating designing products, but over the quarters the reason largely on the expense space and the methodology that we follow and the end product mix obviously product mix quarter two product mix is very different than quarter one.

Neeraj Toshniwal : And for retail protection specifically I think some competition has also reduced prices, so does it impact in growth going ahead or it will come at a lower margin so that is what I want to understand.

Amrit Singh : Price movements in the industry is part of now a very active way of how we strategically manage your portfolio, and we will take certain calls. But now there are much finer nuances actually, various cuts of pricing, various ages and all of those comes into picture, but nothing in the horizon between quarter one and quarter two the margins are remained fairly stable.

Neeraj Toshniwal : Got it. Any decision of in terms of pricing for product level driven through the competition on the Axis Bank channel because the competition has been quite active in terms of IRR offering with lower protection pricing, is it impacting anything ?

Amrit Singh : We share and talk about counter share at an aggregate level but there are finer nuances to it, specifically you pointed out that our competitor has a lower pricing on protection than us. But contrary to your assumption that our counter share should have been lower, but in fact our counter share is much higher than the average counter share of the 70% that we

spoke of on protection design specifically.

Neeraj Toshniwal : Right. So, the sustainability is what I was actually pointing out to so.

Amrit Singh : So our counter share on protection being sold in that channel is higher despite the fact that our pricing is higher.

Neeraj Toshniwal : Got it.

Amrit Singh : So, any other element of execution, the trust in the brand and the claims paid ratio position that we hold and how that manifests in the minds of consumers and then the entire experience process of undergoing a term buying journey.

Neeraj Toshniwal : Sure. And one more question on the non -PAR, the new product we have launched, so with expected rise in fixed deposit rates, how actually will this typically short -term saving product will have an impact or will both will have a continued demand, because of the channels you're targeting is online here rather than Banca and I think the 100% growth which you talked about is largely online and 35% online growth how do we split between savings and protection that is one and the future growth outlook on that.

Amrit Singh : Your question is that if FD rate changes that are undergoing what is the implication on this digital FD product that we have launched.

Neeraj Toshniwal : Right, that is one. And the growth rates for both the online protection, online savings.

Amrit Singh : Okay. So, on the first one, look FDs are as an individual investor you are exposed to the tax element of it and that way our offering will always remain to superior tax adjusted. So there is that advantage that we will continue to have with us. So, even if the rates move -up for FD, but still tax adjusted our rates will continue to be superior is how we actually see it sitting inside. On the questions around where is the growth coming from, whether there is a protection growth in online and savings, the question. Protection, actually, overall, m

inus 5%, but for online channel it is flattish. So, it's kind of remain as you know de - growth. It's around 0% growth. So, the bulk of the growth in online has come from the savings entry that we have done as a conscious play which we decided last year.

Neeraj Toshniwal : Okay, and that number would be if you could quantify.

Amrit Singh : So, the ratio now would be more in the 70% protection, 30% saving.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe : Thanks for taking my question. Just one from my side. Do we have a sense in terms of the growth rate by Axis Bank in the first half? I'm not saying for Max, but for the overall bank. I believe last year you had mentioned a number of closure to 25% for the entire year.

Amrit Singh : So, it, Nischint, I think the question you're asking on Axis Bank overall growth. In our estimation it is single -digit, a bit lower than the double -digit number, so more in the ranges of 7% to 9% kind of numbers.

Nischint Chawathe : I believe it was around 25% last year is what you have guided. So, anything that you are hearing from Axis as to why is it weak, what is the data that you quantify.

Amrit Singh : It's not just Axis specifically. I think when Prashant spoke about in his opening remarks that across the banks there has been a slowdown with respect to and the focus towards life insurance space largely because of as the focus towards deposit has increased. Has this happened in the past? Yes, it has happened in the past, but over a longer horizon CAGRs if you try to see, these growth rates are still upwards of 25%, 30%. And I'm talking about two year, three year, four year, any view that you'll try to put.

Nischint Chawathe : So, my sense is I think what I'm picking -up is that in the near -term it sort of remains a little volatile and kind of nowhere comparable to the 25% that we did last year.

Amrit Singh : Nischint, what did you say the last line.

Nischint Chawathe : No, sorry. The point I'm trying to say is that over the next couple of months or in the near-term, I mean in all probably it remains sort of a little weak and nowhere comparable to the 25%-ish kind of what we reported last year.

Prashant Tripathy : Yes. I think, Nischint, this is Prashant, I think it will be the broader bank ecosystem in terms of their ability or their focus on selling life insurance. I think credit to picking up and that has really propelled the need to have more and more liabilities which is the trend that we're seeing. And in view of that maybe for some time we can see that to have some bigger impact on life insurance space, however, with our bank partners we are doing a variety of things collectively starting from new products to incentive changes to RNR etc. to propel the growth of life insurance.

Moderator : Thank you. Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to the management for closing comments.

Amrit Singh : Thank you. Thank you ladies and gentlemen for being on the Max Financial earnings call. We look forward to more such interaction in future and I wish each one of you happy and a prosperous Diwali in advance. Thank you and have a good day.

Moderator: Thank you. On behalf of Max Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: Feb 2023

February 7, 2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL
Dear Sir/Madam,

Sub: Regulation 30: Transcript of Investors & Analysts Conference Call
Dear Sir/Madam,

Transcript of Investors & Analysts Conference Call held on January 31, 2023 post declaration of un-audited Financial Results of the Company for the quarter and nine months ended December 31, 2022 is enclosed.

The same is also being uploaded on website of the Company at
<https://www.maxfinancialservices.com/wp-content/uploads/2023/02/MFSL-Earnings-call-Transcript-Q3FY23.pdf>
You are requested to take the above on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

V. Krishnan
Company Secretary & Compliance Officer

Encl: As above

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"Max Financial Services Limited
Q3 FY '23 Earnings Conference Call"
January 31, 2023

MANAGEMENT : MR. AMRIT SINGH – CHIEF FINANCIAL OFFICER –
MAX FINANCIAL SERVICES LIMITED , MAX LIFE
INSURANCE COMPANY LIMITED
MR. PRASHANT TRIPATHY – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – MAX LIFE
INSURANCE

Max Financial Services Limited
January 31, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to Max Financial Services Limited Q3 FY '23 Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amrit Singh, Chief Financial Officer, Max Financial Services Limited and Max Life Insurance Company Limited. Thank you, and over to you, sir.

Amrit Singh: Thank you. Good evening everyone and welcome to the earnings call of Max Financial Services for the quarter ended December '22. Results have been made available on our website as well as on the stock exchange. I'm joined by Prashant Tripathy, MD and CEO of Max Life Insurance, request Prashant to share key developments of the last quarter.

Prashant Tripathy: Good evening, everyone.

Transaction Update

Respect to sale of up to 20% of equity share capital of Max Life to Axis Bank and its subsidiaries. Our plan included a series of steps to be taken to and the second last step of Max Financial Services acquiring balance 5.17% of Max Life Insurance stake from MSI has been concluded.

Post this transaction, M FSL holding in MLI stands at 87%.

Now as the next and last step, Axis and its subsidiaries have a right to acquire additional 7% stake in Max Life Insurance. In this regard, we would like to inform you that the parties had entered into revised agreements, in terms of which Axis Bank and its subsidiaries have the right to purchase the balance 7% equity stake of Max Life from the company at fair market value using discounted cash flow method instead of valuation as per rule 11UA of the income tax rules 1962. This revision has been done consequent to the guidance received by Max Life from IRDAI.

1. Predictable & Sustainable growth by building distribution:

In Q2, we had announced a series of tie-ups with new distribution partners, and we continue to successfully navigate the trajectory of enhancing our distribution capability in this quarter as well.

In Q3, we have tied up with Ujjivan Small Finance Bank and have entered into a relationship with two new brokers from renowned financial services group. The contribution of business from these partners will become meaningful in coming years, and thus, we are hopeful and confident of projecting a sustainable growth for Max Life.

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In first 9 M, our total new business premium grew by 7% to INR 5,640 crores. Our proprietary channel APE resulted in a growth of 19% for the first 9 months, led by strong growth in both online and offline crop channels. Within online channels, we grew by 26%.

In Protection category, we entered into new segments of NRI, homemakers and self-employed customers, which now contribute about 20% of term business on a run rate basis and has strengthened our leadership position in protection market, both on our website and partner channels.

Online savings market, we launched an industry-first short-term savings product with best-in-class returns to fuel our ambitions of becoming leaders in this market. This led to about 100% growth in savings run rate and enabled us to grow online savings portfolio by 4x year-on-year in the first 9 months of FY '23.

Offline channels, we saw a growth of 18% in the first 9 M, supported by growth in agency and direct channels. Within core agency, we have launched a program called, Way of Working (WoW) with our consulting partner and we are trying to build discipline on input vectors. We

witnessed 38% year-on-year improvement in recruitment and 21% improvement in new agents performance in Q3. Our direct customer acquisition channels also witnessed improvement in frontline seller productivity of 17% and headcount growth of 11%.

Banca channel grew by ~9% in the 9 M FY '23 due to full-blown impact of open architecture and overall general slowdown observed in banking channels. The base impact of counter share is now almost ended and we expect growth to come back in Q4, in line with the overall growth in bank channels. Max Life share in Axis Bank is being maintained at close to 70% since January of 2022.

2. Product Innovation to drive margins:

Max Life has successfully created a new product category in online savings, homemaker segment, NRI, self-employed and has accelerated product innovation agenda.

Product mix in 9M FY '23 is PAR 16%, non-PAR at 45%, ULIP at 32% and protection 7% on individual APE basis. In Q3, Max Life launched a new non-PAR offering named Smart Wealth Advantage Guarantee, which is also called SWAG, with first to industry features, giving the customer flexibility to collect customized paying terms, policy term, income start date and income period, etc. The product received a stellar response across all distribution channels. It became the most successful product in Max Life history as it was fastest to scale up to about

INR 300 crores. This non-PAR offering supported in navigating our margins and VNB growth outlook for the year. However, because this new product launch, you will also notice that mix of non -PAR within our product portfolio is artificially higher for the quarter.

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We launched 2 new protection plans in Q2, focusing on self-employed individuals, which continue to help us make further inroads into protection business. Our confidence in this category is further instilled post our recently concluded India Protection Quotient 5.0 survey conducted in association with Kantar. In a positive, urban India has made huge strides with 5 percentage point increase in knowledge index over the last 5 years. However, term insurance ownership remains to be at only 30% signifying existence of a very wide opportunity for protection business.

In line with our strategy to focus on retirement business, we have strengthened our current annuity offering flexibility of premium payment terms as well as extended entry ages to broad base new customers. Our annuity business has grown substantially by more than 300% in 9M FY'23 as we advance on our trajectory of increasing penetration in this segment. Max Life Pension Fund Management has now received point of purchase (POP license), which will further accentuate the growth of retirement business.

3. Customer obsession across the value chain :

At Max Life, remain committed to provide a significant value proposition to our customers and continuously work towards enhancing their overall experience. We measure our performance on customer experience through a globally established metric, Net Promoter Score. During the first 9M FY'23, we witnessed an improvement 3 points from 49 in March '22 to 52 in December '22 in the overall company NPS score.

Max Life continues to be the market leader on 13th month persistency in terms of number of policies. In terms of premium 13-month persistency of regular limited paid premium was 83% and 61st month persistency at 51% for the period ending December '22.

Max Life also bagged best customer initiative and Best Use of Relationship marketing at the Customer Fest Award 2022.

4. Digitization for efficiency and intelligence:

Max Life has been making significant investments in c

loud in the quest of becoming a truly digital enterprise we have migrated 54% of our entire infrastructure on cloud now.

We have strengthened our underwriting capability further with the launch of AI-backed smart gUWern solution. It is an underwriting decision anomaly identification suite to enhance decision accuracy. gUWern is integrated to Dolphin, which is our policy issuance and underwriting workflow to provide real-time anomaly in underwriting decision-making and prompts the underwriter to take corrective actions before submitting case decision.

We are continuously digitizing the sales force to improve productivity and better the governance. To enable better activity traction and conversion we have launched mSmart - sales management and activity monitoring tool across all channels.

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Customer servicing has been a special focus area for the company and our work on - Digitization of POS processes has led to increase in straight-through process from 37% to 51%. Automation or advanced pay outs for traditional policyholders has led to improvement in TAT from 7 days to 1 day and website revamp with new age homepage leading to reduced bounce rate by 19% and improved S2L by 15%.

Our digital capability has stood the testimony of agility in integration of technology and new partners as we are able to onboard new brokers and Banca partners in record time.

Overall, from a margin perspective, this quarter has been pretty satisfying. There are some issues with respect to our new premium growth, but I'm very hopeful that as the impact of open architecture settles and the momentum at our banks reverses, we will be able to be back on the growth trajectory as far as new premium is concerned. With the optimism for Q4, I'm going to hand it over to Amrit Singh to talk about some of the numbers.

Amrit Singh: Moving on to some key financial metrics.

- Consolidated revenue excluding investment income stands at INR 15,890 crores, a growth of 12% in the first 9 months FY '23. Consolidated PAT is at INR 399 crores, up 129%
- Renewal premium grew by 16% to INR 10,548 crores for Max Life Insurance. Gross premium grew by 12% to INR 16,188 crores.
- The value of new business written over 9M FY'23 stands at INR 1,179 crores versus INR 942 crores last year, representing a growth of approximately 25%. New business margins have improved from 25.1% to 31.8% for the period 9M FY'23. For Q3, VNB stands at INR 593 crores, which is an increase of 49% over previous quarter last year.
- Embedded value for 31st December 2022 is at INR 15,547 crores, which implies an operating return on EV on an annualized basis of 19.5%.
- Policyholder opex continues to improve to 14.3% from 15.1% year-on-year.
- The 9M FY'23 profit before tax for Max Life is INR 438 crores, an improvement of 66% and profit after tax of Max Life is INR 376 crores.
- Max Life's solvency ratio stands at 200%, and overall AUM as on 31st December '22 is at approximately INR 1.18 lakh cr, a growth of 16%.

We continue to remain committed to our focus on inspiring people to increase value of their lives and are working across all areas of business to make this happen. We are happy to now take any questions that you may have, and I will hand over to the moderator to open the floor for questions.

Moderator: We have a question from the line of Adarsh from CLSA.

Adarsh: First question on the Axis transaction that you all have repriced. Just wanted to understand, Prashant, is the first 13% done deal or is there any scope where that can get revised as well? And

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number two, if the pricing has changed from an

Axis Bank perspective and given that the regulator wants to provide more flexibility around commission structures, would that involve some giveaway in terms of payouts over the medium term?

Prashant Tripathy: So, let me first give you the answer around 13%. 13% is already done and it's gone through, the balance 7% has to happen. It is proposed as per the guidance from regulator that we should be pricing 7% on a discounted cash flow basis. Axis Bank has agreed to do that and is desirous for long term perspective because they believe that Maxlife is a great investment and it is their own entity that they would like to remain invested over a long period of time. So the methodology is going to get changed.

In terms of commission guidelines etcetera, it's quite conjecture at this point in time because no commission guideline has changed. At this point in time, as it stands, Axis Bank wants to make investment in Max Life to acquire balance 7% at fair market value.

Adarsh: Got it. Prashant, we can't quantify the change in cash flows for them? Or would it be possible for you to talk about it?

Prashant Tripathy: No, currently no such discussion has taken place. At the time when they're ready to acquire we'll go ahead and do the discounted cash flow valuation. They will acquire the 7% on that price.

Adarsh: Perfect. Prashant, you did mention that the wallet share has now stabilized at 70%. Just wanted to understand in terms of the way one would look forward on this number, what do you need to do to remain at 70%? Do you see a scope to get back to 80%, if you do something better at their counters? Or this should be the wallet share, one should expect is a more sustainable number? What's the risk to that?

Prashant Tripathy: I would say you should expect that around 70% plus/minus 2-3%. Otherwise, it doesn't look like that we will go back to 80%. So the share will be near about 70%.

Adarsh: And last question is obviously on the non-PAR - launches for products, mix and the margins change in the quarter. What you think is a sustainable mix, do you want to keep a particular mix or if there are sales on a particular product over a period of time would you take non-PAR higher even if not at this quarter level?

Just wanted to understand non-PAR sales across the system has been going up and the threshold various management have said is 30% and the number keeps going up. So just wanted to understand, not only for this quarter, but over a medium term, is there any target mix? Or you just sell what is selling in the market, what customer wants?

Prashant Tripathy: We have desire to keep the non-par mix in the range of 35% to 40%, that's our stated position. So I will say, around 40% is what will be our estimate over a medium-term basis and if we benchmark our sales mix with some of the other players we appear to be in the same range. I

think our risk appetite will allow us. If we need to hold more capital for that and look at our solvency ratio, we will be open to that.

What you see for this quarter is really an impact of a product launch and it happens quite often that when you launch your product in the quarter the mix goes up. It has happened in past with ULIPs. Generally, the new product take-up is very high across distribution channels and hence the impact that you see of higher non-PAR and a consequent higher margin is something that will get reversed.

When we look at next year or maybe a couple of quarters down the line we do anticipate that our non-PAR mix will fall back to near about to 40% and we will rebalance it with more diversion towards participating and ULIP.

Adarsh: So from a trajectory of VNB margins, it should be a smoother curve if you take 2 to 3 years. So, any guidance that you all want to give on your product mix with a steadier margin trajectory

that

you would aim for over the next couple of years?

Prashant Tripathy: Yes. I think the range will be between 27% -28%. I would highlight to you that the life insurance industry is growing and hence, there will be a bias towards making investments and increasing the investments towards building more distribution channels.

So over a short period of time if we were to compromise a little bit of margin to achieve higher growth via build-up of offline distribution channel, our own proprietary distribution channel.

The company will have a bias to do that.

Moderator: We have our next question from the line of Swarnabha Mukherjee from Bativala & Karani Securities.

Swarnabh Mukherjee: Congrats for a good set of numbers. So first question, again, on the margins. So thank you for that range 27 - 28%. But if I try to delineate this 39% margin this quarter. So just wanted to understand, how to think about the margin for the new product? Is it significantly higher than the blended level that we are seeing right now because of which we have landed up to this? Or is there any one-off maybe more in terms of say nonoperating kind of numbers and interest rate movement or something like that, that is also behind this margin trajectory going up so significantly this quarter. So that would be the first question.

And the second would be in terms of what you are seeing. The month of January is now gone.

So how have you seen the momentum at the banks you have alluded to that the future growth will depend on how the overall savings growth in the banking channel is. So in Axis, what is the trend that you are seeing in terms of insurance sales vis-à-vis deposits, how many they're focusing on deposits, if you can give some colour?

Amrit Singh: So, on your question on product mix and margin, it's a result of higher than expected non-PAR mix, which is causing the overall margin to be high for this quarter. As you know, we generally

target anywhere between 35% to 40% non-PAR as against that, our non-PAR mix actually increased upwards of 55%.

Again, I will repeat that it is tactical and we will rebalance that going forward. It is the result of a new product launch which has been fairly successful. And we find that when a new product launch happens for a couple of quarters, there could be a bias towards selling or picking up that new product. And hence, the 39% that you see is artificially high this quarter. And hopefully, as we move forward it will get rebalanced. So, 39% is not a sustainable number going forward.

On bank, I think suffice is to say that bank has been a big vector for growth for Max Life Insurance over the last 12 years. And there will be periods where the bank will prioritize their core banking related subjects which is what has happened over the last few quarters. We're very optimistic that as we move into FY 23-24, so that will get rebalanced. And with open architecture or the deep impact of open architecture behind us, we are very hopeful that growth will start to come back.

As we go through our business planning process which is an exercise done between us and the bank leadership team, we will discuss some of those things and when our planning period is complete I'll be in a better position to give you any guidance.

Swarnabh Mukherjee: And just a follow-up on this margin again. The new product which has come, is the margin profile significantly different from the earlier smart wealth non-PAR plan? And what would be the mix of these 2 products on a sustainable basis going ahead?

Amrit Singh: So Swarnabh, as we've been highlighting over calls there are many levers within the non-PAR designs that can be leveraged upon which is a mix of the PPT variants, endowment, income and elements around. So, we have used some of those mix and levers to improve upon the

margin

profile. Needless to say, we have held on to the margin profile and there is no deterioration in the margin profile and as Prashant spoke about it is coming out of the mix, which is driving the margins of the quarter.

Swarnabh Mukherjee: In terms of individual protection, we have seen some growth in this category in this quarter. So what is driving that, is it largely pure term or ROP, how that mix has been? Some comments on that would be very helpful.

Amrit Singh: Yes. I think the ROP element of it has been very static for us over the quarters. We have been around 15% in our mix as ROP for a couple of quarters. And that actually is a reduction over last year period. So that's not necessarily the shift. And I won't say it healthy, it's still flattish is how I will see it. There are much more opportunities. And as Prashant spoke in his opening remark that we conducted survey which we do over many cities and many customers continue to give us that belief of saying that there is huge under penetration in protection.

And as time is progressing both elements of demand and supply are actually improving upon and that we continue to be very optimistic on this long-term opportunity in protection.

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Moderator: We have our next question from the line of Sahej Mittal from HDFC Securities.

Sahej Mittal: You stated that VNB margins have been better on account of better profitability even within products, right? So, if you can just give us some colour around which all are these products where we are seeing improved margins excluding the mix change? Second is on the agency side. So how should we look at the benefits which will flow from new initiatives which we have taken on the agency side?

And do you anticipate any risk flowing in from the new regulation which is allowing 9 partners to be impanelled with a single bank. So even earlier when BALIC was impanelled with Axis Bank we saw Max Life's wallet share dropping at Axis Bank. So is there a possibility, how are we looking at it?

Amrit Singh: I'll take the first question, and I'll request to Prashant to come in for the remaining two questions that you've asked, Sahej. I think on margins the reality is that all our underlying products there are some marginal improvements in the margin. For example, our participating design margin profiles are better. This is largely because of the product that we had launched last financial year, which is now running through in the full year. So there is that positive lift coming in that margin profile.

Our non-PAR design, because of all the various factors that we put in place is demonstrating a better profile. Protection because of repricing that we have done has holding or slightly better margin profiles. So these are some reasons but the dominant reason for margins to improve is actually a mix as an answer.

Prashant Tripathy: On your other two questions. First question on the agency. Max Life Insurance has a core belief in agency and in the first decade of our existence we were an agency-led player and historically we have been known for higher than industry productivity and we have run a fairly successful agency modelling part.

As we move forward, the desire is to expand agency and increase the productivity as well as make investments in creating more units of agency and we are quite committed to doing that. We embarked a couple of quarters ago on a long-term program with one of the renowned consulting partners to work for 3 years to grow agency and hence, as the outlook agency please expect that the fruits of that program will start to appear.

It is very hard for me to give you a number but one would be desirous to have a very strong growth from agency coming forward. So, the guidance from the shareholders and board is to make investment in agency and that

is what we are going to over next few quarters.

On your question on counter share and 3 to 9, I think we should see this as more opportunity than risk. We are signing up with new banks, with Axis Bank becoming our promoters and they are telling you what you should expect in terms of counter share. I am not anticipating that there will be big depletion of the counter share at Axis Bank. We are working very closely with other

bank partners to protect our counter share on those stocks. At the same time it is an opportunity that has opened from our perspective to acquire also we are very aggressively working on our business development efforts to partner with as many banks as possible. So, my guidance with respect to this is that I don't anticipate significant risk from 3 to 9 and those things should remain stable.

Sahej Mittal: And lastly, what would be the proportion of sales personnel deployed in Axis Bank branches between Max and our counterpart? And the second is, how should we look at segment-wise growth for the next two years? Maybe if you can give us some sense around non-PAR or a retail protection given that we are seeing some recovery in the retail protection as well?

Prashant Tripathy : Yes. In terms of people deployed we are currently at about 60:40 and we intend to improve that. We have committed to make more investments. We are also making investment in the alternate channels of Axis Bank, where our team is being built. So, from an investment perspective and deployment perspective, we will always double down in terms of our resources which are deployed in Axis Bank.

With respect to your question on where the growth will come, despite not huge growth in protection as a company we are quite committed to protection as a category and as the outlook we definitely feel that growth will come our way. We have been working quite meticulously and looking out at our process, looking at issuance, looking at underwriting, looking at our relationship with our reinsurance partners, new product categories, new segments and all that hopefully will come together for us to deliver good growth in Protection segment. Both protection and retirement are strategic to us and we will make all strides to deliver good growth in those two areas.

Very hard for me to give you growth rates by par, non-PAR, UL, etcetera, at this point of time, predominantly because of the rebalance that will take place and that will be quite artificial. So we look at growth at a total level. And then within that we try to optimize our margins and that will be the strategy we will continue to follow.

Sahej Mittal: And any plans to increase this to 60:40 proportion?

Prashant Tripathy : It will be on the base of discussion. But yes, there is a plan to increase.

Moderator: We have a next question from the line of Neeraj Toshniwal from UBS India.

Neeraj Toshniwal: First question is on protection. Peers have reported a decent sequential growth. So far we have been quite steady. So, any new trends you're picking up or the conversations with reinsurers which might be sounding more positive given some of your player has kind of mentioned that. So what are trends where we can keep prediction moving from this trajectory in FY '24, particularly?

Amrit Singh: So some of those discussions are going Neeraj and hence it will be hard for me to give you the detail but at this point in time I can only share my optimism with respect to potential growth.

Neeraj Toshniwal: Sir, any relaxations you can see from this reinsurance happening?

Prashant Tripathy : Yes. I mean there's generally a balance that one needs to strike between price relaxation, underwriting grid, etcetera and we need to hit the sweet spot which is what we are trying to do.

Neeraj Toshniwal: And in terms of non -PAR saving, obviously, we have been phenomenally well here, but I wanted to know the trajectory, as you mentioned, 35% to 40% that includes annuity also, right? I mean, the kind of mix we are targeting? And where are we in terms of annuity right now, if you can give in terms of absolute numbers will be more comparable?

Prashant Tripathy : Non-PAR, which is the savings part is going to be between 35% to 40% and plus annuities of about 6% over and above it.

Amrit Singh: Appx 6% of our individual APE is annuity which on AF YP basis is around INR 950 crores of annuity.

Neeraj Toshniwal: How much of this non -PAR savings would have come from online because I think you mentioned we have seen phenomenal growth in online. So if you can give that number?

Amrit Singh: Annuity growth is coming mostly from our off line channels.

Neeraj Toshniwal: Not, annuity, non -PAR savings or the new products. Has it been only agency driven or online as

well?

Amrit Singh : Neeraj, there are multiple new products. There is a product that we call as smart fixed return product which largely is an online product and then we also have a smart wealth advantage guarantee product (SWAG) which is an offline product. All the growth that we spoke of there is a large acceptance of these SWAG products in our off line channel.

The online channel also has leveraged smart FD product , our premiums have grown quite robust on the savings side to drive that growth. But there are two different segments of products that we're talking about here.

Neeraj Toshniwal: Got it. And if I look at the last year Q4, the base was very strong in terms of non -PAR savings for the smart wealth product we did last year. So I want to think about the mix for this year?

Because right now looks like non -PAR savings is quite heavy. So you start correcting from Q4 itself or it will take a couple of quarters to reach a mix we target too?

Amrit Singh: It will take a couple of quarters . But the sharp number of quarter 3 that you saw there is always a waning off effect that will happen but quarter 4 will also be a bit higher on the non -participating side.

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Moderator: We have next question from the line of Avinash Singh from Emkay Global Financial Services.

Avinash Singh: Pretty strong set of numbers. Question one, I don't know if I missed it. Considering now is the process the new agreement with Axis Bank regarding this 7% stake acquisitions . Any sort of a time line in mind and considering that now whatever amount, but the cash outgo for Axis Bank increases will this 7% acquisition be likely happening in one go or maybe multiple tranche? .

Amrit Singh: So there is keen interest at Axis Bank to do it as fast as possible but there are certain internal process that they are working towards. At this point in time it will be very difficult for us to indicate any timeline to you except for the fact that Axis as a shareholder there is a keen interest to do it as quickly as they can.

Moderator: We have a next question from the line of Madhukar Ladha from Nuvama.

Madhukar Ladha Can you clarify what you mentioned on the non -PAR mix that you want? I think you first mentioned that you would target about 40% in the mix and that will include annuity and then was there some revision to it?

Amrit Singh: Yes. So Prashant mentioned 35% to 40% is our non -PAR, which actually in our mind doesn't include the annuity business. Annuity businesses in incremental retirement proposition which we will keep building.

Madhukar Ladha: Okay. So 35% to 40% is excluding annuity, so then there will be plus annuity in addition to it. Second, you mentioned in the PPT that, the VNB margin also improved because of lower new business strain. I wanted to understand and that's

quite visible as well in the disclosure and

especially if you look at Q3 then the total APE has declined by about 5% year -over-year, but we see a very sharp reduction in new business strain. And this probably has something to do with channel mix. Can you like sort of give us some explanation as to how this is happening?

Amrit Singh: I am unable to relate to your comment that you're saying which part of the slide are you referring where we have mentioned VNB margin and new business strain to come together?

Madhukar Ladha : So if you look at your...

Amrit Singh: Madhukar, margin improvement is a mix play.

Madhukar Ladha: So achieved new business margin. No, I understand that, but I think there was also some on another slide.

Amrit Singh: But we saw profit. I think if you're asking profit profile as the business growth has been lower. So there is a lower business strain .

Madhukar Ladha : But if you look at the business growth, that it seems that the new business strain reduction is much larger than the decline in new business, right, decline in APE. So there seems to be some

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channels, some product where we are paying lower commissions or there is some advantage of this.

Amrit Singh: Yes. Actually, Madhukar, maybe we should speak offline because I'm unable to understand the question that you're asking in which specific area that you're pointing because there is no

reduction in commission or anything like that. It's a fairly product mix channel kind of a play which is supporting it. Maybe I'll understand it a bit better from you but I'm unable to understand the question at this point in time.

Moderator: We have our next question from the line of Prateek Poddar from Nippon India Mutual Fund.

Prateek Poddar: A couple of questions. One is, when I see your distribution mix. Proprietary channels seems to have done much better versus banca. I would have thought a part of this would have played into the margins but the margin is only a function of product mix as you've explained. So am I missing something here?

Amrit Singh: It's largely pretty coming out of non -PAR because this product has also got picked up by our bank partners as well. So even though the sales volumes are lower but because the overall non -PAR is higher it is actually supporting the margin profile.

Prateek Poddar: And second, sir, I was a bit surprised when you said that you would maintain market share at 70%. Our understanding was that when we lost a bit of market share in the Axis channel we had ramped up the number of employees in that channel so as to get back or at least gain a bit of market share. And with the base now coming into effect I would have thought that you would start gaining market share, right? So why are we saying that we would d...

Prashant Tripathy: I think the market share was going down. In the Q2 it came below 70%. So that investment was needed. You need to understand that when a new player comes on board as the people deployed become more and more mature, the productivity of those resources become better. So the threat actually over next 18 months with an open architecture competitor is higher and one is to deploy more resources to counter that. Very happy with the fact that we have been able to maintain the counter share at 70% level. And going forward, there will be attempt made to keep it at that level.

Prateek Poddar: So, Prashant, but as your new manpower deployed becomes more mature you will claw back market share, right, isn't it?

Prashant Tripathy: I think you have to look at perhaps the industry on how it works. I think we have seen that the counter share and people deployment kind of go hand in hand. And with a 60 to 40 ratio, achieving a 70% target is quite credible and it talks about good execution on ground.

Prateek Poddar: And lastly, I don't know whether you guy

s can answer this question, but the promoter pledge, despite whatever selling has happened and the recent disclosures on the exchanges seem to suggest that the promoter pledge is not going down. How should I think about that?

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Prashant Tripathy: I think it will be a question that we should park outside of this meeting because part of that is I honestly don't know.

Moderator: We have our next question from the line of Varun Palacharla from Kotak Securities.

Varun Palacharla: Hi. I just wanted to ask a question regarding the new business strain. So if I look at the numbers for this quarter it is down like 38%, while APE was down 5%. Can you give any particular reason why this has happened?

Amrit Singh: Varun can you say this question again? Sorry, I didn't pick up the question.

Varun Palacharla: My question is on new business strain. It's down 38% this quarter, if I'm not wrong, while APE was down 5%. Is there any driver for this?

Amrit Singh: You're saying the strain for the quarter is down to 38%, whereas the APE was only down 5%. So, it would be a mix of the channel elements including some bit of improvement in the strain profile of our non -PAR designs as well the benefit of which we are getting from the new product that we have launched.

Moderator: We have our next question from the line of Sanketh Godha from Spark Capital.

Sanketh Godha: With respect to the margin, just wanted to understand that, other than the product mix whether there is any assumption change which has happened either with respect to persistency or CRNHR anything which has driven that margin expansion? Or it's similar what we have assumed in FY '22?

Amrit Singh: So assumption review process we have concluded our review process of assumptions for this financial year and in this particular quarter that has been accounted and tested for. There is no gain coming out of assumption change. Sanketh if your question is that we have done assumption on change which is creating an gain? Overall, the assumption changes have not changed the margin profiles materially. There have been certain pluses and minus but overall it has been neutral.

Sanketh Godha: Okay. Got it. One sec. And another question, I just wanted to understand, is that you said that we deployed more people relatively compared to the last year in bank, Axis Bank. But still, we have managed to control the cost ratios. Obviously, the cost ratio has improved compared to what it was last year. Sir, I just wanted to understand which way those low hanging fruits which

were available, where you have managed to cut the cost despite deploying more people and hiring more people?

Amrit Singh: So on distribution front we have continued to remain committed to our investment. In fact, the distribution opex levels has increased in line with how we had thought. It's some of the benefits on the non-distribution side, some variable sales element from overall sales being lower. Those are actually health and protection being lower where you know medical cost and stamp duties and some of those things are involved. These are some areas which are helping us overall.

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Sanketh Godha: And last one, the two questions I have. One is to understand if you can quantify the economic variance number for the 9 months? And second, is that annuity you said is 6% which is of total business. I believe the regular pay was launched in the current quarter. So any colour with respect to the mix in APE terms for regular and single pay if you can do? And finally, what is our dividend strategy going ahead? Given solvency at 200 how we will relook at our dividend payment strategy or till in the collapse of the structure that can happen probably we will not start paying dividend?

Amrit Singh:

So you have asked three questions, actually. One is the nonoperating variance, that largely that was around INR 657 crores for the 9 M period largely coming out of negative impact of interest rates.

Sanketh Godha: Okay. And Annuity APE mix, which you said 6% is individual APE?

Amrit Singh: Yes, it was on annuity APE mix. Of the 6% individual APE that I said, around 2% to 3% is single premium and 3% to 4% is regular premium.

Sanketh Godha: Okay. And dividend?

Amrit Singh: So on dividend, Max Life is not intending to give any dividends to Max Financial Services. We would like to retain the profit profiles. So as to continue supporting the growth aspiration.

Moderator: We have a next question from the line of Madhukar Ladha from Nuvama.

Madhukar Ladha: You mentioned that you would try and develop some alternate channels within Axis. I wanted to understand that statement better within Axis. Is there a thought process also to grow the credit protect business over there?

Prashant Tripathy: I think beyond our credit protect, as we look at branch banking, there are several other areas where we need to perhaps do a better job and they were not as focused on, which are as follows i.e. from the corporate banking group, where we believe that we could sell a lot of business insurance, which is where we are ramping up. The call centre, where the inbound and outbound calls are taking place, generating the leads and fulfilling them. Bharat banking is another area where we intend to work with the bank. They're also setting up a fulfilment centre or direct salesforce kind of team for selling to the customers who don't have any relationship managers.. There is a lot of work that we are doing on launching a D2C capability and products on Axis Bank counters.

When I refer to alternate channels, these are channels. These channels this year are expected to deliver anywhere between 200 to 250 Cr and we are hoping that with focus and attention, we should be able to grow it at significantly higher pace. So that's the objective.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Amrit Singh for closing comments. Over to you, sir.

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Amrit Singh: Thank you, ladies and gentlemen, for being so late on the Max Life's earnings call. We look forward to more interaction in the future. Thank you, and good night.

Moderator: Thank you. On behalf of Max Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2023

May 19, 2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL
Dear Sir/Madam,

Sub: Regulation 30: Transcript of Investors & Analysts Conference Call
Dear Sir/Madam,

Transcript of Investors & Analysts Conference Call held on May 15, 2023 post declaration of Audited Financial Results of the Company for the financial year ended March 31, 2023 is enclosed.

The same is also being uploaded on website of the Company at
<https://www.maxfinancialservices.com/wp-content/uploads/2023/05/MFSL-Earnings-Call-Transcript-Q4FY23-.pdf>

You are requested to take the above on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

V. Krishnan
Company Secretary & Compliance Officer

Encl: As above

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Max Financial Services Limited
Q4 FY '23 Earnings Conference Call
May 15, 2023

Moderator : Ladies and gentlemen, good day, and welcome to Max Financial Services Limited Q4 FY '23 Earnings Conference Call. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amrit Singh, Chief Financial Officer for Max Financial Services Limited and Max Life Insurance Company Limited. Thank you, and over to you, Mr. Singh.

Amrit Singh: Thank you. Good morning, everyone, and welcome to our earnings call for the quarter ended March 2023. Our results were made available on our website and as well on the Stock Exchange on Friday.

I'm joined by Prashant Tripathy, MD and CEO of Max Life Insurance. I will request Prashant to share the key developments of the last quarter and hand this call to Prashant.

Prashant Tripathy : Good morning, everybody. Thank you, Amrit. I'm pleased to welcome all of you to today's earnings call. I would like to provide you with an update on the performance of Max Life Insurance and our strategic initiatives that we discuss every quarter. Before I jump into the performance of last quarter and last year, I would like to give you some overview on how Max Life Insurance have performed over the last few years.

Max Life Insurance has consistently established a strong market presence since its inception. Upon reflecting on the last 5 years, we have achieved robust results across all aspects of our business. Our sales have grown at a CAGR of 13% surpassing the industry average growth of 10%. Our proprietary channels have experienced an impressive CAGR of 21%, while bancassurance has grown at 11%. Over the course of 5 years, we have tripled our retail protection businesses, while maintaining a leadership position in online protection. Furthermore, our assets under management have grown at a

strong CAGR of 19%, demonstrating our sound investment philosophy.

At Max Life, we believe in striking a balance between our sales performance and value creation resulting in consistently favourable financial outcomes. In the past 5 years, our operating embedded value has grown at a CAGR of 20% and the value of new business has grown at a CAGR of 24%. This emphasizes our commitment to delivering value to our stakeholders.

Our success is not only evident in our ability to effectively reach our customers, but also the trust they have placed in our company. This is exemplified by our claims paid ratio of 99.34% at the end of FY '22, which is the highest in the industry. Additionally, we assess our performance in terms of customer experience using the globally recognized NPS metric. Over the past 4 years, our company's NPS has

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improved by 17 points. The steady improvement in our brand consideration score further highlights the strength of our brand within the industry.

We have continuously pursued innovation and introduced pioneering business models. Our proprietary channels are prim

examples of our commitment to pushing boundaries and staying ahead of the curve. Moreover, our industry-leading product offerings has positioned us as a leader in the market with Axis Bank becoming our promotor, our partnership with them has further strengthened our distribution capability. Against this backdrop, let us now shift our focus to the significant developments we have witnessed in our key strategic areas over the last year.

1. Predictable and Sustainable growth by building distribution

Building on our legacy of consistent performance, we entered this fiscal year with ambitious goal and a strong determination to drive further growth. The new business premium witnessed a growth of 13% to reach INR8,960 crore for the year. The APE growth for both financial year and quarter 4 stood at 12% and 38%, respectively. This growth was primarily fuelled by our investments in various initiatives across proprietary channels, yielding positive outcomes with them experiencing a strong annual growth of 43% and quarter 4 growth of 90%.

Online Sales : We have maintained our leadership position in the online market for protection and have successfully expanded the savings business this year. As a result, our online business has witnessed a strong growth of 44% in FY '23. Also, our online savings portfolio has grown exponentially, increasing 5 times over FY '22.

Offline: The offline proprietary have displayed strong growth of 43% encompassing both agency and direct channels. We introduced simplified and competitive value propositions during the year to structurally enhance the performance of our advisers. This initiative has yielded fruitful outcomes, evident in the growth of our top advisors by 50% year-on-year and advisor activation increasing by 10%.

Direct channels : Our direct channel have exhibited a noteworthy growth 36% year-on-year. This growth can be attributed to manpower additions, along with improvement in activation and productivity through strengthened governance and the implementation of new business models.

Our bank channels APE have declined by 2 % for the full year. However, in quarter 4, banks demonstrated a growth of 13%, showing signs of revival. It gives me immense satisfaction to see that despite the challenges posed by the open architecture model for the year. We have demonstrated our execution prowess by maintaining our counter share in the bancassurance channel over a 15-month period in Axis Bank at around 70%. Now that open architecture is already settled, we expect that our growth will be consistent with the growth of the bank itself.

Our investment philosophy continues to bolster our distribution as we open up alternate verticals to reach wider customer base in banks. Additionally, we made strategic investments in proprietary

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channels establishing 50 new offices to enhance our presence. Furthermore, we are striking new partnerships with banks and brokers.

I would like to announce that we have entered into two new distribution partnerships with -- DCB and Capital Small Finance Bank since our last update. With this, we have signed up 4 banks, which are DCB, Tamilnad Mercantile Bank, Ujjivan and Capital Small Finance Bank and 6 brokers in FY '23.

Overall, these achievements highlight our commitment to driving growth across different channels and reinforcing our position in the market.

2. Product innovation to drive margins :

One of our focus areas at Max Life Insurance is to continually innovate the value proposition of our product offerings to our customers. Throughout the year, we successfully navigated the heightened competitive intensity by introducing new products and variants and expanding into new categories. This resulted in an expansion on Y-o-Y new business margins from 27.4% in FY '22 to 31.2% in FY '23 and 28% growth in value of new business.

We launched a range of products a

cross various categories during the year. Our new non-participating savings product, Smart Wealth Advantage Guarantee (SWAG), achieved a significant milestone by scaling INR1,000 crores in sales in shortest time ever. Additionally, we introduced the "Smart Fixed Return Digital" online savings product, which improved our online sales penetration and contributed

to a notable growth in online saving sales.

On the individual APE basis, our product mix for FY '23 consisted of 14% participating (PAR) products, 51% non-participating savings products, 29% Unit Linked Insurance Plans (ULIPs) and 6% protection in products. In Q4, our product mix was PAR 11%, non-PAR 60%, ULIPs 24% and protection 6%. The product mix in Q4 was skewed towards non-PAR due to the one-time impact of tax-related changes announced in the budget. However, we anticipate the product mix to normalize in the next fiscal year.

We maintained a strong belief in the long-term potential of protection and retirement opportunities. In Q4 FY '23, retail protection witnessed a sequential growth of 50%, as a result of our product intervention throughout the year. Our retirement business achieved a growth of approximately 300% on an APE basis in FY '23. We have enhanced our annuity offering by launching a new limited pay annuity variant and extending the early ages to attract new customers. Max Life Pension Fund Management commenced operations in the second half of the year and has garnered an asset under management of approximately INR143 crores, as of 31st March 2023.

3. Customer obsession across the value chain :

At Max Life Insurance, our unwavering commitment is to provide significant value propositions to our customers and continuously enhance their overall experience. Over the course of last 12 months for the period of FY '23, we observed an improvement of 3 points in our overall company and NPS scores, increasing from 49 in March 2022 to 52 in March 2023.

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We take immense pride in maintaining our position, as a market leader in terms of 13th-month persistency for the number of policies. This remarkable achievement underscores the trust and loyalty our policyholders have at Max Life. When it comes to premium persistency, our 13-month persistency rate for regular/limited pay premium stood at 84%, while the 61-month persistency rate reached 51% for the period ending March 2023.

Furthermore, Max Life Insurance was honoured with the prestigious rank of #2 in customer loyalty according to Hansa Research, which is external research. This recognition is a testament to the trust and satisfaction our customers place in us, highlighting our ability to foster enduring relationships with our policyholders.

4: Digitization for efficiency and intelligence :

I would like to share that during FY '23, we undertook numerous initiatives to transition into a fully digital organization and pioneer industry first digital process. To strengthen our sales force and ensure superior execution. We swiftly digitized sales governance and lead management processes. To enhance the onboarding experience. We harnessed the power of AI and automation, resulting in increased velocity measured through the paid to applied ratio. We introduced profile-based medical and pension grades, as well as KYC waivers for existing customers, enabling frictionless underwriting and instant issuance.

We also achieved greater ability in our new product development cycle, reducing new pricing changes to just 2 days, which earlier used to take more than 2 weeks. Additionally, our deep integration with Axis Bank and Yes Bank marketplace ensures a seamless experience for our bank partners with real-time policy status available for both banks and Max Life Insurance representatives. Leveraging AI, we implemented an underwriting governance AI model to maintain underwriting limits and uphold superior risk profile.

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In order to enhance customer service, we created a new unified platform to deliver a standardized online payment checkout experience across all customer journeys. This platform minimizes redirection during the payment processes, leading to an increase in overall payment success rate by about 7% for online actions. We revamped our customer service portal, ensuring a seamless customer experience and providing the same to our customer support. The introduction of QR codes for customer servicing has facilitated frictionless do-it-yourself digital transaction. By automating and digitizing point-of-sale processes, we have increased straight through processing rates.

Continuing our focus on agility, cost efficiency and scalability, we transformed our IT infrastructure to cloud native apps and services. Currently about 56% of our entire IT infrastructure operates on the cloud, which is 10% more than last year, enabling us to achieve greater flexibility and scalability. These initiatives highlight our commitment to embracing digital transformation and leveraging cutting-edge technologies to deliver enhanced experiences to our customers, while improving operational efficiency.

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Lastly, we are excited to mention about some of the key notable recognitions, which Max Life Insurance received through the year. Max Life was recognized, as one of the best BFSI brands by Economic Times in FY '23. Max Life also earned recognition for Excellence in Financial Reporting by Institute of Chartered Accountants for its annual report and was also awarded the Celent Model Insurance Award for 2023 for its digital initiatives in data analytics and AI. Max Life is also awarded Excellence in driving distribution through digital at the FICCI Insurance Industry Awards for 2022. In summary, we effectively navigated the year by achieving remarkable growth in our proprietary channels, while simultaneously maintaining our counter share in our bancassurance partner. This

success can be attributed to our focused strategy regarding product offerings and enhancing the value proposition for our customers. As we move into FY '24, we remain absolutely optimistic about sending this positive momentum.

I'm now going to hand it over to Amrit, who is going to share some updates about our financial performance.

Amrit Singh: Thank you, Prashant. Moving to some key summary financial metrics.

- Consolidated revenues, excluding investment income stood at INR24,940 crores, a growth of 13% in FY '23. The consolidated PAT was INR452 crores, up by 42%.
- Max Life renewal premium grew by 13% to INR16,382 crores, and gross premium grew by 13% to INR25,342 crores.

The value of new business written over the period, stood at INR1,949 crores versus INR1,528 crores for the previous year, representing year-on-year growth of 28%. The new business margin improved from 27.4% to 31.2% in 12M FY '23. For quarter 4, FY '23, the VNB was INR770, a growth of 31%

- Embedded value, as at 31st March 2023 is INR16,263 crores and operating RoEV of 22.1%.
- The policyholder opex to GWP was at 14.2%.
- Max Life FY'23 profit before tax is INR505 crores, an improvement of 21%, profit after tax is INR435 crores.
- Max Life solvency ratio stands at 190% and the AUM at end of 31st March 2023 is ~INR1.23 lakh crores, a year-over-year growth of 14%.

To conclude, we remain confident in our ability to leverage our strength and deliver sustainable value to our shareholders and customers. We remain committed to the purpose of inspiring people to increase the value of their life.

We are now happy to take any questions that you may have, and I will now hand over to the moderator to open the floor for Q&A. Thank you.

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Moderator: Thank you. The first question is from the line of Avinash Singh from Emkay Global.

Avinash Singh : I mean, very, very strong performance for Q4. First question

is on the growth outlook for FY '24

considering the base effect, whatever happened, the tax system changes that had happened and your own channel, the proprietary and banking, their dynamics, if you can please help to understand how the growth will look like in FY '24 for you? Any colour sort of like on your channel, on your product mix in that part?

And the second question is, I mean, of course, it will be on the process, but as far as the 7% stake transfer in Max Life to Axis and Citi are concerned, I mean where are we in terms of the process of getting the valuation done, approaching the regulator any kind of broader time lines that will give when and how the progress will be made. So, these are my 2 questions.

Prashant Tripathy : Avinash Ji, thank you very much. Good morning to you. Firstly, the question on growth rate, very valid question and very pertinent. It becomes even more relevant in the context of artificial growth that came in quarter 4, especially in the month of March. But I'd like to highlight all of you that we have an advantage in terms of base effect considering that we were going to open architecture for a large part of FY '22, '23, and that advantage is going to kick in. And hence, we expect the FY '24 growth could be a double-digit growth, reasonably good growth, and it has a higher growth than what we saw in FY '23. So that's on growth expectations. We remain bullish, and we remain optimistic, and we are preparing for the robust growth for the year FY '24.

On your question on further investment of 7% by Axis Bank, of course, Axis Bank has prepared and seek all the approvals within their own systems and especially around capital that is required. And that process is on, and quite hopeful that the transaction will take place in the financial FY '24. To tell you exactly, which quarter or date right now is a bit difficult, and we will just wait and come back to you when that plan and the date timeline is frozen. However, suffice it to say that they have shown the commitment and that announcement definitely. So, it's only a matter of time when it happens.

The valuation will become relevant only at the time of transaction. So really, we will do the -- that valuation at the point when Axis Bank is ready to take investment. So overall, from the growth perspective, we remain bullish as well, as we should expect this transaction take place in the financial year FY '24.

Avinash Singh : And just quickly, one now, Tata AIA sort of got by the virtue of merger of Citi and Axis, Tata AIA is present at least in Citi. Now does that kind of -- is there a sort of an understanding how this is going because I mean, so ideally there were 3 players, now you have a reservation for this and at least in Citi branches, with Citi customer, Tata AIA gets entry. So does this changes any kind of a competitive dynamics in your channel or it is like that, okay, they are going to stay with as it is where, I mean, the Citi branches, Citi customers.

Prashant Tripathy : Yes. Avinash Ji, that's a very good question. And I think the relationship with Citi bank and Tata AIA is just going to continue the way it continued earlier. With respect to competition, I think, Axis bank is an open architecture platform, so from that perspective, we have competition. And I would like to

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very confidently share that we stood that competition quite effectively by maintaining a large part of counter share at the bank.

I think at a very high level, Axis Bank is our promoter, and hence, we should expect that Max Life Insurance will continue to enjoy the large share of their counter in the range of about 65% to 70% very optimistically for -- even if additional competition were to be added. So at a very high level, I think as management, we remain bullish on growth at Axis Bank.

Moderator: Thank you. Next question is from the line of Swarnabh Mukherjee

jee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: I wanted to ask on the double-digit growth guidance, would this be on the actual numbers that we have clocked in FY '23? Or should we think of this double-digit growth on the base adjusting for the additional sales that came from the taxation related product sales in the fourth quarter? So that is one question.

Second, on the margin side, sir, what I wanted to understand is that this quarter, as I see the product mix has moved favourably in the direction of non-PAR. And despite that, there has been a sequential fall in the margin. So, what changed between the last quarter and this quarter? Was there some additional cost that was baked into the cost structure that resulted in this fall? Or is there something else to look into? And if you could also give some colour on the VNB walk, which I think is not there in the presentation. So, between FY '22 and '23, what were the various factors that move the margins that would be very helpful?

And thirdly -- one quick question if I could add in terms of the banca channel, I was trying to gauge how the growth would be in terms of say the banks other than Axis Bank. So, if you could give some colour on -- or some quantitative metrics, which would help us to understand the growth in this channel.

Prashant Tripathy : Thank you, Swarnabh Ji. I think I will let Amrit answer the VNB question, but at a very high level, I think a lot of people had questions around the growth on total or adjusted. So, the double-digit growth number that I spoke about is on the total basis. And why I remain optimistic is? Again, just to repeat. For the first 9 months of the year, we had challenges of open architecture, which artificially created a favourable base for us. Next year, we are going to take advantage of that base effect. And hence, the double-digit growth rate should be on the total basis, not on adjusted basis.

I'm sure in this group, there will be many people, who will have questions about what would have been our growth rate adjusting for the extra sales that we got. So just to clarify and answer this question for everybody. We got about between INR300 -350 crores of additional sales because the one-off effect over and above the run rate of greater than 5 lakh policy. So, if we were to adjust for those extra sales that we got, our growth rate, which we're reporting 12% would be in the range of about 6 -7%. So, we've got about 5 -6% of extra sales because of that one-off.

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Responding to your question on why the VNB is lower, just to clarify, because it comes from non-PAR, a large part of non-PAR, and you would have seen our non-PAR percentage go up. On large ticket sizes, one expects a lower margin, and hence, we made appropriate assumptions for the large ticket sizes. The large ticket size, margins are lower than smaller ticket prices. So that's the reason why you would see a reduction in overall margin for the quarter.

I'm going to hand it over to Amrit to talk about the VNB growth, but as far as I remember, we have the VNB walk. Amrit, do you want to take that question?

Amrit Singh: Thanks, Prashant. I think Prashant, you've answered Swarnabh's question, which was around why the sequential quarter, the margins look lower than how it was. So, one is the high-ticket case size margins, which actually have been considered. Second, also, this is a full year of run rate spend, which is building up. We have been indicating that we are investing towards our distribution capability and capacity creation. So that cost, as it builds up some drag, which has got created. And thirdly, when the launch happened in quarter 3 of our new product, the SWAG product that Prashant spoke of, there were certain variant mix that existed in the first few months, which normalized. So, a little bit of variant mix drag also has come to the margin.

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And from a walk perspective, it's largely related over a year-to-year period. It is related to mix of the non-PAR portion, which has actually helped improve the margin profiles.

Moderator: Swarnabh, may I request you to unmute your line from your side, please.

Swarnabh Mukherjee: Yes, , Amrit Ji, that answers my question. I was looking at it from more quarterly standpoint, and I think Prashant Ji, already highlighted that. And if you could address the question on the banca channel.

Amrit Singh: So, I think on banca, 2 things. One, as Prashant mentioned in his opening remarks, we have signed of partnerships with 4 banks and over 6 brokers. So, this is incremental volume for us, as we look to kind of gain counter share at some of these places. With our existing counter share banks, which is Axis and Yes. Our endeavour will be to maintain and hold on to our counter shares. And as the bank growth rate kicks in, the consequent growth rate to Max Life will start occurring paying as well.

Swarnabh Mukherjee: So, I wanted to understand, sir, if you could highlight any growth numbers for the non-Axis channels, so that we can gauge the performance of this?

Amrit Singh: I think right now, we're starting from a 0 base in some of those partnership relationships, where

anything that you'll add on a small base will look like a very large growth number. Our intention would be to gain as much counter share given our capabilities and products that we have demonstrated in bancassurance channel. So, I'll leave it at that.

Swarnabh Mukherjee : And I just wanted to know if you were maintaining your product mix guidance and margin guidance, which you had mentioned previously, or should we see some kind of uplift to that for the company?

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Amrit Singh: So, I think firstly, as the high-ticket sale happened in the month of March, it did swing the proportion on non -PAR on a higher side. And we do expect a moderation on that to happen, which would mean that the long -term guidances that we have been given around margins, which is a reduction in margin profiles will happen. I think the way you should see it is that the bias and focus is towards driving growth and regaining market share. And for towards that, there will be an investment, which has happened and will continue to happen, which, along with some moderation of the non -PAR mix will mean a drag on the margins.

Swarnabh Mukherjee : Got it sir, very helpful. I'll come back in the queue. Thank you so much.

Amrit Singh: Thank you.

Moderator: Thank you. Next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha : Yes. Thank you for the opportunity. Amrit, the question, which I had was that the economic variance number at around INR1,040 crores, which is almost 7.4% -- 7.5% of the opening EV seems to be very high compared to our EV sensitivity to the interest rates, what we tell is around one odd percentage even for equity, it is relatively low. So, sir, just wanted to understand what led to such a high economic variance number given our sensitivity table doesn't suggest being so. Sir, and if you can break down this economic variance number, is it because of equity or bonds or there is something kind of a one-off in it?

Amrit Singh: Yes. I think a great question, Sanketh, and thanks for pointing it out. You'll understand that EV sensitivity is an assumption of a parallel shift in 1% across the yield curve, whereas the non -operating variance is actual shift, which happens. And obviously, the reality was that simulated shift is slightly different, and that's how it looks different. And that's probably the disconnect that you're feeding in your mind. But out of this INR1,000 -odd crores of non -operating variance, almost INR900 crores plus is coming out of interest rate movements. And that also is the short end of the movement, which has happened

in the month of March.

Sanketh Godha : Okay. But there is no gap in the hedging, right? So that led to that...

Amrit Singh: No. Again, we continue to run our hedging program, as we have been running. And you know, that this is transitory in nature given we are hold to maturity. These are the market movement, which will keep coming. And some of these variance that you'll see is all transitory.

Sanketh Godha : No because the number divergence was decently big. And the second one was that in the non-PAR book, which is around 48% of the total APE for FY '23, you just highlighted the growth number for annuity around 300% year -on-year. But if you can break down this 48% into pure non -PAR and annuity that will be useful because we understand that the non-annuity portion of the non -PAR might see a mix change, but how you see this annuity portion to play out and that mix you expect to pay out in '24, as a margin buffer?

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Amrit Singh: Annuity continues to remain an area of focus in the overall umbrella of retirement focus that we are building, as an organization. And you would have noticed that our annuity mix, which was around about 1% last year has moved to now around 5% in the overall mix. So, in the 48%, I think, you are referring to including GCL, 48%, around 5% is annuity mix. And we will continue driving annuity business in future as well.

Sanketh Godha : And the last one, 31.2%, I think Swarnabh has asked that question, the 31.2% is the margin in the current year, and you highlighted that non -PAR will come off a better margin, should take a moderation. I mean, should we assume that it is going to back to like 26%, 27% kind of a number? Or do you think at least it could be better than that in '24, what are product mix it takes as a shape?

Amrit Singh: Yes. I think it should remain, we have been indicating 27 -28%, as stable margin to price, so you should consider in that range.

Moderator: The next question is from the line of Nitin Aggarwal from Motilal Oswal.

Nitin Aggarwal: Congratulations on good results. One question around the promoter holding, like this quarter, we are seeing some reduction in promoter shareholding. So how do we see that? And any thoughts there, therefore around the promoter structure going forward?

Prashant Tripathy : Yes. I think it's something is on the private side and for the promoter continues to remain committed towards this business, and some moderation, some reduction has been done. But overall, there is long -term intent and kind of continue doing the business remains consistent.

Nitin Aggarwal: Just on the margin one clarification, will first quarter, again, we will see a seasonal decline in margins?

Amrit Singh : We always report our margins from a quarter -to-quarter basis and cost actual to build up of cost. And largely, the sale of the first quarter is far lesser than the sale of the consequent quarter and the cost is equally loaded. That natural impact always plays out. So, this is not unique to us. And this has predominantly been like this for many years. So, our first quarter margins always will come up

despite the product mix, it's largely due to the fact that the spend is actually uniform across the quarters and which creates a drag.

Nitin Aggarwal: And on the solvency ratio now we have seen a 10 % drop this quarter. How do you see that? Will this transaction also aid solvency issues that it gets completed and how much this should be?

Prashant Tripathy : So, I think firstly on solvency, you would have noticed that the regulator did provide additional mechanisms of capital as well, which has given for insurance company, an additional buffer of up to 50% of the networth, 25%, as an additional debt that can be taken. But in addition to that, now from an Axis perspective, I think, both primary and secondary options are in consideration, and we will announce it when Axis

actually completes its internal processes or when and at what time they want to opt 7%.

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Nitin Aggarwal: And lastly, Amrit, on this INR300 crore s one-off sales that Prashant talked about. So does this only include a ticket size above IN R5 lakhs because there will be customers, who might have bought lower ticket size, and then because of the tax rate changes, and then, we look to add additional amount later on, so they may not have crossed the INR5 lakh threshold this month, March. So how are you looking at that?

Amrit Singh: So, it's computed on the 5 lakh trend line only. This is past trend line to current trend line, whatever has incrementally come off. Prashant indicated that range.

Nitin Aggarwal: So, it's only about INR5 lakh, this INR300 crores number.

Amrit Singh: That's right. In the traditional policies, the P AR and non -PAR design .

Moderator: Next question is from the line of Neeraj Toshniwal from UBS Securities.

Neeraj Toshniwal : So, basically question is on outlook on retail protection given there has been some come back in Q4 in terms of absolute amount at least. So how do we see retail protection playing out in FY '24?

Amrit Singh : I think the large part of this construction also happened because of supply side challenges that we went through post COVID and rightfully so. And a lot of efforts internally has gone in, firstly, reducing the supply side challenges that exist, so the constraint that exist, at the same time, also augmenting using tech and analytics our underwriting capabilities. I think the way we are set up and what all progress that we have made both in underwriting function, the product design elements of it and upfront aspect in sourcing, we feel that now 2 years of low base has set up actually us for growth in the Retail Protection segment. We do expect protection business to start growing from this point onwards.

Neeraj Toshniwal : Maybe any colour on numbers, I mean, how much whole percentage we are looking for or how much we can build in ?

Amrit Singh: I think, these are very difficult numbers to kind of give specific if you get into each segment and products and things like that. But I think on protection, anything less than 20% is not at all aspiration. So, we will try to drive to 20% plus on the protection business.

Neeraj Toshniwal : And any change in commission pay out post EOM guidelines been witnessed or how in industry is nearing given after April, do you see anything changing materially on ground, but will take time to kind of get adjusted to new normal?

Amrit Singh: I think what you need to understand, Neeraj, that first, there is an overall EOM framework, where the regulator has an expectation of working towards driving efficiencies in the business, which then get passed on to the consumers. And hence, on a EOM perspective there needs to be optimization, which are willing to pay undertaking. And then, under that EOM limits, there are elements of commission.

Tactically, there will be certain segments and certain players there and also certain types of distributors, depending upon how our internal cost structures and variable structures are. There could

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be certain changes in commission, which can happen. But I think it will take some time for the dust to settle off, how things evolve, and we will continuously keep working on this.

Neeraj Toshniwal : And hopping on the same question again on the banca and proprietary growth, so given banca, we had a low base obviously, we have an advantage, but are we really seeing growth coming from Axis coming back basically, the problem was that the Axis bank is still growing slower than the other bank services if I compare with the peers. So how Axis is kind of coming back and what kind of commitment they are showing getting into FY '24? And what kind of growth you can expect will happen?

Prashant Tripathy : I will take th

at, Amrit. I mean, Axis Bank definitely is a very aspirational bank. They have big plans on their growth and insurance definitely is their large part of the fee income. So, it will be wrong for me to say that Axis will continue to be lower than the industry, I'm sure they will bounce back, and they will do industry consistent growth rates. So, let's keep you at that level. We are very optimistic.

Neeraj Toshniwal : Any growth numbers, we can factor that?

Prashant Tripathy : I think I did share with you the growth number that we're aspiring at a total company level and maybe it's not gone down to every channel level I think it will be collective. Amalgamation of growth that will come from bank, as well as our own channel, which will contribute to a strong double-digit growth in the Max Life Insurance.

Neeraj Toshniwal : Are we investing more into the proprietary channel? Or are we done ?

Prashant Tripathy : We will continue to make investments in our own channels, something that is going to continue. For example, in FY '24, we are seeking approval to open new branches in the proprietary channel within the agency. We are making investments to grow our headcount in the direct channel. We will be making further investments in building our e-commerce channels. We are also experimenting with new models that we could grow looking at various subchannels within the large channels. We will continue to make that investment. But equally, we are making investments in the bank channels also in terms of ramping up our presence, more headcount, looking at alternative verticals within banks. So, I think growth is going to be a key, and we will do whatever it takes both in bank channels, as well as proprietary channels. So, there is going to be an all-round focus on growth.

Moderator: Next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain : A couple of data keeping questions. First is, can you share the share of Axis Bank for FY '23 in terms of APE?

Prashant Tripathy : Amrit, we won't take that question. I don't have the exact number.

Amrit Singh: Yes. I think we have been individual partner level leaders; we have been not sharing, Nidhesh, keeping the partner sensitivity in consideration. But our counter share, I'll reiterate stays at 70% in Axis Bank.

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Nidhesh Jain : Second is that the INR300 crore s, INR350 crore s number that you mentioned is for the month of March, right?

Amrit Singh: Yes. All of it. The January and February did not see any fire-sale effect. So, most of the fire-sale effect kind of peaked out in the last 2 weeks of March. And this number that we have given you is for the month of March.

Nidhesh Jain : And lastly, there have been a lot of changes, which are proposed in Insurance Amendment Bill, which leads to composite licensing, opening of agency channel, and I think that the bancassurance channel has also opened up for now 9 partners. So, how do we think about these changes? And how should we place ourselves favourably changes over the next 2 years to 3 years?

Prashant Tripathy : I think I'll take that question. The open architecture, Nidhesh, as you know, is more contextual for bancassurance partners from 3 to 9. And as far as Max Life Insurance is concerned, all the counters, where we operate, we have an open architecture situation. And the good part is our performance has been robust. We've been able to maintain our counter share.

I think as we look ahead, a company like Max Life Insurance has more to gain out of open architecture. So, we look at this particular thing quite favourably and it is going to present itself in form of more opportunity to Max Life Insurance. So, we have nothing much to lose from it.

As far as the agency channels, concerned, agent open architecture is something, which has not been discussed. However, the market is that sense is quite open,

and we have been operating quite

effectively and been quite enthused with the growth that we're seeing in our channels in agency. So overall, I see the regulations to be more favourable for the overall industry in specific for Max Life Insurance. Hence, our plans are quite progressive for the next.

Nidhesh Jain : And sir, any thoughts on composite licensing?

Prashant Tripathy : There is a possibility that it can get introduced, as a part of the act. And on behalf of Max Life Insurance, we are actively working in this space and if any such flexibility is available to us, especially in the context of contiguous businesses like health, we will look at that quite favourably with agility and we will try to work out.

Nidhesh Jain : And sir, lastly, and for next year onwards sir, how should we think about product mix. So non-PAR share will reduce, but how much of that will be taken up by PAR, specific ally?

Prashant Tripathy : So, like I have always believed in a balanced product mix. And at the same time, we have to be consistent with market also, really standing away from the market becomes a bit difficult. My sense is that the non-PAR got favour because of tax regulations, as well as impact on overall share market for an extended period of time. As we move into FY '24 and beyond, I think you will see a rebalance from PAR and non-PAR will go to participating, as well as to some part of units. So, from that perspective, the product mix will get more rebalanced, and hence, you should expect the 48% to fall and come more in the range of closer to 40% over the next couple of years.

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Moderator: Next question is from the line of Nischint Chawathe from Kotak Securities. Please go ahead.

Nischint Chawathe : If I look at the proprietary channel, it's been at around 27%, 28% for the last few years, excluding FY '23, I believe there was some one-off or exception in the last month. So, what would probably be this number in FY '23? And where do you really expect this to go? I mean probably we can speak FY '23, but where do you really expect this to go in '24, '25. I believe in FY '18 as well, we've kind of made some investments to sort of beef up this channel. But despite that for the next 4 years, the ratio of this trend has been similar?

Prashant Tripathy : Yes. Nischint, thank you. The mix adjustment is a combination of both things, I think artificially the bancassurance growth had an impact because the open architectures went down. And at the same time, we made investments, and we saw significant success through the proprietary channel. So, a dual impact on faster growth than normal last year. I mean, if you look at our run rate of growth in

proprietary channel, it will be in the range of about 20%. Last year, it was 43%. At the same time, our average banca growth will be in the range of 15%, 20%, last year, it was flat. So, a combined effect of both actually has led to proprietary channels gaining more and more share of the overall pie.

As a strategic measure, we are trying to rebalance our channel mix, and ideally, we would like to go past 40% of our whole channel contribution, as soon as possible, right. I know that it will not be possible to do it very, very quickly. But over next couple of years, from two years to three years, we'd like to have our own channel contribution go past 40%. That's the direction we are working. Hence, our plan to grow proprietary channel faster than partnerships channel is something that is important to us, and you will see us move in that direction.

Nischint Chawathe : And would you call out overruns on this account separately, I think you did that in the past and that's probably kind of taking the margins to 27% and maybe a combination of non-PAR.

Prashant Tripathy : It does, actually. But once you achieved the scale, the impact on overruns is not very high. For example, you would not have seen us do real

bad on margins this year. So, I think our overall

guidance to remain in a respectable margin range, in the range of 27-29%, that range as well as trying to grow our proprietary channels that they achieve scale, as well as more than 40% share in the short term. And when I say short term, I think 18-24 months that kind of period is an imperative for Max Life Insurance. We are working in that direction.

Nischint Chawathe : Just one last question. If I look at the growth in back book surplus for the last 3-4 years, I think it's just at around 10% odd CAGR, probably appears to be a little bit on the lower side. So, would you have any comment on this? And does this kind of trajectory pick up? And what could be the drivers?

Prashant Tripathy : I'll let Amrit and Ashish respond to that question, Amrit?

Amrit Singh: So, Nischint, actually last year was in the back book, there were some adjustments around COVID, which impacted the momentum of growth. And if you see this year and in normalized for it, the back book has continued to grow at around 20% levels. Actually, go to 45%, but adjusting for the COVID elements of it, which reduced the base last year, the growth is around 20%. I try to understand the

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question that you're looking on longer trends, and you made this comment around 10%. We'll have to look into that data, and we'll respond to you offline.

Moderator: Next question is from the line of Madhukar Ladha from Nuvama Institutional Equities. Please go ahead.

Madhukar Ladha : Sir, in the context of tax changes and so much of prebuying that has probably happened. If I look at the banca channel, that's still only grown about 12.5% year-over-year and that's also given that the base was normalized. So last year, you were at 70% counter share. This year also, you were at 70% counter share. Last year, you also had the Omicron impact. So given all this, it seems that the growth in this year, at least from the banca channel has still been a little bit subdued this quarter, and you're also now guiding for double-digit growth. So, it's almost not possible without the banca channel firing up. So, what makes you confident now that in FY '24, this will happen. What sort of problems are we going to overcome? What is going to change now? Can you highlight that a little bit?

Prashant Tripathy : Yes. I mean, firstly, your observation that the bank should also grow at a double-digit growth rate for Max Life Insurance to grow a double-digit growth rate is bang on. And it is our expectation that our banks will grow at double-digit growth rate.

Now, what gives you more confidence is 2 things, the impact of the open architecture actually is out of our base, in the entire of last year, we actually struggled at least for the first 9 months, we struggled with the impact of open architecture, that was the reality. And it is quite mathematical in nature, and overall pie goes down.

I think as we move into the next year, the optimism actually comes from the institutions, who are our partners, Axis Bank and Yes Bank, who have the track record of delivering better than market average for a continued period of time or over the long run. So, I think some of that does give us confidence and I'm pleasingly sure that it's going to come back up. But at the same time, the success that we've seen in proprietary channels and the investments that we have made will also come back to add to it, and so that's where the confidence comes from.

To your question on some of the demands already being met from early buying, I think, India is a very large country and very large tailing, tools, etcetera, last year. And like I mentioned to you, we got about INR300 crores, INR350 crores of additional sales because of early buying, so to say, our large ticket sizes. As we move into the next year, I mean, from the overall context of doing 7,000 or 8,000 sales, INR350 crores number

is not a very large number.

So, I think my sense is insurance is very fundamental. It is a trusted instrument for savings and investments in the lens of protection. It will continue to be seen more favourably by investors and savers more so in the context of all the work that the regulator is doing and trying to make it more attractive. So that's where the entire confidence, Madhukar is coming from, and I'm very hopeful that it will move in that direction.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

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Sanketh Godha : Just want to c onfirm again, is it -- given Tata has a global tie up with Citi, is it automatically means that Tata will get access to entire Axis B ank branches? Or it is just open to the Citi branches, what Axis has acquired?

Prashant Tripathy : For the time being, the s econd one.

Moderator: Thank you very much. I now hand the conference over to Mr. Prashant Tripathy for closing comments.

Prashant Tri pathy : Thank you, ladies and gentlemen, for being on our call. We look forward to most of interactions. Wish you all a plea sant day. Thank you.

Moderator: Thank you very much. On behalf of Max Financial Services Limited, that concludes this conference. Thank you for joining us. You may now d isconnect your lines. Thank you.

Call: Aug 2023

August 17, 2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL
Dear Sir/Madam,

Sub: Regulation 30: Transcript of Investors & Analysts Conference Call

Dear Sir/Madam,

Transcript of Investors & Analysts Conference Call held on August 10, 2023 post declaration of Un-audited Financial Results of the Company for the quarter ended June 30, 2023 is enclosed.

The same has also been uploaded on website of the Company at

<https://www.maxfinancialservices.com/static/uploads/financials/pdf/25d0844436143917fb114b09affa3a7.pdf>

You are requested to take the above on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

Piyush Soni
Company Secretary & Compliance Officer

Encl: As above

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Max Financial Services Limited
Q1 FY '24 Earnings Conference Call
August 10, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Max Financial Services Limited's Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amrit Singh, Chief Financial Officer, Max Financial Services Limited and Max Life Insurance Company Limited. Thank you. And over to you, sir.

Amrit Singh: Thank you. Good morning, everyone, and welcome to the earnings call of Max Financial Services for the quarter ended June 2023. Results have been made available on our website, as well on the stock exchanges, last evening. I am joined by Prashant Tripathy, MD and CEO of Max Life Insurance.

Let me start with the recent development on Axis Bank transactions. We would like to inform you that pursuant to the approval of Max Financial and Max Life board, Axis Bank will be infusing INR 1,612 crore by subscribing to equity shares of Max Life at fair market value determined basis DCF methodology. Axis Bank has already received requisite approvals from RBI for infusion of this capital into Max Life.

Post subscription to the preferential issues of shares, Axis entity shall collectively hold 19.02% equity share capital of Max Life. Axis will also have an additional right to acquire 0.98% stake of Max Life from MFSL. The proposed transaction is subject to receipt of shareholders' approval; and regulatory approvals from IRDAI, PFRDA and CCI.

This capital infusion will help Max Life to support its future growth ambition. And it will also help

augment the capital position of Max Life, thereby, improving our solvency margins. On the allotment of the said shares to Axis Bank, the shareholding held by Max Financial in Max Life will stand reduced to 80.98% from the current levels of 87%. The additional capital infusion by Axis Bank in Max Life highlights their commitment towards building a stronger franchise.

With this update, I will request Prashant to share the key business developments during this quarter.

Prashant Tripathy: Thank you, Amrit. Good morning, everyone.

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1. Predictable & Sustainable growth by building distribution :

As a part of our ongoing effort to enhance our distribution capabilities, we successfully on-boarded six new partners during the first quarter of FY '24. Notably, we established partnership with South Indian Bank and five additional brokers and corporate agents and in the following quarters, business from them will begin. We are working in a very programmed manner to expedite and enhance our

presence on those counters.

In quarter 1, our new business premium experienced a noteworthy 25% growth. And total APE grew by 10%.

Our prop channels achieved substantial growth, with APE (Annualised Premium Equivalent) increasing by 23%. This growth was primarily driven by impressive performance in both online and off-line proprietary channels.

Online : Our online market leadership in protection products is maintained, and we achieved successful market share expansion in the savings business, resulting in a 44% growth in our e-commerce business.

Off-line: Our offline proprietary channels demonstrated robust growth of 18%. The agency channel growth fuelled by new agent activations and adviser recruitments. Furthermore, our direct customer acquisition channels growth was attributable to the launch of new cross-sell channel and increased manpower. Overall, in both online and off-line space, we saw very robust growth.

However, our bank channels' APE experienced a 2% decline in quarter 1.

Looking ahead, we have planned a series of significant investments in FY '24 to bolster our proprietary channels, including the establishment of 100 new offices, among other initiatives, which have to be established this year. Overall, our unwavering commitment remains to drive growth across diverse channels and reinforce our prominent position in the market. You would have seen from the July numbers which were published yesterday that the growth has further enhanced. And the momentum has accelerated in the month of July.

2. Product innovation to drive margins:

Continuing our journey of innovation and our commitment to offering a wide range of choices to our customers, we are very pleased to introduce a new Participating (PAR) product, SWAG Par, which has already achieved remarkable success within just 30 days of its launch. This product not only enhanced our product suite but also brought a fresh balance to our product mix in quarter 1. You would have seen that the product mix has been rebalanced more in favour of par, which was our desire.

Furthermore, we have made adjustments to consumer benefits across our product categories, resulting in improved outcomes for all the stakeholders. These efforts have contributed to a reasonable expansion on year-on-year (YoY) new business margin increasing by about 110 basis points from 21.1% in the first quarter of FY '23 to 22.2% in the first quarter of FY '24. And thus, it has given a 16% growth to our value of new business.

Breaking down the individual APE basis for FY '24, our product mix comprised 20% participating (PAR), 41% non-participating savings products, 29% unit-linked insurance Plans (ULIPs) and 10%

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protection products. Our strong belief in long-term potential protection and retirement opportunities has driven 36% growth in retail protection segment and 260% growth in the annuity segment during the first quarter of FY '24.

Additionally, Max Life Pension has achieved an impressive asset under management of approximately INR 293 crore as of June 30, 2023. And we are one of the fastest growing in terms of assets built up in the new pension fund management companies which have been set up.

3. Customer obsession across the value chain:

At Max Life, our unwavering commitment lies in providing our customers with significant value proposition and continuously striving to enhance their overall experience. Our best-in-class claims paid ratio of 99.51% in FY '23 is a testimony to our focus towards Customer Obsession. And we are very proud that we have done a great job when the real moment of truth comes in the lives of our policyholders.

During quarter 1 of FY '24, we also witnessed a one point improvement in our overall company Net Promoter Score (NPS), which increased from 52 in March 2023 to 53 in June 2023.

Moreover, Max Life proudly maintains i

ts position as the market leader in 13th month persistency for the number of policies. Max Life Insurance is ranked number 1 in 13th month persistency, number 2 in 25th month persistency and is number 3 in 61st month's persistency on number of policy basis. In specific terms, our 13th month persistency in terms of Regular /Limited pay premium stood at 84%. And our 61st month persistency was at 51% for the period ending June 2023. This accomplishment highlights the trust and loyalty our policyholders have in Max Life.

4. Digitization for efficiency and intelligence:

Our comprehensive digital sales transformation has been successfully integrated across all our channels. We have fully launched the mSMART sales management and activity-monitoring tool for all the channels, aligning the revised processes with channel-specific metrics to drive tangible business outcomes. We are making an attempt to make our sales channels more digitized, more metricized and we are trying to look at the choreography across all our channels and further success that we are seeing especially in our proprietary channels are also because of the work that we have been doing towards digitizing the sales monitoring process in our prop channels.

To enrich the onboarding experience, business insurance is now enabled on our onboarding systems, facilitating a fully digitized application and issuance process. Furthermore, we have expedited the onboarding journey of the National Pension System (NPS) by integrating Permanent Retirement Account Number (PRAN), and we have introduced Account Aggregator as a valid surrogate for income documentation for salaried customers.

In our pursuit of elevating customer service standards, we introduced a seamless customer-driven journey through the digital living certifications. Our commitment to improving services for non-resident Indians is evident through the implementation of FATCA and NEFT enablement on our website.

In our continuous effort to extend coverage for auto financial underwriting within the self-employed segment, we incorporated an AI engine. This integration includes the utilization of financial surrogates derived from bureau or third-party data and account aggregators. These initiatives underscore our dedication to embracing digital transformation and harnessing cutting-edge

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technologies to deliver heightened experience for our valued customers, all this while enhancing operational efficiency.

To summarize, we are working on successfully concluding a series of regulatory and operational steps to fructify the Axis transaction. In addition, our productive investment in proprietary channels will serve to reinforce our confidence in upcoming phase of growth. By every passing month, we have witnessed that the performance of the organization in terms of growth is increasing. And we are very optimistic as well as confident about quarter 2 and for the rest of the year.

With this, I will hand it over to Amrit, who will provide an update on our financial performance.

Amrit Singh: So moving on to the key financial metrics for quarter 1.

- Consolidated revenue for MFSL excluding investment income was at INR 4,730 crore, a growth of 19% in quarter 1 FY24. Consolidated PAT stands at INR 101 crore, up 48%;
- Renewal premium for Max Life has grown by 15% to INR 3,014 crore. Gross premium has grown by 19% to INR 4,871 crore;
- Value of new business (VNB) for the period was at INR 247 crore versus INR 213 crore for last year, resulting a growth of 16%. The NBMs have improved at 22.2% in Q1 FY24, as compared to 21.1% in Q1 FY23;
- Embedded value for Max Life at the end of 30th June 2023 stands at INR 16,938 crore, thereby an operating RoEV of 14%;
- Policyholder opex-to-GWP stands at 17.4%;
- Max Life's stand-alone pre-tax profit is at INR 103 crore, an improvement of 14%. P

rofit

after tax is around INR 89 crore;

- Our solvency ratio for Max Life stands at 188%. And AUM (Asset Under Management) as on 30th June 2023 is ~INR 1.29 lakh crore, YoY growth of 21%;

To conclude, we remain confident in our ability to leverage and strength and deliver sustainable value to our shareholders and customers. We also remain committed to our purpose of inspiring people to increase value of their lives.

We are now happy to take any questions that you may have, and I will now hand over to the moderator to open the floor for Q &A. Thank you.

Moderator: We'll take the first question from the line of Avinash Singh from Emkay Global.

Avinash Singh: Two questions. The first one is like this change of plan. So nearly 1,600 crore capital infusion, that kind of increases your solvency margins to nearly say, 230 percent. So I mean, this change of arrangement would have some thought process behind it, so if you can just sort of provide some color on your growth plan, say, for over the next 3, 4 years.

Because this is a substantial, like, 40% augmentation to your solvency margin. So what kind of a

growth plan do you have in mind over the 3, 4 years? And secondly, if I go into your margins, of course, there have been marginal increase in protection, but overall margins continue to hold well. And in fact it has consistently come better than what sort of a typical you have guided. So you tried to sort of a moderate margin expectation for quite some time, but in the end, margins have come better. So I mean, what sort of a margin trajectory do you see, particularly once this activity is also consummated? Where of course, we are mindful of the fact that Axis will eventually be more than what was the plan, say the older plan. So if at all there is some kind of a change in the contours of the pay out and all. So if you can provide again a medium-term guidance on the margin part?

Prashant Tripathy: Avinashji, like always, very sharp questions. Let me address them one by one. You're right. Our solvency margin is going to go up by 39%, which will give us good capital in the business which is required for growth. We have very aspirational plans for future, which we have been repeating again and again.

We have specific plans to drive growth and growth upwards of 20%. We have plans to become dominant in two areas, protection; as well as retirement and, within that, annuity. And as you know, these product categories require capital because the initial requirement of capital on both these products is higher than the savings plans.

For this to happen, we do require capital as a business. And we actually raised this with our shareholders. And shareholders kindly agreed that, rather than doing a secondary, this will be a primary where the capital will come to Max Life Insurance. It's really a positive step for our growth and we are very optimistic that this capital which is coming to our business will be good for driving our growth for at least next 18 to 24 months. So that gives us good capital for growth.

Coming to your second question. Yes, while the margin is a little higher than how it was last year, I must highlight to you that this deal has no bearing on the operational performance of the organization. We already have a very aligned view on how we want to drive business. We're working to a plan. We will continue to drive the business the way it was envisaged. And the guidance on margin actually stays, which I gave at the beginning of the year, that we should look at margins for the full year lower than how it was last year.

We have given guidance of between 27% to 28%. I also highlighted quite clearly that, at least for this year, there'll be a bias towards driving growth, as against maximizing the margin. We will, of course, be very mindful of the margin, but we are making investments in driving prop channels. We are

opening offices. We are buffering up capacity. We've deployed more people on bancassurance. We acquired many customers, where we will be deploying our own people.

So there's an all-around work taking place towards driving growth and hence, the guidance on margin actually stays. Having said that, the attempt towards optimizing the margin will always be there. We will work towards reaching the levels that is not negative or generally positive. So those will be the attempts, but for the time being, my guidance actually stays.

Avinash Singh: Yes. So quickly, just one quick follow-up. So I mean, of course, in a backdrop of also that March was abnormally high, this 20% kind of growth guidance, does it hold for this FY as well? Or like because, I mean, this FY is coming from a different March base, so this 20%, of course, growth guidance medium-term I understand. For FY '24, keep it, and is something different, or like on adjustment?

Prashant Tripathy: No, Avinash. You are absolutely right. This 20% growth target or growth aspiration is for medium term which is about three to four years. However, this year is, in that sense unusual because we have a very large March base. Our attempt is to hit a double-digit kind of growth rate for the year, for the full year. And by every passing month, we are getting more and more confident as the numbers improve. For this quarter, which is the quarter which is ongoing, our target will be to hit a number which is plus 20%. We are reasonably confident we'll be able to do that.

Moderator: We'll take the next question from the line of Madhukar Ladha from Nuvama Wealth Management.

Madhukar Ladha: Yes. So just wanted to get a sense of how the Axis channel is doing. At least, first quarter, it seemed to be a little subdued, so what are we seeing from there? And what do you think should be our expectation for this year, for the balance 9 months?

Prashant Tripathy: Yes, your observation is correct. And it is highlighted in our representation also that the growth from Axis channel for the quarter was subdued. It was not on account of we significantly losing counter share or anything like that. The counter itself witnessed slow growth or sluggish growth predominantly because we were dealing with a very large base effect. As every month passes, you will witness yourself that the performance on Axis channel will start to improve. I'm very optimistic that will start to happen, starting this month. So we remain optimistic.

Axis contributes at this point of time anywhere between 51% to 56% or 57% of our sales and it is imperative that we do well on that counter. Having said that, some of the changes that you see which have been made yesterday underscore the commitment of Axis Bank towards Max Life Insurance and its desire to drive the business up. We are very closely now working alongside the management team of Axis Bank. We have great support from the m, so I remain absolutely optimistic about the growth prospects, but yes, so 3 or 4 months were a bit sluggish.

Madhukar Ladha: Right. And on the margin front. So if you look at it on a year-over-year basis, annuity, and non-par share increase in the mix has been almost about 1,100 basis points, protection has also increased,

but still our margins have grown only about 150 basis points. I know that we expect to increase investments in these channels and the banca in the proprietary channels, but I would have expected a slightly higher improvement in margins given such a big change in product mix. So your comments on that.

Amrit Singh: Madhukar, this is Amrit. Thanks for that question. Your observation is correct, Madhukar. I think the mix has improved and you would have expected a higher margin expansion, but there are two underlying factors which is causing this. One is the new initiatives and all the new capacity that we have been installing over

the last 6 to 8 months and given our reporting mechanism is of actual costs and absolute costs for the quarter and the fact that this quarter is low on sales, there is a drag which that particular thing kind of creates on overall margin profile. And that's a fairly substantial drag. There is another element of the drag which is more to do with underlying variants and mixes and also the curve's movement during the quarter, which has had some bearing on the margin profile of each of the categories, but we have taken pricing actions around correcting some of these things and that will get corrected. With respect to opex, some part of that drag will remain and that's also the reason for us guiding a lower margin profile, but as the year matures and sales volume picks up, the operating leverage will play out.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Just firstly, on this non-par bit, what is the kind of pricing action that you just alluded to that you would have taken with how and what kind of action you would have taken in this quarter or post or in 2Q so far. And also I would like to understand on the same, continuing on the non-par piece, as to what is the kind of demand on the ground and the category of 5 lakh plus. How has that changed in the new tax regime? That will be my first question.

Amrit Singh: On your second question. There is no impact that we have seen, so far, with respect to the mix of greater than 5 lakh business, the traditional business, which was impacted by tax regulations, that mix has remained largely similar to how it was last year, in the same quarter, though these bases are smaller.

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So but on the small base right now we haven't really seen any impact coming through which is material. Coming to the actions that we have taken on non-par, these are generally a reduction in IRR of the products, which are in line with how the interest curves move. So these actions are on those lines where we have been correcting over the past now a few months actually progressively the IRR, making it more in line with the interest movements.

Prayesh Jain: And the other question was on the banca channel again, while you mentioned that you haven't lost any share on the Axis Bank front. But how are the other banks kind of, your other partners, performing? And how do you, kind of see the ramp-up from the banca channel going ahead? And just, I'll just slip in one more. It's on the protection bit, wherein, what's kind of driving the retail protection demand? And what kind of growth do you envisage for the full year?

Prashant Tripathy: All right, I'll take that. On the banca front, our two largest counters saw open architecture over last 12 to 15 months. And mathematically speaking, that's why you saw our growth being impacted, but in both our counters, large counters, Axis Bank and YES Bank, the open architecture has stabilized. The number of players who had to come on the counter have come and hopefully, from here on, the growth that the bank will achieve, I think, we will be able to mirror the growth. So we will witness good growth. So it won't happen that the bank grows and we don't grow, because open architecture, etcetera, which is in a way a very positive thing, but of course, it was a painful process over last 12 to 15 months that we had to go through. We are acquiring new banks, and I'm very optimistic about it.

So far, we have signed up five small- to medium-sized banks over last 7 to 8 months, Tamilnad Mercantile Bank, Ujjivan Small Finance Bank. We signed it up with DCB. We have signed with Capital SFB and we have signed up with South Indian Bank. And on two of the counters we already started to work, we are seeing reasonable traction, though the sizes are small, but I think these are relationships for

or future.

And as every quarter passes, we will have more and more share coming on those on them, so I remain quite optimistic about our ability to grow. At the same time, we also signed up with 10 of the largest brokers, two or three large corporate agents. There is big effort which is taking place towards securing more and more counters. And hopefully, through all of them, you, we will start to witness growth come through.

So I think my narrative will be the tough phase on banca seems to be coming to an end. And I think, with the momentum that we are seeing on proprietary channel, with our banks firing, I think Max Life Insurance' performance on new sales will continuously improve.

On your question on protection. We saw 36% growth. This is better than how we were expecting at the beginning of the year and it has two reasons to it. I think the biggest reason is base. During COVID, before COVID, that entire phase, we saw good demand from customers and that was being driven by the pandemic. Once the pandemic got over, the demand stabilized for a couple of years,

but starting this year, we started to see that the demand has picked up. The search queries have gone up. More and more numbers and a number of people are coming, trying to buy protection. So that's the demand side, also on supply side. We worked on buffering up capacity in underwriting, looking at which segments we want to work on, renegotiating and onboarding a new reinsurance partner. Some of the flexibilities that we are seeking are available in terms of the sum assured that we can offer that the type of customers we could go to, the number of cities that we could go to, all that starting to help.

So there has been work on demand side or improvement on demand side as well as on supply side. As a result of this, it has picked up. And it's not just Max Life. We have seen that across all industry,

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our brokers, etcetera, so overall good news. And we are a prominent player in terms of penetration.

We are number 1 as a percentage of sales. We are number 1 and I'm quite optimistic that this

growth trajectory will continue to remain high as we traverse through the year.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: I have one simple basic question: why Axis has stopped at 19% instead of 20%, why that optionality of not picking up to 20% in one go. Any reason to understand that point why 1 percentage of left over? That's my first question. And then I have two questions on the operational side and maybe I'll ask afterwards.

Prashant Tripathy: I think the reason for that is the approval that was sought and the volume that was sought of INR 1,612 crore and, honestly, whatever is the valuation that has come. So it's a mathematical outcome.

There was no intentional effort actually to keep it at 19% and not 20%. So it was dependent on the valuation. And the valuation has come to, whatever, INR113, because of which, the reverse solve is about 7%. So that's what they are going to take. The objective definitely is to go up to 20% as soon as possible. So we are moving sequenced. And there is no agenda here, honestly.

Sanketh Godha: Got you. And sir, this 1 percentage will be more, this 1 percentage will be more and more like primary again. Or it most likely will be a secondary one?

Prashant Tripathy: It is expected to be secondary, not primary.

Sanketh Godha: Okay, perfect. And second question is regarding the opportunity size that you might have assessed, these new relationships South Indian Bank, UCB, Ujjivan, Tamilnad Mercantile Bank and new broker relationships, what that you have got into. I mean internally you might have assessed what this size in APE terms could be for you. So just wanted to understand, potentially if it plays out as per your plan, how much these relationships can contribute to your top line and give

in these all channels are

open -architecture channels. So I just wanted to see, understand the delta what you can expect coming from new relationships.

Prashant Tripathy: So these are strategic relationships and they're built over a period of time, so honestly, I'm not giving any huge forecast about this year in terms of how much sales they will deliver. Of course, the sales will be moderate this year, but I am very optimistic that these are strategic partnerships and they will build over a period of time. So over next three to four years, all the new accounts, new banks, new brokers, new corporate agents that we're signing up, we will try to hit a 4-digit number in terms of sales coming from them every year.

Sanketh Godha: Okay. And so in 3 years, I can expect it to be closer to 4-digit percentage. That's the way I should understand?

Prashant Tripathy: So four years time, I mean close to 6%, 7%, my sense.

Sanketh Godha: Okay, got it. And the last one is on two data keeping questions. One, on EV. How much of economic variance contributed to the 20% growth? That's point number one. What is the economic variance number sitting in the EV part? And second, on annuity part, the growth is very extraordinary, so we just wanted to understand. This is more driven by individual business or group business. And do you think that, that number is sustainable? Because if it is led by group, how lumpy it is in the current quarter?

Amrit Singh: So on operating variance in the EV, I think that was your first question. That's around INR133 crores

Sanketh Godha: Economic variance, Amrit.

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Amrit Singh: Yes. That's largely economic variance only, INR133 crore.

Sanketh Godha: Okay. And on annuity?

Amrit Singh: Annuity. So look. I think we have established a full retirement machinery, which actually entails us now tapping into corporates, tapping in to retail individuals, tapping into National Pension System (NPS), ecosystem. And we use product chassis of individual annuities and group annuities. So though the growth as from a categorization perspective is driven by group annuities, but the reality is that it is actually very granular.

Even in a corporate annuity kind of a program, you have to go and meet that individual or influence that individual who is retiring and whose superannuation corpus is now becoming available for annuity to be sold, so I would actually advise you to look at annuity collectively rather than segregating it into individual and group. Because it is not that lumpy in its nature because of the way we have kind of orchestrated assets. There will be certain deals which will come our way once in a while where it should be large in its size and ticket.

Sanketh Godha: Yes. The reason I was asking this question, Amrit, was that if it is more group annuity, that typically the product what you will be selling will be immediate annuity, which I believe will have a lower margin profile compared to a deferred one. So just wanted to understand. This group annuity is better than the company average or may be at par or lower than the company average?

Amrit Singh: So it is the margin profile is slightly lower. You are right, but I mean it's actually there's a need for the consumer. Various different tools are available to sell for it at the end of it, such a strong growth of 260% in APE that we have demonstrated. This is all VNB accretive and anyway, this profile is also margin accretive.

Moderator: The next question is from the line of Adarsh from CLSA.

Adarsh: Question is on when you look through this particular deal, right, that Axis has got more control in terms of appointing Board members. Now how should like would as management now be very comfortable with the fact that market has been thinking of wallet share losses further because you have more partnerships in Axis. So does this make you feel very comfortable

le about wallet share now
in Axis counters?

Prashant Tripathy: Adarsh, thank you very much. I think, as management, we've been repeating multiple times that we have been very comfortable with Axis Bank and how our counter share position will be. I've repeated multiple times that everybody should expect us more in the range of between 65% to 70%; or 70%, plus, minus a few points.

So with this change, actually it's not an additional comfort to management. I think it is an additional comfort to investors and analysts community because we always knew about it, but yes, you're right. With these changes which are quite positive in nature, I think Max Life Insurance is set up for growth, is set up for higher collaboration and better guidance and alignment with Axis Bank and its top leadership.

Adarsh: And one more thing here. I think somebody asked, but I don't know if it was unanswered. Was any change in economics which except because when we were trying about this deal of giving a stake for a longer banca partnership. It didn't involve, at least to start with, a payout of so much by Axis, right, so could there be any changes in payout which could affect margins for Max Financials over a 2-, 3-year period? Do you envisage that?

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Prashant Tripathy: In the context of what we are trying to build together and what Axis Bank is going to participate in, these amounts are not quite material. And this is a strategic investment for Axis Bank and Max Life Insurance, so the answer to your question is no. We will continue as it is and we will try to do the best that we can. The value creation opportunity in this space, where we are indeed scratching the surface, and the franchise is really good. Axis Bank saw value in coming at the fair market value, as against the discount that they were getting.

Adarsh: Got it. And my last question is on protection, Prashant. You did mention part of the growth is aided by the base effect, right? Like, post COVID, things have been slow. I just wanted to understand, now in terms of how underwriters or reinsurers are looking at it. Do you get a sense that there are thresholds of what they want to clear and underwrite? Are that changing? Or just that people are getting used to higher threshold of what will pass as a file or something of that sort.

Prashant Tripathy: I think, as a country and not specifically COVID example, as a country, the experience has evolved. And I think there is high level of alignment and understanding between the three constituents: the reinsurers, the life insurers as well as customers. The prices have increased in general.

We have understood what kind of profile or mortality profile is going to come forward and that has given a lot of comfort to reinsurers also. So they have been loosening. I have noticed that on certain elements they have loosened. And there's finally a trade-off between price and flexibility so, I will say, better situation, better understanding. And that will go a long way in terms of driving growth for all the constituents.

Moderator: We'll take the next question from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: The first one is essentially on your outlook on the non-par business. Given the fact that you have repriced the product now, do you expect the momentum to continue? And hence, do we expect the non-par share to remain at similar levels towards the end of the year?

Prashant Tripathy: Thank you, Nischint. That's a great question. I mean when we finished last year last year, of course, the bias towards non-par was higher. And we have made conscious efforts this year actually to rebalance. And a lot many times, the product mix also gets driven by the products of the season. So for example, last quarter, we launched a product which was more in par space. And of course, par gained ground.

As we are moving th

rough this quarter, we have a very strong ULIP plan as well as a non-par plan, which are scheduled to be launched, but on a long-term basis, Nischint, we will attempt to be closer to 40%. I mean that's our attempt. And in terms of acceptance, yes, I mean, this year, the stock markets ran. So there is higher acceptance towards ULIP, but the category remains quite strong and it has value. So I'm not expecting that the demand for non-par is going to dwindle or the share will go down. We will try to be closer to 40%.

Nischint Chawathe: Question in different words. When we look at the VNB kind of bridge at the end of the year, would you have sort of a negative in the business mix line item?

Prashant Tripathy: If you could clarify what the question is, Nischint.

Nischint Chawathe: No, I mean to say that, when we are looking at the VNB at the end of the year and you have kind of given the guidance for kind of some compression in margins. Then would you see the new business line item, the business mix line item contributing to it? Or is it anything else?

Prashant Tripathy: No. It will be new business line.

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Amrit Singh: No, no. I think, Nischint, your question is that will mix cause margin shrinkage.

Nischint Chawathe: That's what I was trying to say, yes, excluding the investments and overruns.

Amrit Singh: It will. Because non-par proportion of last year was quite high given what happened in the last quarter and also quarter 3, when we had a product launch around the non-par side. We will like to keep the non-par steady around 35% kind of levels for the year, 30%, 35% levels for the year, whereas it was upwards of 40% plus last year. This is non-par savings, but protection and annuity are in addition to that, but from a shrinkage perspective of margin profile, there will be a mix and there will be costs both.

Nischint Chawathe: Second question is on your counter share in Axis Bank. The other bancassurance partner mentioned a high single-digit growth at Axis Bank. So I think we are in sort of flattish to minus 1 or minus 2, so is it something that there was a change in counter share during the quarter? And how do you read these numbers?

Prashant Tripathy: So it goes up or down, actually, Nischint. There was a particular month where we lost a bit of counter, but we regained. So like I mentioned to you, we should remain range bound between 70, plus, minus 2. That's the kind of number and we are in that range. So there will be months where you will see other partner growing more than the bank. There will be months where you will see we growing more than the bank. Those possibilities do exist, but we are in the range.

Moderator: The next question is from the line of Neeraj Toshniwal from UBS India.

Neeraj Toshniwal: I wanted to understand. Is there any change in strategy towards credit life? Because it seems to be doing very well in this quarter?

Prashant Tripathy: Yes. I mean, of course, we are trying to acquire new partners. There's reasonably high level of aggression as well as growth and more counters have been won. Like I always mentioned, the level of flexibility to drive the business in the context of changed guidelines and regulatory flexibilities have enhanced our ability as well as desire to be significant or reasonably significant players in this space, so we are pursuing this agenda reasonably aggressively at this point, Neeraj.

Neeraj Toshniwal: Got it. And what kind of run rate we can expect similar, we can assume for the coming quarters. Or maybe more relative.

Prashant Tripathy: Yes, you should see growth. You should see robust growth come through.

Amrit Singh: So we grew 27% in this category in the quarter, and you should see further acceleration to this number.

Neeraj Toshniwal: Got it. And second would be on ULIP. I think, against the industry, where peers are doing phenomenally well

I in ULIP, I think we are indeed because of probably higher base it's looking a little weaker. So what is our strategy? Is it a conscious strategy to be lower in terms of ULIP? Or we may see a pickup here happening.

Prashant Tripathy: No. You will see pickup in this quarter actually. Like I mentioned to you earlier in the discussion, that we are launching a new ULIP design. We are going to launch it. And it will be present on e-commerce space, on the banca space as well as agency. However, we are not going to open it to just about everybody. We will be very selective about it and it will be given to people who are capable of selling, so the presence will be more on with perhaps bank RMs with our top agents on Policy bazaar counter. So those are areas where we'll open ULIP selectively, but you should see ULIP proportion increase as well as having its impact on our growth.

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Neeraj Toshniwal: Got it. One more question is on the resources. I mean how many people you have deployed with Axis Bank before the loss of Wallet share. Now how many resources would be there? If we can share that data?

Prashant Tripathy: So rather than giving your number of resources, let me say percentage. We are 26% higher than last first quarter, to this first quarter.

Neeraj Toshniwal: Okay. And last question is on the timeline of the deal. When can we expect this deal to close? And any further plans and further update to Analjit exit and which may happen? Because now if Axis would be in control, what's the rationale of him being on the Board? Or will he continue on the Board? How do we think about that?

Amrit Singh: So on your first question, around timelines. The timelines that we are envisaging is anywhere between 3 to 6 months. This entails, we do intend to share out a postal ballot for the shareholders to approve and in parallel also reach out to the regulators. This will require IRDAI and now PFRDA as well because we have a pension fund subsidiary where we are the sponsors and any change there also requires their approval. Or the sponsor requires their approval and CCI nod as well.

So we are anticipating a time horizon between 3 to 6 months to conclude and complete this. With

respect to Analjit Singh, who has been the founder, chairman of this company and then has built the franchise, he continues to be the chairman until we indicate.

Moderator: The next question is from the line of Prudvi Raj Saha from Agam Capital.

Prudvi Raj Saha: I wanted to ask. In the NPS, in the annuity business, I wanted to understand where NPS stands. Maybe currently it's not very meaningful, but in the larger scheme of things, how do you plan, how do you expect this to contribute to the annuity business?

Amrit Singh: As I indicated to you, we have now created a holistic retirements team which actually is tapping into all the three ecosystems, the corporate annuity market, the individual annuity market and also being present in the National Pension System (NPS) annuity market. National Pension System there are maturing customers. And obviously maturing profiles will only keep building up as time kind of goes by.

You know that this ecosystem was set up in 2004. And some of those of those retirees have started hitting in. Now we are quite present with respect to, at present, we are actually contributing, but it is right now not very meaningful at the moment, but definitely we expect this to become bigger and larger as time progresses.

Prudvi Raj Saha: Okay. Another one, on the state insurance, wherein you have allotted a couple of state facilities to that, can you quantify what will be the impacts we can expect from this in terms of business?

Prashant Tripathy: It is a bit premature actually to talk about the volume numbers, but we remain very optimistic and we are going to participate. There are two states. The largest of them is Uttar Pradesh, which has been

allocated to us. We are right now putting the plans in place, deploying resources. And the big vehicles through which we will approach state insurance plan will be Bima Vistaar as well as PMJJBY. Those are two products that we'll be driving.

Moderator: The next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: I have a question on the new product, the SWAG par product that you have launched. So back in third quarter '22, also you had launched a new par product, which did quite well. And as far as I remember, that was also a higher-margin and probably a longer-term product is what I remember.

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So can you give some colour about the product? And also, with these two new products, can we now say that your par book is effectively no longer the 10% to 12% margin book? It's a higher margin book, in case its SWAG is also a higher-margin product.

Amrit Singh: So we did launch this product in the month of June, SWAG par. And as was mentioned in the opening remarks, this product has done exceedingly well in its launch period and continuing until now. This product has very similar to the principles of the non-par SWAG product that we had launched in quarter 3 of last financial year has many flexibility options with respect to payment terms, policy terms, income period, starting income, bonus elements and guaranteed portion of the bonus elements, etcetera.

So it's a very comprehensive and a holistic product, which has been very well accepted by both customers and distributors, from our perspective, and has definitely augmented the par portfolio which Max Life has been known for in the industry. Is the margin profile of this product profile better? Yes, it is better. It is better than the traditional par products that we have been running.

Shreya Shivani: So fair to say that in the future, majority of your par book will have more non-traditional par policies which have a better margin profile, right?

Amrit Singh: It will, I mean there is obviously other par designs also which continue to sell, but par portfolio should improve at an aggregate basis on margins, yes.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Just a question on a couple of regulations. Firstly, on the expense-of-management regulations, do you see any changes in the commission payout? And what are your thoughts and strategies to kind of implement this regulation or take advantage of this regulation? Secondly, on IFRS implementation, there is talk about a few of the insurance companies moving to IFRS from, if I am not wrong from FY'25 onwards. What are your thoughts? And how is your preparedness? And what would be the implications on the numbers as and when it is implemented?

Prashant Tripathy: The expense of management, actually it creates more flexibility. Rather than looking at commissions, it focuses on overall company expenses, so there may be change of colours in terms of how we recognize expenses. However, at a total expense level of what we were incurring as expenses, I'm not expecting any change to our expense profile, which means that, at total commercial level, we are not going to incur any additional expenses. However, there will be reclassifications which have possibility.

On IFRS, we are from chosen companies and we are working. We are working with KPMG as our partner, to be prepared. The core team has been working on it. There is a lot of push from the regulator to move to IFRS as soon as possible. We are one of model companies who have to go in the first tranche of implementation. And we are very optimistic we'll be able to conclude it as time progresses.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: The last one I have is that, after these 6 months, the timeline for the current Axis stake increase approval, when you will

It starts that reverse merger process; and expected timeline, probably, given you will need to take multiple approvals there also how much timeline you believe will take for the entire thing to collapse and Max Life to become the listed entity.

Prashant Tripathy: So one step at a time is what I will say. Right now the focus and attention is going to be to consummate this 7% and subsequently the 1%. Once all that is done, we'll initiate the process of

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doing it. I think that will be a longer process, so assuming that we are able to do this transaction over 6 to 9 months, you should expect a further period of about 18, 22 to 24 months to do that.

Sanketh Godha: Got it. Perfect. So basically it's, if I add up all the numbers, all the months, maybe it's a 2.5-year kind of a scenario to, everything to consummate, right?

Prashant Tripathy: You're right.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.

Amrit Singh: Thank you, Michel and thank you, ladies and gentlemen, for being on our call. We look forward to more such interaction in the future. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Max Financial Services Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines.

Thank you.

Call: Nov 2023

November 6, 2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL

Dear Sir/Madam,

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, Transcript of Investors & Analysts Conference Call held on November 1, 2023 post declaration of Un-audited Financial Results of the Company for the quarter and half year ended September 30, 2023, is enclosed.

The same has also been uploaded on website of the Company at

<https://www.maxfinancialservices.com/static/uploads/financials/earnings-call-transcript-q2fy24-06-11-23.pdf>

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

Piyush Soni
Company Secretary & Compliance Officer

Encl: As above

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Max Financial Services Limited
Q2 FY '24 Earnings Conference Call
November 01, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Max Financial Services Limited Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amrit Singh, Chief Financial Officer, Max Financial Services Limited and Max Life Insurance Company Limited. Thank you, and over to you, sir.

Amrit Singh : Good morning, everyone, and welcome to the earnings call of Max Financial Services for the half year ended September 2023. We made our results available on our website as well as on Stock Exchange last evening. I hope you got an opportunity to go through it. Today, I'm again joined by Prashant Tripathy, MD and CEO of Max Life Insurance. And I will hand to Prashant to actually share the developments of the first half.

Prashant Tripathy : Thank you, Amrit. Good morning, everyone, and thank you for being on the call. Let me first begin by giving you a quick update on the Axis transaction. As you may recall, in quarter 1, we had received approval from Max Life and Max Financial Services' Board regarding Axis Bank infusing INR 1,612 crore. Post that approval, MFSL has received shareholder consent and we have initiated the regulatory approval process with IRDAI and PFRDA.

At this point of time, our proposal is moving forward. We had received the first set of query, we are in the process of responding. We are actively collaborating with
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the regulators for completion of these procedures. And I'm very hopeful that over the next few weeks, we'll make good progress.

Transitioning to our business update, I'm pleased to report that Max Life has been able to accomplish significant growth outcomes, and we have picked up pace consistent with some of the updates I've been sharing with you over the last few quarters. I'm now going to outline accomplishments against the called -out areas, four or five areas, which are of strategic importance to us.

Firstly, as you may recall, we are trying to build a predictable and sustainable growth by focusing on enlarging and building distribution. And in the second quarter, our individual adjusted first year premium saw an impressive increase of 32% compared to 16% growth in the private sector. This growth was primarily driven by a remarkable 34% increase in the number of policies, indicating a robust market demand and our superior execution capabilities. If one were to compare the number of policies growth for private versus Ma

x Life Insurance , our growth

will be almost 3x. It is crucial to emphasize that this growth was not limited to a specific area, but permeated to all key aspects of our business, including distribution, product innovation, technological prowess and customer service. Our proprietary channels witnessed substantial expansion with the Annual Premium Equivalent (APE), surging by 50% in this quarter. This growth was particularly prominent in both online as well as offline proprietary channels. In the online sales, we maintained our leadership position in the protection segment and successfully entered the savings segment last year. I'm delighted to announce that in quarter 2, we achieved a leadership position in the savings segment as well. This area is a very dynamic and with the progress that we've been making, I'm very hopeful that we will be able to strengthen our overall position in savings area. This accomplishment was possible due to our deep understanding of the digital landscape, coupled with a comprehensive product strategy tailored for online success.

In off -line space, Agency channel experienced renewed growth through new agent activations and adviser recruitments, experiencing a growth of 62% in

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recruitment. Additionally, our direct customer acquisition channel saw improvement in efficiency and contributed significantly to the overall growth.

Our Banca channels also demonstrated strong growth , driven by momentum in sales in Axis Bank. In quarter 2, our bank channels, APE experienced an impressive growth of 30%.

Furthermore, as a part of our strategic efforts to enhance our distribution network, we successfully onboarded eight new partners during the second quarter of FY '24. This included a strategic partnership with AU Small Finance Bank in the digital space.

Our ongoing initiatives to scale up our offices is progressing well, and we anticipate sustaining this positive sales momentum as we go forward.

Talking about product innovation and its impact on margins. Quarter 2 was also fuelled by introduction of new and competitive products offerings, aimed at capturing a larger market share. In line with our growth objectives, we have introduced two offerings in the market. Firstly, we launched industry -first index on focusing on small cap in unit -linked insurance plan design, achieving huge success. And we also launched a new product called SE WA, where we expanded into Health and Wellness sector through our flagship product design Secure Earnings and Wellness Advantage Plan.

This pioneering offering integrates health, protection, savings , and holistic wellness benefits, catering to the evolving needs of today's consumers. SEWA provides comprehensive coverage, including hospitalization, ICU, surgery, critical illness, disability , and life cover solution, which brings many, many things under one platform. Additionally, customers gain access to Max Fit wellness digital app, encouraging a disciplined and healthier lifestyle by offering enhanced maturity benefits.

Alongside these offerings, our participating offering launched in quarter 1 has garnered substantial success revitalizing this segment. These innovative products have resulted a well -balanced product mix in the first half of the year. On Annual Premium Equivalent (APE) basis , the product mix comprises 21% participating,
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26% non-participating products under Savings category, 30% Unit-Linked, 6% Annuity and 17% Protection.

We continue to gain traction in the two identified focus areas for Max Life, which are retirement offerings and product Protection and Health. In the first half of the year, the Protection and Health segment experienced a growth of 55% and the annuity sales increased by 217% on APE basis. This growth in annuity sales stemmed from both single pre-

mium as well as limited premium plans.

Additionally, Max Life Pension has achieved asset under management of approximately INR 409 crore as 30 September 2023.

Since morning, I went through a few analyst reports where there were issues highlighted with respect to the margins of Max Life insurance. I must like to highlight that margins of a life insurance company in the context of quarterly sales are very dependent on the types of products that we launched. As I shared in the first half of the year, there was a lot of focus on participating as well as unit-linked plan. And within unit-linked to drive the online sales momentum, we had launched an index-linked plan where inherently the margins are lower. So as a result of that, the first half margins appear to be 24%, quarter 2 was 25.2%, and the margin is on an upward trajectory, however, lower than last year.

Max Life Insurance had guided that we would be in the range of 27% to 28% by the time we finish the year. Our second half margins historically are always higher than first half, and I'm very hopeful that through the bouquet of products that we are going to launch in the second half, predominantly focused on non-PAR will rebalance the overall mix in favor of those products, which will drive margins. And I remain optimistic to hit the 27% to 28% target. So that's -- I just wanted to state upfront about our margin situation. On the third element of customer obsession across the value chain. At Max Life, our steadfast dedication revolves around providing our customers with a substantial value proposition and continually striving to enhance the overall experience. Our exceptional claims rate ratio of 99.51% in FY '23 serves as an evidence of our unwavering commitment to customer obsession.

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In first half '24, we are delighted to observe a 3-point enhancement in our overall company Net Promoter Score rising from 52 to 55. I would like to highlight that Net Promoter Score methodology, not just focuses on transactions, but also on relationship vectors. Across the transaction NPS, our current NPS is about 72, which is really quite superior on the transactional basis.

Furthermore, Max Life proudly maintains its position as a market leader in terms of 13th month persistency on number of policies. Specifically, our 13th month persistency of regular limited pay premium stood at 84% and our 61st month persistency was at 58% for the period ending September 2023 achievement underscores the trust and loyalty of our policyholders in Max Life.

Talking about some of the digital initiatives that we undertook to drive efficiency as well as intelligence. Our focus on technology touches various aspects of our operations, including product launches, prospecting, onboarding and customer service. By leveraging agile methodologies, we have achieved operational excellence and high-end efficiency. We introduced the Max Fit App, our health and wellness platform for customers purchasing the SEWA product, as I shared earlier. This app offers important features such as vital tracking, physio connect, health checkup, doctor consultation, chronic disease management and discounts on labs enhancing customer experience significantly.

Our prospecting methods have been enhanced through mSMART, a tool for all our new partners, and a renewal management system is now live for our major Banca partners. Over the last 18 months, we have completely transformed our activity tracking as well as onboarding methodology for all our distribution partners.

Furthermore, our cloud infrastructure has been reinforced with our core systems going live on cloud, a pioneering step in the industry and in the country. This move is integral to our legacy modernization efforts, providing greater resilience through near real-time disaster recovery and scalability.

We are informed by Oracle that we are the only second company in the world to move

the Ingenium core system to cloud. In our pursuit of leveraging AI capabilities, we introduced SalesGenie, a generative AI-based virtual training

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companion for frontline sales. Additionally, a gen AI based SEWA bot pilot was

launched for customer service team query resolution specific to queries on SEWA products. These initiatives highlighting our unwavering commitment to digital transformation and utilizing cutting-edge technologies to enhance customer experience and operational efficiencies.

In summary, our strategic initiatives to fuel our growth are yielding results in line with our expectations, positive growth across all parameters bolsters our confidence in the chosen path. We are optimistic that the upcoming initiatives planned in Q3 and Q4 will enable us to achieve our full year guidance.

I'm going to now hand it back to Amrit, who will provide an update on the financial performance.

Amrit Singh : Thank you, Prashant. Just on key financial metrics. For MFSL, the consolidated revenue, excluding investment income, now stands at INR11,221 crore , a growth of 16% compared to first half last year. The consolidated PAT for MFSL is at INR271 crore , up 109% year -on-year.

Renewal premium for Max Life grew by 11% to INR7,215 crore , and gross premium stands at INR11,496 crore , a growth of 16%. Value of New Business during this period of first half stands at INR663 crore versus INR586 crore last year, representing a growth of 13%. And as Prashant highlighted, the NBM for first half stands at 24% and for quarter 2 at 25.2%.

Embedded value as at 30th September '23 is INR17,911 crore . There is negligible operating variance in the first half. On the non -operating variance, there is a positive INR282 crore movement, which is mainly constituted by positive economic variance in equity market and interest rate moves. Operating ROEV for Max Life in first half FY '24 is 17.5%. The overall policyholder opex to GWP ratio is at 15.4%. Max Life FY '23 profit before tax is INR260 crore , an improvement of 81%. And our solvency is at 184% with AUM at around INR1.34 lakh crore .

So, with this, to conclude, we remain confident in our leverage our strength and continue delivering sustainable value for customers, shareholders, employees.

And we remain committed to our purpose of inspiring people to increase the

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value of life . We will be now happy to take any questions that you may have, and we will open the floor for Q&A.

Moderator : Thank you very much sir. We will now begin the question -and-answer session.

We'll take the first question from the line of Swarnabh Mukherjee from B &K Securities.

Swarnabh Mukherjee : So, two-three questions on my side. First of all, thank you for confirming the marginal outlook. I just wanted to understand that you mentioned that the second quarter, the margin expansion will be due to scale up in non -PAR given product launches. So right now, the share of non -PAR in the mix has gone down significantly as ULIP and PAR has grown. Just wanted to understand would product launch and scale up be sufficient to take us to our ask rate for second half of margin so that we are able to lead that?

And also , how to think about growth in second half given that the size of non -PAR as you have disclosed is slightly lower than where it is for ULIP. So , should we see kind of this 25% growth, which we have in the first half? Or should we expect a slightly lower number than that? So that's the first one.

Secondly, sir, in terms of Banca, if you could highlight where our counter share for Axis Bank lies and if I could break down the growth between Axis and other banks, how to look at it.

And thirdly, if you have given that because of the business mix and investment, there has been a negative impact in VNB. So , if you could just give us some color on that, what will be cost aspect which has resulted from t

hat? How should we

think about cost in the second half? Those are my 3 questions.

Prashant Tripathy : Okay. You asked many questions. Let me try and attempt answering a few of them. So , thank you for your question. I think these questions will be common across many people. Overall, the product mix is an element of 2 factors, the customer demand as well as tactical interventions that we make through launches of new products.

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I personally believe that the par segment got strengthened, but it came at the cost of non -PAR going down a little bit. And it was driven predominantly because of the tactical move of PAR launch. Again, within ULIP, while the ULIP mix is similar to how it was last year, we wanted to drive a number of policy as well as our presence in the online space, and hence, we had to launch an index -linked kind of design where inherently, the margins are lower.

In the second half of the year, the tactical interventions in terms of product launches are going to be more biased towards non -PAR. That's a part of our calendar, it's a part of the design, and that's going to have an impact on driving the overall mix in a positive manner so that we are able to improve our margins. Again, as the business builds in the second half, you would notice that about 60% of the sale actually comes in the second half with respect to first half. So , the overall leverage also in the business drives the margin. And as a result of that -- and I went a few years looking at the data of last few years, generally, the second half margins are higher.

So as a result of that, I mean, we are following a well -chosen predecided product calendar. And we remain absolutely optimistic about the margin guidance. As the year began, I had shared that the business will be making investment towards growth and market share. And hence, the 31% margins was not sustainable for us, which we achieved last year, and we had given a guidance of 27% to 28%. We remain committed to that, and we are very optimistic that we 'll be able to go in that range.

On your question on growth, I think, our guidance, as you may remember, March last year was an extraordinary month because of tax changes where the sales volumes were pretty high. So , we had given a guidance that on a full year basis, we will hit a double -digit number, and we are working towards a double -digit number. So , on sales, our commitment again is towards the guidance we have given. At this point in time, it is very hard for me to say whether the sales momentum or sales trajectory is going to remain exactly as per first half or not.

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The first half momentum, you will also notice the first quarter, our sales were quite tepid. So , all I can say is momentum is building by every passing month, and we are trying very hard to deliver a strong double -digit kind of growth rate as we finish the year.

On your question on Axis and other banks, our counter share remains stable. We've been told by Axis Bank , overall we've seen our overall counter share to remain in the range of 65% to 70%. We remained stable at around 70% in the first half of the year. Equally on, Yes Bank, our counter share is very stable at around 58%. It's plus/minus 1%. So that's where we are. And we are happy that our execution still is helping us maintain our counter share. So , I remain optimistic that we will be able to drive growth through our bank partners.

On your question, VNB colo ur into cost and business mix, I'm going to just hand it over to Amrit actually to talk through this. I think the cost is fairly stable, as you would have noticed. Of course, there are allocation -related adjustments which are made between other lines and commissions in view of the commission guidelines. But otherwise, the cost is pretty stable. Of course, we have made investments in opening new offices, which will start to get realized but otherwise, I'm

not

anticipating that cost is going to be completely out of sync with respect to the guidance that we've given. And hence, the VNB is going to be predominantly an outcome of the mix that they are going to drive in the business. I hope it answers all the questions.

Amrit Singh : Yes. I think I'll just add, Prashant. I think just stepping back at the start of the year, we had indicated that this is a year of investing and driving for overall buildup of distribution and hence garnering our market share. And a large part of our investments were predominantly in two areas, either it was in augmentation of distribution muscle , or it was towards investment in technology. And I think we are on that trajectory , and we will continue on th at trajectory. So , this elevation that you see of opex is something that will kind of remain in the period in this particular fiscal for sure.

Swarnabh Mukherjee : Just a couple of follow -ups. One is on the Banca mix ; I just wanted some color on how the growth has been between Axis and others? I mean, the 31% growth, if

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you could give some sense by what percentage Axis channel had grown and by what percentage other channels have grown because my sense is that other channels growth must be much more higher than Axis. So , some colo ur on that.

And on the cost, I just wanted to understand, you have mentioned that in the presentation that first half policyholders expense to GWP ratio is around 15.4%.

So broadly flattish now given that GWP has gone up by 16%. So , you could assume costs have been going up by 16%, 17%. In the second half, the operating leverage we were discussing about , if the growth in expenses remain at a similar rate would that play out or no t that is what we want to focus?

Amrit Singh : I think , if I understood your second question correctly, the operating leverage plays out largely because of volume and the absolute volume of sales and absolute volume of opex . Even though there is a growth in opex , but the absolute volume is where the leverage kind of kicks in generally for us and this is historical. I mean if you go back in years and see how our second half margins look like. They do benefit because of the way we allocate and the way cost is actually attributed. So that is where the leverage comes from. And that is what we expect in this particular year itself, even though March might be a muted month, but still an absolute rupees crore of sale for the second half is much larger than how the opex actually stacks up.

On your specific questions around the color of growth between Axis and our other partnerships. Axis actually for the quarter 2 and equally for other partnerships as well, has grown upwards of 28% is Axis growth in quarter 2 for us. And other partnerships have grown at around 60%. So , for the quarter, our Banca partners have grown at the range of around 30%.

Moderator : Thank you. We'll take the next question from the line of Avinash Singh from Emkay Global Financial Services. Please go ahead.

Avinash Singh : A couple of questions. If you can just help us understand sort of what is working for you in the annuity? Because typically, annuity has been something that you used to sell more in the second half, but this year, even in the first half, you are selling a good amount of annuity and particularly the trend in the industry on Page 11 of 21

annuity has been a bit of a mix. So I mean, what is helping you there? Is it some sort of the return of , I mean for this particular with channels, those are helping? And if at all, I mean, on a Y -o-Y basis, your annuity margins , if your margin profile is similar in the case of annuity. So that's first question.

And second, if I were to look at, I mean, your accounting profit, of course, it had come better. And particularly, if I see the growth in new business strain has been on the lower side. Is it more to do with a PAR and mayb

e single premium annuity

this year being higher than last year? Or is there something more to it?

Amrit Singh : Thanks, Avinash. I'll take this question. I think on annuity, what is working for us. I think I'll say 2 things. You'll recall, we had established our full retirement team as a construct over the last now 18 months, actually a full-fledged team has come in, which holistically looks at the entire retirement as an ecosystem, trying to tap into whether the NPS ecosystem, whether the corporate superannuation systems or whether driving the individual annuity through channels.

So this investment in actually this team overall has helped actually support the annuity growth that we are experiencing for ourselves. In addition to the team, obviously a channel dedicated to this particular aspect. There were also some product interventions and actions which were taken, wherein we created a plethora of products across regular pay products, single -pay products, deferred entity designs and the entire construct. So this has helped us keep the momentum strong with respect to annuities. And a large part of benefit is definitely coming out of our group annuity design that we are selling to superannuation customers and clients, which is actually helping us .

I think on the margin, overall annuity margin as you compare to last year does look a little weak and is not to do with a specific design actually, it is to do largely because of the mix between our business. We have seen, in line with pressure in the industry on single premium annuity, which has shifted towards regular premium annuity. But given the whole investment that we have undertaken, our overall annuity momentum actually continues to remain quite robust, as Prashant highlighted in his opening remarks

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I think on the question around profit that you see strain to be lower. I think it's to do with obviously the mix of participating being higher, which actually has more allowables and that has actually helped and also has lesser strains as a business line, which has helped in the profit profile.

Moderator : The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe : Going back to the growth argument, looking at your performance for the last 2 quarters, doesn't it look like your guidance for sort of 10% APE growth for the year is a little conservative? I mean your ask rate for second half is not very high, even if I sort of exclude the one -offs that you did in the month of March.

Prashant Tripathy : Yes. I mean you good question that it's always good to remain conservative on giving guidances. Of course, we are trying very hard for a strong double -digit kind

of a number. We will try to beat the guidance. So let's take it as that. We are trying very hard month -on-month to outpace whatever guidance is given, Nischint.

Nischint Chawathe : Sure. And on the Banca side, what would be your growth in Axis Bank on a year -on-year basis?

Prashant Tripathy : On year -on-year basis, if I look at the growth rate around Axis Bank on MFYP or paid premium basis, it is 12%.

Prashant Tripathy : For first half.

Prashant Tripathy : For first half. Of course, the business momentum picked up quite considerably in the second quarter, where we grew about 28%.

Nischint Chawathe : Okay, 28% in the second half. And on the proprietary side, if you could just highlight because your proprietary growth is very strong. So is it something that it kind of sustains in the second half, it may be moderate to the first quarter level in the second half because you can see a big divergence between proprietary or agency sales across various players. So what is it that you are doing? And is it
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something that can continue? Or is it just that you're getting some counter share out here from peers or anything of that sort?

Prashant Tripathy : So

under proprietary , and let me elaborate a little bit. There are 3 channels that we predominantly look at. The first one is agency and all agency -like models. The second one is direct sales force where our employed workforce works on different customer segments. And then the third one is all the sales that we generate either on our own website or on aggregators website under digital domain. So those are 3 areas.

As I highlighted, proprietary growth is of strategic advantage to us, and that's a very core area of focus for us for Max Life Insurance over last few quarters. Last year, we began a project with BCG to look at our agency differently to grow agency faster than how it was growing in the previous 5 years. And I'm very happy to share that in that project, we've been fairly successful. If I were to look at agency overall growth, it is clocking better than industry. I'm sure it will be amongst the top 3 fastest -growing agencies in India. And the effect of buildup of new offices is still to kick off. So once that starts to come board, I'm reasonably certain that the momentum within agency will definitely be in the range of 20% to 30%. I'm reasonably sure of that. So that momentum will continue for a while. Within DSF again, earlier, we used to only look at predominantly at the orphan customer base, but we expanded that. We're looking at digital leads. We're looking at bank leads. We are experimenting with surrender leads. And that entire scope has been enhanced plus the improvement in productivity. So those 2 put together has become a good driving force. And over the last many quarters, I have seen that particular team deliver anywhere between 30% to 40% kind of growth numbers.

The third one was in online space. Again, in online space, our protection growth consistent with the industry has started to pick up, and we have grown about ~37% on a paid premium basis. But the good part is we wanted to strengthen our position in savings space and through a variety of product levers, we could really substantiate our position and there has been an upside in growth coming strongly in the savings space of almost 4x. So across all vectors of proprietary channel, we
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are working very hard to drive momentum and that yielding outcomes. And I'm very confident , that this momentum will continue.

Nischint Chawathe : And specific to this quarter, was there a sort of slightly high push on the digital side because Q2 numbers have seen a lot.

Prashant Tripathy : That's correct.

Nischint Chawathe : I mean either way the inherent agency growth is stronger, no doubt about it, but probably that it is to push its .

Prashant Tripathy : Yes, digital growth was higher though on a smaller base, I must say. But yes, there was digital push, and we want to leverage the index -linked small -cap fund that we launched and that was a small cap that we launched. That was fairly successful.

Nischint Chawathe : Sure. And just one last point is, going beyond this year, I think you've already given margin guidance for this year, how should we really think about margins going in FY '25, '26? Is it something that you sort of revert back to '23 levels? Or does it remain flat? Or do you think that maybe 25% is the more sustainable long -term level? How should we think of it?

Prashant Tripathy : I think like I gave you the guidance to finish closer to 27%, 28%. As we grow and there is operating leverage that comes the margin will improve, but you are in a

competitive situation, you are fighting it out with competition. So that eats into margins. So honestly, over the next 2 to 3 years, we should think about the margin profile from 27%, 28% going up by maybe a couple of hundred basis points.

Moderator : Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Firstly, was there some pressure on product line VNB margins, as you h

ighlighted

with regards to ULIP, wherein you saw some pressure because of the mix changing and the launch of the new product. Similarly, on non -PAR or Protection, any specific trends that would have impacted the product level margins?

Amrit Singh : Yes. I think on ULIP, as has been mentioned, the launch of is a very unique offering for the online channel, which actually was also taken up by our banks channel as

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well, especially in the affluent segment of selling and was successfully executed.

There is a margin pressure at a ULIP line, for sure, because this particular product profile has a lower margin which actually has impacted the ULIP profile. Our participating non -PAR guaranteed savings design and the margins are stable.

There is nothing to worth mention there.

On Annuity, I did specifically mention in responding to Avinash's question that the shift which has happened between the variants actually is the reason why the annuity margins looked lower and it is not to do with specifically with the margin profile of that particular variant compared to last year. It's just the mix of variants that have been sold in it.

Prayesh Jain : Okay. Non -PAR, how many resets would have done in the quarter and because of where any resets , delay in resets, was there any pressure on margins?

Amrit Singh : Non -PAR savings, I think there is a very keen eye on to how the interest rates are moving and consequently, what happens to margin. So as a practice, we look at it on a monthly basis and make decisions keeping all parameters in pla y. Over the last 6 months, we would have done 2 resets, which has actually and it's in line with how the markets have moved. And those resets have helped maintain the momentum of non -PAR savings guaranteed businesses.

Prayesh Jain : Okay. Secondly, on the agency channel, how is the ticket size, say, compared to last year's first half and this year's first half? And do you expect the agency channel ticket size to move higher going ahead? Some understanding was given that in the first half, there was some apprehension with regards to the understanding of the tax change. And that's the reason the 5 lakh plus ticket size was not moving well in the agency channel. Is there something of that sort is happening here as well for you guys as wel l?

Amrit Singh : So the objection is right. Actually, for last year, the channels which benefited out of the taxation change in the month of March, were largely agency and in broking channels. These actually benefited the most because of that disintermediation.

And that's the reason of that expectation that as the full year progresses and

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especially when the month of March comes, there could be some moderation in that particular activity.

But specifically looking at a company level and looking at greater than 5 lakhs kind of a thing, we have seen actually even our less than 5 lakhs cases are definitely growing at 21% robust momentum, but greater than 5 lakhs are g rowing. They're definitely not degrowing. They have grown at some 5%, 6%. But the contribution, obviously, has come off a little bit as compared to last year.

So there is that pressure with respect to the contribution of greater than 5 lakh in our traditional book as compared to last year. But both of these segments stay in growth trajectory for us. And there are some interventions which are already in play or have been in play to offset some of this impact. But we had indicated that maybe half of the impact we will be able to hold on to a half is something that we get impacted with. And that's why the full year guidance is what Prashant was indicating.

Prayesh Jain : Got that. And with regards to VNB margins, you mentioned that the growth, the expansion margin, and that will be primarily given the product mix or it will be more operating leverage driven?

Amrit Singh : So it will be both actually. It will be , op

erating leverage will have an important

role, in fact, a major role. And with respect to certain product actions, pricing actions, and some of it, for example, we have already taken. I mean, in the month of October, we have corrected prices around our nonparticipating design chassis.

We have corrected prices. We are launching a new non -PAR variant in another few days from now. So some of this actually will help us shift a little bit away from participating towards nonparticipating and away from ULIP towards non -participating. So it should help us in that momentum. But it's a play of both operating leverage and the product variant that we'll introduce and the action that we'll keep taking on.

Prayesh Jain : Great. Can I just slip in one more, small one. Post EOM guidelines, have we changed the product level commission or old rates continue?

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Amrit Singh : So I think I'll just answer, I mean, there is a cost of acquisition frame that you should keep in mind. And I'll say the cost of acquisition has been maintained across our channels and our partners. There is some classification that is happening. You can see in our financials, obviously, the commission rates have increased quite sharply. But at a cost of acquisition level, you should assume that it has remained stable of how it was previously.

Moderator : Thank you. The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani : I have one question on the agency channel. So if I look at the agent count, it was at about 70,000 flat in FY '22, '23. And you mentioned about BCG activity that you had carried out. In the first half, your agent count is up 7,000. It is at 77,000 right now. So while your agent productivity is amongst the better ones in the industry, are you looking at any specific agent base, like maybe, in the next 1 to 2 years, we want to achieve this much agent base or something like that? That's my question.

Prashant Tripathy : Yes. I mean, honestly, one way of looking at it is how many people do we have in the agency workforce. But there are other ways of looking at agency also. How many of them are active, which means doing one policy every month. We look at another measure of how many agents are delivering 10 lakhs and above of new sales.

So there are several measures that we deploy. I don't have those numbers handy, maybe we could come up separately, but we are trying to drive the number of active agents and number of people contributing more than 10 lakhs. So those are 2 parameters that we internally track and that's how we drive the business.

Amrit Singh : I think I'll also point you to the recruitment momentum. Actually, recruitment is up, if you see from the same data that you're looking at as compared to last year in the ranges of 60% to 65%. So what we're doing recruiting in large numbers, which is not just driven by higher manpower being deployed for recruitment in the demand region, but also the throughput for manpower has been quite significantly up because of more structured governance and focus around how to go about some of these things.

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In addition to that, we're also working towards ensuring that these recruited agents are becoming more and more successful. So one of the big reasons for our agency doing quite robustly in the first half actually is driven by both higher recruitment quantity and also the quality effect of those people recruited which is in terms of activation.

Shreya Shivani : Got it. And just a follow -up question over there. Is it, do you also track your agents in terms of what kind of quality of customers they bring in terms of probably the profitability pool of their customer base? Or is there any linkage between their performance and the commissions you pay out?

Amrit Singh : It is obviously linked to the entire compensation philosophy of how you incentivize an agent has the linkages t

o many parameters. It has linkages to the product variants that they're bringing, the length of the product that they're actually selling, the persistency outcomes of those products, the way they kind of come s through, implications on the grievances, miss -sell, etcetera, all holistically kind of packaged in a compensation philosophy for a particular agent is designed. And that has always been the case, and there is always refinement and sharpness that keeps happen. Do we measure at an agent cohort level productivity? The answer is no. I think we do measure at a branch level, but not going down to an agent level yet. But intrinsically, the way products are constructed and where the products are remunerated, there is a very strong linkages to how the profitability of that product will turn out to be.

Moderator : Thank you. The next question is from the line of Adarsh from Enam Holdings.

Adarsh : Congrats. Just wanted to check on Axis as you close this transaction and you negotiate as a long -term partner. Just is there any difference in payouts that could have happened? Or is it product centric? How, the question I'm asking is because

eventually, they have ended up paying you a little bit more money for the stake that they have bought. So does economics stand now from a VNB margin perspective, we could see some extra payouts?

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Prashant Tripathy : So basically, the long -term arrangement and long term strategy of Axis Bank is to invest in Max Life insurance. And we're just following the regulatory guidance. I don't expect that to have any material impact on our VNB margin.

Adarsh : Got it. And since our counter share is stabilized in the Axis network at now 65%, 70%. And given that there is one more channel , one more partner added from the Citi Channel. How is the progress happening on what access Tata is getting in Axis to Citi network? And how do you expect that to impact you in terms of counter share?

Prashant Tripathy : So Axis Bank believes in open architecture. And it believes in having multiple partners at the same time, they have clarified and so have we to investors at large that Max Life is an investment of Axis Bank. And hence, our counter share will be kept at 65% to 70%. Of course, we do participate on Citibank and then the new partner through acquisition of some participants. At this point in time, I have no additional news to share in terms of their participation on Axis Bank counters. But I must like to highlight that the philosophy is to remain open architecture.

Moderator : The next question is from the line of Nidhesh from Investec.

Nidhesh : Two questions, firstly what all is included in protection and health? When we're saying protection has been grown at 70% Y -o-Y, what all products are included in that? And secondly, how is the growth in credit life business? What is the quantum of credit life business that we have done in H1?

Amrit Singh : Yes, Nidhesh. So protection and health category actually help now also includes the SEWA product that we have launched. Because with respect to the objective that it is solving for, it is very similar to the ethos of Protection and Protection & Health includes some bit of SEWA as well. And they are also similar margin profile. So it is actually a very strong grouping that has been done.

Amrit Singh : But irrespective of that, even if I take out the SEWA contribution, which was around INR 18 crore , the growth is quite robust at 50% to 52% for Q2. Credit Life has been growing at a steady momentum of 30% to 31%, and we have signed up more partners as we speak and hopefully expecting this to pick up further as the year progresses.

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Nidhesh Jain : Sir, just to confirm the margin for SEWA product is similar to protection margins?

Prashant Tripathy : Yes. More or less. More or less.

Moderator : We will take the next question from the line of Sanketh Godha from Avendus

Spark. Please go ahead.

Sanketh Godha : I just wanted to understand the digital drive strategy because of you indirectly alluded to the point that it's a lower VNB , it's a drag on the VNB margin business , on the overall company's VNB margin because at the cost the products typically sold are the index -linked, ULIP plan. So I just wanted to understand that this is like a onetime phenomenon you chase that growth with the digital channel in the current quarter? Or given the margins are lower, you might tone down that growth?

And I just wanted to understand how much is digital as opportunity of total APE.

In that prop channel, how much is exactly digital, how much exactly is agency and how much exactly is direct of 40% of total APE what you have disclosed?

Amrit Singh : So ULIP, the question, I think whenever there is a particular product offering, which is offered, there is always some bit of initial 1 to 2 months of overindexing of that particular proposition. And we don't expect the ULIP drag to be a structural permanent drag, which will remain and we expect it to settle down as the year kind of progresses. So , I think that answers the question that you were trying to ask there.

With respect to how much does our online e -commerce channel now is contributing, it's contributing around 8% -9%.

Sanketh Godha : And how much it was last year, if you remember?

Amrit Singh : It would have been around 5% -6%. So it is now around 9%-10% and has been corrected.

Sanketh Godha : Perfect. Perfect. And the second question which I had was with respect to persistency. In the presentation some data looks off because the 49th persistency seems to be higher compared to 37th month persistency, which ideally should not

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be the case. So how do I read these numbers? Generally, the persistency fall as

months progress. So I just wanted to understand that part little.

Amrit Singh : Yes, I think we have done an alignment to the persistency circulars, which are in play, which is now the 2021 and 2010 persistency circular. And basis that -- the guidance of the circular, the persistency has been recomputed. It doesn't mean anything economically. It is just a computation methodology, which has been brought more in line with market and also the circular which are in place.

Sanketh Godha : Got it. Got it. And the last one, just to the previous question. You are actually now seeing in Axis Bank, previously, to the extent I understood that Tata products were largely limited to Citibank branches. And now you are seeing even Tata products getting sold in Axis Bank branches, that's the understanding should I pick up?

Prashant Tripathy : So, I don't know where you picked it up from right now, the answer is no, but I really can't confirm that it is going to be so in future.

Moderator : Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Amrit Singh : Thank you, everyone, for having joined our earnings call, and we continue to look forward for such interactions. Have a good day, and goodbye to everyone.

Moderator : Thank you, members of the management. Ladies and gentlemen, on behalf of Max Financial Services Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2024

February 13, 2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East) Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL

Dear Sir/Madam,

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Transcript of Investors & Analysts Conference Call held on February 7, 2024, post declaration of Un-audited Financial Results of the Company for the quarter and nine months ended December 31, 2023, is enclosed.

The same has also been uploaded on website of the Company at

<https://www.maxfinancialservices.com/static/uploads/financials/earnings-call-transcript-q3fy24.pdf>

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

Piyush Soni
Company Secretary & Compliance Officer

Encl: As above

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Max Financial Services Limited
Q3 and 9M FY'24 Earnings Conference Call
February 07, 2024

Moderator: Ladies and gentlemen, good day, and welcome to Max Financial Services Limited Q3 and 9 Months FY'24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amrit Singh, Chief Financial Officer, Max Financial Services Limited and Max Life Insurance Company Limited. Thank you, and over to you, sir.

Amrit Singh: Good morning, everyone, and a warm welcome to the earnings call of Max Financial Services for the 9 months ended December 2023. We made our results available on our website and the stock exchanges last evening. And today, I'm joined by Prashant Tripathy, MD and CEO of Max Life Insurance.

I will request Prashant to share the key developments of the quarter and insights into the 9 months results. Over to you, Prashant.

Prashant Tripathy: Thank you, Amrit. Good morning, everyone. Let me first begin by giving you a quick update on the Axis transaction. As you know, this transaction was filed for approval with IRDAI. So, we are very happy and pleased to inform that IRDAI, late last evening, has approved the capital infusion by Axis Bank into Max Life for an aggregate investment of INR 1,612 crore, subject to approval of CCI. The CCI approval is expected, and we will conclude this transaction over the next 90 days.

We would like to further submit that PFRDA has already approved the proposed change in shareholding pattern of the company pertaining to the infusion of capital by Axis Bank into Max Life. So, from our perspective, subject to CCI approval, the decks are clear, and that infusion will happen in due course into Max Life Insurance.

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Predictable & Sustainable growth by building distribution:

For quarter 3, proprietary channels grew quite exceptionally, and that is aligned to last few quarters of growth. In quarter 3, our individual adjusted first year premium surged by 18%, outpacing the private sector's 9% growth. We are double of the growth rate of the private industry. We are also

pleased to share that we regained our rank #4 on the basis of individual adjusted first year premium basis in private industry, reflecting consistent market share gains quarter-on-quarter. This growth can be attributed to 18% rise in the number of policies. So, the growth is coming from a number of policies and not just ticket size growth, primarily driven by a robust 47% growth in proprietary channels. This marks the third consecutive quarter of exceptional growth by proprietary channels. In the online channel, we maintained leadership in the protection segment and have grown remarkably in savings segment as well. Online channels grew by 43% in

quarter 3, showcasing our ability to rapidly scale up digital business. Offline proprietary channels recorded a 47% growth with the agency channel experiencing notable 73% increase in recruitment, making it the fastest growing agencies in the industry in quarter 3. Direct customer acquisition channels also improved efficiency and expanded into new verticals contributing significantly to overall growth. Additionally, our Group Credit Life business has also grown by almost 120% for the quarter and overall APE growth, hence, is 19% for quarter 3. For the 9-month period, our APE grew by 23%, and I'm reasonably sure that amongst the top players, this is the fastest growing performance on APE, primarily driven by the success of Prop channels. Bancassurance channels grew by 10%. It is noteworthy that we have maintained our counter share in our key banking partnerships, namely Axis Bank as well as YES Bank. As you know, we have been expanding our distribution reach, and during the quarter, we expanded our distribution by opening a representative office in Dubai as well. This move extends our reach to the Gulf region, enhances brand awareness and ensures the seamless approach to our NRI customers where we have experienced consistent growth over the last four years. Additionally, we successfully onboarded eight new partners in both Retail and Group relationships in the quarter, and that makes it almost 26 partnerships done in the first nine months. We anticipate these partnerships to become meaningful in the next financial year. Overall, our distribution strategy is aligned with our growth projections for the year, and we have high confidence in sustaining our current momentum in the coming months.

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Product innovation to drive margins:

Our strategic commitment to become one of the premier industry product companies drives us to continually enhance our product offerings. In pursuit of a balanced approach that considers both shareholder outcomes and customer needs, we introduced several new offerings for the year, contributing to a 9-month margin of 25.3%. In quarter 3, specifically, our margin stands at 27.2%, which is in the corridor of expectation that we had shared with you at the beginning of the year.

Unlike the industry trends, the reduction in margin is something, which was a part of our strategic plan, and we have been consistently sharing that we will focus on our growth, and we will expect the margins to be in the range of about 26%, 27%. Exhibiting sequential improvement in each quarter, you would have noticed that our margin has been going up from quarter 1 to quarter 2 to quarter 3.

This margin profile was reinforced by product interventions, mainly revitalizing of our flagship SWAG product. The incorporation of an immediate income design led to an increase in non-PAR share from 24% in quarter 2 to 30% in quarter 3 in individual APE. Furthermore, our focus on product segments of our choice is evident in the growth of our Protection, Health, Annuity segment, which constitutes now 16% of total APE in the 9 months of FY'24.

Quarter 3 performance reflects an 82% growth in Protection and Health, indicating robust demand in this segment supported by innovative launches. In quarter 3, we have launched a new term offering exclusively designed for the affluent category, introducing differentiated underwriting practices based on customer segments. And our Health segment launch named SEWA introduced in the last quarter represents almost a fifth of total protection sales in quarter 3. SEWA integrates Health, Protection, Savings and holistic wellness benefits, addressing evolving consumer needs.

Our focus on retirement has driven a 52% growth in the annuity segment over the 9-month period despite a transitory decline of 18% in quarter 3 due to lower contribution predominantly from Banca channel. We also actively participated in the growing unit linked insurance plan market, reflecting customer preferences in the rising equity market. ULIP constituted a 36% mix in quarter 3 individual APE, marking a 12% increase year-on-year in the mix.

As we approach the end of the year, we continue to expand our product suite with the launch of a new r

etirement offering, SWAG pension targeting customized needs, which has recently been launched in quarter 4. Additionally, we have plans for a new non-participating product tailored for the 5 lakh plus segment to offset the base effect of last year.

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Customer obsession across the value chain:

MaxLife has built a customer-centric culture by integrating customer obsession across each stage of the value chain. This culture goes beyond transactions and policies, creating a positive brand perception in the minds of our customers.

This is evident in our consistently improving brand consideration score, positioning us amongst the top brands in the sector. Our exceptional claims paid ratio of 99.51% in FY'23 served as evidence of our unwavering commitment to our customers. By prioritizing the needs, experiences, and satisfaction of policyholders, we have built long-term relationships and enhanced customer loyalty, which is measured through Net Promoter Score. We are delighted to observe 4-point enhancements in our overall company Net Promoter Score rising from 52 in March '23 to 56 in December '23.

I would like to clarify that the Net Promoter Score methodology that this company follows is a combination of relationship NPS as well as transaction NPS. And all the transaction NPS, our scores are up upwards of 70%. Furthermore, Max Life proudly maintains its position as a market leader in terms of 13th month persistency for a number of policies. Specifically, our 13th month persistency of regular limited pay premium stood at 85%, and our 61st month persistency was at 58% for the period ending December '23.

This achievement underscores the trust of four policyholders placed in Max Life. And across all cohorts, we have seen consistent improvement in our persistency scores, either in terms of number of policies or in terms of premium.

Digitization for efficiency and intelligence:

Our commitment to technology permeates various facets of our operations, encompassing product launches, prospecting, onboarding and customer service. Embracing agile methodologies, we have achieved operational excellence and heightened efficiency.

For seamless onboarding, we have introduced a dedicated help section with options, including WhatsApp, webchat and call. Our revamped journeys now feature Auto Debit, a vernacular WhatsApp bot with native payment journeys and customer servicing in 6 languages. Additionally, we have onboarded 2 new account aggregators and financial information providers.

In quarter 3, we implemented marketing campaigns utilizing generative AI, spanning channel marketing, personalized customer interactions and location-based campaigns on social media. These campaigns not only facilitated hyper seasonalized communication, but also significantly reduced development times. These strategic initiatives empower us to operate more efficiently, make data-driven decisions, enhance customer experiences and adapt to the evolving business landscape.

In summary, our efforts to fuel growth are yielding results, and the entire team at Max Life Insurance is very excited about the prospects beyond this growth. This current trajectory instills confidence,

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and we are very hopeful that we will be finishing this year with the same strength as we have run in the last 9 months.

I'm now going to hand it over to Amrit who will provide an update on the financial outcome.

Amrit Singh: Thank you, Prashant. Moving on to the key financial metric.

■ For MFSL consolidated revenues excluding investment income, stood at INR 18,398 crore, a growth of 16% in 9 months FY'24.

■ The consolidated PAT for MFSL was INR 443 crore, a growth of 11%.

■ The renewal premium for Max Life grew by 12% to INR 11,823 crore.

■ Gross premiums grew by 16% to INR 18,793 crore.

■ Value of new business, over the 9-month period, stands at INR 1,152 crore versus INR 1,179 crore for last year. The new business margin for quarter 3 stands at 27.2% and for 9-month period stands at 25.3%.

■ The embedded value as at 31st December 2023 is now INR 18,709 crore.

■ Operating RoEV in 9 months FY'24 is INR 18.6%. Although we only perform detailed EV movement analysis half yearly and report basis that, but at our estimates le

vel, the operating

RoEV for 9-month FY'24 reflects negligible operating variance.

■ Policyholder opex to GWP ratio is at 14.8%.

■ Max Life profits for 9 months stand at INR 411 crore, an improvement of 9% Y-o-Y.

■ Our solvency ratio now at the end of December '23 is at 179%. With the additional infusion of capital, this may get added by 35% more. The assets under management on 31st December 2023, are at INR 1.42 lakh crore and year-on-year growth of 20%.

To conclude, we continue to remain committed to our purpose of inspiring people to increase the value of their life. And we will now be happy to take any questions that you may have. And we will hand over to the moderator to open the floor for Q&A.

Moderator: The first question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: Congratulations to this IRDAI approval. Prashant, the first question on this margin. Of course, I mean, there's so many moving parts, including product mix changes and all. Just wanted to understand, from the perspective that now that Axis deal has happened at a different pricing than what

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envisaged four years back, and of course, in turn, new regulations came there will be and also have come, so of course, there will be some change in mortality top payout and all.

So now is your 9 months or this Q3 margins reflective of that kind of key and payout structure? Or going forward, there could be something more coming or some place of a margin from that? So that's number one.

And second, now with that Axis Bank just take a sale approval done nearly, I mean that 1% additional you can take. So, what sort of plan ahead for the structure simplification, particularly given that if see on the presentation slide, final structure is still suggesting that Max Life under Max Financial.

So, I mean, what is sort of your now plan ahead to move with this Max Financial, Max Life merger? And what are the alternatives in case, I mean, because I mean you would have several alternatives in mind how to collapse their structure, sir? These are the two questions. Thank you.

Prashant Tripathy: Avinash, very good morning, and thank you always for your interest in our organization. Let me answer these two questions first. As you would appreciate, we have followed a process of increasing the overall stake of Axis Bank in Max Life Insurance. And with this approval, Axis Bank stake will go up to about 19.02%. We are anticipating in that in near term, we will take the overall equity to about 20%. And as we have discussed, of course, the long-term impact is somehow figure out a way of collapsing both the structures.

We do not know what be the exact structure, but that's something which we will try to explore and will work on. We remain committed to that. But of course, this is subject to all kind of approvals, regulatory approvals, but we are optimistic that we will figure out a way of doing. Internally, we have discussed a few approaches, and we will take one of them.

Talking about your first one. Of course, margin is definitely a combination of many moving pieces, products, expenses, investment in proprietary channels. And we have been sharing since the year began, that there will be a bias to drive growth in the business and gain market share, which is very important to us. And we have attempted that. So, we made investments in opening new offices. We made investments in expansion. We made investment in distribution build up. And of course, this year is rather unique in terms of product mix.

If we compare with respect to last year, Avinash, last year in this quarter, we had launched a big non-par design. And you noticed that last year, this quarter, our margin was 39%. And I always maintain that this margin is unsustainable. So, year-on-year basis, you will see some impact.

However, the margin that we are achieving is consistent with our expectations.

I would like to confirm to you that the Axis Bank transaction does not mean that we need to pay any more compensation either in the past or in future, I think. It is going to be BAU from our perspective.

So, we are very hopeful that as our prop channels mature, and as you know, there is definitely a

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leverage that you get on your proprietary c

hannels as they mature, the margin expectations could

be higher from them. We will be able to remain in the corridor of margins that we were talking about.

The one thing that I will also say is competition is intense. Overall, everybody is trying to ramp up and grow. So, once you make the impact you make the effort to increase the margin, competition definitely eats into it. So, all things being equal, I think we just need to navigate and remain in the corridor that I have always spoken about.

Avinash Singh: Yes. So, what I get is like, I mean, yes, this Axis transaction, there's not sort of a change materially the trajectory. I mean it is like more into business as usual. No sort of adjustments.

One quick, if I can. If I see your underwriting profit development, this year, the back book surplus generation has been slowly, I mean the growth had been slow. So, I mean, if you can just help, I mean, of course, new business strain, if see in this quarter, I think that to do with maybe ULIP sales being higher in all. But back book surplus this year has been sort of emerging at a slower rate. So, any sort of explanation there?

Amrit Singh: Avinash, I will take this question. This is Amrit here. Actually, back book surplus is a play of multiple things. I mean, assuming a very predictive growth number to it is always -- it has some inefficiency in estimations because back book surplus is getting generated about what kind of policies we have written, what duration of policies we have written. And it's a reflection of all of those things kind of put together.

And our back book surplus generation is in line with how and what the nature of the policies have been written. So, there is nothing in that which has been adjusted or any operating variance that's kind of evident there. There's nothing like that. It is pure play back book profit generation. It is just that the nature of the books, when it changes, it will have some impact on the shape of back book surplus creation.

Moderator: The next question is from the line of Sanketh Godha from Aventus Spark.

Sanketh Godha: On margin, typically, you used to give the Walk, how it has evolved from last year to current year. This is if you can give a broader Walk, how the margins are more whether how much it was contributed by changing product mix and whether you have seen any product level margin compression?

And given we have invested into so many channels, how much OpEx has also played a role to drag the margin? So, if you can give a little more clarity on how the Walk has played will be much useful.

And how you expect among these Walk numbers to play out a subsequent year and see margins to play out? That's my first question.

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And second question is you alluded to the point that you have multiple options to collapse the structure. Considering all the options you have in your mind, likely timeline you have in your mind to collapse the structure, maybe if we take another 12 or 24 months to do so that people become direct shareholders in Max Life. Those are 2 questions that I have, one question on data keeping, which I will ask after you answer this.

Prashant Tripathy: So, Amrit will come back on question #1. Let me answer question #2. At this point in time, I can only respond in terms of our intent. Our intent is to do it quicker. However, as you would understand, there are many moving pieces, approvals, and we will internally review once our step of increasing the equity of Axis Bank in Max Life Insurance is concluded. So very hard for me to commit any timeline at this point in time. But again, I will say management bias is to do it earlier than later. Amrit, on your first question.

Amrit Singh: So, Sanketh, thank you for the question. On the nature of that impact over a 9-month period, the dominant reason for that is to do with business and product mix, actually. And when I say business, it's the channel, the product that they're writing and intrinsically the products mix contribution in overall business.

So that is the dominant reason for the reduction. As you have seen, the non-par has come off, ULIPs have increased

and those kind of plays are happening. At the margin, specifically, in ULIP, we have seen some shrinkage at an overall level. That's largely again due to a choice of a particular product variant that we have sold in channels. And that is the dominant narrative around how margins have moved.

Sanketh Godha: But in non-par, Amrit, you have not seen any product-level margin compression given the IRR and how margins have moved. How are you seeing market?

Amrit Singh: I have repeated many times over. There's that actually, if you try to compare apple to apple, obviously, competitive forces are much higher. So, exactly same variant with its nature of design of the product, definitely comes under margin pressure as time progresses. But there are counter strategies that we will keep deploying wherein introduction of new designs, tweaking the PPT, premium payment term and policy terms, as levers we will keep using.

And those are the things that we have to leverage and use to ensure that the margins are protected.

But if you can ask me a 5 Pay 10 versus 5 Pay 10, yes, definitely, there has been margin pressure on these variants, largely because of competitive actions.

Sanketh Godha: Got it. And just on the ULIP point, what you mentioned, which you did that product online in a big way last quarter. Have you continued to sell that particular product in the same fashion? That's the reason ULIP or it's predominantly because of the second quarter phenomena, the ULIP, you have seen that there is a margin compression?

Amrit Singh: So ULIP, there are 2 places where unit linked designs are doing very well for us. As that's part of our stated strategy, we had indicated 2 years back that we will enter the online savings space as well.

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And we have done a series of actions to enter that particular space, and we have actually got a strong success out of it. Our overall positioning with respect to online space, we have improved. And we are now ranked 2 player on 9-month basis across protection and savings design, and ULIP played a big role on the savings franchise there.

The other area where unit links have done well for us is in the affluent segment of banks where the category, because of overall market help, is in demand. And we are ensuring that those consumer demands are being met. We do not want to be in a situation that we try to artificially reduce any of these things. I think if the consumer is demanding for it and is expecting, it is on us to ensure that these products are made available to them.

Sanketh Godha: One more thing just on credit life. Honestly, we are very practical with respect to credit life in the past. Now the growth has been pretty strong. So, there is a particular change in the view, in strategy with respect to credit life that we are managing to deliver that kind of a growth? I just wanted to understand that point.

Amrit Singh: Sorry. So, at the start of the year, Sanketh, we had indicated that on Group Credit Life, we are now looking at this opportunity very favourably in a more strategic manner and are trying to build our portfolio. And we started -- we have been reporting every quarter many successes and wins that we are getting with respect to partners' addition into the Group Credit Life portfolio.

And that is what is helping us succeed in this segment. You will see Max Life focus now remain on this particular category, which serves an important protection need to the consumer too. And hence, these are trends which will continue in its shape and form even in the future.

Sanketh Godha: So, this is largely non-MFI, Amrit, or MFI?

Amrit Singh: It's a mix of both MFI, non-MFIs. There are different sorts of partners that we have.

Sanketh Godha: Okay. Okay. And lastly, if you can on data keeping. Exact individual APE number, which I think you have not disclosed this time in 9 months number? And how much economic variance contributed to EV?

Amrit Singh: So total individual APE?

Sanketh Godha: Yes, I think you have adjusted, RWRP was disclosed but not exact, maybe it will be not materially different, but if you can spell out the number, it would be useful?

Amrit Singh: Yes, just give me one second. It's INR 4,451 crore, individual APE.

Sanketh Godha: Perfect. And economic variance

number in the EV?

Amrit Singh: So economic variance, operating RoEV is 18.6%. And the rest, you can kind of compute as the non-operating variance.

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Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth.

Madhukar Ladha: Just a couple of questions from my side. First, when I look at your new business strain for the quarter has gone up significantly. And the product mix has moved more pace from non-PAR and more in favour of ULIP. So, what exactly is driving that?

Because simultaneously, I am also observing that commissions as a percentage of gross premiums have also gone up significantly in the quarter. So, are we paying out higher there with channels? Some colour on that will be helpful.

The other thing, on individual protection, while on a year-over-year basis, it's grown quite well. On a Q-o-Q basis, there seems to be some softness. So, what's again driving that? And what's your outlook on that piece of the business?

And final one question on, again, if you look at the Banca channel, the growth for this quarter on a year-over-year basis is just about 3% or right, 3.4% odd. So, I know you mentioned that you have maintained your counter shares at this time. But what's really happening out there because we see some of the other banks, the growth has been there. So, what's going wrong in that channel? Is it focused? There's also new partners that are getting added over there. So yes. Those would be my key questions.

Amrit Singh: Yes. So, there are 4 questions, I think you have asked. I will go one by one. The first one you asked on why this strain is higher. The first predominant reason of strain being higher is when you do higher new business volume, the strain is higher. That's an absolute number actually.

And the second is the lines of business, which have higher strain, for example, unit linked design is causing that strain to be higher. So, there is nothing beyond that for in the trend that you are seeing for yourselves.

With respect to your commission question, I'd like to maintain that overall cost of acquisition, we have remained consistent, and there is no change in the overall cost of acquisitions.

In individual protection, I do not know where that is coming from because we are seeing quarter-on-quarter improvement on Protection too. And there is a growth from Quarter 2 to Quarter 3 of around 8% that we are seeing for ourselves. So, we are seeing an improvement even on quarterly numbers, the protection improvement.

Prashant Tripathy: And I think the last one, I will take, Madhukar. In terms of growth that Banca, I think the observation is valid. And overall, if you look at industry segments, all large banks, who are not predominantly unit linked sellers, and they have a bias towards maintaining a balanced product mix. The growth has been tapered. I mean, if you look at overall growth, it is in single digits.

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For us, quarter 3, especially at Axis bank was a bit slower. However, there are things that we have deployed. The January numbers are not out yet, but suffice to say that you will see a strong pickup, not just in our proprietary channel, but also in Banca channels as the new quarter begins.

Moderator: The next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: Congratulations on a good set of numbers. I have 2 questions. First is on the surrender value regulation. If you guys can help us understand any latest updates. What will be the impact on margins for us? Any timelines, that will be useful.

Second is, again, going back to the commission question, Amrit. You mentioned that your cost of acquisition has not changed. But as per 1H public disclosure, commission expense is up 46% year-on-year. So, it's not as high as it is for some of our peers. But if you can help us understand which channels or from where this commission expense has grown at this rate given that this is the first year of commission...

Prashant Tripathy: So, on surrender, let me just update you quickly that there is a concentrative process that is currently going on between the regulator and industry. And I'm very optimistic that when the final draft comes, it will balance out.

The elements of industry growth customer outcomes, etcetera. So, I'm very optimistic that it will be an outcome that will kind of work for all the stakeholders.

At this point in time, very hard for me to say the exact nature in the impact because unless we see the draft, it is very hard, or final outcome, it is very hard to estimate. But at the same time, suffices to say that I have extreme confidence in the regulatory action. And I think overall balance will be maintained, and there is a very concentrative process which is currently undergoing. Amrit?

Amrit Singh: The commission, Shreya, I will just kind of go back to the cost of acquisition as a frame. You are aware that we have invested in new distribution capacity, which is whether addition of more branches and more number of people. Keeping that cost aside for a moment, I'm reiterating that the cost--overall cost of acquisition colour is actually consistent and only improving.

So, what you are seeing and witnessing is a bit of a realignment that is happening. And the way you should read and you made a comment around peers as well, you should read that with line with

business growth as well. So adjusted for business growth, I believe that some of these numbers are in line with how the commissions are set up in the system.

Moderator: The next question is from the line of Gaurav Jain from ICI Prudential Mutual Fund.

Gaurav Jain: Congrats on a good set of numbers and the deal moving forward. I have a question on the distribution side. If you can help us understand the proprietary channel a little better in terms of how much of this is agency and how much of this is Agency and how much of this is Direct Retail or Direct Group?

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Because from 9-month FY'22 to 9-months FY'24, Banca as a channel, has remained broadly flattish with 10% de-growth in '23 and 10% growth in '24, but it is proprietary that has really fired well for us.

So, what is the real composition of this in terms of different channels? And where are you seeing the real growth there?

Prashant Tripathy: So basically, proprietary for us is a combination of 3 things: Agency, Direct Sales, as well as E-commerce. And as you can see, these three elements, as a percentage of our total individual sales, have been growing this year for the first 9 months. It is close to about 40%. And the balance 60% is partnership.

I would like to confirm to you that all the three Agency, Direct as well as E-commerce are growing at a phenomenal pace for us. And all of them are upwards of 40%, all of them. So, if I were to break the 40% of total that is coming from prop, about half of that is about half of that is Agency, and the balance half will be Direct and E-commerce. That's the overall math.

And there's great work happening in all three areas. Everywhere, we are gaining market share. We are gaining market share, we are growing faster than industry. And our Agency is perhaps one of the fastest, the top 2 fastest in the industry right now. Our Direct is one of the fastest. Our E-commerce is one of the fastest. All the three elements are firing really well for us.

Gaurav Jain: For the 9-months, what is the growth rate in Agency, if you can just tell?

Prashant Tripathy: I think the growth rate in Agency on APE basis for the 9-months will be...

Amrit Singh: 28%.

Prashant Tripathy: No. The agency growth rate?

Amrit Singh: 28%.

Prashant Tripathy: It's 28%.

Gaurav Jain: Understood. Okay.

Amrit Singh: For quarter-to-quarter, it is 49%, and we have kind of provided that slide. Agency grew 49% for the quarter. Our Direct channel grew 41%, and E-commerce grew 43%. For the 9-month period, Agency has grown 28%. Direct channel, which is our own team on the ground, 48%. And then E-commerce has grown 85%. So those kind of numbers is what these channels have clocked.

Moderator: Ladies and gentlemen, it was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

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Amrit Singh: Thanks a lot. Thank you. Thank you, everyone, for your interest in Max Financial Services and for being on this particular call. We continue to look forward for such more interactions. And thank you once again. Goodbye.

Moderator: Thank you, members

of the management. Ladies and gentlemen, on behalf of Max Financial Services

Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Disclaimer: Please note that this transcript has been slightly edited for the purpose of better reader experience.

Call: May 2024

May 13, 2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL

Dear Sir/Madam,

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, Transcript of Investors & Analysts Conference Call held on May 7, 2024 ,

post declaration of Audited Financial Results of the Company for the financial year ended

March 31, 2024 , is enclosed.

The same has also been uploaded on website of the Company at

https://maxfinancialservices.com/static/uploads/financials/mfsl -earnings -call-transcript -final_q4fy24.pdf

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

Piyush Soni
Company Secretary & Compliance Officer

Encl: As above

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Max Financial Services Limited
Q4 FY'24 Earnings Conference Call
May 07, 2024

Moderator: Ladies and gentlemen, good day, and welcome to Max Financial Service Limited Q4 FY'24 Earnings Conference Call. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amrit Singh, Chief Financial Officer, Max Financial Services Limited and Max Life Insurance Company Limited. Thank you, and over to you, sir.

Amrit Singh: Thank you. Good evening, everyone, and we welcome you to the Earnings Call of Max Financial Services for the Year Ended March 31, 2024. Our results are made available on our website a few minutes ago, and also on the stock exchanges. As always, I'm joined by Prashant Tripathy, MD and CEO of Max Life Insurance.

I will request Prashant to share key developments of the quarter and insights into 12 months results.

Prashant Tripathy: Thank you, Amrit, and good evening to everyone. Thank you very much for taking out time for the call today. At the onset of FY'24, we set our aspirations to increase our market share, broaden our distribution network, finalize Axis transactions and achieve our targeted profitability metrics. I'm very happy to share that we have made significant strides in fulfilling these commitments through dedicated efforts and steadfast dedication to serving both our customers and shareholders. To begin with, I would like to provide an update on the Axis transactions.

On April 17, 2024, Axis Bank infused INR1,612 crore as planned by subscribing to 14.26 crore equity shares of Max Life on a preferential basis, resulting in the Axis Group's collective stake rising to 19.02%. This capital infusion not only strengthens our capital position and solvency margins, but also reinforces our partnership with Axis Bank, paving the way for a more resilient and prosperous franchise .

Additionally, Axis entities hold the option to acquire additional 0.98% stake from Max Financial

Services through a secondary transaction, which will take the overall stake of Axis Bank and Max Life Insurance to the planned 20%.

I would also like to share an important development with you. I'd like to inform you that the Board of Directors of Max Life Insurance has approved the appointment of Mr. Munish Sharda , Executive Director, Axis Bank; and Mr. Arjun Chowdhry , Group Executive Axis Bank as additional directors on the Board of Max Life Insurance. Both have been nominated by Axis Bank as their representatives

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from the Board of Max Life Insurance, and they bring wealth of diverse experience to aid Max Life Insurance further in its ambitions . I think with their experience in financial services world, they will add a lot of value to our growth and our aspirations.

Predictable & Sustainable growth by building distribution:

I'm v ery happy to share that our full year individual adjusted

first-year premium sales experienced a

robust growth of 16%, surpassing the private sector's growth rate of 8% by 2x and total industry growth rate of 5% by more than 3x, resulting in a market share increase of 61 basis points for FY'24.

In quarter 4 of FY'24, we achieved a market share of 10.4% compared to 8.6% in quarter one, demonstrating consistent quarter -on-quarter market share gains. This growth also comes to the back of a very large March that we had as an industry last year.

On the basis of APE, we have grown by 19%. This growth can be attributed to a 20% increase in the number of policies, which is more than 2x of private average number of policy growth rates, primarily fuelled by a strong 28% growth in prop channels APE. Excluding one -off sales from last year, prop channels have grown by remarkable 44%. Offline prop channels witnessed 18% growth on actual basis and 34% on a normalized basis.

Our agency channel exceeded a noteworthy 54% surge in recruitment, establishing itself as the fastest -growing agency amongst the top 10 players in the industry. Direct customer acquisition channels also enhance their efficiency and ventured into new verticals significantly contributing to overall growth.

In the online channel, we maintained our leadership position. The online channel expanded by 79% in FY'24, underscoring our capability to rapidly expand our digital business. Our Banca channel APE experienced a growth of 12%, driven by all Banca partners. It is noteworthy that we have consistently maintained our counter share in both of our major Banca partners , namely Axis Bank at 70% and Yes Bank at 58% year -after-year.

Furthermore, our Group Credit Life business grew by 62% contributing to an overall company level APE growth of 19% in FY'24. In terms of expansion of our distribution reach in FY'24, we effectively onboarded more than 40 new partners, including one new bank , 20 new Group Credit Life partners, 14 online and offline brokers and six corporate agents. We anticipate these partnerships to become a significant part of our total business in the upcoming financial year and going forward.

Furthermore, we expanded our distribution network by establishing a representative office in Dubai. This strategic move extends our presence in the Gulf region, amplified brand visibility and provides a seamless approach for our non -resident Indian customers.

In summary, our distribution strategy is in line with our growth forecast for the upcoming year. And we are highly confident in maintaining the momentum that we achieved so far in FY'24. Our product innovation was a key component of driving growth as well as our profitability.

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Product innovation to drive margins:

Our strategic commitment to becoming a premium product company in the industry drives us to continuously enhance our offerings.

In FY'24, we launched several innovative products across different segments, which facilitated secular growth, except for non -PAR savings impacted by high base effects. These product launches include s:

- a) SWAG variant on PAR design with enhanced features focusing on liquidity, protection, and retirement .
 - b) STEP , which is a design in protection , with industry -first features of cover continence benefits .
 - c) SWAG Elite featuring an industry -first design of guaranteed endowment.
 - d) SWAG Pension targeting the retirement category with differential industry -first options .
 - e) SUPR Rider offering the option to receive a return of premium upon maturity.
 - f) Small and Mid-cap momentum index funds launched to enhance savings mix in e -commerce.
- These launches totalling 37 industry -leading interventions have positioned us at the forefront of meeting customer needs, contributing to approximately 45% of new business sales in FY'24. Furthermore, our emphasis on selected products segments is evident in the growth of our retail protection, health and annuity

segments comprising 14% total APE in 12 months of FY'24 and growing by 61%.

This led to our individual new business, term assured achieving rank 3 in the private industry with a growth of 33% on a full year basis ahead of industry growth rates. All these achievements culminated

in achieving new business margin of 26.5% within our guided range of 26% to 27% right at the midpoint. In quarter 4 FY'24, margins improved sequentially to 28.6% as operational leverage kicked in with seasonal trends. You would have also noticed that quarter-on-quarter, our margins continue to improve from quarter 1, where we were close to 22% in quarter 4, where we landed at 28.6%. Our margin outcomes are a result of calibrated approach to expanding market share. This involves active participation in the unit-linked market contributing 35% compared to 27% last year, alongside the introduction of innovative product solutions that balance customer needs and shareholder outcomes. Moving forward, we anticipate to maintain our high growth, growing faster than private industry and gaining market share. And we expect our VNB growth to be in line or near about our APE growth. Customer obsession also yielded outcomes on the customer outcome.

Customer obsession across the value chain:

Max Life has cultivated a customer-centric culture by embedding a focus on customer satisfaction throughout every stage of our value chain. This commitment has been recognized by our customers who have ranked us number 2 among India's leading insurers for delivering best-in-class customer experience in the fourth addition of Hansa Research's prestigious CuES report.

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They have commended us for our products, digital support, streamlined documentation processes and efficient policy issuance. Our culture extends beyond mere transactions and policies as evidenced by our consistently improving brand consideration scores, which positions us among the top brands in the sector. Furthermore, our exceptional claims paid experience ratio of 99.51% in FY'23 reflects our steadfast dedication to our customers.

We gave customer loyalty through Net Promoter Score. We are pleased to report that we have witnessed a 4-point increase in our customer NPS rising from 52 in March '23 to 56 in March '24. Our touch point NPS is at 74 improving by 6 percentage points and NPS in relationship increased by 2 points.

Additionally, Max Life proudly maintains its leadership position in terms of 13-month persistency for the number of policies. Specifically, our 13th month persistency for regular or limited pay premium stood at the highest ever at 87%, an improvement of about 300 basis points. Our 61st month persistency was at 58% for the period ending March 2024. And across all the cohorts, we have witnessed reasonably significant improvements. Furthermore, our grievance incidents rate has improved by 20 points in FY'24, underscoring the trust our policyholders place in Max Life.

Digitization for efficiency and intelligence:

Our commitment to technology permeates various aspects of our operations, including product launches, prospecting onboarding, and customer service. Embracing agile methodologies, we have achieved operational excellence and heightened efficiency.

Our ongoing investment in leveraging AI and digital technologies as we modernize legacy systems has resulted in the onboarding of significant new business with minimal human intervention in underwriting. This has substantially increased our capacity to process peak month business with minimal human resource augmentation.

Additionally, migrating to our core policy admin system through the cloud has improved system performance by threefold. Our consistent focus on enhancing the e-commerce journey has led to an increase in purchase Net Promoter Score which now rivals that of best-in-class digital-related players. By leveraging generative AI, we have introduced

reduced Sales Genie, a virtual agent training companion for frontline skills and launched several marketing and product campaigns. These initiatives have not only facilitated hyper-personalized communications but also significantly reduced development time. These strategic initiatives empower us to operate more efficiently, make data-driven decisions and enhance customer experience and adapt to evolving business landscape.

In summary, our efforts to fuel growth have yielded results in line with our expectations in FY'24. And you noticed that it is consistent with all the guidance that we provided throughout the year. We remain committed to augmenting our capacity and developing new business models to sustain and enhance our performance levels.

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With this comprehensive coverage of our business, I'm now going to hand it over to Amrit, who will provide an update on our financial performance. Over to you, Amrit?

Amrit Singh: Thanks, Prashant. Just key financial metrics.

- MFSL consolidated revenue, excluding investment income, stands at INR29,011 crore, a growth of 16% in FY'24. Consolidated PAT for MFSL stands at INR393 crore.
- For Max Life, the gross premium has grown by 17% to INR29,529 crore and renewal premiums have also grown by 13% to INR18,506 crore.
- Value of new business in FY'24 stands at INR1,973 crore versus INR1,949 crore for FY'23.
- The NBM for quarter 4, a sequential improvement quarter-on-quarter stands at 28.6% and for 12 months, we stand at 26.5%
- Embedded value end of 31st March 2024 is INR19,494 crore with an operating RoEV of

20.2%.

- Policyholder opex to GWP is 13.8% and Max Life profit after tax stands at INR360 crore.
- With the infusion of INR1,612 crore of capital by Axis Bank into Max Life in the month of April, the solvency adjusted will stand around about 206% for Max Life, which is sufficient for us to drive our growth momentum.
- Additionally, with this infusion of capital, the embedded value will also be around INR21,100 crore.
- Assets under management for Max Life has crossed INR1.5 lakh crore during the quarter and are at around INR1.51 lakh crore at the end of March 2024 and year -on-year growth of 23%.

So overall, strong performance across financial and non -financial parameters. And at this point, we will be very happy to take any questions you may have, and I'll request the moderator to open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: Just on set of performance couple of questions. The first one is on embedded value walk. The non -operating variance that I presume it will be mostly economic variance, and that appears slight negative. Now if we look the way equity has behaved as well as the yield kind of a movement that you have given in slide 59, there should be some sort of a contribution from both the factors coming as minor positive maybe 1% or anyway between 1% to 2% positive, but here, it is Negative so if there is something more than the economic variance, assumption change or what ever I'm missing here? I mean if you can clarify on that.

And the second question, if I come to particularly the Q4 part of our GAAP result, I know that Max Life GAAP results, I guess it is not out. Now I understand, I mean, a large part of probably the GAAP profit decline or rather turning into loss it could be due to new business as explained. But can you help? I mean, is this new business explain totally reflects our product mix change only because I mean last year also you had a strong amount of non -PAR typically have been high strain. So is this new business only due to new business strain? Is it a new business strain only due to production mix changes or sort of a payout increases or any sort of a weakness in back book supply, if you can help.

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Amrit Singh : Thanks, Avinash ji. I'll take this question. On non -operating variance, you're absolutely right. This is all economic variance in nature. And that it's a mix of the proportion of equity that we hold and the debt portfolio that we have.

So on the equity side, as the markets have moved up, we have also experienced positive variance almost to the tunes of around INR485 crore is positive. But on the debt side, because as interest curves have moved down, the liabilities also have to be repriced, where there is a negative movement on the debt side, which kind of offset each other to give a negative number of INR54 crore of non -operating variance that you see for us.

And some bit of these variances are actually a bit of mix of the proportion of equity you have in ULIP, the proportion of shareholder equity that you have, proportion of shareholder as an overall proportion of your EV and proportion of group business and single premium business that you'll be carrying.

So some of these factors actually have an interplay. But largely, these are economic variance, transitory in nature and this come back because most of our portfolio is hold to maturity. On your specific question on quarter 4 profits and I think you are describing to the decline that you are seeing. I think the predominant reason there for that decline is, and this is also linked to some bit of operating variance that you are seeing, where there is a negative operating variance, which has come out of some assumption tightening that we have done proactively as part of our regular annual business. So some bit of that negative element has flown in addition to the product mix aspect that you spoke of.

Avinash Singh: So this operating variance would be mostly around expenses or some mortality persistency even sir?

Amrit Singh : So it's from a mortality perspective, some bit of tightening on the group credit portfolio that we have done. And the second element of this is certain lapse and persistency assumptions that have happened across the portfolio. But I'll say it's our long duration tighten that we have done and is a bit proactive at our end to be more conservative about it.

Avinash Singh: Okay. So in the EV also the operating variance will have kind of some positive impact coming from maybe your persistency and all and some negative from mortality variances. Am I right?

Amrit Singh : This assumption tightening is negative on both the sides that I spoke of. But obviously, within the walk, there are variances which are positive and negative, but I mean that's a mix, for example, in operating variance, we'll have some negative in our ULIP books. But overall, it's I think the operating variances, the experience variance is largely flattish.

Moderator: We take the next question from Supratim Datta from Ambit Capital.

Supratim Datta: So I'll just continue from the first participant's question. So on the negative operating variance, could you tell us what led to have the mortality tightening on the group credit life what may you tightened estimate? And typically, how long an experience do you look at it 2 years or 3 years before you tighten the estimates? If you could throw some color on that, that would be one.

Two is, in the last 1.5 years, you have formed several non -Axis Bank partnership. If you could give us some color what is the counter share , be in from Tamilnad bank or non-DCB Bank. And how are you looking at expanding the counter share in these banks? That would be very helpful. Those are my two questions.

Prashant Tripathy: I will take the second question first, and then I will request Amrit to talk about the operating variances. We signed up 5 to 6 banks over the last one year or so. And suffice us to say that of course, we were the third or fourth or fifth player. So it takes a while actually to increase the presence and the counter share, but I wil

I say the counter share varies between 8% or 9% to about 60% in different accounts.

And at my personal level, I track whether our counter share is increasing or not month -on-month. And very happy to share that we have witnessed us consolidating our presence, increasing counter share by every passing month. So I'm very optimistic that as time passes, that will become a potent source of revenue generation for Max Life Insurance.

And our desire to partner with many more banks. This continues. We'll remain very aggressive on each one of them. We are leaving no stone unturned either in terms of deployment of resources or products, and we the accepted aggressive on all the new banks that have been firing. Amrit, for you to the question of operating variance.

Amrit Singh: Actually, firstly, it's a very small number. It's only you will see in a walk, INR57 crore . This is our annual process. We do true -up our assumptions annually. And there is nothing out of the ordinary or unusual that I can call there for. As part of our regular process, the assumptions have been tighten ed

Supratim Datta: Understood. And just one data keeping question. Could you let us know what is the proprietary channel, what is the proportion of agency versus debt side and other outstanding?

Amrit Singh : Actually, on our slide number 22 and 23, you can see we have provided a breakup of offline and online .

Supratim Datta: Offline is entirely agency? Correct?

Amrit Singh : Offline is agency plus our direct selling teams, which are actually work on the customers whose agents have actually left the company where the upsell and cross -sell is done. So in some sense, it's you can call it agency itself. But it includes in our parlance as agency and direct channels. And online is commerce .

Moderator: Next question is from Adarsh from Enam Holdings.

Adarsh: Just wanted to check that there has been some seems that there's a discussion on the surrender regulations again, right? December, we had the draft. We had some clarification in March. So if you could share any feedback in what and I understand it's not yet out, but how would you mitigate this if you see any changes in what was proposed in March?

Prashant Tripathy: Firstly, quite aligned to the regulatory push on creating value for the policyholders or customers. So quite aligned on that view. It's premature for me, but I'm reasonably confident that overall, when the final guidelines come or the guidance s come, it will create win -win for all the constituents. There is a consultative process , which is currently going on, not concluded. So I will request that we just wait for the final guidelines to come out.

Moderator: Next question is from Swarnabha Mukherjee from B&K Securities.

Swarnabha Mukherjee: Congrats on a good set of numbers. So first question is on the margin side. So I mean, on a sequential

basis also, I think the mix has become slightly adverse with higher share of ULIP. I just wanted to understand the expansion that we are seeing in the margin profile. How much should we attribute to some kind of cost absorption given that I think your fixed cost proportion will be lower in the fourth quarter. If you could give some color on that and how much maybe at a product -specific level, margin expansions are happened. So a little bit more detail on how we should read the margin expansion between the quarters?

And secondly, on the structure simplification process, if you could give us some color on the timelines . So a small proportion of stake needs to be acquired by Axis. And then I think there was a process of reverse merger as well. So if you could give us some sense on what timelines should be?

Prashant Tripathy: Overall, I think the margin profile to me, improved quarter -on-quarter, like I mentioned to you every quarter, the margin went up peaking at 28.6%. Definitely, year -on-year margin, you would -- li

ke we

were guiding all along will come lower predominantly because of two reasons: a, the mix on Non Par are going down and the proportion of ULIP going up.

However, typically in quarter 4, our margins are highest because that's the highest sales quarter and we do compute on the basis of actual cost of every quarter. And hence, you will find typically that in quarter one, our margins are lower and they increased by quarter four. I think while the ULIP proportion was going up, the overall pedal on driving protection, driving health, driving annuities remain the focus area. We didn't mention, but we also grow Rider quite aggressively. So overall, these product categories led us optimize our margins as we went long despite higher share of ULIP. And the

objective was to create a good balance between sales growth and margin outcomes.

And I think we successfully did that. So those are reasons. On your question on structures, of course, we are very mindful. We, the Axis transaction to a great extent is consummated, we'll wait for the balance 0.98 % to be done, which hopefully should be done over next few months. And we will initiate the process of the restructuring. My sense is that it will take anywhere between 18 months to 24 months because this involves NCLT process, etcetera. We remain committed, and we will pursue that journey as time progressing.

Swarnabha Mukherjee: Sure, sir, very helpful. Just a follow-up on the margin front. So for the coming year, would your guidance remain at the similar level which you had highlighted earlier? Or should we expect a slightly higher range now?

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Prashant Tripathy: The market is very dynamic. So I would refrain myself to give you an exact number generally. We are looking at a sales growth of high teens and the objective will be to grow faster than the market so that we are capturing market share more and more.

And on VNB growth, hence, we will definitely be teens, which will be either at the same level of growth as sales or marginally lower. So that's the target that I'll give. Let me not push myself to give you an exact margin number because things are very dynamic. There are things changing in the regulatory space. There are, of course, product mix related things that we need to manage throughout the year. So let's keep you at that level for the time being.

Moderator: The next question is from Shreya Shivani from CLSA.

Shreya Shivani: Congratulations on a good set of numbers. I have one question basically trying to understand that the great agency addition that you have done this year. Now Max has always had the highest agent productivity on the street. So for these agents, which have onboarded this year, as and by the end of FY '24, fair to say that the productivity increase would come through FY '25 or it takes more time than one year, if some clarity on that would be useful?

And also another question is the banca channel this year only grew at 12%. And given that this base, what kind of improvement or that we could expect in FY '25 under no base of banca channel for this year? These are my two questions. Thank you.

Prashant Tripathy: Yes. Of course, when you hire the agents, some of them increase in productivity and hence, our bet on agency remains fairly high. And we're very optimistic about that we're continuing to drive growth in agency going forward. As far as banca channels are concerned, we are going to put the best foot forward, completely enthused about Axis participation in our business, they've increased participation in our Board, and I think the overall collective ownership. So we will work very aggressively on the bank side also with new partners that we've signed up, I think the overall optimism on bank side will be more than how it was in FY '24.

Shreya Shivani: Got it. And is it fair to say for the next year also, your agency and probably prop channel will manage to do better than

banca or will we see better, some growth pickup in banca as well?

Prashant Tripathy: That's intent. If you were to look at our prop channel growth rate on adjusted FY basis over last five years, it is 21%, which is quite remarkable. And we hope that we are able to maintain that kind of growth rate or better.

Moderator: The next question is from Prayesh Jain from Motilal Oswal.

Prayesh Jain: Congrats on a great set of numbers. Just extending the previous question on Axis Bank growth next year. There has been, I think, with the Citi acquisition, there is Tata that has come, Aditya Birla is something that Axis Bank has tied up. So how do you see the wallet share kind of moving to Max Life?

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And also given the challenges on Axis Bank wondering having to raise deposits. How do you kind of look at this entire piece of Axis Bank given these contours? Secondly, on the non-par business, what kind of pricing actions we would have taken in possibly Q4 or afterwards? And what is the kind of profitability, product level profitability that would have changed in FY '24 versus currently? Those are my two questions.

Prashant Tripathy: Answering the easier question first, on non-PAR, all our large products stand revised. We have increased the rates because the yield curves have altered. And it just shows our commitment to preserve our margins. So we have increased our rates to ensure that the margin is protected.

As far as the growth from banca channels are concerned, of course, there is a banking ecosystem and the push for increasing deposits, etcetera, is very common in the bank space you would have noticed that not just our bank where we saw 12% growth. But overall, as bank ecosystem, insurance sales was a bit tepid last year. But hopefully, going forward, the push on driving fee income will be equally important, and that gives me optimism that the growth from Axis Bank will be either at the same level or better.

In terms of Citi acquisition, I would like to share with you that we do participate on that counter. And yes, you're right. The bank counter has been open to Tata, which got opened in the month of December. And I think for Aditya Birla, it is going to happen very soon. The participation of these two new players is not on pan-India basis, it is restricted to certain geographies.

The bank stated stands on counter share of Max Life Insurance is between 65% to 70%, and it was

very publicly communicated by the management of Axis Bank. So I think we must look at that corridor and any which ways that's a very healthy mix of counter share that Max Life Insurance should expect. So I remain optimistic despite inclusion of a new player in the month of December, our counter share remained at 70%. And we'll work towards either preserving or keeping the same level or marginally lower at Axis Bank counter, either which way not materially impacting the sales growth for us from Axis Bank.

Moderator: The next question is from Madhukar Ladha from Nuvama Wealth.

Madhukar Ladha: First I think on the economic variance, you mentioned that because interest rates went down, the liabilities got repriced. And as a result, the mark -to-market, even on your bond book sort of fell short to cover that, right? And hence, that's why we have a negative variance also because of the interest rate movement. I was just wondering of here that shouldn't the policyholders' liabilities already be covered by adequate hedges and your shareholders fixed income book should still have resulted in a positive variance. So I mean, that would be my expectation. Maybe you can help me understand this better.

Second, if I look at your shareholder or back book surplus, sorry, that also the growth of there has come off in this year. So last year, we were at about INR1,563 crore . This year, we are at about INR1,627 crore . So why has that happened? And is it also getting impacted by the operating v

ariance

or the tightening of operating assumptions that we've done in this year and maybe even the increased
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liability also because of the rate movement. Is that impacting the back book surplus as well? That's the second question.

And other your VNB has a negative mix and margins. Does that include the same reasons, which is like the group credit life portfolio negative variance and the persistency assumption change, right? These things are there the similar reasons which are sort of impacting both the EV walk and the VNB walk? I just wanted to get a clarification on that.

Amrit Singh: Madhukar, I think some of the questions you have answered yourself in your hypothesis itself. I'll take the easy one first, the back book surplus decline. You're right. It is linked with assumption tightening which has kind of had an impact. Also, last year, we in the back book surplus, if you see an unusual growth. So there is a bit of a base effect also, which is in play in that book surplus. On your economic variance. So yes, I mean, you're absolutely right, as the yields have come off, the liabilities have increased which has to be adjusted for.

Now our network as a percentage of EV is , and you're right, I mean, within that shareholder portion of it, this gives a positive variance because those assets are actually free and not covering up to the liability. But that proportion is much smaller than the overall negative that comes on the policyholder side. And that's the reason why I shared that even though there is a positive INR485 crore of positive equity variance, there is an equivalent negative debt variance, which come into play.

Lastly, on VNB. Actually, assumption change there has not had such a material impact because most of these products, when they get priced, we are cognizant of some of these things. And at the time of pricing itself, you make those corrections. And large part of our VNB does go through of many recently priced products during the year. The large part of the variance there is to do with product mix and in certain categories of annuities and protection, there is some bit of margin shrinkage as well. But largely, the answer lies in product mix variance, which has happened in.

Madhukar Ladha: Understood. Just dwelling a little further on the economic variance , so the liability side repricing on the policyholder's sort of liabilities repricing, that should ideally be hedged, right? And that should ideally have been sort of covered by whatever FRAs or part y paid bonds or any other the funds that you've already received towards that. Is it sort of unhedged and maybe you can help me understand that actually?

Ashish Taneja : Yes, from a perspective of the hedge part of your liability, your understanding is correct. It is, of course, immune to since its hedge with immune to the movement in interest rate , but it's also a function of the different product mix, which may be primarily as Amrit rightly pointed out at the beginning of the call that it is mainly to do with the single premium business on group side, annuity side, where you have received the premium and the assets are invested up front.

So depending on that product mix, mix of that business within the portfolio, the movement could be different. So hence is a function of the shape of the curve, how it has changed. It's not a parallel shift. Second, it's a function of various product categories and the mix of assets back in those. Hence, if you look at the overall impact, it does so for the hedge part of the business you're right , the impact is more or less immune to movement and interest rate .

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Madhukar Ladha: Understood. And one final question. What would be the positive economic variance of the shareholder fixed income book?

Amrit Singh : Maybe I can get to provide that you separately. I don't have that number at this point in time, but I can provide that separate

ly.

Moderator: The next question is from Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: I have two questions. One was on the group protect side; will you slow down consciously this quarter?

Amrit Singh : Group Credit Life has done very well for us, actually. We've been growing that quite significantly. We have grown around 59% for the full year. Is the question on group term life?

Nischint Chawathe: The overall group protection this particularly.

Prashant Tripathy: Yes. So we can break group in two parts. The group credit life where we have seen very good growth. We have 59% year -on-year, which is significantly higher than the industry. And we are trying to build that book. Group term life in which way is a very tactical play for us. So we're not huge players and neither do we intend to become very huge. We saw a good growth of 25% on a year -on-year basis, but quarter four slowed down a bit for us, which is okay. I think the competition in that space is very severe, and we don't write on some business at on deals which we don't believe will generate enough outcome for us.

Nischint Chawathe: You said that 59% growth is for the year or for the quarter?

Prashant Tripathy: 59% growth was for the year, for group credit life and we have the numbers for quarter four, I think even quarter four number is upward of 150% growth for the quarter for in group credit life.

Nischint Chawathe: And then if you can just give the share the absolute number of group credit business that you have done for the year?

Amrit Singh : Actually, that also has been provided on the slide if you go to slide in the investor deck. Yes, it's on Page 13. This is mix ed for you; you want the group credit life separately.

Prashant Tripathy: Nischint allow us to send it to you separately, if that is okay with you.

Nischint Chawathe: Perfect. Just one or two more questions on the online operating side, if you could just sort of help us recollect what all does this include?

Prashant Tripathy: Okay, I think it does include all the aggregators business as well as business that comes on our website.

Nischint Chawathe: Got it. And then what is the right to win in this business? I mean if you're growing at 80% in this business, how do we think about this g rowth continuing going forward a nd what is the right to win over?

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Prashant Tripathy: I think it's a very dynamic area a nd the only thing that should give you confidence of ability to constantly execute. If you were to look at our growth over the last 5 years, the growth rate has remained similar.

We must be growing at the rate of 50% for the last 4 years, 5 years until this business has grown 6 x, 7x over the last 5 years maybe more. So I think the right to win is a very dynamic approach to the market in of course, if you were to break it into two parts, mostly looking at protection where we have been market leaders. It's a combination of the claims experience, your ability to underwrite faster, looking at newer cohort innovation as well as appropriate pricing.

Those are things for the right to win. If you were to look at savings market, of course, savings market is again very dynamic and your ability to constantly innovate come up with offerings which are attractive to the customers and leveraging every possible opportunity, including ULIP is the right to win.

So really, it's a core ability on innovation, on agility, on creating great journey for the customers as well as product designs which appear attractive. Those are things that I will say are key competencies.

Nischint Chawathe: And if your growth in other bancassurance partnerships which, again, have you fair competition with other insurers and the online proprietary is sort of faster than the company growth, then you would probably kind of constantly have this pressure of higher payouts b ecause these channels will typically be

higher payouts and probably on the lower margin than the rest of the -- than the other two channels?

Prashant Tripathy: You mean the online channels?

Nischint Chawathe: Yes. So I mean both online proprietary as well as other bancassurance partnerships. Now both are channels in which you are kind of compet ing with other insurers head on?

Prashant Tripathy: Of course, you're competing by the end of the day what plays a big role is what kind of product mix are you able to maintain? Which are the areas where you're winning a nd with the combination of protection as well as savings collectively I think you stand a fair chance of making reasonable profits for the company and which is a strategy that we follow.

So if one were to choose to write only s avings and that too in ULIP, et c which is hugely attractive to the customer, maybe the margin profile will go down. So at the end of the day the answer lies in balancing the product mix.

Nischint Chawathe: No. So the point I'm trying to make is that these two channels are growing at a faster pace than Axis Bank and the agency or off -line pr oprietary as we call it. And typically, the margins in these two channels w ould be lower than the Axis bank and off -line proprietary. So in that sense, faster growth in these channels would probably directionall y put more pressure on margins?

Prashant Tripathy: Yes. But of course, there are multiple other ways to do that by , I mean, real ly, maybe at a channel level at, for example, cost of acquisition level maybe you're right, b ut at the end of the day, you're

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adding so many customers to your franchise which potentially you could cross -sell at some point of

time and look at maybe lifetime value of some of these customers.

So at this point of time, I will say we're not so fussy about channel level margins and rather we need to grow a channel or not. I think what we're trying to do is figuring out ways to preserve our margins, for example, add more GCL to our books, looking at growing our agency constantly working on mix on other channels, etc and that's the strategy that we will follow. Increasing riders, more attachments of riders to our protection, those are things that we are trying.

Amrit Singh: Just because you asked that question and add that number now, group credit life was around INR 1,122 crore. This is a single premium. Group term life was around INR 301 crore for the year.

Nischint Chawathe: INR 301 crore for the year. Okay. Then that is up 59% year-over-year. That's what.

Moderator: Thank you. Next question is from Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Sorry for harping on this economic variance number. I mean if you look at the other insurance companies, we typically reported 4 to 5 percentage positive economic variance number in the current year. But our number is negative. I'm still not able to understand why this number is negative. Is it largely because you're getting more annuity in the current year and ALM mismatch cropped up in the business because of the annuity business.

And therefore, the negative operating variance has come because it's still very difficult to comprehend that it's a negative number. Given for others, it is 3.5% to 5% positive in economic variance and you're operating the same macro. So that's point number one. The second question is that your individual protection growth is very solid in the fourth quarter. Now obviously, if I look at it from the full year point of view you are even bigger than IPru and HDFC Life in an absolute rupees crore in premium number. Your market leader if I take it as a pure term. Just wanted to understand this business growth is largely driven because you have some change in your reinsurance treaties or your ability to underwrite has become more smoother than what it was in the past.

What is leading to that growth? Because your growth seems to be

very high. I mean if you can give a

little color there, it will be useful. And lastly, on the online business which has done very well. If you

-- I mean you indicated the point, but if you can break down that growth into your own website and may be third-party channel like PB or any aggregator in that sense?

Amrit Singh: Firstly, you're asking a question on non-operating variance comparison with the competition. I can only hypothesize.

Sanketh Godha: I'm saying economic variance.

Amrit Singh: EV has elements of many, many layering there. And I can only, and I said this before in the call also, I think no 2 EVs are comparable in that particular manner. You'll have to look at percentage of unit-linked business in some of these players and further within unit-linked business what is the percentage

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of equity for one player versus another because that has a bearing on the positive effects of equity coming through.

You should also look at percentage of shareholder net worth as a proportion of embedded value because on the shareholder side, any of these variances will be a positive variance and further again there are also components of equity becomes important.

And lastly, then you have to look at the nature of the EVs others have with respect to quantum of single premium that they are writing because single premium immediately lock in. You get that realization as positive because of the changes that have come through.

So I just say that these are actually computed the way we compute and the economic variance is the predominant reason and these are transitory in nature. And I'll kind of stop at that. I will not be able to give you a specific answer that why another player is higher and why we are low because I don't have insights into it.

Sanketh Godha: Amrit just a small thing in annuity are we largely deferred annuity, and that's why that's why we are not getting the benefit of what others would have got to some extent?

Amrit Singh: Sanketh, we just started writing annuity business in this particular year. EV comprises of multiyears of business that got written with even if that is higher, it won't have that kind of an impact.

Sanketh Godha: Amrit, why I'm asking, again, sorry to harp on that point. And then that your economic variance number in the past broadly was in sync with the other players. This year is completely off. So I'm still finding it very difficult to comprehend. That's the only reason I am asking it?

Amrit Singh: At this point in time, I've already explained.

Sanketh Godha: On protection business and the online you can explain it will be okay?

Amrit Singh: Yes. So I think protection, as we have been calling it out that among two segments of choices that we want to grow, protection, health and annuity are large opportunities available in India to continuously keep penetrating better into. In line with that strategy and also the fact that last few years were a bit slow from a protection business perspective, just some of that has kind of come into play, and we have seen the growth of protection business happening for us.

Obviously, it is supported by some bit of easing that has been happening over the last entire I'd say ever since COVID got over with respect to underwriting ease is coming into picture, as more and more confidence gets built into the kind of life being onboarded, the kind of underwriting happening and the kind of mortality experiences that are evident in the books.

Those have helped provide the necessary support to protection growth as well. And we continue to be

very positive about individual protection business and we will continue to remain ing focused on doing this faster than other category growth rate.

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Sanketh Godha: At product level, we are maintaining the same margin or at the expense of growth we are okay to compromise a bit margin in protection, I mean t

o say.

Amrit Singh: I mean, at the end of the day, VNB growth in what you're trying to optimize for. And even in protection there are in stances, but it's not like a sharp decline. It has to do with certain segments of choice that you try to win in, whether yo u're operating greater than INR 2 crore sum assured market or any other some of those markets.

But if you as k me a very pointed question did we see some shrinkage? S ome shrinkage we have seen. I won't call it a very significant shrinkage in the margins.

Sanketh Godha: Perfect. And on the online business that's 79% growth, it should be...

Amrit Singh: Yes. So , online business actually as we do significant portion through our own assets for maxlifeinsurance.com. And there we have , there is continuous buys on driving higher -margin product forms like protection and health kind of businesses.

And on aggregator business which has an element of variability. We are actually open experimenting with both savings and protection market as well. And a reasonable part of the growth momentum in this particular year has also come out of our now strong presence in the savings market. Historically, you are aware that we have been a strong player in the e -commerce protection side where we have held on to 1st position for many years which has maintained in this particular year itself.

But the year saw us entering into the savings market quite significantly where we were around 10%, 12% market share. Last year, we moved to almost 22%, 23% kind of market share in the online space in the savings market as well. And some of this happened on the back of a fair bit of constant innovation on products and also the launches of various funds that we did during the year.

So, which is what you will see then , I mean given the answer web aggregators has grown much faster than owned channels, but largely because of the category that they entered into which category was not in our base in last year's perspective.

Sanketh Godha: Perfect. Got it Amrit. Thanks for your answer.

Moderator: Thank you. next question is from Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: I have two follow -up questions. One is on the product innovation side. This year, we have seen strong product innovation happen on pr otection or the health category. G oing forward over the next one year which of the categories do you think that the re is opportunity to introduce new products or plug gaps that could be one.

And then the second question is on the regulatory environment. We have seen multiple regulatory changes happened over the last 1.5 years. If you could talk about how do you see the regulatory environment playing out over the next 1 to 2 years that would be very helpful?

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Prashant Tripathy: So innovation opportunity exists. I mean at the end of the day the categories are quite well designed. We have the par designs, the non -par designs, annuity, protection designs etc, b ut within that there's always an innovation possibility either on features or stories or cash flows and those are things that we continuously do.

So of course, there are possibilities, for example, last year there were several things that we did, and one of them was our product SE WA which has done very well. And the reason for our growth in the protection & health segment.

So of course, there is a pipeline of products. And in our organization rather than telling you where all it will come from, I would like to spend time on in telling you how we approach innovation. So generally, there is a team dedicated to innovation. There are panels which are created with customers, the research team, the distributor, distribution partners and constant engagement takes place.

We are continuously in dialogue with our partners who have better visibility in their customer segments. We are continuously looking at new segments where w e could go to

. S o if you ask me

some of that we will yield outcome and we'll keep us on the journey of innovation. Of course, there's a calendar looking at several areas. We are looking at innovation in the area of protection.

We are looking at innovation in the area of non -par and some of that will come through as we go along. On your second question with respect to regulated landscape, I think overall, I would say the regulatory regime under our respected Chairman, Mr. Panda is perhaps the most favourable I've seen in many years with an exception to some of these ongoing discussions which are taking place that too, I'm very hopeful that it will create a win -win for the industry.

I think the steps that the regulator is taking me for long -term growth of the industry. If you were to go through the flexibilities that got created, be it around product or distribution or governance or principal based movement, simplification of compliance, capital , listing, everything that you see is quite favourable . So with that post your regulatory posture, I'm very optimistic that as we go along, we will have a supporting environment.

Supratim Datta: Got it. Thanks a lot.

Moderator: Thank you. We have one last question. We take the last question from the line of Bhuvnesh Garg from Magma Ventures. Please go ahead.

Bhuvnesh Garg: Thank you for the opportunity. Two questions. Firstly, on the EV side of it. So in the case of economic variance, so how should we look at it going forward? For example, if a similar scenario plays out in next -- in some years in the future. Would our EV economic variance would play out in a similar way or are we going to change our strategy on this? Yes, that's point first.

Amrit Singh: So there is no strategy on economic variance which is generally, hold to maturity and that's why these are called nonoperating variances. And as the market moves they will move up and down. And there won't be any inconsistencies in the way it is completed and reported out. So if there is a change, and

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there are many elements of it, the curve etc it will find its way reversing back itself in non-operating variance as well.

Bhuvnesh Garg: And second question is on commissions. Now we have -- Axis Bank has infused capital in the company. So do you see any possibility of change in commission structure with Axis Bank? Any thoughts on that?

Prashant Tripathy: I think commission structures will remain how they have been and we expect a stable environment with respect to commissions with Axis Bank.

Bhuvnesh Garg: Got it. Thank you sir. Thank you and all the best.

Prashant Tripathy: Thank you.

Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Amrit Singh : Thanks a lot. Thank you ladies and gentlemen for being on our call and we look forward to more such instructions. Good night to everyone.

Disclaimer: Please note that this transcript has been slightly edited for the purpose of better reader experience.

Call: Aug 2024

August 21, 2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL

Dear Sir/Madam,

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Transcript of Investors & Analysts Conference Call held on August 14, 2024, post declaration of Un-audited Financial Results of the Company for the quarter ended June 30, 2024, is enclosed.

The same has also been uploaded on website of the Company at

https://maxfinancialservices.com/static/uploads/financials/mfsl-earnings-call-transcript_q1fy25.pdf.

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

Piyush Soni
Company Secretary & Compliance Officer

Encl: As above

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Max Financial Services Limited
Q1 FY'25 Earnings Conference Call Transcript
August 14, 2024

Moderator: Ladies and Gentlemen, Good Day and Welcome to Max Financial Services Limited Q1 FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" the n "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amrit Singh – Chief Financial Officer, Max Financial Services Limited and Max Life Insurance Company Limited. Thank you and over to you, sir.

Amrit Singh: Thank you. Good morning to everyone and welcome to Max Financial Services Earning Call for the Quarter-ended June 2024.

Our Results were made available on our Website and on the Stock Exchanges last evening. And today, as always, I am joined by Prashant Tripathy – Managing Director and CEO of Max Life Insurance.

I will hand it over to him to share "Key Developments and Insights" from the 1st Quarter.

Prashant Tripathy : Thank you, Amrit. Good morning, everyone, and thanks for being on the call. We have had a remarkable start of FY25 as far as overall new sales growth is concerned, building on the strong foundation laid in FY24. Our focus on enhancing

our sales growth engines across all strategic areas has paid off with continued investment driving excellent growth in the 1st Quarter FY25.

But before I come to our sales performance, let me just share a good news with you:

I am very proud to share an achievement that underscores our commitment to being a people-centric organization. Max Life Insurance has been honored with the Laureate Distinction by Great Places to Work Institute and a Collegiate Reserve for

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organization that have been recognized as one of the India's Best Companies to Work for 10 -consecutive years. Additionally, Max Life insurance has been ranked #28 amongst 1,750 organizations that participated in this progress with the prestigious 100 best companies to work for in India and placed among top 25 in India Best Places for the BFSI.

Max Life Insurance has again demonstrated its commitment to excellence in fulfilling its promises to its customers, achieving best in the industry, claims paid ratios of 99.65% for FY24, and these two really underscore our commitment not just on growth, but also towards two very important constituents, our customers as well as our employees.

Predictable & Sustainable Growth :

Coming to the Overall Growth Numbers

On full year, individual adjusted first year premium basis, we saw a growth of robust 27% outpacing both the private sector and overall industry growth rates of 24% and 20% respectively for Q1 FY25. I am very happy to share that July numbers just came out and this number has accelerated further for the month ending July YTD. Our growth has increased from 27% to 32%, hence enabling us to capture about 44 basis points of the private market by YTD July.

Our total APE for Q1 saw growth of 31% with a significant 27% increase in the number of policies. This growth was driven by the strong performance in our prop channels, which now accounts for 49% of our total sales in Q1, growing at 60%.

We have relentlessly pursued new business models to bolster growth from traditional proprietary channels, and these models have become the bedrock of our recent success.

Our offline proprietary channels grew by 24%, supported by agent activation and an expanded pool of top performing agents, thanks to enhanced governance rhythm as well as many new initiatives that we have taken within agency channels. Direct channels driven by new cross-sell verticals have also contributed significantly towards our growth.

One of the key drivers of our cross-channel growth has been our online channel, which expanded more than 200% in Q1 FY'2025, fueled by strong demand for our new fund offers targeting the online saving segment.

Through our reporting, you would have noticed that the ULIP mix in our prop channels have gone up and this has been intentionally done to take out the benefit or tactical benefit of the buoyancy in the market and it has been driven predominantly through online channels.

We continue to demonstrate our capability to scale digital business rapidly, achieving the top ranking across all digital platforms, in both protections as well as savings.

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And we have been quite diligent about growth, not just in the savings side, which comes with unique proposition of capital guarantees where ULIP is kind of mix up with non-Par to achieve reasonably good margin, but we have been equally focused on protection business which again in a combined way, yields an outcome which is quite acceptable to us.

Our Bancassurance as you would have noticed, grew at APE of 9%, which is a bit slower than prop channels. However, I am very happy to share that things have significantly accelerated in the month of July and our bank is especially driven by Axis Bank and has been the key driver of growth for us for the first four months. Just to give you a sense of number, by the time we finished July, we are seeing about 19% growth from Axis Bank.

Additionally, our group credit life, which is another area of focus for us, grew at 49% in Q1 despite heightened competition and this is almost double the growth rate of the industry while maintaining profitability target.

I am also very happy to share that recently we just signed an agreement with Catholic Syrian Bank, one of the quickly expanding ambitious banks and I am very hopeful that our partnership will start to bear fruits for both the partners as we go

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ng. In addition, we also signed up six new partners in the quarter. We remain committed to delivering a consistent, sustainable business outcome as can be seen in July sales numbers like I mentioned to you. We have not only maintained the pace of our growth in prop channels, but also sales momentum again back in bank channels as I mentioned to you, with 43% growth in the month of July.

Product innovations to drive margins :

Of course, you would have noticed that our margin is a bit lower than last year and that's because we want to take the tactical benefit of driving growth through ULIP channel, especially in the digital space as well as at the Banca space. Our commitment to product innovation remains very strong and we launched the Smart Wealth Annuity Guaranteed Pension Plan, limited pay variant and industry -first initiative designed to personalize retirement planning, which led to 42% growth in our retail annuity segment. So, just want to underscore that we are growing our annuity which was one of the strategic initiatives for Max Life Insurance.

In addition, our efforts in the protection segment have resulted in an impressive growth of 53% in retail protection. Just to highlight again, 53% in retail protection and 49% in credit protection. The two areas where we are extremely focused to capitalize on the opportunities in the equity market. We launched the Flexi Cap Fund predominantly targeting e-commerce and back insurance customers. This launch led to more than 100% growth in ULIP segment, shifting our product mix towards this segment from 25% total APE to 39% of APE in Q1 FY'25. Again, just to highlight, these are moves that we made tactically to garner new sales opportunities which were otherwise not being captured. I would like to again

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underscore at this point in time that Max Life Insurance intends and remains focused on growing our VNB as we go along.

Increased ULIP and lower non-PAR contribution result in Q1 FY25 in VNB of 17.5 % lower than previous year. However, VNB grew by 3% and as we go long, VNB is going to be a key measure. We will try to balance the sales growth with our margin as we have tried to do in the last 18 to 24 months. We view the equity market as a tactical opportunity, and we will recalibrate our product mix towards more profitable designs as we go forward.

Additionally, I would like to share an update regarding the recent changes in surrender regulations by IRDAI, a matter which has been of concern and question from many of you. These changes make our product offerings more attractive to customers by increasing the surrender value in the initial years, thereby enhancing the life insurance proposition. I remain very optimistic whenever such changes come, it just expands the pie and I am hopeful that this will give tailwinds for industry growth with higher or better proposition for our customers.

While these guidelines have impact on margins of traditional products which are impacted by surrender regulations, the impact will be mitigated with multiple elements such as restructuring of distribution commercials, realigned maturing and surrender customer proposition. And we estimate that the surrender impact will be in the range of 100 -200 basis points at the company level for the transitory period and we will work hard at figuring out more ideas so that we are able to tie through these changes unaffected which we intend to mitigate over a period of time if the regulations do change on 1st of October, I think it will take us three to six months to implement all the changes or mitigating actions. Our aim is to ensure that the impact is balanced across all stakeholders, namely shareholders, customers and distributors.

Customer Obsession Across the Value Chain:

Talking about the customer obsession angle, which is one of the values of Max Life Insurance. At Max Life Insurance, customer obsession is the co

re of everything we

do, driving us to deliver unparalleled value and trust in our customers.

Over the past five years, our claim paid ratio has improved from 99.22% to 99.65% and the claims paid ratio is a hallmark in the life insurance industry as demonstrated by Max Life Insurance over the years. We have seen many players make improvements, but we continue to lead the path.

This achievement is more than just a statistics. It reflects our unwavering commitment to putting customers first, leveraging advanced digitization and intelligence systems, we proactively combat fraud, identify high risk areas, and accurately assess claims validity. This holistic approach ensures that we are not only there for our customers in time of need, but also empower them with reliability and security in every step of the way.

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Additionally, Max Life Insurance has been Recognized for Industry Leadership and Customer Experience at the prestigious 5th ET Now Customer Experience Summit. We also measure customer loyalty through the net promoter score, and I am pleased to share that we have reported three points increase in our overall company level NPS. It's generally a combination of transaction NPS which has improved by five points from 74 to 79, and relationship NPS, which has improved by two points from 44 to 46, hence, overall NPS growing from 56 to 59 between March 2024 to June 2024.

Max Life also proudly maintains a leadership in 13th month since we own the number of policy basis. From our pack, you would have noticed across all cohorts, we have made progress on both number of policies as well as premium basis. In terms of premium our 13th month persistency for regular and limited pay premium reached its highest ever at 87% and improvement above ~320 basis points, while our 61 st first month persistency stood at 58% for the period ending June 2024.

Digitization for efficiency and intelligence:

The last area which is of huge significance to Max Life Insurance is how quickly are we digitizing for efficiency and intelligence .

Our ongoing digitization initiatives have significantly enhanced efficiency across multiple business functions, driving both cost savings and customer satisfaction. Our training management system called mSaathi has been adopted across all channels, enabling enforcement of training calendars and ensuring required outcome. The roll out of Phase -I of mSpace which is our Sales Super App has integrated end -to-end funnel view of our (DSF) Direct Sales Force channel which is where we have first piloted it and I am very optimistic that through the year of FY24 - 25 we will take it to every channel and we will reap the benefit of bringing the different elements of sales on just one app, which will be hugely beneficial to our sellers.

Additionally, our AI -driven approach has played a pivotal role in risk management and decision -making processes. Through AI -based sourcing risk avoidance, we have successfully mitigated risk including cost avoidance through the Shield Program and claims avoidance through Meditech with our govern engine achieving an impressive underwriting claims of underwriting accuracy of 99.8 6%.

Our automation in our optimization efforts in onboarding customer service such as the insurance bureau integration in the purchase journey and enhance IVR capabilities have streamlined operations resulting in improved conversion rate, faster payouts and increased customer engagement.

Our focus on data -driven intelligence exemplified by the centralization of e -mail shops and expansion of digital and NPS coverage continues to provide valuable insights for improving service delivery and customer experience.

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To Summarize , I am very happy with our Q1 Results , which highlight the effectiveness of our strategic priorities, the scaling of proprietary channels, building strong partnerships and reaching newer customer segment

I am satisfied with our margin outcome, and I am sure there are more opportunities to improve, but like I mentioned to you, these are tactical moves that one has to take in the smallest quarter of the year to ensure that we are preparing well and giving enough confidence to our sellers as the year start s. As we move forward, we remain dedicated to creating lasting value for our customers, shareholders and partners.

Now, I am going to hand it over to Amrit, who will provide an update on our "Financial Performance ".

Amrit Singh: Thank you, Prashant.

Before we get into the performance on key financial metrics, I just wanted to share an update on the Asset Liability Management (ALM) Strategy .

Willis Towers Watson recently concluded a review for us and our ALM strategy. The scope and the results of the study are presented on slide 29 of the presentation. The review included testing cash flow against 5,000 intra scenarios where interest rates are varied from 2% to 12% across different durations and different types of shapes or curves.

In summary, the Wilis Watson team has concluded that the ALM framework and the asset liability position of Max Life as of 30 June 2024 are appropriate to meet Max Life stated objective of protecting shareholder value and fulfilling policyholder obligation.

Moving to some key financial metrics :

■ Max Financial Services Limited consolidated revenue excluding investment

income stands at Rs. 5,235 crores, a growth of 11% in the quarter.

■ Consolidated PAT at MFSL level is Rs.156 crores, up by 54%.

■ Renewal premium for Max Life has grown by 10% to Rs. 3,323 crore s. Gross premium grew by 11% to Rs. 5,399 crore s.

■ The value of new business, stands at Rs. 254 crore s for the quarter in comparison with Rs.247 crore s last year with an NBM of 17.5%.

■ The embedded value as at end of 30th June 2024 is Rs. 22,043 crore s, also aided by the capital infusion, which was consummated in the quarter by Axis of Rs. 1,612 crore s.

■ The annualized total return on EV in Q1 FY25 excluding the capital infusion of Rs. 1,612 crore s is 20.6% and the annualized operating RoE V stands at 14.2%

■ Though, we don't do detailed EV movement analysis during the quarter. However, operating ROE was 14.2% consist of contribution from unwind, VNB and also a positive operating variance coming out of both persistency
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and mortality trends. Further, the non -operating variance stands at Rs. 276 crore s, due to movements in interest rates and the equity market.

■ Policyholder OPEX -to-GWP is 17.9% and total cost -to-GWP is 26.3%.

Policyholder OPEX has grown by 14%, largely due to increase in headcount in the distribution function.

■ Max Life Q1 FY25 profit before tax is Rs. 151 crore s, a growth of 46%.

■ With the infusion of capital, which was completed during the quarter, the solvency margin stands now at 203% as at end of June '24.

■ The overall assets under management for the company has crossed Rs. 1.61 lakh crore and a YoY growth of 25%.

We continue to remain dedicated to our mission of inspiring people to enhance the value of the lives. And we are confident in our ability to harness the strength and continue to be living on sustainable value to both our shareholders and customers. We are now happy to take any questions that you may have, and I will hand over the call to the moderator to open the floor for Q&A.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: One question. Given the way you do account cost for the quarter, your margin trajectory has increased by kind of stepping up over the quarters and eventually the full year margin is far higher and different than Q1 that has been the trend. Now I mean in a few recent years, it was also an outcome that I mean like in FY23, you had very, very s

trong non -PAR saving, in FY22 the growth was slightly weaker. Now, this year, I mean given that the growth trajectory is very strong, the product mix is not so favorable so far, and also in H2, the implementation of the new products in this sort of a new surrender regulation regime. So, how do you see margin trajectory sort of progressing this year, I mean your high growth led by some not so profitable product and in the second half that newer product getting introduced, so how confident are you sort of the margin trajectory panning out over the year?
Prashant Tripathy : You raised a very good question and if you go to the Page #12 of our investor release, you will find that we have given Q1 and Q4 numbers for last for four, five years just to give you the confidence that because we come up with true margins, which means we take all the costs for the quarter and because Q1 generally is the lowest in terms of sales, generally margins are subdued and they range between 17% to 20%, 21%, that's been the trajectory for the last many years. As every quarter passes because the leverage that we get on the business, and I would like to highlight everybody that our 1st Quarter VNB is 254 crore. If you were to look at our last year's total VNB is 2,000 crore. We are talking about 10% to 12% VNB in Q1 only. Hence I will tend to not read too much into this margin drop because as we go long, the leverage will kick in and the margins will improve. You asked a question about what's going to be the impact of Q2. I think I did mention to you about Q2 numbers. It is going to be an industry thing though Max Life Insurance will play as we go along. However, I am reasonably confident that with all the efforts that we are putting, the product mix will get rebalanced. And I am not really hinting at any permanent shift or permanent impact on our overall margin delivery capabilities.
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So, I will just request that you'll remain patient and see how it evolves. I am very confident that it will pick up.

Avinash Singh: Just a small kind of related on that. This 30th September is in a way kind of a hard deadline by the regulator to sort of sell the existing product, but you can introduce

new product even prior to that. So, how sort of are you planning to launch the product, I mean, the new product is going to be launched only from 1st October or you will start phase wise introduction of the new regime product, or even that?

Prashant Tripathy : We have a game plan actually. We have multiple products that need to be refilled. I don't know if you know that, but if the product which has been withdrawn on 30th September and the replacement product has not been filed, it will have to go through the approval process from IRDA I, it will no longer be use and file. So, we are very keen that by 30th of September we complete the entire replacement exercise. As you can understand, being such a mature organization is heck of a task. The surrender guidelines also come with different guidelines about different forms, free look cancellation period being extended, etc., So, we have a phasing approach. We will begin replacing our products somewhere from 15th of August to 30th of September in different tranches. So, that's how we are going to approach it, Avinash ji.

Moderator: The next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: A couple of questions. First, again just focusing on the margin part, I just wanted to understand whether you are still confident of achieving around a 26% kind of a margin guidance which you have provided earlier, because I think you highlighted that growth is fairly strong in Axis in July, but Axis, I think whatever we have seen in the disclosure this time, bank has largely focused on ULIP as a product category? And also wanted to understand how the commission dynamics are playing out in the propri-

etary channel because there the product mix is much far more balanced despite growth in retail protection we haven't seen that outcome playing out in the market. And thirdly, you have also mentioned the headcount increase in the distribution side. Is this cost going to remain in our P&L going forward? And if then what can be the impact on the margin in the subsequent quarters and hence on the overall guidance, if you could give some more color on? And secondly, on the Axis Bank part, if you could highlight how our counter shares are trending right now are we still at that range or what is the dynamics you are seeing in the Axis channel in terms of the multiple manufacturers who are now empaneled, what is the situation if you could highlight?

Prashant Tripathy : Thank you for the question. Let me take the easier one first, the Axis Bank counter share. Like we mentioned to you, we expect ourselves to remain in the range of 65% to 70%. I am very happy to confirm that we are in that range and we expect to remain in that range. So, as things stand, last month or so. our counter share has been in the range of 68% to 70%, overall for the quarter between 65% to 70%. So, really inclusion of other bank partners on the counter is not really significantly impacted our counter share and I will keep at that level. You may recall that for the year, our forecast was we will hit a VNB number of teens, and I remain confident

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about it in that number. And I had made that forecast or shared that forecast before the discussion on surrender income guideline. My guidance was for the year, we will outlook anywhere between 25% and 26% margin as against 26.5% last year. And the forecast was we will have teen kind of VNB growth for the year now. Of course, things have changed since then. If there was no surrender income guideline change, I would have perhaps reconfirmed the same guidance and I am pretty confident that we will get there, but we have to navigate the regulatory changes, which is not just a financial change, but also a significant change with respect to administrative effort, which needs to be put in with respect to product filing or change in commission structures, etc., So, we have to see how it goes and hence I will say it will be a bit dynamic, but we are going to work very hard to come as close as possible with respect to the guidance that we gave you.

Swarnabh Mukherjee: Just a follow up, just focusing on the 2nd Quarter, if you could comment on the commissions levels, how they are playing out? And also, on the increased distribution and the fact that Axis is growing faster, how can we think about the margin for that?

Amrit Singh: So, specifically on the commissions and OPEX, so OPEX has grown by 14% as I stated in my opening remarks. And of this, 14%, 8% growth is largely to do with headcount increase plus the wage bill increase that happens on inflationary case. This incremental headcount, where is it getting deployed? A significant portion of this headcount is getting deployed in our own channels, whether to expand the agency channel or to expand the direct selling team plus supporting all the new partners that we have been actually signing up. Now, the new partners are not necessarily fired to the full potential at this point in time and that will take time. But that

investment is required in the distribution side to build that momentum. We have done a fair bit of investment, and I think as the years kind of progress by, there will be a productivity improvement trend that you will start seeing for Max Life. With respect to commission, the first-year commission has increased by around 60% for the 1st Quarter. A large part of this commission increase is actually coming out of two areas. One is because of the superlative performance in the e-commerce channel. We have seen an increase in associated commissions come through and also the

new partners in the group credit life segment that we are actually building and making our portfolio more robust on that side as well. So, that's largely the areas where the commissions actually have increased. Otherwise, across other partners, the total cost of acquisition has remained constant. The operating leverage benefit does play out. I think as in the opening remark, as in the first question that was asked, we have an effect where we actually booked the actual OPEX in the quarter and as sales builds up during the quarter, we will definitely see an improving trends on margin.

Moderator: The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: So, I had three questions starting with the first one on Axis Bank, just wanted to understand when you're saying like 19% growth, is it for the first four months or is it only for July? And the improvement in the momentum in July, is it driven by any particular product launch in that counter or any change in effort? That's the first

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point that I wanted to understand. The second was on the surrender charges, you talked about the impact and the movement towards new products. Just wanted to understand when you're talking about the 100 to 200 basis points, does it take into account the current surrender trends that you're seeing, or does it take into account also that post the new product launches, there could be an increase in surrender, that factor into this 100 to 200 basis points? And thirdly, when I look at your product mix, obviously, there has been an adverse product mix which shift towards ULIP, I completely understand the strategy there. If I compare your 1st Quarter FY25 products mix with 1st Quarter FY23 product mix, it was broadly similar, but the margin is roughly around 350, 360 basis points lower. So, just wanted to understand is this 350, 360 basis points lower margin. is it a function of only the OPEX investments that we have made in the last two years which will deliver productivity gains say over the next 12 to 18 months or is there something else also that is actually here?

Prashant Tripathy : I will take the first two questions, and I will request somebody to take the third one.

The 19% growth rate on an adjusted sales basis is YTD July for Axis Bank; they grew about 45% in the month of July. So, we saw increased momentum as a result YTD July is 19%, the 8% numbers that we have reported for 1st Quarter has increased to 19%. There is a good surge. Of course, it came at the back of some new product interventions that the open architecture partners did. On the question on surrenders, it's a bit of a crystal ball gazing whether higher surrender charges will increase surrender or not. I mean we will see how it goes, but intuitively speaking, surrender might increase a little bit if the surrender benefits are improved for the customers. There will be two things that will happen. I think there will be very significant efforts towards validation at the time of sale, ensuring that the customer is going to continue. So, all the players I expect will ramp up their efforts to ensure that people who are buying policies are extremely serious about continuing, #1. And I think the retention efforts or renewal efforts will become significantly high. So, because of that, my sense is that the overall impact will be limited. But just to confirm to you, the 100, 200 basis points delta that I am mentioning does assume some increase in surrenders. So, we have factored that in just to be conservative while giving an estimate. That's the best foot forward and we have to see how it goes, but it does sans lack of increase or say assume that the surrenders remain at the same levels, this guidance will be on the lower side. That's the way I will put it. Amrit, if you could take the third question?

Amrit Singh: I might not have actually at this point in

time exact FY23 to '25, but I can give you

some directional answers. Yes, your observation is correct that one part of the answer definitely is the increase in OPEX, that has actually happened over the last two years. But then there are slivers of additional plays also which are happening. So, there is a sliver of the channel and product mix being sold during that quarter and this quarter especially on the unit linked designs, there's a sliver of that as well.

And then inherently at that point in time, the annuity contribution largely in the business was coming out of single premium. As we have diversified the overall annuity mix, there is an intrinsic reduction in the margin of the annuity product as well, which comes in play. And as we have been speaking about protection margins, so some bit of a shave off there. So, it's a combination of these 3 -4 attributes of the

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correlation that we are trying to drive. But the large answer stays in OPEX and also the fact that unit linked designs being sold in proprietary versus partnerships.

Moderator: We will take the next question from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: I have two questions. First you just mentioned refiling these products between or pulling these products back between 15th August to 25th September. So, last year 2nd Quarter was already a high base for you. On a total APE basis, it was a 36% YoY growth quarter. So, should we expect some disruption in growth in this quarter going ahead, how are you looking at it, will majority of the growth in the coming quarter be completely driven by ULIPs and protection and PAR and non -PAR will remain very subdued? Second, you've shared a data point on breakup of the proprietary channel. That eCommerce is now 37% of the mix there and direct is 18%. What was this in last year 1st Quarter ?

Prashant Tripathy : Of course, I do agree that the base was very high, but we are seeing great sales momentum across all the channels. If you have to go by the data of July, I think I am very happy to share with you that we saw growth across all channels, not just bank channels, so be it agency be it direct, be it eCommerce, be it are the new banks that we have signed, YES Bank , Axis Bank is seeing growth across. So, I am very optimistic about the growth outcomes of Q2. It's very hard for me to tell you exactly where we will land up, but we are going to leverage every potential opportunities to drive growth. With respect to channel mix, last year, of course, we have seen good growth in the eCommerce channel. But Amrit, if you have access to what were the mixes last year do you have ?

Amrit Singh: So, 20% eCommerce within the proprietary sales which she mentioned 37% for this quarter, that number was 20% last year.

Shreya Shivani: Of the 18, how much was direct last year in this quarter?

Amrit Singh: It does remain at 20% approximately .

Shreya Shivani: On the agency count, you were at 1,02,000 something as of March '24. Have we had any substantial agent addition this quarter or are we focusing more on agent activation of all those who have already been added?

Prashant Tripathy : I think generally the focus on agent activation and I at my level focus more on active agents and top performing agents than the total agent count, but the agent headcount at June '24 end, 1,06,860 .

Moderator: We will take the next question from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: So, just quickly, first, on your overall growth guidance, so as I understand in the beginning of the year, VNB growth, you're saying mid-teens sort of a number but obviously the surrender values can have some impact on the margins. And from a top line perspective, how are we seeing the year play out? Second, on your EV, can

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you quantify what is the magnitude of economic variance in Q1 because b

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the envelope there seems to be another negative variance in this quarter. Could you confirm if that is correct, and if that is the case, then what is really causing that? And third, sort of our calculations indicated that if nothing is done on the new surrender values, the company level margin impact could be in the range of 300 to 400 basis points, but what you're talking about is lesser, right about 100 to 200 basis points. So, I wanted to understand what are you exactly building in 4Q and what the difference can be between my understanding and your understanding?

Prashant Tripathy : Always, you ask very sharp questions. So, let me try to answer number one, number two and then number three is going to talk about number. #1, #3, Amrit will give you the EV variance on non -operating. I think the VNB growth was expected to be mid-teens without surrender. So, I stick to that and if we end up being at a low margin, I think we will cover it up with higher sales growth. That's our current position and as every quarter moves, you will see some of that play out. The second thing that I will definitely make is there's only so much that has to be read in Q1 numbers. Like I mentioned to you, this is 12% VNB quarter for us of the total VNB. So, I think the journey is long and we are going to be quite focused on ensuring that the overall margin numbers pick up and we are in the range that we have given as guidance. When surrender guidelines come, you would have picked up from the

industry, it will have impacts on the industry with respect to several things changing and just to clarify, it may mean some changes on distribution compensation, not just in terms of volume, but the phasing to ensure that we are protected with respect to lapses and the burden is shared with the distribution partners. It may mean some changes on maturity policyholders returns, it may mean for us to of course refile, add new features, it may mean that overall we look at our expenses with the different light and some of those actions like I mentioned to you are quite non-financial, they touch the business and hence I will say that 100, 200 basis points is the residual thing that I am expecting to be there which is the run rate that we should hit by the end of this year. However, I am reasonably sure that with the series of changes that they're going to make, we will be able to nullify. So, that's our position. With your estimate of 3% to 4% and me saying 1% to 2%, like I mentioned to you, of course there is pieces of work that all the businesses will undertake. Being a life insurance person, I must say these are the changes that will be industry-wide like it happened in 2009 when ULIP regulations change, they will have changes in the industry. And overall, I think the impact at the end of the day when we have made many changes are expected over next one or two quarters to be in the range of 100 to 200 basis points but again, as I mentioned to you, some of these changes are non-financial, they touch the business and making those changes in the business has a lead time and everybody is going to take that lead time. So, I am very optimistic at this point in time that we will be able to nullify with the set of initiatives that we have identified already and nullify the impact over six to 12 months period post the implementation date. On your question on embedded value and the economic impact, Amrit, do you want to take that?

Amrit Singh: As I mentioned in the opening remark as well that on the non-operating side we have a positive non-operating variance of 276 crore. A predominant portion of this is coming out of equities, but there is a positive on the debt side as well. So, both equities and debt, the non-operating variance is positive and a total of 276 crore.

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Even on the operating side, even though you didn't ask reiterating that operating side as well, the operating va

riance is a margin positive number.

Moderator: We will take the next question from the line of Paresh Jain from Motilal Oswal.

Please go ahead.

Paresh Jain: Firstly, just extending the point on surrender charges, you have the best -in-class persistency especially on the one year, on the 13-month in terms of number of policies. In spite of that, we have a relatively larger impact as compared to some of the other peers that have mentioned the impact. Just wanted to understand where is this higher magnitude coming from, whether it is our persistency or surrender profit assumptions in our VNB numbers or is it coming from the product mix or is it coming from the IRR that we offer? So, that would be my first question. Second is from a product mix standpoint, how is July being compared to the 1st Quarter, has it been any meaningful difference in terms of non-PAR share again moving higher and ULIP share going lower and in case we sustain the kind of growth momentum that we have seen in the month of July for the other two months as well what kind of VNB margins can we look at in Q2? And my last question is on the mix of partners that we have at Axis Bank today. So, are you seeing similar level of growth across partners because at some point if some of the other players kind of group after there could be some wallet share loss at Axis or is it fair to assume that the focus will still be on growing Axis Bank and maintaining that wallet share between 65% to 70%?

Prashant Tripathy : You asked two or three questions. Let me just say, it's very hard for me as you can understand for me to comment on the impact on other people. Of course, being in the industry, I have a view, but it's very hard for me to comment on the impact on other people. My estimate is impacts are more or less similar because the large part of the impact is going to come from the allowance on surrenders in year one, which until now was not there. And if people are in the similar ranges on persistency, in fact, we being at the better place, I would expect that pretty much everybody's being reasonably impacted. Just to highlight that our IRR is not very aggressive, they are in line with the market and the assumptions are already in line with respect to this in our experience. The majority of our policyholders who stopped paying premium choose to remain in a paid-up mode and on slide 30, we have given you guidance or actual data on how it looks. So, there are of course multiple elements of the business, there is impact on annuities, there is impact on return on premium, protection plans and all that has to be taken care of. There is an impact of course on health policies and we write reasonable health policies because the reviewability

clause on health is going away. So, there are nuances on proportions, there are nuances on percentages, there are nuances on assumptions which is how at least we have determined for ourselves. I am reasonably sure around the numbers that I am telling you, it's very hard for me to take a guess on other people. Margin in Q2? I think we are making positive progress and at least from my perspective, the first thing is to preserve the counter share. We don't want to see counter share and for example there are product interventions, I mean if you really look at how it operates on open architecture counters, every day is a new day, you have to really fight it out. I am very happy that with all the interventions on a run rate basis, we are trending at 68% to 70% , which is the good part. I think Max Life Insurance is not

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new to open architecture. We have been on open architecture counters now for four years. For a large part of these four years, we have maintained our counter share. I am reasonably confident that we will remain at 65% to 70%. While it does take effort, of course, with the support of Axis Bank, not just as our large distribution partners, but

also our promoters as well as the good work that we do, we will be able to preserve. I am seeing good growth on the other bank counters also. I mean, if you look at until July, the private industry growth rate is 26%, while there is a bias towards ULIP, which has been a key driver. But overall industry itself is growing so fast, all the bank partners are growing so fast. and in the other bank partners that we have signed up month-on-month, we are increasing our share on counter, the six or seven new bank partners that we had signed up. Our overall counter share cumulatively on those counters have gone up to close to 22%. Every month I have been seeing our counter share increase by a percentage or a percentage and a half and I am seeing good growth because of the low base effect. So, suffices to say that this growth is pervasive , and it is in the prop channel, it is in the bank channel, it is everywhere.

Paresh Jain: My second question, which was more specific to the 2nd Quarter . What is the kind of mix that we would have done in July, would it be similar to 1st Quarter and in case the growth kind of persists what we are seeing, and the product mix also remains similar, what could be the Q2 level margins?

Prashant Tripathy : I will see a positive movement; however, it will be unwise for me to get into the product mix issue, which is not market information. Market information is sales because those numbers are published by IRDA I. So, I will request that we review that as we conclude Q2.

Moderator: The next question is from the line of Ajox Frederick from Sundaram Mutual Fund. Please go ahead.

Ajox Frederick: Sir, you mentioned about tactical push which you made in 1Q. So, I am assuming that's regarding ULIPs. Just want to clarify that.

Prashant Tripathy : Predominantly yes.

Ajox Frederick: And sequentially has product margins come off for ULIPs in 4Q versus 1Q?

Amrit Singh: It's a bit of a factor of which channel sells the product. If you ask apples -to-apples , Banca versus Banca , then the margins have actually only marginally improved, largely to do with the rider attachments that we are doing in our product. But because of the mix of the eCommerce ULIP sales that we have done, there is a sequential decline, but that's more to do with channel product combination. And as Prashant also mentioned in the opening remarks, the way we sell our unit link in the eCommerce channel is a combination of a capital guarantee plus a unit link design. So, it needs to be seen in a holistic perspective and that combination itself is a margin -accretive combination.

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Ajox Frederick: Second question is regarding our Slide #19 , where you mentioned about Axis emerging vertical and agency new models. So, what are these specifically? Within Axis, are they different distribution styles, what are they exactly?

Amrit Singh: So, this chart actually just kind of speaks about that we are not only just investing on the traditional way of how Banca ssurance has been run, but also have been investing over the last two years in various verticals which are beyond the traditional branch banking vertical, which could mean the tele -calling setups, the virtual calling setups, it could mean the direct -to-consumer businesses that the bank actually runs. It has an approach towards corporate salary and small and medium enterprises. So, these are channels where traditionally we have not been present as an insurance seller. But we have kind of created muscle and capability to go and start selling in these channels as well and they're becoming meaningful contributor to the overall sales mix and actually demonstrating robust outcome. That's what the Axis emerging channels mean. Agency new models is actually this

is new capacity that we have created certain farming constructs within the agency models, we have the variable agency channel constructs, we have specific

proposition for top advisors in the market, for which we have created specific capacity. So, it's a mix of capacity plus new styles of actually approaching the agents, which is actually aiding in the overall mix of agency growth.

Ajox Frederick: So, these are slightly non-linear versus what the underlying distribution channels is?

Amrit Singh: That's right. This is also to demonstrate to you where the distribution capacity is being invested, how is that momentum of growth picking up and how that has every sequential quarters improving, how improvement in these particular investments is coming through.

Ajox Frederick: But I am assuming this must be very small at this point in time within the .

Prashant Tripathy: It will be around 10% from an Axis perspective, around 5% for the agency channel for today.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Amrit, you highlighted that the products that you sell on eCommerce channel are capital guarantee ULIP in nature. So, I just wanted to clarify again, you mentioned this product has invariably a better margin profile than overall ULIP what you sell. Is it my understanding right?

Amrit Singh: Say that again. Sorry, I missed the last part.

Sanketh Godha: I think you alluded to the point that the capital guarantee products of ULIP nature what you sell in the eCommerce channel are better than the overall company average ULIP margin products?

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Amrit Singh: All ULIP is not necessarily capital guarantee. There is a significant portion of ULIP which is capital guarantee, that capital guarantee proposition is better.

Sanketh Godha: So, the reason why I am asking this question is that the predominant portion of the growth in ULIP seems to have come from eCommerce channel. So, whatever growth you have delivered in 1st Quarter in ULIP in eCommerce channel, whether that channel itself is having a better margin profile compared to what ULIP you do in other channels?

Amrit Singh: I will get into the specifics of channel and their specific margin profile, but I can confirm to you that the eCommerce channel as a whole actually has a strong margin profile despite the proportion of ULIP live that is running in it.

Sanketh Godha: You said that 45% growth has come from Axis Bank in the month of July and that is our overall growth also for the month. So, which means that you have defocused on this eCommerce channel little relatively compared to the old traditional ones.

Just wondering if eCommerce is a little lower than the margin profile because of the channel mix it should play out going in subsequent quarters.

Amrit Singh: The proprietary momentum of growth has maintained. Obviously, there will be one month over another month where in the previous quarter we had a launch of a fund offer which actually helped galvanize momentum. So far we haven't done it. So, the eCommerce numbers have become slower, I mean, they come down from 200, but still very, very respectable growth momentum. But overall proprietary momentum for the month of July is also holding up. For the month of July, both the proprietary momentum has been maintained from a growth perspective and the Banca momentum actually has picked up, which has ensured that now whatever you are seeing as 9%, 10% growth on Banca has actually got trued up to 19% levels.

Sanketh Godha: Sorry, why I am asking this question is for the simple reason that given the mix in the distribution mood in same favor of pop in the current quarter and margins depleted, and if it reverses in subsequent quarter means Banca comes back little fully compared to pop channel whether the margin profile will look better even if the same product mix you do in the current quarter?

Amrit Singh: Look, that answer is actually a yes for Max Life always because every consequent quarter, even at the same product mix,

I will keep lifting up the margin profile.

There's a big operating leverage kicker that we always get. So, if your question is that even if I run the same product mix that I ran in Q1 and Q2, will the margins improve? Answer is yes.

Sanketh Godha: My question, Amrit, is not that. That I understand it will improve the margin structure in 2nd Quarter because of the operating leverage. My question was that even if distribution mix moves away from prop and moves in favor of Banca which you said in July the growth is very strong, not just because of the -

Amrit Singh: Yes, that also has a supporting effect.

Sanketh Godha: You indirectly alluded to the point that the surrender rules will have somewhere between 100 to 200 basis points impact on the margins if you don't make any change. This 100 to 200 basis points impact what you are highlighting is largely related to the first-year payout or you have also factored in a behavior change of the customer with respect to paid up behavior from subsequently onwards?

Amrit Singh: This question was asked, and we did respond that when we have given you an estimate of 100 to 200 basis points, we have assumed an increased surrender rate as well than what we are actually experiencing today because there is a value that is occurring in the first year itself. So, we have made that assumption when we have given you that. But I am reiterating that, and which is what our Slide #30 actually shows that for the non-participating design products, our experience or persistency is 91% in the first year and then subsequent to that, 90% of them still they stay with us and we have shown that particular trend. On this, we have assumed a worsening when we have given you 100 to 200 basis points. Now it can be argued both ways that maybe it might not worsen given the kind of controls and the deferment of commission structure that will come into picture. But at this point in time, just doing a simplistic view of the fact that there is an increased surrender value which could create an incentive for higher surrenders. We have assumed that in the competition provided to you.

Sanketh Godha: Just this additional one percentage Axis Bank stake increase or 0.98 percentage, this will be primary in nature, or it will be secondary?

Amrit Singh: So, it's right now envisaged to be secondary.

Sanketh Godha: Full year guidance, last year at the end of the fourth quarter you gave it to be in mid-teens to high-teens. So, even the surrender thing will have its own nuances, you believe that the growth guidance will be maintained and if you intend to maintain the growth guidance given there will be teething problems with respect to traditional plans, it is natural to assume that ULIP will drive that mid-teen growth or a little high mid-teen growth for you in the current year?

Prashant Tripathy: I will stay away from giving guidance. If there were no regulatory changes, the guidance is what the guidance which was given at the beginning of the year, which was close to 25%, 26% margin mid-teen kind of VNB growth rate. It's a large-scale change coming our way at industry level. I am 100% sure that within the period of three to six months we will be able to completely mitigate the negative impact of these regulatory changes, but because the situation is going to be very dynamic, it is very hard for me to tell you exactly where we will land up. We will try to come as close as possible to the guidance that was given at the beginning of the year.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: You mentioned that Axis in emerging vertical was up around 37% in this quarter. Just trying to understand what would have been growth in the rest of the Axis and like a decline.

Amrit Singh: We are not breaking it at such granularity, Nis

chint. The only idea and that's the reason you see we have not necessarily put a number there. But needless to say, obviously, that growth is lower than the average growth that has been indicated for the channel in the presentation.

Nischint Chawathe: I mean the only point is that Axis is somewhere sort of guided that ULIP kind of have a similar counter share but at the same time they're adding new partners. So, does it mean that you are kind of maintaining that counter share because of the fact that they are adding new channels or is it something that your counter share in the traditional channels is going to be whatever?

Amrit Singh: I think that's a fair question that you ask. So, if I exclude this channel and kind of speak about branch banking liability vertical, the core verticals where the sale happens, the counter share has remained stable. We will remain in the range of 65 - 70%.

Prashant Tripathy: At least at my level, I meant I review it by every different channel. And by the way while we have seen 27% growth of whatever growth in the overall channel, this is just a 10% share or 10% to 12% share of the total sale. It is growing fast and we want to build it where at this point of time in the overall sales number, it is a smaller number.

Nischint Chawathe: And can you talk a little bit about the new agency model, I mean, are these variable cost agency models?

Prashant Tripathy: We are experimenting with several new things, going to Tier-2 cities with a slightly different model of servicing as well as training. It is also APC which is a variable cost

model. We added two or three different things to our main agency channel, and these are actually those subsidiary or additional agency models, a bit different from the core agency model that we have put in.

Nischint Chawathe: Now I think Axis is almost closer to 20% or 19%. So, what happens like do you want to give some update on the timeline when you're approaching the regulator?

Prashant Tripathy :: I think we will wait until they go up to 20% and we will come back separately with an update as and when it is available.

Nischint Chawathe: Just a data keeping question. You mentioned the breakup of proprietary between direct informers and others or agency essentially at 18, 37 and 45 for the 1st Quarter this year.

Amrit Singh: That's in the presentation itself. It is there as a part of a presentation , Nischint.

Nischint Chawathe: No, no, I am just asking, what was it last year?

Prashant Tripathy :: We will give you separately, but the eCom, direct both were 20, 20 each and that agency was 60%.

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Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the Management for closing comments. Over to you sir.

Amrit Singh: Thank you, everyone, ladies and gentlemen, for being on our call and for your interest. We do look forward to such more interaction. Have a good day. Thank you.

Moderator: On behalf of Max Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: Please note that this transcript has been slightly edited for the purpose of better reader experience.

Call: Oct 2024

October 28, 2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
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Scrip Code: 500271 Scrip Code: MFSL

Dear Sir/Madam,

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Transcript of Investors & Analysts Conference Call held on October 23, 2024 , post declaration of Un -audited Financial Results of the Company for the quarter and half year ended September 30, 2024 , is enclosed.

The same has also been uploaded on website of the Company at

https://maxfinancialservices.com/static/uploads/financials/mfsl -earnings -call-transcript_final_q2fy25.pdf

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

Piyush Soni
Company Secretary & Compliance Officer

Encl: As above

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Max Financial Services Limited
Q2 and H1 FY '25 Earnings Conference Call Transcript
October 23 , 2024

Moderator : Ladies and gentlemen , good day and welcome to the Max Financial Services Limited Q2 and H1 FY'25 Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Amrit Singh – Chief Financial Officer, Max Financial Services Limited and Max Life Insurance Company Limited. Thank you , and over to you, sir.

Amrit Singh: Thank you, Rayo. Good morning to everyone and once again I welcome you to the Max Financial Services Earning Call for the quarter ended September 2024 .

We made our Results available on our website as well as Stock Exchanges last evening and as always , I am today join ed by Prashant Tripathy – Managing Director and CEO of Max Life Insurance .

I request him to share "Key Developments and Insights " from this Quarter .

Prashant Tripathy: Good morning , everyone , and warm welcome to Max Financial Services Earning Call. I am very excited , just to begin with , to share with you that we have now solid plans to refresh our corporate name and brand identity.

With Axis Bank on board as a co -promoter, Max Life Management proposed the inclusion of Axis as a part of its corporate name and brand identity . And I am so

thankful to the Axis Bank Management Board as well as Max that we now have permission to use Axis name from their perspective on our brand identity. With Axis Bank coming as a co-promoter way back in 2021, igniting a powerful synergy, the time was right for us to consider having Axis name in our brand also . Our goal is to create an even more powerful and influential brand that continues to inspire 'Bharosa' for our customers, employees, investors and other stakeholders. This strategic decision was backed by in-depth research with all our stakeholders by an external consultant. The key findings of studies show a strong association with Axis Bank beyond urban and tier 1 and Max plus Axis joint branding being a preferred thing .

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Combining the two brands would result into stronger brand association, increased likability , and ease of remembering and preferred buying consideration and it will also very solidly and overtly exhibit to all the stakeholders the association as well as ownership of Max Life Insurance by Axis Bank . The brand refresh has been approved by all the boards, Max Life, Max Financial and Axis Bank. And the new corporate name and brand identity will be announced in due course subject to corporate and regulatory approvals. I am very optimistic that we will do that over the next quarter . Now moving on to key development in Quarter 2 across all the strategic areas and I will pick them up one by one.

Predictable & Sustainable Growth

In the second quarter of FY '25, our individual adjusted first year premium exhibited a very strong growth of 34% outperforming both the private sector and overall industry growth rates of 24 % and 21% respectively. It is noteworthy that this growth , even on a two-year CAGR term , is also healthy 25% compared to overall industry growth of only 14% .

Total APE in Quarter 2 expanded by 31% , led to a significant over 20% increase in the number of policies issued. Therefore , so far in the first half of the year , our sales , which is APE and adjusted FYP have grown by an impressive 31% backed by secular growth from both proprietary and partnership channels .

Our continued investment in prop channels led to a sustained momentum in their growth , achieving year -on-year 45% growth in Quarter 2 FY '25 and 51% in H1 FY '25. It is noteworthy that our strong focus and execution capabilities have resulted in prop channels growing at two-year CAGR of around 46% in H1 FY '25 .

Offline prop channels saw a remarkable 39% growth driven by enhanced frontline sales productivity and the expansion of our top performing agent pool. Our online channels continue to lead the market , holding the top position across digital platforms in both protection and savings segments. These channels grew by over 59% in Quarter 2 FY '25 fueled by robust demand of our new fund offer aimed at the online savings segment .

Further , in our ongoing efforts to broaden distribution , we have successfully onboarded 20 new partners during Quarter 2 FY '25 including two banks , Indian Post Payment Bank is one of them, 10 GCL partners, 5 online and offline brokers and 3 corporate agents . While these partners become sizable in the medium term, our existing partnership channels delivered a strong performance in Quarter 2 as well , posting 22% growth and 17% in H1 FY '25 .

Additionally, despite a competitive and slow dis bursal market, our group credit life business expanded by 34% in H1 FY '25 , showcasing our ability to scale up in highly competitive markets despite being late entrants .

In short, we are committed to maintaining a similar momentum of growth throughout the year, surpassing industry growth by a significant margin .

Product Innovation to Drive Margins:

Talking about products, which have been a big discussion item also in view of the regulatory changes , which became effective from 1st October, our dedication to product innovation remains steadfast. Max Life continues to lead the market in

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launching attractive products that align with customer needs while delivering healthy returns to our shareholders .

With the same objective in Quarter 2 , we introduced a Nifty 500 Momentum Fund predominantly for e-commerce customers, a move to leverage opportunities in the current equity market. This led to 74% growth in the ULIP segment at company level, with the ULIP share in our product mix increasing from 35% total APE last year to 47% in Quarter 2 FY '25 .

Protection, a long -term focus area for us, saw 49% growth in retail protection in Quarter 2 , driven by the success of our unique SEWA Health proposition and strategic emp

hasis on riders. We achieved the highest ever Rider Attachment Ratio of 45% in H1 FY '25 versus 31% in H1 FY '24, with Rider APE growing by over 280%. With this protection and health penetration in our individual APE, we reached 11% in Quarter 2 FY '25 versus 10% the previous year.

Further, in retirement, we recently launched our latest version of IRIS study, which reveals that most urban Indians recognize the importance of early retirement plans. The retirement preparedness index for urban India increased from 47 points in IRIS 3.0 to 49 points in IRIS 4.0, supported by greater awareness and proactive financial planning. Therefore, the retirement segment remains a strategic priority for us, and we are well positioned to capitalize on this opportunity through our annuity proposition .

While Quarter 2 annuity sales saw a moderate growth of 5% due to competitive pricing actions, we expect them to ease in the coming quarters, paving the way for renewed growth from this segment .

All our efforts in distribution expansion along with product innovation resulted in a significant increase of 23% in our VNB for Q2 with an NBM of 23.6%. And with that, our first half VNB growth is now 16%. This is an increase on quarter -on-quarter 6.1%, which comes from the benefit of our operating leverage and strong growth in rider attachment. You will find the outcomes to be consistent with the commentary that we have shared with you at the end of quarter 1, where there were a lot of questions around our NBMs .

Surrender regulations update is something that you must be waiting for. As you are aware, new surrender regulations became effective from 1st October, and it wanted all our products to be fully compliant. I am happy to share that we have successfully relaunched 98% of these products for sale .

Further, we are in the process of mitigating the impact on margins by adjusting distribution compensation , customer benefits, as well as taking actions on specific discretionary area of expenses. As guided earlier, we anticipate a net margin impact on a run rate basis, full year run rate basis of between 100 and 200 basis points. Majority of it, I believe, will be mitigated in the medium term, medium term defined as over the next few quarters .

Customer Obsession Across the Value Chain:

At Max Life, customer obsession is integral to everything we do. The dedication to delivering unparalleled value and trust has been recognized, with Max Life being named as one of the Best Organizations for Customer Experience 2024 by ET Now . We also achieved a five-point increase in our company -wide net promoter score, rising from 56 in March '24 to 61 in September '24, with both touch point and

relationship NPS showing similar gains. We maintain our leadership in 13th month persistency for number of policies, with our regular and limited premium for extensive reaching its highest ever level at 87% up 309 basis points, while our 61st month persistency stood at 58 for the period ending September 2024 .

Digitization for efficiency and intelligence:

The fourth strategic lever, which is digitization for efficiency and intelligence, our ongoing digitization initiatives continue to enhance operational efficiency across the business, delivering both cost savings and improved customer satisfaction. Max Life's efforts were recognized with the Digital Transformation Award at the 19th SKOCH Summit for our OCI Cloud journey, as well as the Best DevSecOps Team Award by Quant i c.

Our Quarter 2 technology interventions include the launch of the mPitch Pro app, designed to help agent advisors simplify the pitch to prospects, and the SARAL tool, which streamlines onboarding of customers and distributors .

Our new claim system called TEJAS , now operational for almost all products , offers real-time claim validation, further building customer tru

st. We also launched a generative AI -based co -pilot for our 4,000 frontline sales personnel and supervisors in Quarter 2 to assist with real -time sales query and objection handling .

In summary, our Quarter 2 Results underscore our ability to scale propriety channels, grow partnerships, and achieve profitable outcomes. As we move forward, leveraging the strengths of both Max and Axis brands, we remain committed to delivering sustainable long -term value for our customers, shareholders, partners, and employees .

I am going to hand it over to Amrit now, who will provide an update on our financial performance. Back to you, Amrit .

Amrit Singh: Thank you, Prashant . Some update on key "Financial Metrics " incrementally.

■ MFSL consolidated revenue excluding investment income now stand s at Rs. 12,820 crore , a growth of 14 % in the first half .

- The consolidated profit after tax for MFSL stands at Rs. 295 crore .
- Max life renewal premium grew by 12 % to Rs. 8,046 crore , and hence consequently, the gross premium has grown by 14% to Rs. 13,137 crore .
- The value of new business over the first half is at Rs. 766 crore versus Rs. 663 crore the previous year, a growth of 16 %. The NBM for first half now has improved to 21.2 %.
- Embedded value end of September 2024 is Rs. 23,338 crore . This includes the capital infusion which was done by Axis in the first quarter of Rs. 1,612 crore .
- The annualized total return on EV, first half FY '25 , excluding the capital infusion of Rs. 1,612 crore is 24.2 %, and the annualized operating RoEV stands at 16.8 %.
- In the annualized operating RoEV, there has been a positive operating variance of Rs. 9 crore . And on overall embedded value, there is a non - operating variance of Rs. 660 crore .
- Policyholder OPEX to GWP stands at 16.5 %, and total cost to GWP is at 25.6 %. Policyholder OPEX has grown by 22% in line with business growth .

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- Max Life first half FY '25 profit stands at 267 crore , the growth of 3 %.
- Solvency position is at 198 % end of September 2024.

- The overall assets under management end of September '24 is Rs. 1.7 lakh crore, a growth of 27%.

We will now be happy to take any questions that you may have, and I will hand over to moderator to open the floor for questions .

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Shreya Shivani from CLSA. Please go ahead .

Shreya Shivani: Sir, just wanted to check on two things. First is on the surrender value regulation. We have heard your peers speak about that they are using a different combination of claw-back or progressive commissions and that's how the structures are currently under discussion with distributors. Where are you guys on this conversation? Are the deals sealed? Most of your peers have said that the industry will take another quarter for this entire dynamic to settle down. So, some commentary around that would be useful .

And second, sir, on this Axis, use of Axis Bank in the name, Axis in the name, what sort of regulatory approvals are required here? We are saying it can come through in the next quarter. Will RBI be included in approving this? Some color around that would be useful .

Prashant Tripathy: Thanks , Shreya. I will take both the questions. On surrender income, my commentary is consistent with what the industry peers are saying. We have had a detailed conversation with a large set of partners already and their proposals which are a combination of all the things that you mentioned. I am very optimistic that from our perspective we will be able to close it in less than one quarter. With smaller distribution partners, we are engaging in that discussion right now. And we are really optimistic that all that will get settled over the next few weeks .

As far as the approval of branding is concerned,

as you know, we need to go to ROC, followed by an approval from IRDAI for the name change. Those are two approvals which are required. We don't require any approval from RBI. So, hopefully , the turnaround time to do that will be close to 45 days. And I am very optimistic that hence within next quarter we will be able to launch our brand .

Moderator: The next question is from Swarnabh Mukherjee from B &K Securities. Please go ahead .

Swarnabh Mukherjee: So, first, I wanted to understand regarding the margin front. So, if I were to look at Q2 vis -a-vis Q1, this is around 600 basis points improvement that has come through. Just wanted some quantification from your side that how much of this would have come from operating leverage and how much would have come from the product mix.

Because at least at macro level, it looks like that product mix have, you know, impact might be relatively smaller, but if you could give more color on that. And also, whether you like a couple of your peers had commented that the yield curve impact were absorbed in terms of the non -PAR products .

So, have you done the same as well? And whether that is part of this number, how much in basis points terms maybe had impacted the margin ? That would give us some color on what could be going ahead. And also if your guidance changes

because of that, because this margin came out strong in this quarter, whether there would be any change in the guidance ?

Secondly, sir, in terms I wanted some color on the break up that you generally provide on the sub segments in your proprietary channel, what has been the mix of the direct channel, the e-commerce and the agencies in your prop channel this quarter and the prior year same quarter. So, that would be helpful. And how the commission structures are panning out in the e-commerce channel, because I think for 1H you have mentioned that there has been more than 100% growth in this channel. So, I just wanted to understand that .

Just one last one on the structure simplification process risk if you can highlight .

Prashant Tripathy: Let me make an attempt to answer some of the questions and I will lean on Amrit to share with you the numbers. I think, with respect to the advantage or margin increase, you may recall that we mention every time that when we come up with our margin numbers, we take expenses on actuals. And hence, if you were to look at last many years, our quarter 1 margins are smallest and every passing quarter the margin builds up. And this quarter was no different .

If you remember, we had a 17.5% margin in quarter 1. If you look at our VNB in the first quarter, our VNB was close to 250 crore , now it is more than doubled. So, we do significant more sales in Quarter 2 compared to quarter 1. And hence, there will be a big advantage of leverage , first part. And I don't know if Amrit has those numbers handy . I will give it to him in a second.

And the other one is a commentary that I mentioned to you. We have attached significant more riders this quarter to drive our margins up. So, hence, if you look at our product mix, our product mix is more or less similar. We have written similar amounts of ULIP also. But because of higher leverage as well as attachment of riders, we were able to drive more profit. So, riders we generally call as a part of our protection and health proposition. And you will notice that protection and health proposition has significantly increased in the first half. So, that is the big reason why it has happened. But I am going to hand it over to Amrit to give more color as well as talk about responses to other questions .

Amrit Singh: Thanks , Prashant. Swarnabh , so from quarter 1 to Quarter 2 walk, the 600-basis point improvement that you see, 500 basis point of that comes out of operating leverage and also strong volume

growth that we have continued experience in the quarter. And around 100 basis point is a mix of the riders which we have been successfully able to actually attach across our product forms .

And the second question that you actually asked was on the yield curve impact.

Look, the yield curve impact is a regular course of business. There is a yield curve movement which will happen, and we will respond to those yield curve movements. We have done some bit of it during this first half. The non-PAR pricing has been adjusted at various points in time, though the movement in the last month has been a bit sharper. But keeping an overall view of competitive intensity and competitive actions, we will also continue to take those calls with respect to adjusting our non-PAR rates for the customers as well .

I think you asked a question on the contribution coming out of our different channels. The agency has at an overall level contributed around 21 %, 22% last year. It has a similar level this year as well. The CA T channel also contributed around 9% last year. It is at similar levels this year as well. And the e-commerce contribution is actually up from 9%. It has moved to 15%. So, there is the e-commerce growth which you

can see of over 105% in the first half is causing to an improvement of share of the e-commerce business. Any additional?

Swarnabh Mukherjee: Yes, a couple of things. One was whether there is any change in the margin guidance that you had given because of the better margin profile that came through this time and maybe the rider attachments are growing. So, they would like to change that. And the second is on the structure simplification process, if there is any progress , if you want to share .

Amrit Singh: So, I think on guidance , we will stick to whatever we had been saying at the start of the year. You will appreciate that it's not a normal period that we are entering into from a regulatory disruption that has come in play and it will require this quarter 3 some bit of stabilization to happen. But keeping the overall guidance in view that we do aspire for double-digit VNB growth and a strong APE growth and VNB margins would be an outcome of some of those things. So, we will kind of continue holding to those particular guidance .

Prashant Tripathy: On the structure simplification , we don't have any updates beyond whatever we have

shared so far. We are working and we are observing .

Swarnabh Mukherjee: Do you have any timelines in mind for that?

Prashant Tripathy: I think the moment we have visibility to timelines , we will come back to you. It is going to be a time-consuming process , and I think we will make an attempt to do that over the next few quarters is the way I will put it .

Moderator: The next question is from Supratim Datta from Ambit. Please go ahead .

Supratim Datta: So, my first question is on the growth side . ULIP has been growing very strongly and this has not been the case only for you but across the sector, ULIP has been growing very strongly. Just wanted to understand what in your experience suggests that when the market slows down or when things start to stabilize, how easy is it to switch from ULIP to other products and what could be some of the levers that you could use to shift the growth from one product to the other, if you could give some color on that and what your past experience suggests, particularly given we could enter a period where you could see rate cuts as well ? If you could give some color on how life insurance products during rate cut period plays out , that would be very helpful . And the next question is on the EV walk. So, there seems to be a positive operating variance that you have been holding for this half. Just wanted to understand that what has resulted in this positive operating variance ? If you could give some color

on that , that would be helpful .

Prashant Tripathy: So, I will take that. I think growth from U LIP definitely is a phenomenon and this is not happening for the first time . In the past also , there is a strong correlation on ULIP growth with respect to market uptake and over the last few quarters we have seen the share market perform well and hence U LIP picks up.

In past, we have witnessed that life insurance industry has been able to maneuver the change quite well and so have we. There have been many quarters where... where our growth or our ULIP mix will go up to between 40 % to 45 %, it will fall between 35 % to 40 %, but we have more or less maintained that trajectory. I don't expect a big impact on account of ULIP transition . If at all , it will be very marginal .

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In terms of EV walk and operating variance, positive variance, operating variance , which is a minor number , is because of some of the upsides that we have seen from our mortality experience .

Supratim Datta: And just one clarification . So, on the name change or rebranding, would it be a joint name that you are proposing like Axis Max or Max A xis, or how would that be? If you could give some color.

Prashant Tripathy: I think your expectation is correct . I can't tell you whether it will be Axis Max , Max Axis, but yes, it is going to be a combination of both the names .

Moderator: The next question is from Pra yesh Jain from Motilal Oswal . Please go ahead .

Prayesh Jain: Sir, firstly, just extending the point on the rebranding, which channels do you, in the survey or the feedback that you would have received from the third party, which channels would you expect to benefit the most out of this? And we have already kind of been delivering very strong growth on APE front . So, on this base also from a , say, two to three -year perspective, what would be your growth aspirations considering the rebranding?

Prashant Tripathy: Thank you very much . That's a very good question you asked , and it is something very, very strategic. From our point of view, of course, Max Life Insurance is a prominent brand . Within life insurance space, we are seen as experts in life insurance, and we have had an incredible journey so far .

However , Axis is a larger financial services conglomerate, and it has presence in many, many more cities, tier 2, tier 3, smaller part of India where perhaps Max Life brand is not as strong. And hence, we kick started , and this is not really something which was guidance from shareholders . Actually , management team picked up this exercise to look at any opportunities that may arise by having the strength of Axis Bank associated with Max Life Insurance and we actually talked to almost everybody .

As you know, we are expanding in smaller cities . We opened 100 branches over the last one year . We talk to agent advisors . We talk to current customers . We talk to prospective customers . We talk to employees of Axis Bank , sellers of Axis Bank , seller for other banks. And I think across all cohorts, we found that the strength of both brands coming together was more prominent than Max Life on its own .

So, hence, the management team made a request to our Axis set of shareholders along with Max's shareholders to allow us to use a brand which kind of carries the strength of both the brands together. And I am very happy and lucky that it's been allowed . So, we will take that on board .

It also, in a way, answers some of the questions that investors and analysts have over and over again come and ask us about seriousness , the ownership of the

agenda of Max Life Insurance growth by Axis Bank .

I would like to unequivocally communicate that it is reflective, the ownership of the agenda, the growth of Max Life's agenda by Axis Bank is quite vested in the decision that Axis Bank has chosen to lend its name brand to Max Life I

nsurance . It goes to

that extent .

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So, it serves to the purpose of really reflecting and demonstrating to the entire world that both the companies are going to work together, and we have very deep interest in building life insurance business in India .

I think the advantage, a distinct advantage that we are going to get is also with sellers of Axis Bank where we have an open architecture situation. And I think having a common brand or having Axis brand attached to Max Life Insurance will definitely give some bit of distinctive advantage to Max Life Insurance in the minds of the sellers .

We already are in the counter -share range of 65 % to 70% and we have maintained that. Over and over again , there have been questions around it . We have maintained it. So, honestly, from all counts, I think this was a very positive decision that I was personally passionate about and I am happy that they're moving in that direction . Our growth has been strong . Your observation is right . We are doing very well , and I think with these changes or with the strategic decisions that we are doing, one will make an attempt to grow even faster. We have deep aspirations to be among the top three players and I think we will continue to pursue that journey with strength and with determination .

Prayesh Jain: Thank s for that elaborate answer. And secondly, from a VNB margin perspective in the second half, how do you see this panning out given that the surrender charges would kind of come in and probably you will have a rebranding cost that would come into your numbers , and also the commission structures are still being discussed and not yet finalized ? So, do we see the margins kind of coming up in Q3 and then kind of possibly a more normalized number in Q4 ? How do we see the margin kind of panning out? And from a, say, again, from a two to three -year perspective, do we see that the VNB CAGR would be similar to the A PE CAGR or how should we kind of look at from a two to three -year perspective?

Prashant Tripathy: Yes, I think margin is something which is quite dear to us. And on all the discussions that we do internally, margin finds a very important place. However, over the last two or three years, you would have seen that we are trying to balance market share growth with margin. One would be very happy if we are near about 24 %, 25% margin , yet being able to maintain the growth trajectory on APE the way we are doing . Last year, the margin was 26.5. The year began without any surrender impact. We had given guidance of being between 25 to 26, that kind of number, close to about 25%. The surrender guidelines have come, and we have spoken about 100 -200 basis point impact. So, really, I think our margin should be in the range of 23 to 24 for the full year basis .

I am being bold in giving some kind of guidance in a very fluid environment. So, with one quarter here or there, I think on a run rate basis, we should try and make or try and come close between 23 %, 24% for the year. That will be our attempt. And over a medium -term basis, when I say medium term, over three to four quarters, we should try to cover up this delta which has come. And as demonstrated in this quarter, we have several initiatives which are running to optimize for margin. So , we will continue to do that.

I think the cost of rebranding; I would count it out because that's honestly going to be a one -off cost. And hence, you know, one should look at margins independent of that. But you are right. The next two quarters will be in that sense, especially this quarter is going to be dynamic because of how surrender income regulations are

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settling. But one would definitely make an impact in a very genuine effort to hold the

margin at the levels where we are or improve further .

Prayesh Jain: Now, this last question. How has the fir

st 22 days of October been under the new

regulations with respect to growth or with respect to product m ix, any difference from

what you would have seen in the first half?

Prashant Tripathy: Honestly, I think that's something which I will be running afoul talking about the growth rate. Let the I RDAI numbers come at the end of the month. I think it requires

your patience. I don't have any reasons to worry .

Moderator: We take the next question from Sukant Garg from Equ ible Research. Please go

ahead .

Sukant Garg: Just a little bit old school questions here. What would be the bind rate currently in the policy Max Life Insurance ?

Prashant Tripathy: Can you repeat your question?

Sukant Garg: What would be the bind rate, the policy conversion rate against the quotes that's been generated?

Prashant Tripathy: We have the conversion rates, Amrit .

Amrit Singh: It's generally 10% conversion rates is what we observe .

Prashant Tripathy: And it varies by channels also .

Amrit Singh: And it does vary depending upon channel , bank conversion rates are slightly higher. E-commerce conversion rates are more tougher , and agency conversion rates and direct link conversion rates are between 8 % to 10% .

Sukant Garg: So, 10% is the overall for the quote generated against the policy conversion. That could be said .

Prashant Tripathy: That's right . Customer meetings are done to policy converted .

Sukant Garg: That is 10% .

Prashant Tripathy: Yes.

Sukant Garg: And what would be the revenue per policyholder and average cost per claim approximately?

Amrit Singh : Sorry, revenue and what ? Claims per policy you asked.

Sukant Garg: Revenue per policyholder and average cost per claim currently .

Prashant Tripathy: The ticket sizes you mean. You mean the ticket size of every policy?

Sukant Garg: Yes.

Prashant Tripathy: Yes, it's closer to 1 lakh, Amrit, if I am correct, right?

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Amrit Singh: That's right .

Prashant Tripathy: Yes, 1 lakh per ticket size on the regular policies. Sorry, I don't have the answer to the second question. If you could email me and Amrit, we will come back to you with specific answers if that works .

Amrit Singh: I mean, if you are looking for case sizes in the investor release on Page #46, we do provide average ticket size per policy. On average , as Prashant mentioned, it is Rs.

1 lakh for all products put together, but it does vary depending upon the product that is being sold. So , it can be as low as 40,000 in a protection design going up to as high as Rs. 1.50 lakh in our annuity kind of design .

Moderator: The next question is from Madhukar Ladha from Nuvama Wealth Management .

Please go ahead .

Madhukar Ladha: Just I am not sure whether any of the previous participants have touched upon this.

But can you talk a little bit about what is driving growth within the proprietary channel , so the online channel and the agency channel , if you could give what is the growth for each online direct and the agency ?

Moderator: We seem to have lost the line from Mr. Madhukar. We will move to the next question.

The next question is from Avinash Singh from Emkay Global. Please go ahead .

Avinash Singh: So, growth has impressed in the first half. And the growth is coming across channels and to be fair even product-wise growth is quite good. Now when you move to H2 , there are kind of a couple of external factors that we get including your surrender regulation changes probably maybe limited , but some disruption on the product side and also some negotiation on the payouts. Additionally , the month of October is a very festive kind of a month where you have the Dasara, Diwali led disruption. So, how are you seeing the growth trend so far? And what sort of expectation will you have that , I mean , in this background? What kind of a growth I mean that you can deliver in terms of the AP

E in H2 or rather for the F Y '25?

Prashant Tripathy: You asked a very relevant question. The good part is it just doesn't apply to Max Life insurance. It is true of industry. And hence , I will peg my response to the industry growth rate. Whatever is the industry growth rate we will try to grow substantially more than , like, for example , the industry growth rate was 24% , we grew 34. So, one would like to have a plus 5 % to plus 7% delta with respect to private industry growth rate. Let me put it that way .

Very optimistic that the changes in regulation is not going to have a material impact on growth rates and we are at least from our side internally not cutting down on our growth expectations. So, one would make an attempt to maintain the trajectory of growth the way we have done in the first half .

We are quite committed actually on a double-digit teens kind of VNB growth rate, and we will target that. Earlier, Avinashji , I did mention that one would make an attempt to hold the margin like we have done in Quarter 2 , despite having the surrender impact. But yes, you are right, there is some moving pieces, but I can only

pivot back to every such regulatory changes .

You can go back in history . Each time it has happened, Max Life Insurance has come out stronger . So, that gives me a lot of optimism. And bas is all the discussions that we have done, made changes , etc., I think we are reasonably confident of what we are talking about .

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Moderator: Next question is from Sanketh Godha from Avendus Spark . Please go ahead .

Sanketh Godha: Prashant , you said that your rider attachment is around 45%, which helped in the margin expansion. So, just wanted to understand what is the internal target you have, and to what extent it can negate the impact of say, surrender rules or product mix change to support the margins. 45 is already a very big number . Whether you see this number going meaningfully further up compared to what it is today ? That's on riders, first question .

The second question is on annuity. It seems to have slowed down a bit, if I look at the numbers. Is it because last year you had a group and now you have not got it, that led to that moderation? If you can give a split between that number, annuity business into group annuity and individual annuity , and how individual annuity have behaved, that will be useful .

And the last question is on cost. See, the growth has been 31 %, but the overall cost has increased by 280 basis point on a year -on-year basis. So, ideally, there should be still an operating leverage given the kind of growth we have had . So, just wanted to understand is this cost because of capacity addition, like many more people in Axis Bank , or your investment in prop channel is still happening. If that is the case, then future investment leverage, or sorry, this operating leverage for these investments made in the channel, how do you see to play out going ahead? These are my three questions .

Prashant Tripathy: I will take the first one and then I will request somebody to focus on the next two. In terms of rider attachments, Sanketh, in our organization, we have chosen protection and health as a very critical area of growth. And we are very deeply working on improving penetration and we count that as protection, meaning pure protection, either return of premium kind protection or normal protection. We held products and we have an offering called SEWA, which was very, very good in terms of margin contribution as well as sales .

And then the third one is riders, which we are trying very hard to attach to. A large part of the rider attachment that we did in last quarter was with ULIP design , which we sold through banks. We are at this point of time trying to rebalance the overall mix, and the efforts are on to reduce the proportion of ULIP , and we ar

e seeing

reasonable success in doing so .

So, we will continue to work on optimizing the margin. If the ULIP proportion goes up, we will try to attach riders so that we are able to preserve margin or reduce or optimize the product mix in a manner that ULIP proportion goes down and the proportion of non -PAR goes up. Those will be attempts as you would appreciate these are moving pieces and continuous efforts are made actually to optimize our product mix so that the margin outcomes are optimal .

For question two and three, I am going to hand over to Amrit to respond .

Sanketh Godha: So, Prashant , a small follow -up. Is it fair to assume these riders' margins are meaningfully superior compared to even the protection in the overall country average?

Prashant Tripathy: It will be aligned to protection and a tad higher than protection , and significantly higher than company average .

Amrit Singh: I think on the two questions that you asked, one was on annuity and the second one operating leverage in the subsequent quarters. Annuity, as we did mention in the

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opening remark and also in the presentation, the retail annuity has grown at 18% for first half. But the group annuity, because we actually experienced a very large deal last year, a single one -off deal last year, there is a large decline in group annuity at the moment, around 60% decline. But if you adjust for that large deal, then there is a 60% growth. We are quite optimistic that this group annuity business also will pick up in the subsequent quarters as it kind of takes away the effect of that one specific large deal .

Sanketh Godha: Amrit, can you split off your annuity into group and retail percentage mix?

Amrit Singh: So, around 173 is retail and 12 odd crore is group annuities for Super annu ation annuities , on APE basis. This is AP E, right?

Sanketh Godha: Yes, 173 crore is retail and 12 crore is group. That's the way I see it .

Amrit Singh: Yes. On operating leverage, you are right . Actually , historically , you would have seen

that as quarters progress where sales volume increases and OPEX, operating leverage kicks in, there is an improvement in margin which happens. We do experience anywhere between 200 to 300 basis point expansion in margins from what you have seen in Quarter 2 going forward as well because of that.

Sanketh Godha: No, Amrit, my question was half to half comparison, that is first half last year to first half year. You had a growth of 31%, but ideally the cost ratio should have come down, but it has increased. So, wanted to understand this cost increase is largely because of man addition in Axis or investment in prop and how it will play out if you believe the investments are being done upfront, then how you see it playing out going ahead?

Amrit Singh: Right, so the total expense that has increased, which is around 28% increase, and obviously the individual business has grown by 31%. The APE has grown by 31%. The 28% increase, the OPEX, pure OPEX is actually around 21%, 22% increase and there is a large commission increase that is evident which some bit of it is rebase lining of commission between lines which is actually happening and planning out, and also the fact that we are aggressively pursuing some of the new accounts and group credit life businesses where generally the commission ratios are higher. Now with respect to OPEX, pure OPEX, there is obviously an increase which has been done towards the distribution workforce across our channels, and that distribution workforce does start showing up productivity gains as time progresses, whether it is in agency, whether it is in direct teams or whether it is in the new relationships of banks that we have added. So, that is largely the overall contour of how OPEX is panning out.

Moderator: Next question is from Madhukar Ladha from Nuvam

a Wealth Management. Please go ahead.

Madhukar Ladha: So, I just wanted to get a sense of what is driving growth within proprietary channels, the online agency and direct sub-sort of channel growth out there. And second, if you look at the new business strain, that has also gone up substantially. I mean, it is good to see that the back book surplus has grown, but new business trend has actually gone up quite sharply in this quarter and in the first half. So, any particular reason on that? Is it more resolving driven or is it more sort of higher commission payouts or something of that sort of actually payouts going up over there? Some color on that will be helpful. And can you break down the economic variance between fixed income and equity?

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Prashant Tripathy: I will request Amrit, you take this, the question.

Amrit Singh: So, you asked three questions. The first one is actually what is driving the growth across our proprietary channels. In agency, clearly our top agent engagement programs and overall top agent momentum is very strong and that is actually helping us. In addition to the fact that the expansion of capacity, which is helping with productivity gains coming through the years, is also an aiding force in what has been driving the growth momentum within agency channels.

In direct selling teams, actually it is to do with more and newer pools of customer segments to whom we have started doing cross-sell and up-sell, which is actually aiding that growth. And those new pools have come as some of the customers who are unmapped at Axis franchise, customers whom we have had now e-commerce relationships. Those kinds of additional pools have helped. And obviously we have invested in people to go and kind of tap into these pools across our cities and that is enabling the growth momentum in the direct channel.

And largely in the e-commerce channel, I think we did mention around two years back that savings is a business that we are now entering into. And there has been strong savings momentum in that particular channel and which we have from not being present two years back have kind of come to a pole position with respect to the counter share that we own in that particular market. That has helped. And the underlying protection growth we continue to remain leaders in that business on a whole. So, that's the first one.

I think the second question you asked was on the strain. You saw a rise in strain. The reason for the strain increase, one obviously is higher sales in protection, group credit life, and ULIPs which actually intrinsically have higher NB strain. And that's largely the reason why the strain has grown. It's a factor of business mix and business growth coming out of these specific segments. And all these segments, unit-linked, credit life, and protection have higher strains initially unlike participating design policy.

Last question you asked was on the economic variance. What proportion? Two-third of that is attributable to equity gains and one-third to the debt gains.

Moderator: The next question is from Nidesh from Investec. Please go ahead .

Nidesh: The question is on e-commerce channel. So, what is driving such sharp growth in the channel almost 100% Y-o-Y? Definitely, we must be gaining significant counter share. So, what we are doing to drive that?

And second is if you can break down the e-commerce channel, what percentage of business is coming from your own website, from the e-commerce channel, in the e-commerce channel?

Prashant Tripathy: Thank you, Nidesh. And greetings to you. I think we historically on the e-commerce channel, this you remember , we were always very good on protection . We have been number one protection for many years and that was our area of focus . However , our presence on saving space was quite limited , and we were like a fourth pla

yer if we

were to add leaving some protection together .

About a year , year and a half ago we decided that we need to be comprehensive , this is an area of growth . And if you look at our analyst presentations , you will find the number one initiative as being leader in the e-commerce space . So, we took tangible steps to consolidate our presence in the saving space , and that's been the Page 15 of 15

key reason of our growth . Generally , we sell a combination of ULIP with non -PAR on e-commerce platforms . And over last few quarters , I think index -linked designs have been very famous or very popular , and that's driven our growth at e-commerce .

On the direct website , that's something that we always try to rebalance , and my sense is we will have close about 30 % to 35 % of this sale actually comes from directly our website .

Nidesh: So, that would also be a pretty large number , 30% of your e-commerce .

Prashant Tripathy: Yes, it's growing . Both are growing quite rapidly . Both the aggregator space as well as our own website , both of them have grown remarkably .

Amrit Singh : Yes, direct growth is up 90 % and aggregators are also around 110 % . So, both have grown quite handsomely .

Nidesh: And from a product level margin perspective, if you sell through aggregator or if you sell through other channels , how differential is the product level margins ?

Prashant Tripathy: I think it comes similar , Nidesh. Honestly , it comes similar , not very different . Even coming to our website also requires investment in terms of generating traffic and search etc.

Moderator: Thank you. We will take that as the last question . I would now like to hand the conference back to the management team for closing comments .

Amrit Singh : Thank you everyone for attending our Earnings Call. We continue to look forward to more such interactions and have a good day .

Moderator: Thank you very much . On behalf of Max Financial Services Limited, that concludes the conference . Thank you for joining us . Ladies and gentlemen , you may now disconnect your lines .

Call: Feb 2025

February 11, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL

Dear Sir/Madam,

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Transcript of Investors & Analysts Conference Call held on February 5, 2025, post declaration of Un-audited Financial Results of the Company for the quarter and nine months ended December 31, 2024, is enclosed.

The same has also been uploaded on the website of the Company at

<https://maxfinancialservices.com/static/uploads/financials/max-financial-earnings-call-transcript-05-02-2025.pdf>.

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

Piyush Soni
Company Secretary & Compliance Officer

Encl: As above

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Max Financial Services Limited
Q3 FY'25 Earnings Conference Call Transcript
February 05, 2025

Moderator : Ladies and gentlemen, good day and welcome to the Max Financial Services Limited Q 3 FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amrit Singh – CFO from Max Financial Services Limited and Max Life Insurance Company Limited. Thank you, and over to you, sir.

Amrit Singh: Thank you. Good morning, everyone. And welcome to our Earnings Call for the quarter ended December 2024.

The Results were made available on our website and on the exchanges last evening. And as always, I am joined by Prashant Tripathy – Managing Director and CEO of Axis Max Life Insurance.

I will hand it over to Prashant to share "Developments and Insights" from the quarter.

Prashant Tripathy: Thank you, Amrit, and good morning, everyone. Thank you very much for being on the call this morning.

As many of you may be aware, and already know that in Quarter 3, actually in the month of December, we refreshed our brand, transitioning from Max

Life Insurance to Axis Max Life Insurance and change our corporate name to Axis Max Life Insurance Limited.

The strategic move represents the integration of two trusted names in the financial services sector. It enables us to extend our reach beyond Metro and

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Tier-1 cities, where our concentration as well as the awareness, both were pretty strong already. But the hypothesis was to deepen our presence through our brand, especially in smaller cities, while carrying forward Max Life's legacy, expertise, and leveraging the trust and recognition associated with Axis Bank.

A recent brand survey conducted by Kantar in January 2025 highlights the positive impact of our refreshed brand that we are seeing already, especially in Tier-2 and Tier-3 cities. You may refer to Slide number 9 of the Investor Presentation that we have given some data points. But very happy to share with you that our refreshed brand is already making a positive impact. And obviously, this is a move targeted towards keeping our long-term strategy and reach in mind. And I am very positive that the steps that we have taken is yielding early fruits already.

Our brand awareness scores have already increased in these areas. And I think with time, we believe that even consideration will increase. And with further investments, we expect that brands will reach out to the segments that we intend to cover more and more as we go forward. We are confident that the combined strength of our brand will create long-term value for all our stakeholders.

Let me now go back as usual to key developments across our strategic areas during Quarter 3 :

Sustainable and Predictable Growth

Firstly, let's focus on our growth. We actually targeted sustainable and predictable growth, and I am very happy to share that in the first nine months of the fiscal year, our individual adjusted first-year premium has grown by 25%, outperforming the private sector, which grew at 19%, and overall industry, which grew at 14%. Even on a two-year compounded annual growth rate basis, we have grown at 22%, almost double at the industry CAGR at 11%. In Quarter 3, individual adjusted sales grew by 16%, outperforming both private sector growth, which was at 13%, and overall growth of industry, which was at 5%.

Additionally, our Total APE expanded by 17%, driven by an 11% increase in policy issues. Our prop channels continue to see strong growth, expanding by 24% in Quarter 3 and 41% over the first nine months. This growth is supported by both offline and online channels, with the online segment strengthening our leadership position.

Banca grew by 12% in Quarter 3 and 14% over 9 months. Our Group Credit Life business grew by 18% in the first nine months of the year.

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To expand our distribution, we onboarded 8 new partners in Quarter 3 of FY '25, including five group credit life partners, two brokers and one corporate agent. These new partnerships are expected to contribute significantly in the medium term and have already surpassed the 100-crore mark.

Overall, our focus on expanding prop channels and maintaining a healthy share in partner channels continue to support sustainable growth.

Product Innovation to Drive Margins

The last quarter also saw us being compliant with the surrender guidelines and my second topic, hence, is to talk about product innovation to drive margin. I know there is a question that must be going on in your head as to what is the impact of those guidelines on the margins of our company and I will share that in a bit with you.

Especially on product front, Max Life remains committed to leading product innovation. We continue to launch products that meet customer needs while delivering strong returns to our shareholders.

Our retail protection business has grown by 37% in the first nine months of the year. To strengthen our protection proposition, we recently launched a new protection product called Smart Term Plan Plus with key features like auto-rebalancing of Life Cover, Maternity Cover for female life insured and the Lifeline Plus feature, allowing a top-up in case of a spouse's death. This plan off

ers seven flexible variants to address unique customer needs. This protection product, along with our flagship offering of health products, SE WA 2.0, launched in November, puts us in a unique and competitive position to further grow our protection and health segment.

Additionally, we also achieved our highest rider attachment ratio of 45%, up from 32% in the first nine months of last year, with rider APE growing at over 250%. We also introduced a new PAR proposition with an income -advancing option leading to 10% growth in this segment in Quarter 3 .

Further, ULIP segment continues to grow in Quarter 3 at 49% despite a recent decline in equity markets. This trend is reinforced by the success of our new fund , the Sustainable Wealth 50 Index tailored for e -commerce customers.

As a result, the ULIP share in our product mix increased from 35% in last year, Quarter 3 to 44% in Quarter 3 of this year.

Sequentially our product mix was largely stable from Quarter 2 to Quarter 3 , and the volumes were slightly lower. Typically , in Quarter 3 , our volumes will be higher than Quarter 2 , and we will see volume leverage benefit.

Unfortunately , this year , it was not so. So , our Quarter 3 was almost similar in terms of volume to Quarter 2 .

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As a result, our margin for Quarter 3 stood at 23.2%, slightly lower than Quarter 2 , despite the impact of the surrender guidelines. Just to clarify, in all our discussions over the last many quarters, we have been repeating that the net impact of the surrender guideline on us will be between 100 to 200 basis points. Very happy to share with you that it remains at the lowest end of the guideline that we have been given. It is close to about 100 basis point impact. So, if we were to simulate our product mix as we had last year on this year's sales , our margin would have been 100 basis point lower than the last year Quarter 3 margin, which means the delta that we see in this year's margin versus last year, which is close to about 400 basis point, about 300 basis point of that is because of product mix , our higher bias towards ULIP and lower sales from non -PAR and PAR segments.

We remain committed to rebalance the product mix, and there are many actions that we are taking right now. But suffice us to say that we have taken several steps internally, like increasing the rider penetration, ensuring that the variants which are high margin generating are being sold so that, you know, the effect of surrender income could be neutralized. And hence, we ended up at the lower end of 100 -200 basis point guidance that we have given.

Coming to the other areas, on product, just like to clarify that we have taken all actions with respect to pricing as well as the negotiations that we have to do with our distributors with respect to compensation. And I think we have achieved an equilibrium with respect to all the deals or all the discussions that we had to have.

Customer -Centric Approach

Focusing on customer outcomes and especially around persistency let me first share with you that I remain very satisfied with the progress that we are making. Customer obsession is a central theme to everybody and everything that we do in this organization. We were pleased to report a 5 point increase in our net promoter score rising from 56 in March of 2024 to 61 in December 2024. This improvement is seen across both Touch Point and Relationship NPS.

We continue to be the market leader in 13th month persistency in NOP terms and across the five -year cohort of 13th, 25th, 37th, 49th, and 61st month persistency . On NOP basis, our rank will feature anywhere between number one to number three.

In value terms , however, we have achieved our highest ever level of regular limited pay persistency for 13th month, increasing by about 240 basis points, Page 5 of 21

going up from 85 to 87% , and also a reasonable increase a

cross other cohorts

of persistency. We have made great strides over the last six months on the persistency vectors, and I remain very optimistic that as we go forward, we should see further improvement , especially in the 26th month cohort .

Digitization for Operational Efficiency

Digitalization is the fourth theme, which we look at not just for driving operational efficiency, but also driving our business. In Quarter 3 of this year, to drive enterprise agility in product launches, we launched a new age

product configurator enabling do-it-yourself product setup and automated journey configurations resulting in reduction of product launch time by almost 50%. So, our ability actually to launch products quickly has significantly improved as far as the turnaround time s are concerned.

Further, our digital progress and AI capabilities have helped enable not only new business by driving cross -sell propensity campaigns, but also collection of renewal via human -less alternate collection channels. Our risk analytics engines , namely , Shield , MediCheck , GoVern have been able to identify and avoid a claim risk of close to 700 crore claim for nine months of the year.

Thus, our digital initiatives are improving operational efficiency, enhancing customer satisfaction, and driving cost savings as we ll.

We just came out of a two -day strategy meeting with our Board , and I feel very optimistic and positive about the discussions that we had about our business and opportunities for growth. I think we have very solid plans to drive our aspirations over the next three years. We have detailed , you know, plans, not just for our channels, but also areas that we like to venture into and experiment and grow as we go along. So, as we finish the three -quarters of the year, we remain hugely optimistic and positive about which way Axis Max Life Insurance is headed.

In summary, we have mostly been able to navigate the challenges posed by the introduction of surrender regulations in quarter 3. We had guided towards the short -term impact , and we are confident of mitigating this to deliver sustainable, profitable outcomes in medium to long term.

As far as the year is concerned, we do want to finish very positively. As the year closes, we have started well for quarter 4. And I think by the time we finish year, we will like to be in the range of about close to 20% growth on sales basis and high single -digit growth for our VNB. Those are numbers that we are targeting internally. Of course, there is a lot to be achieved. And quarter 4 is a large quarter. Especially the month of March is very large. And we are going to try our best.

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With that, I am going to hand it back to Amrit for him to share all the financial performances and outcomes.

Amrit Singh: Thanks, Prashant. Just a quick update on housekeeping financial metrics.

- MFSL consolidated revenue excluding investment income stands at Rs. 20,907 crore , a growth of 14% in 9 months FY '2 5.
- MFSL consolidated profit after tax is at Rs. 365 crore .
- Axis Max Life's renewal premium has grown by 12% to Rs. 13,269 crore . And thereby a gross premium growth of 14% to Rs . 21,360 crore .
- Value of new business, written over this period, stands at Rs. 1,255 crore , growth of 9%, with an NBM of 21.9% for 9 months FY '2 5.
- Embedded value as at end of 31st December is Rs. 24,129 crore . And annualized total RoEV for 9 month FY '2 5 is 21.2% and the annualized operating RoEV stands at 17.3%. This has nil operating variance and a positive non -operating variance of Rs. 537 crore .
- Policyholder OPEX to GWP is 14.9% and total cost to GWP stands at 24.3% for 9 months FY '2 5. Policyholder OPEX has grown by 15% for 9 months FY '2 5 and for Quarter 3 , it has grown only by 2%.
- Axis Max Life 9-month profit before tax stands at 397 crore . It's a degrowth of 9%, though largely due to higher

strains of product forms

that we have written and overall segment allocations.

- Solvency position stands at 196% as at end of December 24. And AUM, we have ended at around Rs. 1.72 lakh crore , a growth of 20% in our AUM .

We will now be happy to take any questions that you may have , and hence, I will hand over to the moderator to open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session.

Anyone who wishes to ask a question may press "*" and "1" on the touchstone telephone. If you wish to remove yourself from the question queue, you may press "*" and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question comes from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: Yes, thank you for the opportunity. Good morning, everyone. I have two

questions. First is on the VN B margins. I wanted a little bit more detail to understand how the VN B has moved from 9 months to 9 months. So , we were at 25.3 in 9 -month '24. What I heard was 300 b ps impact drag from mix change, 100 b ps drag from surrender value. So , the delta, some 60 bps that positive that we are coming to, is that from the higher riders? Because if I

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reduce 4 % points from 25.38, we come closer to 21.3. So , 21.9 in 9 months, you can help me understand on that bit.

My second question is on the Ban ca channel. There is a bit of , I mean, a slight slowdown that sequentially probably that has picked up over there. If you can help us understand, is it just Axis Bank, all of the banks, are there any regulatory process changes going on at the banks? Any color on that would be helpful.

And my last question is , sir, we are done with the rebranding exercise and congratulations on that. On the timelines on listing of Axis Max Life Insurance, What I understand that the Insurance Amendment Bill could probably facilitate it better because there is a clause for merger between insurance and non -insurance companies. So , if that comes through, do you think that timelines on listing could be much shorter than earlier envisaged of 1, 1.5, 2 years? Those are my three questions. Thank you.

Prashant Tripathy: Thank you, Shreya. Let me take the questions one by one. The first question was the nine -month margin. I was talking about the Quarter 3 margin. So if you remember , for Quarter 3 , last year we did 27.2, and this year we have done 23.2. And the clarification I was giving to you was of the 400 basis point, about 100 basis point is the impact of surrender income, and 300 basis point impact, or net impact, net of all the corrective ac tions that we have taken is because of product mix.

Hopefully, as we fix the product mix, we will come in the range that we typically like to be, which is around 25% or plus. As we have communicated in past, we woul d like to drive VNB growth and sales growth while being at around 25% margins. That will be the endeavor on which we will work as we go along.

With respect to your question on Ban ca, your observation is correct. However, I must highlight that that's tactical . For the quarter, the growth that we saw from Axis Bank was a bit lower than other bank channels that we got. But suffice us to say that as we go along and we have started the new calendar year, growth is significantly higher coming from Axis Bank.

On your question on Section 35 clarification, yes, we are very optimistic. Actually, that's a very positive thing, especially for Axis Max Life Insurance , because as soon as that bill gets approved, we will go ahead and file it with the regulator. Hopefully, the regulatory approval process will be shortened because of the guidelines or the clarification coming from the Act. However, the overall process of going to NCLT seeking approval, etc., will take a

bout

one year. So, hopefully, a few months lower, but it is not going to be crunch ed to, you know, coming in one or two quarters. It will take its own time.

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Hopefully, answered all your questions. Over to the next question, please.

Shreya Shivani: Yes, thank you so much. That answers my questions. Thank you a lot.

Moderator: Thank you. The next question comes from the line of Avinash from Emkay . Please go ahead.

Avinash: Hi, g ood morning. Thanks for the opportunity. So, a couple of questions. The first one is, you know, I mean, for very long, you had a kind of range of ULIP in product mix. And now you seem to be consistently breaching that. So , is it that, I mean, post this Axis Max Life or Axis joining the rank of promoters, then the strategic change as far as the thought process is concerned that now you are fine with kind of, you know, selling the product that is demanded by the customer amid prevailing external environment. So , is it a kind of a strategic shift that, ok ay, now you are comfortable with selling even higher ULIPs if there is a demand? And of course, when the demand moderate, of course, you will change that. So , is there kind of some change in thought process?

And related to that on ULIP, in terms of you have been attaching these protection and riders , currently, if any kind of you can provide the numbers around that, okay, what's the attachment rate with the ULIP products? Yes, so that is the first question.

And second, again, a bit I know it will be premature, but what are , I mean, because you have kind of your Board has deliberated this issue and come up with this kind of a roadmap. So, of course, once Section 35 is amended, things become much easier. But what is the view, I mean, if that amendment for whatever reason is delayed, can this, you know, the roadmap provided by the Board for this merger of Max Financial and Max Life , is it possible, I mean, to progress even if the Section 35 amendment gets delayed? Thank you.

Prashant Tripathy: Yes. Thank you, Avinash ji . Always a pleasure to hear from you. Let me first answer your question on ULIP Mix. No, just to clarify, we are trying to balance many things here. A, customer demand, customer centricity definitely drives the choice of products. B, our growth rate. And C, the overall profitability of the business. And generally, our product mix is a combination or triangulation of all these three. At our level, the product mix of , you know, upwards of 45 %, close to 45 % ULIP at a total level is on the higher side. We will typically like to be in the range of 35 to 40 %. There are efforts that we are making to ensure that ULIP remains range bound in the range of about 35 to 40 %. However, as ULIP has been over the last few quarters, the most favorite design considering stock market upsides, etc. , we have taken actions to attract more riders so that the profitability profile of the riders could be

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increased. Like I mentioned to you in my initial commentary, we have about 45% total level. I don't have the numbers for ULIP, but we could talk to you separately. But because the attachment rates overall, you know, the attempt is to recover the overall profitability profile of the total book.

So just to clarify, we are taking actions to, you know, keep it in the range of 35 to 40%. I am very hopeful that as things stabilize and we move forward a couple of quarters, we will be back into the range that we have always been. There is no strategic shifts towards, you know, selling significantly higher ULIP. We are comfortable selling a bit higher ULIP.

On your question on Section 35, you know, at this point I am very positive that it should go through. It is definitely, you know , a problem with us to create a tangible structure that could facilitate the merger. So , at this point in time, you know, we are patient , and we will wait for Sec

tion 35 to get

approved. If your question is about do we have anything alternative to expedite, the answer is , we are not considering that right now. We remain very optimistic about this going through and then subsequently work with the regulator to expedite our overall approval process. But this definitely is a good step and we welcome that. Thank you, Avinashji .

Avinash: Thank you.

Moderator: Thank you. The next question comes from the line of Supratim Datta from Ambit. Please go ahead.

Supratim Datta: Thanks for the opportunity. My first question is on the growth side. So , you have indicated that you are expecting a 20% growth for the full year, which basically means that in fourth quarter, the growth will be around 11%. Is that correct? So , should we see a higher mix of the non -PAR and PAR and slower growth in the UL IP? Is that something that you are building towards in the fourth quarter?

And continuing that, you know, over FY '26 and, you know, maybe into FY '27, how do you see this product mix shift now that, you know, we are seeing some bit of slowdown in the market and, you know, potentially there could be a rate cut in the next 6 to 12 months. So, you know, how should we think about or how Max as a company is thinking about the product mix changing over the next 12 months and what are you doing towards that? So , that's my first question.

The second one was, again, on ULIP . Recently , SEBI has been talking about launching a product which combines mutual funds and term insurance. If such a product comes into the market, then what would be the liability of

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ULIP as a product opportunity? If you could throw some color on that, that would also be helpful.

And lastly , also , you know, we have seen over the last, you know, your tie -up with Axis, that has helped you gain traction in some of the markets you have disclosed in the presentation. But wanted to understand what proportion of your policies currently come from, you know, Tier-two and below cities. And how can this go up or change with this Axis rebranding that you have done ?

If you could throw some color there, that could also be very helpful. Thank you.

Prashant Tripathy: Thank you. Let me answer your question one by one. I don't know if, you know, your 11% number gets us to 20%. Maybe you have back calculated or whatever that number is. But please know that quarter 4 is the largest quarter. And hence, you know, maintaining the same 25% growth may not exactly happen. I think 20% or above is the number that we are targeting. So, you know, 20% perhaps the lower end of where we should end up for the year.

With respect to our margin profile and product mix, yes, we are making an attempt to rebalance the product mix and we will continue to do so. Like I mentioned to you, there are three forces that actually impact the product mix. A, the customer demand. B, you know, our ability to gain market share, and maintain market share and see creating profitability. So, there is a band in which we can operate, which will be, you know, 5 to 7% lower ULIP and maybe 5% more non-PAR. And I think with that, I believe we will be able to hit our margin guidelines or margin endeavor of 25 % plus.

So, I think that's the direction. But suffice us to say that we are not going to take draconian actions on our product mix which will have very significant impact on our growth. We typically try to grow faster than the market so that we continue to gain our market share.

Very interesting thought on mutual fund plus term insurance. Very hard to predict, actually, on how it will evolve. In the past, I know that about a decade ago, you know, mutual fund industry did try to attach and actually attach term insurance a long time ago before it got stopped.

But there was a period when we saw mutual fund industry try to attach, you know, term insurance or term to create a

kind of surrogate or mimic of ULIP

plans. But during that period, I didn't see much impact actually on the industry. These are distribution-led businesses, targeting different set of customers, using different distribution channels. So, not to defend the life insurance industry, but at the same time, I think the customer segments and distribution methodology are very different.

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So, I am not expecting huge impacts, but yes, it is definitely a development that the life insurance industry should understand and prepare itself for. At the same time, it also opens up opportunities to attach some insurance that we could provide to a very large set of buyers of mutual funds. So, it could be a unique opportunity as that.

I don't have the numbers of Tier-2 and Tier-3 cities, but my sense is that it will be quite significant. My sense is it will be close to almost a halfway mark on the number of policies that we get from Tier-2, Tier-3 cities. And a large part of that actually comes from our partnerships. Axis Bank, YES Bank, other bank branches, you know, the corporate agents. And the hypothesis was to create a brand or a combined brand which helps our sellers to be able to sell.

For example, in Axis Bank, you know, seller community having an Axis Max Life Insurance product definitely is expected to find more favors. And in the initial surveys that we have done, that is actually getting proved also.

So, you know, very happy with the step that we have taken. While it is just 50 odd days since we began, the early signs are better, but I am quite optimistic that as we go along and make investment in this area to penetrate our brand, it will have outcomes. This is a step that we have taken for our future. So, you know, I think the early signs are positive.

Supratim Datta: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Himaan Sanghai with Bernstein SG. Please go ahead. Himaan, your line has been unmuted. Please go ahead with your question.

Manas: This is Manas here from Bernstein. I wanted to understand you mentioned that Q3 is generally heavier than Q2. We are also seeing an impact in the mix because of surrender value. Wanted to understand how much of Q2 was pull forward demand and therefore a weaker Q3. Want to understand one part of that.

The other question I want to understand is a better brand awareness should eventually help you price better or cut the delta in pricing relative to larger private sector peers. So, how are we approaching that? Those two questions.

Prashant Tripathy: I will answer the second question first, and then I will request Amrit to talk

about the first question . One would definitely expect that a stronger brand or a combined brand will drive awareness as well as consideration and hence our ability to price ourselves better should increase or should become better. It is not a short -term thing, but over medium to long -term, that definitely should be a possibility. We are already seeing some very positive development around. And I don't know if y ou know, but we are number one

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sellers on e -commerce or digital space. And that's where strong brand starts to play a big role. So , I am hoping that as we go along, strong brand will definitely help us price better and will have a positive impact on our overall margins. Amrit, you 're in the first one, please.

Amrit Singh: So, the AP E actually for Quarter 3 , this time is Rs. 2,108 crore . And for Quarter 2, it was around Rs. 2,170 crore . So, approximately Rs. 62 crore this quarter has come off as compared to the previous quarter. Now, with respect to how much of it was impacted because of preponement of sale, I think it will be very difficult to kind of put a number there because the preponement of sale is only, or at Max is actually isolated only to an agency channel, if any. My guess, would

be anywhere between 20 to 30 crore of preponement I could have considered in Quarter 2 .

But overall, if you would have noticed in the industry that there is a slowness from a premiums origination perspective in Quarter 3 , which has come through , and which is the reason why the Quarter 3 has come off slightly slower than Quarter 2 .

Manas: Thank you. Understood.

Moderator: Thank you. The next question comes from the line of Pra yesh Jain from Motil al Oswal . Please go ahead.

Prayesh Jain: Yes, hi. So , just on this, you know, margins again, VNB margins again , what would have been the hit had we not kind of come off, brought down the share of non -PAR in this quarter, because I think, that also has a role to play in some form there. So, in a way, could you highlight as to what was the margin hit in the non -PAR side, particularly as to what kind of hit you would have seen on the non -PAR?

Prashant Tripathy: Yes, that's a good question . Amrit , I will just maybe one sentence and then you can take it. We don't really share the margin impact by product categories. But like I mentioned to you, there is a dual impact which is taking place. Inherently speaking, the ULIP margins are lower and the non -PAR margins are higher. And if you look at our overall product mix for Q3, you would see that ULIP is higher compared to last year and non -PAR is lower. So , it's a combined impact of this relative movem ent which is causing the margin to go down.

Amrit Singh: I think, as Prashant mentioned, we don't get into specific sub -segment margin sharing. Your observation is correct, actually. You are comparing Quarter 2 of this year with Quarter 3 of this year, where you are seeing that even the non -PAR actually has come off . So, there would be an impact because of that, which is true. That's an additional impact that we have faced in the quarter.

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But as we said, as Prashant mentioned, that there are other mitigating actions also which have been taken, whether it is enhancing the product margin profiles of other segments, playing with variants, tweaking customer IR Rs, etc., all have kind of gone into some of those computations.

Prayesh Jain: Amrit, just clarifying this and harping on this a bit more, if your share of VNB, if your share of non -PAR would have been similar, what was there in Q2, your hit on margins would have been more or would have been less?

Amrit Singh: If actually the share of non -PAR would have been similar to Q2, then our margins would have improved actually .

Prayesh Jain: Okay, so the surrender charge itself is kind of not playing out that much.

Amrit Singh: Yes.

Prayesh Jain: Okay. And second, on surrender charges, again, you know, what is the kind of actions that you have taken with respect to commissions and alterations with the distributors? Have all these been taken care of or how is that shaping up?

Amrit Singh: So, as Prashant mentioned, I think from a distribution action perspective, all actions taken in the quarter. And largely those are in line with how the market is actually done . Depending upon the strategic importance of the distributor, its quality of writing business, et cetera, either there is an upfront reduction

or there is a deferral as a construct which has been created.

Prayesh Jain: Okay, got that. And the last question would be on the ULIP trajectory. How has January panned so far, given the market corrections? How do you think this quarter could play out with respect to the product mix?

Prashant Tripathy : For the quarter, we are trying hard. But suffice us to say that as soon as the market goes down, there is definitely a sales story around, the market is low, so we should invest now . So, generally, my experience of the market going down and ULIP mix readjusting on its own without external efforts is a delta of a few months. So, of course, it is improving, but not drast

ically.

Prayesh Jain: Okay, got that. Thank you so much.

Moderator: Thank you. The next question comes from the line of Sanketh Godha with Avendus Spark . Please go ahead.

Sanketh Godha: Yes, thank you for the opportunity . So, initially our impact on surrender rules was somewhere between 100 to 200 basis points, but we have arrested it to 100 basis points . So, just wanted to understand if I want to break down this lower impact, how much is because of claw -back or rationalization of
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commission structure, and how much is because of change in IRR or benefits to the end policyholder. I just wanted to understand that part.

And second, in this 100-basis point impact , what you are trying to highlight, have you already incorporated an assumption change with respect to paid -up behavior or you believe current behavior of paid -up will continue? So , that's my first question .

Amrit Singh: So, I think such a granularity of how much is customer IRR and how much is distribution IRR, I think it will be incorrect on me to kind of share into such specific granularities actually. But we have tweaked all of these things. And I think in our assessment, we have been indicating earlier as well that we will try to ensure that this charge burden that has come in the product design is passed on equally to all the legs associated, whether it's customer, shareholder, or distributor . So, we have tried to optimize on those principles per se .

With respect to paid -up behaviors and assumption changes, etc., in the new design there is some conservatism which has been built given the associated risk, which we have, and that's actually panning out in the margin profiles of the product as well.

Prashant Tripathy: Yes, Sanketh , also just to clarify that there were three things that we deployed. Firstly, looking at the customer returns. B, distribution compensation. And C, cost actions at our end, you know, being more effective and looking at our expenses. The first two actually are market forces . So, you can't unilaterally decide a very significantly higher adjustment to either customer IRRs or to distribution compensation because at the end we are competing in open market. A large part of our distribution also is open architecture . So, one has had to keep that in mi nd.

My belief is that all the changes that we have made continue to keep us very competitive in this space either through return to the customers or return to the distributors. And definitely some other actions have been taken, either in form of more protection or rider or lifting margin profile by optimizing variance, etc. , are a ctions which have helped us to curb this overall impact, net impact, about 100 basis points . So, that's the way we have operated. Unfortunately, we don't have breakdown on everything that I mentioned, but this is the net impact.

Sanketh Godha: Got it. Perfect. So, my second question was, basically, see, if I look at the just quarter, third quarter growth, it means heavy lifting of the entire growth seems to be driven only by ULIPs because I see a sign of weakness in individual protection related to what we delivered in first half and even credit life to that extent, which was anyhow a low base product for us. So, just wanted to
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understand that is equally true with non -PAR and annuity . So, just wondering, anything to read here, why there is slowdown in other non -ULIP business predominantly in third quarter?

Prashant Tripathy: Yes, basically you must also know that the overall market in Quarter 3 was lower than the first half. Just to offer a few numbers , for the first half of the year, the overall private market was growing at 24%. The overall industry was growing at 14%. If I were to look at those numbers for Quarter 3 , the overall industry is 5%. And overall private market is 13% . So, there has been a

slowdown .
And I thi

nk we always try to have a delta over our industry, a significant delta over industry. While we have succeeded in that, there has been an overall reduction in sales numbers. Your observation that a large part actually came through ULIPs is correct, but at the same time with all the actions that we took around riders, etc., one has tried to optimize for the margins. Like I mentioned to you, it is our endeavor to rebalance the product mix and we are working in that direction.

Sanketh Godha: Got it. And lastly, Prashant, on riders, which is 42% of the total business, is it largely fair to assume these riders are typically attached with ULIPs to make the margin profile of the particular product to look better?

Prashant Tripathy: Not simply with ULIP, actually, the rider attachment is a strategy that we started a couple of years ago and we have been trying to drive. Right now, my sense is that the overall volume in terms of sales volume will be between 2% to 3%. Overall attachment will be about 45%. But we attach it with our term plans in a significant manner. We attach it with non -PAR policies as well as we attach it with ULIP s. So, those are three areas where we are trying to attach.

Sanketh Godha: Got it. And riders , you don't show it in protection, right? You show it as part of the savings where you have attached.

Amrit Singh: No, protection. Disclosure is shown in the protection. You can see a footnote in the slide.

Prashant Tripathy: The color actually is protection.

Sanketh Godha: Okay, perfect. That's it from my side. Thank you.

Amrit Singh: Thank you.

Moderator: Thank you. The next question comes from the line of Gaurav Nigam from Tunga Investments. Please go ahead.

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Gaurav Nigam: Yes, thank you, sir, for taking my question. Sir, this one is on surrender impact, which you have clarified as 100 bps. I just wanted to understand, sir, this surrender regulations came in from 1st October. And this is one of a kind with no historical precedent. How is the management estimating the impact to 100 bps and just wanted to get a sense of where the underlying data is getting derived from? That's point number one.

And the second question, sir, is on overall claw -back from Ban ca and the proprietary channel . Are we able to claw -back, like have this discussion and claw -back the commission ? Have that structure in place in both these sides?

Amrit Singh: So, o kay, I will take this question. So, surrender impact , obviously, it's actually a mathematical number. Because there is now an increased surrender value that has to be given to the consumers after 12 months, and also there is a new mechanism of computing surrender values over the period of time . It is very mathematically identifiable that how much is the margin implication. And what we have shared is actually basis what we have seen in that product form with the increased surrender regulations and the fact that we have adjusted for things around expense, commissions and returns, etc. The net number is what we have indicated actually.

So, I don't know your specific question, but it's not as if it's not mathematical. It's a fairly mathematical number of how we have kind of come to a computation of the same.

Gaurav Nigam: Sir, just one clarification. Why I said this thing is how many people are going to surrender is not known, right?

Amrit Singh: Okay, right.

Gaurav Nigam: But is that only mathematically possible?

Amrit Singh: But that anyways, this product form is not a new product form. This product form has always been in existence. And you have an experience on how the surrender behaves in those product forms. And that actually becomes the basis of computing the profiles of margins. The reality is that, you know, in certain cases, let's say three years out, if you are surrendering, the movement of the surrender values actually is not as if it's so st

ark or so material, actually.

It is marginally up .

So, that can't become the reason why suddenly the consumers will start surrendering because still the premiums that they would have paid in the initial years, it doesn't break even so quickly given the long -term nature of

the contract . So, we don't expect that this is a completely new product form
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and there is no underlying assumptions that we have or we are aware of that we can't price and can't understand the product.

The second question you asked was, you know, claw -backs on proprietary channels, bank channels. Every channel actually has their own nuances, etc. And needless to say, we have had discussions with our partners and in line with the market forces, as Prashant kind of mentioned , even our structures have either an upfront reduction or a claw -back kind of a mechanism come into play. I mean, with an agency also you will see variances, etc. But those are strategic choices of how you want to run businesses. Some p laces it will not be, some places it will be, some places it will be upfront, some places it will be a claw -back .

Gaurav Nigam: Understood. Thank you, sir, for answering my question. Thank you.

Moderator: Thank you. The next question comes from the line of Gaurav Jain from ICICI Prudential Mutual Fund. Please go ahead.

Gaurav Jain: Hi, two questions from my side. One is, we understand currently Axis Group owns 19.2% in Max Life . And that was to go to 19.99% . So, what is the status on that transaction? And is it linked to merger or can that happen irrespective of this, is the first question.

Second is, we understand in this budget, new tax regime has got a little attractive, while the majority of people have already moved to new tax regime 70% odd. But what in your assessment is the number of people who would still be buying life insurance policy for 80C purposes? And how do you see this impacting our business? Thank you.

Amrit Singh: Thanks, Gaurav . So, the Axis ownership in Axis Max Life Insurance stands at 19.02%. And there is a 0.98% option that exists. I think it's pending at Axis end. They are seeking their regulatory approvals for that . So, as and when that gets completed, the Board has already approved it , that will be facilitated.

I think on the merger aspects ; there are many other things. This is a listing roadmap approval which the Board has given. As Prashant kind of mentioned, we will wait for applicable laws to get tweaked. We are hopeful that this will be concluded in similar timelines so that it doesn't become a challenge to it. But we will solve for it as and when the time comes.

On your second question around new tax regime and old tax regime, and I think even the government data over the last few years, there has been a quite significant shift , people preferring new tax regime. And already upwards of 70 -75% people are on that particular regime. But that does not have , I mean, if 80C was the reason which was a reason for buying insurance,

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then you wouldn't kind of see the structural strong growth that industry has been demonstrating for the last few years.

And very frankly, this 80C as a reason to buy insurance actually is no longer a predominant reason. It's more on the 10(10D) benefits that is a more fundamental reason which creates a differentiation , which continues to remain intact and a strong basis for the product proposition to be overall attractive.

Gaurav Jain : Just to follow up on the second question, Amrit , any data crunching that you would have done to understand the income segment or the ticket size or the, say, coming in Q4, or from the sales team, if you would have checked that, is it really a top topic today? Well, we understand the impact is meaningfu lly less, but there are camps who say that no, it is still significant . So, any further insight from you on this will be helpf

ul.

Amrit Singh: We haven't really , I mean, even those threshold levels of 5 lakhs and 2.5 lakhs at ULIPs, etc. , this particular year, we have seen growth happening all across, by the way . So, even those product forms where the tax impact shifting away from capital gain in case of ULIPs and the greater than 5 lakh in traditional, I think consumers see a benefit in the underlying product as well .

So, we haven't really seen an impact that there is a reduction or sharp reduction happening in that particular area. And when it comes to less than a ticket size kind of threshold , there also I think the growth momentum has been there and you can see N OP growth numbers .

So, we haven't really experienced anything because of new tax regime shifting. And we have been sharing this survey which actually was done a few

years back where it was a syndicated survey where the reasons for buying insurance is asked. And tax as a reason had kind of fallen down to beyond the top 10 reasons actually that the consumers were indicating. And even from a sales perspective, we haven't. We don't have, Gaurav, if you are asking the question that do you know whether the customer is buying this product for the purpose of 80C, I really don't have any data point actually for that particular perspective. We don't capture any of that information.

Gaurav Jain: Got it, Amrit. Thank you so much, and all the best.

Amrit Singh: Thank you.

Moderator: Thank you. The next question comes from the line of Neeraj Toshniwal with UBS Securities. Please go ahead.

Neeraj Toshniwal: Hi. So, my first question is on the kind of product mix we are targeting for Q4 given if we want to achieve single high-digit VNB on the ask rate of 12% PB
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on AP E looks to be on the higher side in terms of margin. So, are we really looking to shift from ULIP to non-PAR in Q4?

Amrit Singh: Thanks, Neeraj, for the question. Obviously, there is all intention to optimize and improve upon the product mix. But what Prashant kind of gave as an indicative numbers around AP E and VNB in his opening remark, I think that does not assume a very significant shift. But all efforts will be done. So, if the current run rate maintains, is that what the answer that is Prashant indicated. And typically, why the margin improves in quarter four is because of operating leverage.

So, the short answer is that we have assumed a similar trend going forward.

Despite that trend, you know, the guidances on margin between 23 and 24, we will be able to meet. And if you are able to improve upon non-PAR significantly in the quarter, definitely the outcomes will look better.

Neeraj Toshniwal: And any change in strategy if the rate cut happens this week in terms of how the industry is looking at it?

Amrit Singh: Sorry, I didn't get your question. What happens in the industry?

Neeraj Toshniwal: So if the rate cut happens, let's say if we start with the easing of monetary policy, do you think the non-PAR or traditional products will see a pickup from here?

Amrit Singh: Rate cuts, you said?

Neeraj Toshniwal: Yes, rate cuts if it happens this week in the monetary policy.

Amrit Singh: Yes, we always keep a close eye on how the yield curves are, and everyone in the industry does it, and basis the movement in yield curves, the product gets repriced. But the reality is that all asset classes all across also move in a similar nature and similar direction.

But as things stand today, where the yield curve is, I think the products are priced in a particular manner, I don't see, you know, a significant change happening on the product IRRs in the next few months for sure. But over longer horizons, obviously, we keep repricing basis the movements in the yield curves. But it's not as if your repo rate moves and tomorrow we reprice it. We take a more balanced view of how do we see the overall trend and the

pressure on margins or positive elements on margins.

Neeraj Toshniwal: Okay, thank you. Thank you so much.

Moderator: Thank you. The next question comes from the line of Madhukar Ladha with Nuvama Wealth Management. Please go ahead.

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Madhukar Ladha: Hi. Thank you for taking my question. First, can you give us some sense of what medium-term growth for topline and VNB you would be targeting over the next, you know, let's say three years? And where will the growth come from? So, if this year I look at your proprietary channel that's grown at 40% plus level, but the Banca has just grown at about 14%. So, over the next three years between these two channels, what will be the interplay, right? I mean, if we can get some sense on how this is going to move.

Second, despite ULIPs actually increasing in the mix on a year-over-year basis, your back book strain has increased considerably. So, if I look this for Q3, the number is up 57%, if I am not wrong, the new business strain. So, what's happening over there? You know, if some sort of sense of there. And your economic variance from 660 crore in the first half is down to 537 crore, I think you mentioned. I think Amrit mentioned in the opening remarks. So, I am guessing this is largely the equity movement. So, just, Yes, these three questions.

Amrit Singh: Thanks, Madhukar . I will go last question backwards. You are absolutely right. The movement down from H1 to 9 months on economic variance is largely due to equity. There is no other reason to that. The strain actually is because of unit -linked designs, because of new surrender regulations, also because of some allocation movements that actually happen . So, those are effectively the reasons for strain. And strain is coming, large part of the strain is coming because of unit -linked designs growing and increasing at a much faster pace. Where will the growth come? I thin k!

Madhukar Ladha: Just a follow -up. Wouldn't non -PAR design cause a higher strain initially or does sort of ULIP cause a higher strain?

Amrit Singh: So, in our case, the y are fairly similarish is, I would say, ULIPs are slightly higher than the savings design of non -PAR. Protection, obviously, is higher strain. Annuity is higher strain, but the ULIPs are slightly higher than the savings part of the design. And that has caused the additional stra in that you are seeing in the numbers that you are attributing to.

Madhukar Ladha: Understood.

Amrit Singh: From a growth perspective, I think the strategy, even though, you know, as we conclude our planning, long -range planning process, we have just initiated that process. And when we come and meet you next time, we will provide you more specific details around some of those things. But I think, needless to say, there is no shift in our overall thinking with respect to our priorities . So, our priority will remain to continue, keep accelerating our proprietary channel growth rates. And when I say proprietary, it will come from our
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online business, will come from our agency business, and it will come from our direct selling business. Each of the businesses has their own nuanced strategy elements to how the growth will be built upon.

Agency, the focus will be on expansion. We still continue with respect to our size and scale, you know, a fifth or a sixth player in the industry. And there is more opportunity and room for us to keep adding on and augmenting capacity in our agency channel as well.

The direct selling team actually is doing quite well. It's a team which is a cross -sell, up -sell team, and there is , more and more avenues always available as the business book builds up . So, it will continue to remain focus ed on that. In banks, the core banks both at Axis and YES, I think we will mirror the growth of how the bank s will grow, hoping to keep counter share intact.

And that's

what we have done over the last many years now.

Additionally, there are new and new partners that we have added, as you would have seen. And all of those partners as where we scale and their annual run rates start coming to business, that will help us from a growth perspective. Without getting into some specific numbers, I think we will only reiterate that we will continue to grow faster than the market growth rate. From a total market growth rate, 300 to 500 basis points is always what we target. And that's where the focus will remain.

On margin fronts, it's a tactical period of where we kind of came across surrender regulations, etc. But over long horizons, we do see , you know, 25% margin profile is what we will try to target and try to be at.

Madhukar Ladha: Understood. This is very helpful.

Moderator: Thank you, sir. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Amrit Singh: Thank you , everyone , for joining our earnings call , and we look forward to more such interactions. Have a good day.

Prashant Tripathy: Thank you very much. Have a nice day.

Moderator: Thank you. On behalf of Max Financial Services Limited, that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

Call: May 2025

May 19, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL

Dear Sir/Madam,

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Transcript of Investors & Analysts Conference Call held on May 14, 2025 , post declaration of audited Financial Results of the Company for the quarter and financial year ended March 31, 2025 , is enclosed.

The same has also been uploaded on the website of the Company at

<https://maxfinancialservices.com/static/uploads/financials/q4fy25 -earnings -call-transcript.pdf> .

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

Piyush Soni
Company Secretary & Compliance Officer

Encl: As above

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Max Financial Services Limited
Q4 & FY'25 Earnings Conference Call Transcript
May 14 , 2025

Moderator: Ladies and gentlemen, good day and welcome to Max Financial Services Limited Q4 FY '25 Earnings Conference Call.

As a reminder, all participant lines should be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishant Kumar - CFO from Max Financial Services Limited. Thank you and over to you, Mr. Kumar.

Nishant Kumar: Thank you. Good morning, everyone and thank you for joining Max Financial Earnings Call for the Quarter -Ended March 31st, 2025.

Our Results along with the Investor Presentation and Press Release have been made available on our website and stock exchanges. Joining me today are Mr. Prashant Tripathy - Managing Director and CEO; Mr. Amrit Singh - Chief Financial Officer and Mr. Sumit Madan - Chief Distribution Officer of Axis Max Life Insurance. I will now request Prashant to walk us through the key developments and insights for FY '25.

Prashant Tripathy: Thank you, Nishant, and warm welcome to all of you.

As you all know, FY '25 was marked by substantial product regulatory changes and market volatility that challenged many players across the life insurance industry. But I am very proud to say that despite all these headwinds, Axis Max Life Insurance

remained resilient and emerged stronger, regaining our rank number 4 for the full year and more importantly, achieving rank number 3 for the second half of the year as well as Quarter 4. Following the implementation of new surrender regulations, our agility, strong distribution capabilities, disciplined execution and unwavering customer focus enabled us to adapt and continue delivering consistent growth and value.

Let me now take you through the key developments across 3 or 4 parameters that I always do, which are the strategic areas for the year.

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Sustainable and Predictable Growth :

In FY '25, our Individual adjusted first year premium grew by 20%, surpassing private sector growth of 15% and overall industry growth of 10%. On a 2-year CAGR basis, we delivered 18% growth, significantly ahead of the 12% CAGR for the private sector and 8 % for the total industry. Notably, this also marks the fastest growth among the top 10 private insurers over the past 2 years.

Our Prop Channels have been key drivers of these 2 years growing by 27% with e-commerce maintaining its leadership position across the Protection and Savings segment. Our Bancassurance channels delivered steady growth of 12% despite headwinds of open architecture.

Back in FY '22, we had outlined our aspirations for FY '26. Internally, we call that mission "Uday" with clear objectives of becoming leaders in online acquisition, growing Prop Channels, leadership in Protection and Annuity and adding more distribution partners, I am proud to say that we have performed well and are on track to achieve these ambitious targets or be very close to them while navigating all the external challenges.

You may want to refer to Slide no.16 of the presentation for very detailed progress and you will notice that across all these vectors, we are marching ahead very confidently and tracking close to the plan that we had laid out or the ambitions that we had laid out for ourselves. We have continued to add new partners and have added 44 new partners across Retail and Group channels in FY '25. Overall, these partnerships and our direct expansion with new offices provide deeper penetration into Tier -2 and Tier -3 cities, which will add impetus to our growth in the medium term.

Product Innovation to Drive Margins :

Axis Max Life remains committed to leading in product innovation with a clear focus on stakeholder value creation, be it customers, employees, partners, investors and communities. In FY '25, we rolled out 80 product interventions and this is a large number predominantly because we had to pretty much change all the products in view of the surrender guidelines.

In Quarter 4, we actually launched 2 very innovative new product propositions:

1. STAR ULIP combining life coverage with market-linked returns which offers high sum assured multiples and flexible add-ons such as accidental disability coverage plus diverse investment strategies.
2. The second one was smart-term plan plus featuring and auto rebalancing life cover, maternity benefits for women and the lifeline plus option providing top up cover in case of the spouse's demise with 7 flexible variants it meets diverse Protection needs.

Together with SEWA 2.0 which is our "Flagship Health Product" introduced in Quarter 3, these launches helped grow our Protection business by 35% in FY '25 and Individual New business sum assured by 31% maintaining rank #3.

Additionally, from the presentation, you will notice that we with a lot of agility added riders, and our rider APE grew by 300%, contributing significantly to our margin performance, cushioning the impact of surrender regulations.

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Anticipating a question that might come our way in terms of the impact of surrender guidelines on the overall margins, I am very happy to share with you that the overall impact because of these actions that we took have quite substantially reduced and in my expectations there will be less than 50 basis points for Quarter 4. As a result, Quarter 4 margin stood at 28.1% despite the higher share of ULIP. And you will notice that the business actually took various steps to work on margins as we had communicated earlier and it is only marginally lower than last year's margin of 28.6 % despite having high ULIPs. And for the full year, margins were 24%. We had communicated a range of 23 -24%. I am very happy to share that we are on the outer range of the expectations that we had set for ourselves. Thou

gh the margins are

lower by 250 basis points compared to last year, it is primarily due to a lower

proportion of non -PAR and higher proportion of ULIPs in our product mix. Our ULIP is 44% versus 36% last year.

If we had not taken the actions of increasing the penetration of riders or our action on Protection as well as Health, the impact would have been more so by taking this quick actions to a great extent, we were able to negate the impact of product categories which inherently have lower margins.

To rebalance our product mix, we are set to launch many interesting product innovations in FY '26, one of which is our recently launched non-PAR Savings Proposition Smart Buy. This product provides options such as multiple premium payment terms and policy term combinations, the choice between an early wealth variant and a long -term income variant, flexible income benefits and the option to accumulate survival benefits, policy continuance benefits and settlement periods death benefits.

I am very happy to also share with you that as we start the New Year, we are seeing the product mix getting rebalanced and we are very satisfied with the progress that we are making towards our commitment to have a balanced product mix having ULIP proportion which is acceptable in the acceptable range as well as increase in traditional, especially non -PAR design.

Customer -Centric Approach :

Axis Max Life Insurance has made significant strides in customer centric metrics underscoring its unwavering commitment to customer satisfaction and retention. We are pleased to announce that for the third consecutive year, we have retained rank 2 in customer satisfaction as for as syndicated NPS study by Hansa Research and we have also consolidated our position as rank 2, just one point behind rank 1. Our brand strength continues to show notable improvements with 7% increase in our brand consideration scores. We also maintained our rank 3 in brand search queries consistently rising throughout FY '25, even as the industry experienced a decline in Quarter 4 of FY '25.

You may also recall that we had rebranded ourselves from Max Life Insurance to Axis Max Life Insurance. We did measure our brand awareness and brand consideration scores before the exercise and after the exercise in the month of March. I am very happy to share that across all vectors of awareness and consideration, we have seen a jump which is beyond the expectations that we had, and I am very happy that this particular exercise bearing fruits as per the anticipation that we had with the rebranding exercise.

Furthermore, we achieved 6-point increase in our Net Promoter Scores which rose from 56 -62 in March '25 versus March '24. This improvement is reflected across both

Touchpoint NPS and Relationship NPS indicating strong customer sentiments and the success of our customer engagement strategy.

Additionally, we reached an all -time high in regular pay premium 13th month persistency which increased by about 100 basis points from 86.6 -87.6%. We saw a remarkable increase in the 25th month's persistency which saw an increase of 380 basis points, rising from about 70 -74%.

In terms of NOP, Axis Max Life Insurance has emerged as the industry leader in 25th month persistency ranking in the top 2 across all cohorts according to the 9 months disclosure.

Finally, Axis Max Life has made considerable progress in improving grievance handling with GIR now reducing to 38 in FY '25, down from 44 in FY '24.

Digitization for Operational Efficiency :

Axis Max Life Insurance has made substantial progress in enhancing its digital capabilities during FY '24 -25 with a focus on operational efficiency, customer experience and business growth. Key initiatives include the launch of mSpace, a super app that aims to streamline the insurance sales process by providing our frontline staff with easy access to policy information custom

er data and performance

analytics with a long -term view of integrating training, intelligent nudges and a backend powered by Generative AI, thereby improving productivity and customer engagement.

We as management of Axis Max Life Insurance have strong conviction in this particular digital design for our sales staff, which has the potential to substantially increase productivity in our field force. In the agency, we have achieved 90% adoption already for supervisor roles and 100% adoption for the direct sales force and these are two channels where it has been launched. Eventually, by the end of this year, it will be launched across all channels.

To further improve customer experience, the scheduled callback feature on

WhatsApp led to a 100 basis points increase in our NPS. Additionally, Axis Max Life upgraded its core systems, facilitating same day claim settlements, enhancing operational efficiency and system availability. We also introduced innovative solutions like mPulse Medical Vital Face Scan, a tool for Health Assessment for Non-Invasive Underwriting which has further advanced our digital underwriting particularly for NRI customers.

By leveraging AI, we have launched products that enable in-journey financial underwriting decision making, utilizing alternative data such as CIBIL, PAYU, and bank statements for income estimation. Furthermore, our risk analytics engine, including tools like Shield, MediCheck and GoVern have helped identify and mitigate potential claim risk exceeding about Rs. 1,500 crores in FY '25. All these tools are developed within Axis Max Life Insurance, really showing the strength of the business analytics team at Axis Max Life Insurance.

To bolster employee engagement, we introduced the ELY People Engagement platform 14.04 powered by Gen AI to proactively engage with employees, assess sentiments, predict attrition and deliver personalized HR support. Collectively, these initiatives have strengthened Axis Max Life's digital infrastructure driving enhanced efficiency, greater customer and employee satisfaction and reinforcing our competitive edge in the market. Looking at the business from people's lens, I feel very proud to share that last year we stood rank 28 on great place to work survey.

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We were also rated for being top 100 for 10 years with special recognition as well as we are rated top 50 for women, millennials and top company for ESG and CSR. That really powers all the success that we are seeing because people are our biggest strength.

In summary ,

Geopolitical developments continue to influence market dynamics, rising uncertainty around global conflicts and trade policies may impact growth across the sector. Nevertheless, given the strong performance we have delivered in the year coupled with our current momentum give us great confidence to remain ahead of the industry and drive sustained value for all the stakeholders.

I am going to hand it over to Amrit – our CFO who will provide an update on our financial performance.

Amrit Singh: Thank you, Prashant, and good morning, everyone.

Quickly, some update on key financial metrics, though most of them you will find in the Investor Deck as well:

- The MFSL at our consolidated revenue excluding investment income stands at Rs. 32,620 crore, a growth of 12% in FY '25

Consolidated PAT stands at Rs. 403 crore.

- For Axis Max Life, renewal premiums have grown by 14% to reach Rs. 21,049 crore and gross premiums have grown by 13% to Rs. 33,223 crore.

- The value of new business written over the period stands at Rs. 2,107 crore for FY '25 at NBM of 24% and the VNB growth during the year has been 7%.

- Embedded value as we end 31st March 2025 is now Rs. 25,192 crore . It is an annualized total return on EV of 29%, though the annualized operating RoEV, which reflects the health of the business, stands at 19.1%, which also includes the marginally positive

operating variance of Rs. 5 crore and a positive non-operating variance of Rs. 356 crore, arising both from debt and equity.

Embedded value results have been reviewed this time by Willis Towers Watson and the certificate for that effect has also been published along with our results.

- Policyholder OPEX to GWP stands at 13.6% and total cost to GWP at 23.1%. Policyholder OPEX has grown at the rate of 11% for FY '25.

- Axis Max Life 12-month FY '25 profit before tax was Rs. 448 crore, a growth of 20%.

- Also during the quarter, we raised Rs. 500 crore of subordinate debt with a

credit rating of AA+ and as a result, as we have ended the year, our solvency stands at 201%, up from 172% last March.

- Overall assets under management are around about Rs. 1.75 lakh crore, a growth of 16%.

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So we will be now happy to take any questions that you may have and I will hand over to the moderator to open the floor for questions.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes on the line of Avinash Singh with Emkay Global Financial Services Limited. Please go ahead.

Avinash Singh: Good morning. Thanks for the opportunity. Very strong set of numbers. Couple of questions. The first one is more, if I see the growth in April, I mean your growth is very impressive, so can you and that is a bit of I would say or not in line with industry that is better struggling for growth. So what is driving this growth in this current year, this month, more into Protection or it is a kind of a balance across products. And in that backdrop, how do you see the growth in this FY '26 and margins, would you be kind of guiding for FY '26 margin by and large stable or sort of an improvement, so that some sort of growth and margin guidance in FY '26 and what is driving currently your growth? That is one. Second question again, I am not sure that I am going to get answered yet. So on this regulatory noise, of course, this regulated sector is never free from regulatory changes, but over the last, I would say a year or so, the frequency of noise is too much, and now once again, time and again this, the new noise around bancassurance is coming. So as a participant in this industry are sort of you kind of a part of any formal discussions in the past or informal discussion in past that you have heard anything that is kind of a currently being debated around this bancassurance as well? So these are my two questions. Thank you.

Prashant Tripathy: Thank you, Avinashji, and thank you for asking these questions. My day actually began by reading your report on April, and I am not surprised you asked this question because you have written about Axis Max Life Insurance's performance. Yes, I was very pleased with how April went. We grew close 24% as against private growth of around 2%. So that is a good upside. And to answer your question, it is across all lines of business, across all channels, for example, even our agency clocked good results versus competition and there would be a delta of 20% even in agency performance in my sense. So it was a good month as far as we are concerned. But I would just like to underscore that April is generally the smallest month of the year and hence we shouldn't read too much into the performance. Of course, the desire of Axis Max Life Insurance is to continue the momentum that we have seen in last 2 years and continue to work hard. We have made efforts to rebalance our product mix and hence the ULIP mix that you saw for the full year of last year should come down and of course, April was directionally moving in that trajectory.

Coming to the guidance, it is really giving absolute guidance is not the best idea. However, I will peg ourselves to where the industry moves. One would desire to maintain at least 300 -400 basis points upside versus how the private industry grows and just going by y

our data only. You talk about 13% -14% growth of private industry.

So I think you should add 300 basis points more to that. That will be at least the aspiration with which we will operate. On margins, we finished 24% and I have been repeatedly saying that we should be in a number which is slightly higher than that. But at the same time, we are not aspiring to have phenomenally higher margins at the cost of growth. So the way we are going to maneuver this year is to try NP in the range of 24% -25% and try to grow faster than the industry. That will be the desire. Coming to question no.2, the regulatory noise, I confirm that basis all the meetings that we have had and have been a part of some, I have not heard any formal communication about any changes in Bancassurance. I know there are many people or there are many sound bites that keep coming, but I have not officially got any sense from any sources about where is it coming from or is there anything coming or not? On the contrary, some of the sound bites that I have heard actually confirm that the expected regulatory posture should be consistent should not be changing a

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lot so that it gives more and more confidence to industry players, customers as well as investors. So for the time being, my suggestion and request will be we don't give much heed to these sound bites that keep coming. Thank you.

Avinash Singh: Thank you.

Moderator: Thank you. Next question comes from the line of Manas Agrawal with Sanford C Bernstein. Please go ahead.

Manas Agrawal: Couple of questions, sir. One, I think all players in the private space have been able to attach riders in this year, want to understand what has really changed and why is it working now versus not 3 years ago and why it should work in the next 3 years?

That is part 1. Second is, you talked about the rebranding helping in building up the brand. Have we started to take any action on pricing to reflect brand strength? And just one more piece on timelines for reverse merger? That will be the questions.

Prashant Tripathy: The first question is more evolutionary, Manas to be honest, if you went back 10 years, the industry didn't sell Protection either. Now it sells a lot of Protection. Maybe 10 years ago, there were not many people selling annuities, but now many people do sell. So I think it is a part of General evolution, and I must also say that as competitive forces as well as regulatory forces put pressure on ability to generate margins, the industry is definitely looking for product categories, which could potentially create more margins. So the same applies to us. However, I must also highlight that it is also a question of execution. While everybody wants to sell or attach riders, to what extent one is able to attach is a question of execution, understanding and flexibility in the processes to do that. And I am very happy and proud that we have been able to do. The customers are also evolving and seeking more and more value and that is something which we can't ignore. As customer is becoming aware, customer is looking for value, customer is looking for unmet needs or products which could satisfy their unmet needs and I must highlight that all these categories, Protection, riders, Health as well as annuities address those needs which have pretty much remained quite unmet over last maybe 20 -30 years. So that is the reason why the industry is moving in that direction.

Have we taken any pricing action to reflect brand strengths? The answer is no. We will like to create our brand strength in Tier -2 and Tier -3 cities. In terms of pricing, we are competitive. I wouldn't say we are the best or we are the worst, we are somewhere in the middle and that really augurs well with what we are trying to drive. Also, it has been only 4 months that the brand got added. I would ideally give it about a year's time to see the full provision and benefit of brand

strength and then we will

consider any decisions about changing the pricing if required.

The timeline or reverse merger, I must highlight to you, and you would have seen our Board message to Stock Exchanges, we are very desirous to do the reverse merger. However, we are just waiting for clarity. I think we are hoping that the clarity would have come from the change in the act which is expected or which was expected or is expected during monsoon session, which will pave the path for reverse merger in our case giving relief on section 35 and being listed organization, Max Financial Services, we want to keep all the stakeholders along as we do that, so hopefully, when it comes and I am quite hopeful that it will come in the month of August -September timeframe. We will immediately begin the exercise.

Manas Agrawal: Thank you, sir.

Prashant Tripathy: Thank you, Manas.

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Moderator: Thank you. Next question comes from the line of Shreya Shivani with CLSA. Please go ahead.

Shreya Shivani: Hi, thank you for the opportunity and congratulations on a good set of numbers. Just on the harping on the reverse merger, just one question that I had that another company which had won the case against IRDAI in NCLAT, ideally one would have expected that that should also have paved the path for you, has there been any discussion post that you have had with the regulator? That is my first question on the reverse merger bit and second is on the EV walk. Can you help us understand the operating variance that we have of 0.05 billion, how much of it is, can you give a breakup between how much was there in persistency or how much was there, across the different line items that we have within the operating variance, those are my 2 questions. Thank you?

Prashant Tripathy: I will take the first question, and I would request somebody to take the second one.

On the reverse merger, your observation is right. Of course, there is some decision, however, I must highlight at this point of time that we reviewed the performance of our company with respect to the company which actually went through that process. We are a listed organization. There are multiple regulators involved, and we do want to make sure that we keep all the stakeholders along and hence our decision is to wait for the act to change. Of course, that path is available, and if there are significant delays in the change through act that comes our way, we will definitely consider that, because we are just talking for about 2 or 3 months, it is our decision internally to wait for the act change to happen before we begin this exercise. So right now, all the options are available. We will consider when the time comes. Over to you, Amrit for

the second.

Amrit Singh: On operating variants, there is Rs. 5 crore positive. And as practice, we do our assumptions, recalibrations and also the experience variants etc., and we have done our assumption recalibration. So there isn't like a material positive or material negative there. It has been largely in line. With respect to variants, there are some positives on the mortality and expense side and some marginal negative on the persistency and lapse side. So that is where I will leave it at.

Shreya Shivani: That is very useful. Thank you so much.

Moderator: Thank you. Next question comes from the line of Supratim Datta with Ambit. Please go ahead.

Supratim Datta: Thanks for the opportunity. My first question is on the Bancassurance channel. Could you give us this split of what is the contribution from Axis Bank during this quarter and what has been the performance there because we have seen that the growth in this channel has slowed in the 4th quarter versus the 3rd quarter, so just wanted to understand, despite the synergies, why is the growth slowing and what are you doing to improve growth there? That is my first question. The second one was on the slide wher

e you layout some of your aspirations, slide 16. Now, if I look at your expectation from the Protection of business that suggests that you are building in a 25% CAGR over the next 5 years. Now, I just wanted to understand, what do you think will drive 25% growth in Protection business because this business has seen a bit of volatility growth being subdued, then coming back and then again being subdued. So it has been a bit volatile. So just wanted to understand why do you expect growth here to grow 3x at the bottom end in the next 5 years? That is my second question. Thank you.

Prashant Tripathy: So I am requesting Amrit to take the first one and then I will take the second one.

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Amrit Singh: Supratim, the Axis Bank growth for Quarter 4 was around 7% and the full year number as we shared is around 10%. And this slowdown actually you would have seen all across. In Quarter 4, the growth not just for us, but even from an industry perspective did moderate and we grew at around 11% for Quarter 4 on an adjusted FYP basis. Wherein even Axis at 7%, I would say it is kind of mirroring the broader trend across all channels with respect to the growth slowdown that was witnessed.

Prashant Tripathy: Yes, but we are very satisfied with the progress that we are making in the banca space or partnership space. At Axis Bank, you would have noticed that our counter share remains stable at around 66% when on Yes Bank the counter was about 54%. So we are making good progress. It is the fact that in the second -half of the year, the industry growth actually slowed down, in the first half of the year, the industry grew substantially better than in the second -half. If I remember correctly, private industry grew 21% in the first half and only about 8% or 9% in the second -half. So there was a reduction and that was across all channels including banker channels. At a total level, our Banca contributes now about 55% -56%, of that absolute 48% is from Axis Bank and it remains a solid number and we are very hopeful that with the relationship that we have with Axis Bank, they are being our largest distributor as well as promoter and the kind of discussions that we have engaged in terms of planning for FY '26, very optimistic about the outcomes, not just on sales growth, but also on margin growth. Coming to the slide on Protection growth of 25%, I will just refer back to the analysis that we perform every year, which is called India Protection Quotient. We go to 25 top cities and great representation from Metros -1 and Tier -2 and ask people about questions on their Protection ownership and that ownership is only 34% versus an overall ownership, life insurance ownership of close to 78%, so significantly lower ownership of Protection and when we dig deeper and ask people questions saying are you happy with the level of Protection or is it good enough for you in the circumstances that something wrong happens to you, is it good enough for your family to manage about half of them say no, which means the real penetration in top 25 cities in the Sec A & B category is only 17% -18%. That is a very small number. So our firm belief is that Protection in form of either pure Protection or Health or rider is an area which is under -penetrated, and it will continue to grow. If you were to look at our growth over the last 4 -5 years, very happy to share with you that we have seen growth of this kind. So it is not unusual and hence our belief in Protection as a category remains. By the way, we have called that out as one of the top areas of strategy for Axis Max Life Insurance. We also firmly believe that the largest purpose that life insurance companies serve is to provide Protection and hence you will notice that our sum assured growth, 31% last year and while our market share may be lower on the total sales basis, but on sum assured basis, our market share is substantially high.

We, in fact are number 3 player for last many quarters.

Amrit Singh: And also I think just on the aspirational chart that was put out, that was somewhere in FY '21 that we kind of gave out 5 -year aspirations. The reality is that obviously, we couldn't have envisaged COVID and associated impact. So there was a period of time of tightening of demand which affected growth in FY '22 -23, but as we look forward, even in this particular year, we have grown Healthy at 35% levels in Protection, and we are quite confident that we will keep marching forward on this.

Supratim Datta: Got it. And I have just one follow up on the first question and the answer that you gave, you are expecting that margins to improve in the Banca channel. So just wanted to understand what would be driving that? Is it that you are looking at a product mix change in that channel or is there something else that you are focusing on?

Amrit Singh: Yes. I think you are absolutely right. It is the mix of product mix as we are under seeing the volatility, which is affecting ULIP, the traditional products are becoming

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more in favor and some of the trend as Prashant kind of mentioned in his opening remarks are even evident in the months that you just started for FY '26.

Supratim Datta: Thank you, sir.

Moderator: Thank you. Next question comes from the line of Madhukar Ladha with Nuvama Wealth Management Limited. Please go ahead.

Madhukar Ladha: Hi, good morning. Thank you for taking my question. First on the Axis Bank channel, not only about the last quarter, so last quarter I think across the channels there has been a little bit of a slower growth number, but even if we look at the number over the last couple of years, the growth is about 10% last year and before that, I think one of their other partners was growing in that channel. So there were some challenges as a result of that. But even after that, growth from that channel continues to be just about 10%. While you maintain your counter share, but I would have expected the channel to grow faster, so what is really troubling that and in your plans, then how do you see FY '26 panning out in terms of Axis Bank channel in particular, what sort of growth can we expect over there? So that would be my first question. Second question, on the surrender value changes, so what has happened is that these were implemented in the second -half, so there is only sort of half a year's impact. So my question is, how should we think about it in terms of FY '26, would there still be sort of more impact left to come through in this year and just 50 basis points is on a blended basis, but on an overall product portfolio of traditional products, what would be the margin decline over there as a result of this, if you could help me understand and provide some clarity on how should we think about this? Thanks.

Prashant Tripathy: Thank you, Madhukar. As always, very sharp questions. Thank you for asking the very important ones. Let me first answer the Axis Bank question. Yes, it is a fact that last year, we grew 9%. This year, we have grown 10%. Our growth pretty much mirrors the growth at the bank level and this is not only for Axis Bank, overall Banca as a channel has not been growing significantly faster and most of the players have had faster growth coming from their Prop Channels. And the reason for that is quite evident to everybody. Over the last couple of years, banks have focused on building their deposits, which were under stress and that has been the reason why some of the effect on Life Insurance sales has come up. Axis Bank is a very large bank partner, so they do close to about Rs. 4,000 crore of sales for us. So there is a large base effect also that we need to be aware of. If I were to look at last 5 years growth number from Axis Bank, it is there in our presentation, it is about 12%. So as we move forward, we have had series of discussions

with the bank, senior officials as

well as people who handle this area of business and we are very optimistic that we will be able to pick up from here, very aware that the Axis Bank growth is going to be instrumental in realizing the overall potential that Max Life Insurance has and the aspirations that we want to achieve. However, we will not really guide you to a 20% kind of growth number, but definitely more closer to the range of 13% -14% which is our expectation. If anything extra comes, we will be quite delighted with that. So in our plan, whenever we talk about guidance of numbers etc., there is no discontinuous assumption on Axis Bank sales from where we have been in the last 5 years on a CAGR basis. But I am going to just invite Sumit Madan who leads entire distribution to talk about some of the initiatives that we have taken in Axis Bank which gives us confidence that we will be more towards 14% -15% than 10% -11%.

Sumit Madan: Sure, thank you, Prashant. Madhukar, I think just to add to what Prashant said, there is an increased focus across all channels of Axis now in this financial year. There is a specific layer laid out strategy in some of the other businesses like assets, emerging verticals, so on and so forth. I think that should add some kind of fill -up to

this greater than 10% of a number that Prashant highlighted. There is also realization from a customer need analysis, insurance and specifically we spoke about Protection
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also is becoming a key part of their portfolio. I think it is a combination of these strategies which should give us a further push as far as the growth of 10% for the last 2 years is concerned.

Prashant Tripathy: Thank you, Sumit. Talking about the surrender value question that you asked, the issue impact of whatever I spoke less than 50 basis points, I am going to invite Amrit Singh to give us, maybe the item, but I must call out that H2 generally does about 60%-65% of the sales. So it is not equal, and I wish I knew the number. In my business, I don't even look at what is the net impact of surrender value. Generally, the way management works is if you have a negative impact, you deploy mechanisms to actually course correct and in our mind that is to grow faster, to have the leverage, advantage, to drive product mixes which are of a superior category, to look at variants in the products which deliver higher margin. So when I say the impact is less than 50 basis points, it was on a net basis. That is the number I know. I don't know the gross number which is coming from if you know

Amrit Singh: Yes, Madhukar, I just want to confirm to you that sequentially, Quarter 3 to Quarter 4 movements in this particular Financial Year. We were impacted in Quarter 3, but a series of actions were taken in Quarter 4, which included changing variants, some tactics around riders, some pricing actions, some design constructs being tweaked and being changed actually, and we have almost neutralized the entire effect actually in Quarter 4 as what you witnessed in Quarter 3. So as in the run rates of products and their margin profiles, as we move forward, we don't really see anything coming in FY '26 for us.

Madhukar Ladha: Understood. That helps a lot. Thank you and all the best.

Moderator: Thank you. Next question comes from the line of Nidhesh Jain with Investec. Please go ahead.

Nidhesh Jain: Thanks for the opportunity and congratulations for the good set of numbers. Sir, firstly, if you look at the growth in this year, we have done extremely well in the e-commerce channel. So what is driving the growth in that channel and how sustainable do you think that growth rate that we are putting out in that channel is there?

Prashant Tripathy: Yes, we feel very proud of our achievement in the e-commerce channel and for last many years, the growth will be more than 50% CAGR. Before FY '24 or around FY '24, we were the largest

player in the Protection area and we have been no. 1 in

Protection on e-commerce for many years, actually. However, we realized that just being Protection, we are not playing in a very quickly rising Savings area and we started to participate in the Savings area and some of the new things that you saw around in dex-linked fund designs, etc., have been instrumental. But for more details, I am just going to invite my colleague, Sumit Madan to talk about.

Sumit Madan: Yes. I think specifically on the e-com channel, 1) we are very it is a crowning glory for us; we have been very proud of the channel. The way we work on both, data and the integration, I think those have been the key differentiators for us. The way data drives numbers for us in the e-com channel, I think we are slightly superior from that perspective. 2) I think there is a lot of segment focus that we have been able to bring in as far as the e-com channel is concerned. So there are the specific strategies as far as self-employed or let us say the HNIs or the Gen Z or the younger population is concerned. Similarly, for example, like Prashant earlier also highlighted, products are also being designed and the offtake of these products, especially the segmented products have been exceptionally good for us. I think the organization is very nimble, very agile as far as some of the thinking around e-com is concerned and I think that
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has kept us in the leading spot in this business, which I am sure will continue to be the case.

Prashant Tripathy: Yes, but just to summarize, I think presence in a very innovative way in the Savings area, especially ULIP and index-linked, which we were the innovators and first ones to come up with has been the core reason of our growth. Of course, the base effect is going to kick in, which we are hugely aware of. So I wouldn't quite guide that next year also, we are going to grow like 60% but yes that has been a big driver, of course.

Nidhesh Jain: And sir, what percentage of e-commerce business is coming from our own website, of the Rs. 1,000 crore premium?

Amrit Singh: Yes. So I think from customers that have kind of come to us, around 40% of those customers have come from our own efforts and 60% from aggregators. But when you kind of break it into sales, the number kind of comes down to 30-70 kind of a

ratio. And again, we are over indexing Protection there and under-indexed in Savings from a direct perspective in that channel.

Nidhesh Jain: Secondly, in the other Bancassurance partnership also we have done reasonably well. So earlier, we were largely dependent on Yes bank, so how is the diversification in the other Bancassurance partnership, what is the share of largest bank in this Rs. 54 crores of premium for FY '25?

Sumit Madan: Yes, I think the other bank story has been exceptionally good for us. So in some of the new partnership that we have been able to be a part of one, it is important to be present across some various banks. But I think the tougher task obviously is to make your presence felt in most of the new bank partnerships, whether it is TMB, SIB, DCB, so on and so forth. We are actually among the top 2, top 3 players in terms of our counter share. And again, I think this has mainly been led by some excellent team we have on the ground coupled with some of the great product innovation we have been able to have. One of the things which actually make a difference on the ground is actually a very strong distribution capability center, which is the entire training hub. We have been doing a lot of training, not only for the internal teams, so that many of the banks, given our strength around DCC has also invited us to arrange some training program for their SP's. So I think it is a combination of all and like you rightly mentioned, the new banks, the contribution for us is actually on an upward swing.

Prashant Tripathy: One

of the ways I measure our performance also, Nidhesh, is of the new initiatives that we have taken in Prop channel or building new businesses or acquiring new banks, etc., how much of that as a percentage of total sales is. And I am very happy to share that we generally shoot for about 10% number and we were actually 11% last year. So, everything that we have done in building new channels, Prop, within Prop, within DSF, within new banks, GCL all put together, they are around 10% -11% of last year, number one. Number two, the business development engine has been working really well, like we highlighted to you, we acquired 44 new partners, three of them are banks. So I am very hopeful that as we go long, we will not be impacted by the base effect of same banks. We will have new banks to work on and hence this will continue to remain a growth area for us for multiple years to come.

Nidhesh Jain: And lastly, if you can break the non-operating variants in terms of equity and debt?

Prashant Tripathy: Yes, I am asking Amrit actually to share those numbers.

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Amrit Singh: So in the non-operating variants, there is a negative of around Rs. 41 crore because of the brand, onetime brand change that we did. There is a positive of Rs. 219 crore around equities and debt around Rs. 170 crores.

Nidhesh Jain: That is it from my side. Thank you.

Moderator: Thank you. Next question comes from the line of Shreya Shivani with CLSA. Please go ahead.

Shreya Shivani: Hi, thank you for the follow up question. Sir, just wanted to clarify, on your dividend strategy, you had mentioned 1 or 2 years back that you will not be paying out dividends. So this strategy does not change till Axis Max Life gets listed. Is that a correct understanding? And second is on the persistency, so I know Y-o-Y trend, you have shown us whatever trends have been there. However the formula for calculating the persistency seems to have changed, it changes from the regulator. Just for my understanding how regularly does this happen? And I believe this will be for the entire industry, right?

Prashant Tripathy: So maybe, I will take the first one and Amrit could take the second. Our dividend strategy will remain firm; we actually need a lot of capital. So as we go along, we will need capital for growth and hence paying out dividend at this point of time is not recommended because the business is actually going to ask shareholders to give capital. The other one is, you might know that for many years, actually we declared dividend for the purpose which is quite well known to all of you. So we like to preserve it and have the positive impact on our embedded value as we go along. On persistency formula, Amrit, do you want to just?

Amrit Singh: Yes, so this does not happen very frequently actually. In FY '24, there was a specific guidance which the regulator kind of provided around full year persistency disclosures to be undertaken. And if I see in the last 10 years, it has happened in FY '10, FY '14 and FY '24, I think 3 times, so it is not like a periodic phenomena, but they did change it in this financial year and to that effect we have restated both the current year and the previous numbers to make it comparable and in line with what the regulation now ask us to do.

Shreya Shivani: Yes. Great. That answers. Thank you so much.

Moderator: Thank you. Next question comes from the line of Mohit Mangal with Centrum. Please

go ahead.

Mohit Mangal: Thanks for the opportunity. I was looking at slide 39 of your presentation deck and basically, I was looking at the case size. So what was a little surprising is that ULIP has actually declined and so is Annuity. Can you just specify the reasons for that?

Amrit Singh: So Annuity is a bit of a shift from single premium business to regular premium business and that also is an underlying reason why you see a weak Annuity numbers that you have reported.

Though on regular premium, actually the growth has been very robust. On ULIP, it is a bit of a choice of customer segments and where you are kind of going and you would have also noticed that in proprietary channels and especially in e-commerce and we spoke of the focus towards Savings products in e-commerce, the ticket size typically which is originated on ULIP is actually much lower than what the offline channels typically originated.

Mohit Mangal: Fine, that is helpful. Second is, in terms of number of policies, while I understand the non-PAR was not kind of a flavor in Financial Year '25 and we saw decline from 1,97,000 -1,80,000 odd. But going forward, now that maybe ULIP may not grow as

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fast as maybe other segments, so can we assume that the number of policies in the non-PAR Savings should increase?

Prashant Tripathy: Yes, that will be a good assumption to make.

Mohit Mangal: Thanks and wish you all the best.

Prashant Tripathy: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of the question-and-answer session. I would now like to hand the conference over to Nishant Kumar for closing comments.

Nishant Kumar: Thank you everyone for being part of Max Financial Earning Call. We look forward to more such interactions in the future. Thank you once again. Have a good day.

Prashant Tripathy: Thank you.

Moderator: Thank you. On behalf of Max Financial Services Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Disclaimer: This is a transcription and may contain errors. While the transcript has been edited for clarity and efforts have been made to ensure a high level of accuracy, the Company assumes no responsibility for any errors.

Call: Aug 2025

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August 14, 2025

BSE Limited

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Dalal Street

Mumbai – 400 021 National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (East)

Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Transcript of Investors & Analysts Conference Call held on August 8, 2025, post declaration of unaudited Financial Results of the Company for the quarter ended June 30, 2025, is enclosed.

The same has also been uploaded on the website of the Company at <https://maxfinancialservices.com/static/uploads/financials/earnings-call-transcript-q1fy26.pdf>.

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

For Max Financial Services Limited

Piyush Soni

Company Secretary & Compliance Officer

Encl: as above

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Max Financial Services Limited

Q1 FY '26 Earnings Conference Call

August 08, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Max Financial Services Limited Q1 FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone

phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amrit Singh from Max Financial Services Limited. Thank you, and over to you, sir.

Amrit Singh: Good morning, everyone. Thank you for joining our call today morning for the results of June 2025. We had provided our presentations on the website and also on the exchange last evening. As always, joining me today are Mr. Prashant Tripathy, Managing Director and CEO of Axis Max Life Insurance; Sumit Madan, Chief Distribution Officer of Axis Max Life Insurance; and Nishant Kumar, CFO of MFSL.

I would first invite Prashant to just walk us through the developments of the quarter.

Prashant Tripathy: Thank you, Amrit. Good morning, everyone. I'm very happy to share that following a remarkable FY'25, we have carried forward our strong growth momentum into quarter 1 of FY'26 also delivering healthy growth while balancing the needs of our customers, partners, shareholders, and employees. Let me first begin by sharing a great news that we at Axis Max Life Insurance are very proud of. And that is our ranking in the Great Place to Work Institute rating methodology that happened for 2025. There were several accolades that came our way, number one and most importantly, ranked number 28 among the top 100 best companies to work for, and about 2,400 companies of India participated in that survey.

We also featured in the top 50 India's Best Workplaces, building a culture of innovation by all, and ranked among the top 25 best workplaces in BFSI 2025. I am very happy to share that for all the last 6 or 7 years that we have participated in that survey, we have ranked amongst the top 50, and we are also a laureate, which means more than 10 years being amongst the top 100 Great Places to Work. Our people continue to be at the heart of everything that we do, and these recognitions are a testament to the culture we have built together, a culture of trust, innovation, and commitment.

nt. With that, let me

walk you through the key developments across all our strategic focus areas during the quarter.

Sustainable and Predictable Growth:

In Q1FY26, our individual adjusted first-year premium grew by 23%, which is nearly 3x of the private sector growth of 8% and more than 4x of the overall industry growth of 5%. Additionally, on a

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2-year CAGR basis, we delivered a robust 25% growth, significantly ahead of the 16% CAGR for the private sector and more than twice the industry growth rate of 12%.

In terms of APE, which is annualized premium equivalent, we grew at 15% in Q1FY26, driven by both Prop as well as Banca channels. Our Prop channels have consistently served as the pillar of our strong growth over an extended period.

On a 3-year basis, these channels have demonstrated APE growth of 32%, with the online channel putting a 3-year CAGR of 63% and offline channels at 24%. Continuing this trajectory in the quarter as well, our offline proprietary channels delivered a strong 18% APE. We continue to maintain leadership in the online space despite online APE remaining flat.

And that's the reason you see a delta between 23% and 15%. This is owing to a large base of ULIP sales in the last year, which also caused divergence in growth rates of APE and adjusted FYP. We have done a review of how this delta will be for the coming quarters, and I must state that it's going to plateau, and I don't expect a delta of more than 2% to 4% between the adjusted FYP and APE numbers going forward.

Our bancassurance channels APE also grew by a strong 16% in quarter 1, driven by consistent performance across partner banks and supported by the ramp-up of new relationships established over the last 2 years. The Axis Bank grew at 11%. Other banca partners collectively grew by a massive 54%. This was a result of new bank relationships that we signed up for over the last couple of years. Continuing this journey, we have added 15 new partners across retail and group channels during Q1FY26 to further strengthen our distribution network.

Product Innovation to Drive Margins:

Coming to the products, where innovation is our endeavor all the time to drive margins, Axis Max Life remains deeply committed to leading in product innovation with a clear focus on creating value for all stakeholders, including customers, employees, partners, investors, and communities. In this quarter, we have launched another innovative flagship product called Smart VIBE, offering instant income in the first-year policy, the first policy year. Key features include enhanced protection through riders and policy continuance benefit, accumulation of survival benefit and premium offsets.

This launch has helped us rebalance our product mix, reducing the share of ULIPs from 43% in quarter 1 last year to 36% this quarter. Additionally, our rider APE has surged by over 300%, contributing positively to a 36% growth in the protection segment. Our pure protection portfolio also recorded a healthy growth of 26%. Annuities and other strategic focus area grew by 40%, further strengthening our diversified product portfolio.

These developments have not only aligned with our stated strategy of maintaining a balanced product mix but have also led to a margin expansion from -17.5% margin in Q1FY25 to 20.1% in Q1FY26, resulting in an impressive 32% growth in the value of new business. Thus, our quarter 1 performance gives us good confidence, to maintain our margin guidance of 24% to 25% for FY'26 as we continue to invest in our distribution channels.

Customer -Centric Approach :

Focusing on some of the customer outcomes. We are pleased to share that Axis Max Life achieved its highest -ever individual death claim paid ratio of 99.7% in FY'25, a powerful testament to the deep trust our customers place in us and our unwavering commitment to honoring that trust when it matters.

atters

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the most. We continue to lead the industry in 13th -month persistency on several policy bases as per FY'25 rankings and hold the second position both 25th -month and 37th -month persistency on the same basis.

In terms of premium, 13th month persistency stood at 86% compared to 87% in quarter 1 last year, while 25th month persistency has achieved or reached its all -time high at 75%, reflecting a year -on-year improvement of close to 500 basis points. Our Net Promoter Score (NPS) , where we just transitioned from a manual means to a digital means, remained strong at 54%, up from a baseline of 52% on an apples -to-apples basis at FY'25 exit.

Touchpoint NPS improved by 2 points from 55 to 57, and relationship NPS remained at par, indicating strong customer sentiments and effectiveness of our engagement strategies. We've also made notable progress in grievance resolution with Grievance Incidence Rates (GIR) improving to 44% in Q1FY26 , down from 55% in Q1FY25 . These consistent improvements across customer trust, retention, and service excellence reinforce our strategic focus on long -term value creation and sustainable growth.

In addition, I'm very happy to share with you that, consistent with the hypothesis that we had made while rebranding ourselves from Max Life to Axis Max Life, we have seen significant improvement in our scores on consideration. Before this exercise was undertaken last year, we had a consideration score of 78, which jumped up to 83. And we are also witnessing very good momentum, especially in Tier 2, Tier 3 cities. And I'm very happy to share that we are able to sustain those scores.

So, with respect to competition, I think our overall positioning has strengthened as a result of the rebranding exercise that we undertook end of last year.

Digitization for Operational Efficiency:

Digitization is another focus area for us, and our ongoing digital journey continues to drive operational excellence, customer satisfaction, and scalable innovation across the enterprise. We recently launched the Axis Max Life app, a fully in -house developed digital platform that integrates life insurance servicing with wellness benefits, an industry first in the life insurance space.

Available on Android and iOS, the app offers seamless policy management, premium payments, online purchases, and AI -powered chatbots for both insurance and wellness support. Built on a modern tech stack, the app is deeply embedded in our ecosystem to enable real -time engagement and analytics.

We also expect app -engaged customers to show higher relationship NPS and persistency, while increased DIY servicing will drive meaningful long-term cost savings. So, to all the people who are on the call and happen to be our customers, I'll sincerely urge that you download our app and be our app engaged customers.

In Q1, we successfully completed an enterprise -wide brand refresh, aligning all digital assets, including B2B platforms, HR systems, and communication tools, and our renewed brand identity. This includes a domain and e -mail overhaul, reinforcing consistency and trust across stakeholders' touchpoints. We also implemented several key interventions to streamline policy issuance and strengthen risk management during onboarding.

Notably, eKYC adoption increased from 35% to 70%, significantly reducing manual efforts and improving turnaround times. Additionally, we enabled the final payment journey with VASBA,

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ensuring full compliance with PPHI guidelines. On the servicing front, we have launched a Gen AI -powered e -mail bot, which is expected to automate 30% of the customer service volumes and enable 20% headcount optimization, enhancing both efficiency and scalability.

Collectively, these initiatives have significantly strengthened Axis Max Life's digital backbone, enhancing

operational efficiency, elevating customer and employee satisfaction, and reinforcing our competitive advantage in the market. To summarize, we have had a strong start to the year with solid performance across all key metrics. While global geopolitical developments continue to shape market dynamics, we remain confident in our ability to deliver on our guidance and drive sustained value to all our stakeholders.

On a separate note, as you may be aware, I'm going to step down from my current role of Managing Director and CEO on 30th September. And I would like to take this opportunity to thank you for all your support, all your engagement, friendship with most of you, and communication during my career here as CFO and CEO.

Axis Max Life Insurance has always believed in distributed leadership, which is a unique thing about our organization. And as I hand over the baton to Sumit Madan, our Chief Distribution Officer, who takes over as MD and CEO of this company from 1st October, and he's also there on the call, I am

very confident that the momentum that we have built, the strength that we have shown, the remarkable progress that we have made across all the strategic vectors highlighted and our ability to meet quarter -on-quarter, month -on-month commitments will only get enhanced.

So, I will look forward to your support, and let's give our best wishes to Sumit in his new role. You will hear from him as we go along. But let me pass it back to you, Amrit, for the financial numbers.

Amrit Singh: Thank you, Prashant. Just quick hygiene financial metrics. MFSL revenue, excluding investment income, stands at INR6,194 crore , which is a growth of 18% in the first quarter. Consolidated profit after tax stands at INR86 crore , largely impacted due to strains because of strong new business sales momentum. Gross written premium for Axis Max Life grew by 18%.

And more importantly, the renewal premium also demonstrated a healthy growth of 17%, standing at INR3,873 crore . As Prashant mentioned, VNB, which is a measure of profitability for our industry, stands at INR335 crore for the first quarter of FY'26, a growth of 32%.

NBM expanded from 17.5% in Q1FY25 to 20.1% quartering Q1FY26 . Embedded value at the end of June stands at INR 26,478 crore , a growth of 20%. Annualized operating ROEV, a measure of performance, stands at 14.3%, again, an expansion from 14.2% demonstrated last year. Policyholder opex to GWP is 17.8%. Policyholder opex has grown by 18%. Overall, assets under management for Axis Max Life now stand at INR1.83 lakh crore , which is a growth of 14%.

With that, we'll open the floor for questions, and I o'll request the moderator to open it.

Moderator: The first question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: Congratulations on a great set of numbers. I have three questions. My first question is just for clarity for the coming months, can you also explain why the monthly numbers are distorted? I know that you have sold a lot of these monthly model products. So, which of the line items were the numbers in our monthly Life Insurance Council data? The number is getting wrongly represented, and that's why we guys, when we calculate the APE, it comes out much higher at 20%, 25%, whatever.

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And how long will this continue? Or should we expect a 2 to 4 percentage point difference, as you had mentioned, for the rest of the months for this year? That's my first question. My second question is on the agency channel. So, you've done a great job in the last 2 years with the agent addition.

Though with the new agents coming on board, the agent productivity for your entire book had sort of declined. So, what is usually the time frame in which your agent productivity can recover because you've always had one of the best agent productivity on the street.

And my last question is, again, this is a very medi

a article, media speculation -based, but any update

on the insurance bill? Are you hearing anything negative about the clause which allows for a merger between an insurance and a non-insurance company? There was even media speculation that Axis Bank wants to raise its stake. I mean, any clarification over there would be quite useful. Those are my 3 questions.

Amrit Singh: So, Shreya, thanks for these questions. I'll take the first one, which is the AF YP and AP E numbers.

And firstly, let me just correct you that the monthly numbers published are not wrong. Those monthly numbers that are published are accurate. It is just that those monthly numbers are on AF YP basis, whereas the overall financials reporting in addition to A PE basis, we do also share APE basis, annualized premium equivalents.

The difference between the methods is in the annualized premium equivalent. You recognize the entire premium of a policy for the first 12 months in the first instance itself, whereas in the A FYP, it is actually basis the collection that is received on a month -to-month basis.

Now, the Market Intelligence number, the Life consol number that you see, is based on monthly collections. AP E is an additional measure that companies disclose quarterly, which is what we have also disclosed.

Where is it coming from , this gap in this difference? It will always come from a channel that is heavy on monthly modes and no prices for guessing that actually is an e -commerce channel, where the consumers prefer to pay on a monthly basis. So, the gap has come because of the fact that overall, the online business, especially on the savings side, has seen a moderation in momentum, largely due to the volatility in markets, which has impacted a little bit of ULIP demand during the quarter. And that's why the mobilization of AP E in e-commerce is slower.

But beyond this there is hardly any difference in any of the channels between these numbers. Going forward, as Prashant mentioned, we do expect this gap to narrow. We are looking more at a 2% or 3% kind of gap still existing, but the gap will definitely narrow.

Sumit Madan: I'll take the second question on your point around agent productivity. I think one, our proprietorship business, largely led by agency, remains very strong, and the same has been disclosed as part of the numbers also. There have been a number of measures taken into account. But to answer your specific question, Shreya, in fact, our overall productivity has gone up by 4% over quarter 1 of last year.

The difference is that normally when we track the productivity, it's tracked basis the MTD active numbers rather than the total numbers, which is more of a base impact. So, if you look at the productivity of the active agents over the last quarter to this quarter, it's an increase of almost 4%.

Prashant Tripathy: Shreya, coming to your question, this is Prashant. On the insurance bill, yes, I also read some of these media articles. And of course, one got one engaged with stakeholders in this space to figure out what

is going to change in the insurance bills. The latest update, as far as we know, is that the bill is ready
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to be presented in parliament. We just need to wait until it goes through. In all likelihood, it will be picked up in the forthcoming parliament session, may not happen this time around.

But there is no change as far as the Section 35 provision is concerned. I think it will be allowed for a non-life insurance company might merge or may be allowed to merge with a life insurance company with prior approval from IR DAI. In our case, as you know, the company that we want to merge with is not an operating company. It is just a holding company. It has no operating balance sheet.

So, we don't foresee any problems. So, as far as the insurance bill is concerned, our information suggests that we are awaiting the approval of the b

ill. And after that, we will be okay. As far as your

other point around raising the equity by the bank, etcetera, I think we are here to hear anything on that ground. So, it may be just market speculation, and there is no point in talking about that.

Moderator: The next question is from the line of Swarnabh Mukherjee from B&K Securities.

Swarnabh Mukherjee: In terms of the margin, I wanted to understand whether there is any impact of the surrender value regulation?

Amrit Singh : You had a second question as well. So why don't you complete the second, and then I'll answer both.

Swarnabh Mukherjee: So, I was saying, sir, that there is a 260 basis point of expansion in the margin profile vis -a-vis from last year to this year. I just wanted to understand that are we being conservative in terms of maintaining our guidance? Or do we expect that going forward, given that this has come from good product mix alterations, do we expect that the upcoming quantum of expansion cannot be at this level. I just wanted to understand that on the margins part.

And if I can squeeze in a little bit on the product side. I think we have done very well over the last 3 years. But right now, I think at least on the basis, we are the largest in the private, at least among the listed players. So, what is the headroom there in the near term? If you could highlight that? These are my questions.

Amrit Singh : So I didn't get your third question very clearly, but let me answer the first 2 that you asked. So, as we have been kind of highlighting subsequent to surrender actions, we took actions on multiple fronts.

And now it is almost impossible at our attempt to kind of just segregate the surrender impact and try to indicate. We have mitigated most of the surrender impact. And this is in the additional categories, and also leveraging other categories with respect to getting the pricing actions taken on those categories as well.

For this particular quarter, the product mix has aided. As you can see, this was the quarter we launched a very strong nonparticipating savings product, which saw strong acceptance that aided. In addition to it, all the actions taken post 1st October, which in the run rate have continued, which are around pricing actions and rider contributions, et cetera, continues to aid the margin expansion process.

With respect to full year guidance, I mean, we have been reiterating. I think we would like to remain in this healthy range of margins, which is between 24 %-25%. If we see margins actually running up ahead of that, we will be very keen on ploughing that back into the business for growth purposes and building distribution. And that's the mindset with which we are approaching this business.

So, I would advise that we stick to the same guidance that we have indicated, rather than building further expansion there. The last question, unfortunately, I couldn't hear. So, I'm unable to answer it.

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If it is around protection that we have been doing well in protection and how do we see it going forward?

We continue to be very excited about the protection opportunity. India, as you are all aware, with respect to sum assured penetrations, is severely underpenetrated. We definitely do expect, given our focus in this category, not just in sourcing, but also overall underwriting price, et c. we would like to continue to remain engaged in this category and do better than the market. We see no reasons any of that actually altering at this point in time.

Moderator: The next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: Congratulations to Sumit. You have resolved most of the issues related particularly the non -operating issues at the company. So, of course, expectations are going to be high for Sumit as well. Two questions. The first one is going to be in terms of your product mix, not so much margin.

I mean,

you are back to kind of where typically you want it to be, ULIP and non -ULIP mix. Is this trend going to continue for the rest of the year? Or I mean, if at all, the market environment turns conducive, you would be okay to increase ULIP. So that's first on product mix. The second one, more again a bit, I would say, fundamentally, I can see, yet I want to answer. Again, time and again, sometimes media news comes around some of your promoter s are increasing or infusing capital. But when I see, I mean, your solvency is now even close to 200 odd percent and reasonable, I would say, back book profit generation. In that case, I mean, given that typically your 180% is the comfortable solvency than you would like to be, do you really see any need for external capital for the next 2 -3 years, even if assuming the growth accelerates?

Amrit Singh : First question on product mix, I think, yes, the product mix is very balanced. But having said, if the market opportunity presents us to drive higher momentum leveraging ULIP, which is actually a great product from a consumer perspective as well. And now with the design variance enhancements, where even a unit-linked design is actually offering healthy protection components.

We will, in a calibrated manner, always keep looking at these opportunities. But overall, again, reiterating, I think we'd like to keep the product mix balanced between and very carefully balancing that between proprietary and non-proprietary, with an overall objective, our margins remain range bound. I think on the second one, yes, your observation is right. Our solvency at the end of this quarter stands at 199%. But given this business consumes capital due to the products that we are selling and the growth momentum that we are demonstrating.

We do expect, over a medium-long horizon, some capital emergence to happen. Some part of that we will fulfill through the debt capacity that we have at our end. But I think we will never starve the business from a growth capital requirement perspective, and we are quite confident that our shareholders also will be more than happy to kind of contribute if required to provide and need the growth capital in the business.

Moderator: The next question is from the line of Supratim Datta from Ambit Capital.

Supratim Datta: My first question is on the product and banca channel. So, could you help us understand how much Smart Vibe has contributed to non-par savings APE this quarter? And when I look at the banca channel, similar to the overall group level, there has been a shift towards protection and non-par.

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But given this channel has typically shown a greater proclivity towards selling ULIP, I just wanted to understand, is there a strategic shift that has happened as well here towards selling more non-par and protection, along with the new product? And finally, my last question is on the back book surplus and new business strain. The new business strain versus last quarter has grown fairly significantly. Is this only driven by product-level changes? Or is there something else there as well, if you could help us understand that?

Amrit Singh : Thanks, Supratim. I will not specifically comment on a specific product number, but needless to say, whenever a new product is launched, it does end up being over 50% of the category contribution, given the excitement that it provides to the field and the distribution teams, and that's the kind of success that we are seeing even in Smart Vibe . Specifically, coming to your comments around the overall ULIP mix within our banks. Some parts are market-driven, and some parts are also intentional. As we have been mentioning that we would definitely be working along with banks and especially our promoter bank, try to balance the product mix towards more optimal levels, and that is what I think efforts have been. And very interestingly, - at Axis Ban

k, the number of policy growth has been very robust. We have grown by over 20% at the bank. So, a shift away from ULIPs, which can sometimes affect the overall top line growth because of the case size being higher, those have been compensated by an overall higher degree of activity within the bank.

So, just a short answer, I think it's a mix of both, the market, plus also some conscious efforts of balancing the overall mix within the channel. Lastly, your observation on the new business strain is correct. It is product-driven. It is the higher proportion of non-par, and especially in a quarter where we don't necessarily get this equivalent operating leverage advantage because it's a smaller quarter from a sales perspective, the strain has been higher because of this particular product category becoming larger in the mix for the quarter.

Supratim Datta: Just one question, if I could squeeze in. The other banca channel, which is now close to around 20% of your overall banca contribution, how much further room is there for this channel to expand? It has been growing fairly at a fast clip. So just wanted to understand how we should think about this channel?

Sumit Madan: I think Supratim, it's Sumit, this side. We are actually very excited about the other banks because some of the recent growth we've seen in recent acquisitions, also, very fast, we've been able to get the counter share that we really desire. In some of the newer acquisitions, for example, we've become a number one player in terms of counter share also. So , I think our growth progress and the entire opportunity it provides, we are very bullish about some of the other banks.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: The first question is on the product level margins, whether they have improved with rider attachments or with respect to even ULIPs, whether the sum assured has been going up. So, whether the product level margin has improved ? And your product-mix movement towards non-par the rates in the industry, have these been aggressive?

And are we getting some impact of being aggressive and margins being lower on non-par relatively? So that's my first question. The second question is on the persistency of the near-month 13-month persistency; there's some marginal weakness. Is there anything to read into it? Yes, those are my two questions.

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Amrit Singh x: So, Prayesh, thanks for these questions. If you compare it with the previous year's same quarter, in certain categories, there is an improvement in margins and in certain categories, there has been a subsequent weakness in margins because of the overall design structure changing in certain product

forms.

But I will not get into the specifics of each of the segments, but I think all the elements that you spoke of, whether it is ride attachment, whether it is repricing of certain products, has definitely aided the margin expansions - for us.

In non-participating, we have always been indicating, yes, it was impacted by the change in design structure post the surrender regulations. That impact, obviously, you will see in this particular quarter. It is not there sequentially, but if you compare this quarter with last year's quarter, you will see that impact.

But overall, I think it's a situation of you've gained some places, and you lost some places. But overall, we have been able to enhance the margin profiles. In 13 months, we have also experienced some bit of weakness, though with the collection efforts as the year has kind of progressed, and we have been into 3, 4 months of the financial year, we have also seen an improvement happening, but there is some bit of pressure, which is evident on the 13 months.

Though we have continued to do well with respect to our improvements in the later cohorts where you can see other cohorts, there has been an

improvement coming through. But we are also closely

observing this trend and making all efforts to ensure that the persistency outcome remains strong.

Some bit of it could be an overall economic effect on the Indian consumer. Some bit of it is also the proportion of high-ticket sizes has reduced as time has kind of gone by. These have had also had bearing on the persistency numbers.

Prayesh Jain: Sir, do we expect some persistency variance coming in terms of EV walk or negative variance coming in the EV walk towards the end of the year?

Amrit Singh : As we stand today and as we have reported our numbers, we have not seen anything like that because, again, there have been positives and negatives which have come in both in later cohorts. But we're keeping a close eye. There are adequate buffers or conservatism, which is built into some of the new designs that we have rolled out ever since the change of regulations.

Prayesh Jain: And all the best, Sumit, for your future role, and Prashant sir, all the best to you for your future endeavors as well.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management.

Madhukar Ladha: First, congratulations, Sumit, and all the best to Prashant, sir, for your future endeavors. So, most of my questions have been answered, but just a couple of things. Number one, on EV, what is the extent of positive economic variance? And number two, on the Axis Bank buying the additional 1% in Max Life. So, where are we in that process? Yes, those are my 2 questions.

Sumit Madan: On non-operating variance, we have had a positive number of around INR431 crore. This is aided because of interest rate softening, which has led to positives on the debt side and certain positives on the equity side. On the second question? On the 1%, yes, there are discussions. I mean, that's something Axis Bank is pursuing with the RBI. And as soon as that approval comes through, Axis Bank will be doing either a primary or secondary investment. We are awaiting an approval.

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Moderator: The next question is from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: So, just a few questions from my side. First, if I look at the protection number and you mentioned that your pure protection has grown by 26%. So, if you assume like 10% of riders in the base of your overall protection, and that has also grown at like 300% plus. I just wanted to get, is it some degrowth in the health segment? I mean just wanted to triangulate the numbers within the protection segment. Second, your protection growth for the banca has been quite strong for the last 2 or 3 quarters. So, I just want to get some sense or color in terms of what the strategies are on that channel. And the last question is in terms of the EV walk, it seems there has been a decent operating release during the quarter. So, what would be the drivers for that?

Amrit Singh : So let me take some of these questions. So, your observation is correct with respect to protection. As Prashant mentioned, the core protection growth has been 26%. And as you're kind of recalibrating or regulating the numbers, there has been a de-growth in health products, largely actually post the changes to product regulations on 1st October.

Because of the regulatory changes, there were certain weaknesses that came in the overall construct from a consumer perspective in this product, and that's led to some bit of a weakness in this health fixed benefit plan that we had launched. We continue to keep looking for innovative ways and mechanisms of improving the health product. But as things stand today, there has been a small degrowth in this particular segment.

Whereas on riders, I think it's not just riders on protection, but it is riders on unit-linked designs, rider on non-par saving designs, even rider on par. These are all ingrained as part of our conversat

ion

because, effectively, this helps enhance the sum assured of the product, which continues to be an important need from a consumer's perspective. And that journey will continue.

And it's an evolution. Industry is evolving to some of these trends that are very well-known trends, at least in the Southeast Asian market. But for at least for our country, rider, which is augmenting sum assured, is becoming a very critical conversation and is being accepted by the consumers as well.

On banks, it's an overall, I think if you really look at all the segments of choices, whether it is protection, annuity, traditional products, there has been a positive lift. It's an element of focus, which actually we have also brought along in very close alignment with our bank partners. And we do expect that we will continue holding on to this momentum.

On operating variance, I think you must have used some computations around assumptions around unwind and VNB growth to come to the largest operating variance number. But I'll just correct you that the unwind from 8.4% has come off to 8.3%. So, there is a positive operating variance, but it is not of a very large quantum. It's more like a double-digit number.

Dipankar Ghosh: And just one data keeping question. If you can split your offline APE breakup between direct and agency?

Amrit Singh: Sorry, what was that question?

Dipankar Ghosh: I have asked that if you can split your offline APE?

Amrit Singh: I will provide that to you separately. I just don't have it handy right now.

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Moderator: The next question is from the line of Mohit Mangal from Centrum.

Mohit Mangal: First of all, congratulations to Sumit for the new role and Prashant Sir for the future endeavors. So, I got 2 questions. First is that have we done any repricing in the protection segment? Also wanted to understand what is the proportion of ROP in the protection. Secondly, we have seen that the proprietary channel growth has been low if I compare it with, say, '25 annual numbers. So, two things in this. What do you think the proportion of the app that you launch will help in the growth, as well as what are the strategies for growing this proprietary space? If you could just elaborate, that would be.

Amrit Singh: So firstly, on protection repricing, the answer is yes, and protection repricing at various segment cohorts, wherever the opportunity allows you to do it in a calibrated manner, keeping competition and demand in play, we keep doing it. And we have done so even this quarter as well, and this is nothing new. Even in the previous quarters, I can say quarter 3, quarter 4, and quarter 1, each of these quarters. Wherever the opportunity in the segment opens up, we continue to keep repricing it.

On ROP, there is a big opportunity to improve here. Our return on premium has come down to more like 10% levels. So, we do expect, as we focus in our own channels, that this mix should improve.

Quarter 1 is a small quarter. So, I guess it's not like a big trend that you should see. It is just that there is some opportunity available for us to expand in this particular thing.

Amrit Singh: On proprietary, it's going on the APE side, I think I will request and I indicated at the start of the call, as a response to one of the participants, that it is largely concentrated in a specific channel, which is e-commerce, and also on one particular line of business, the savings business.

Otherwise, the offline proprietary channel momentum has been quite robust, growing at 18% levels.

And we expect that to remain in this range-bound, even going forward as well. With respect to e-commerce, we are quite confident that as the year progresses through various innovative ways and strategies of product and kind of combining features of both market opportunities, plus guarantees and protection component, we will come back to our growth

trends in that particular segment as well.

The app at this point is more of an app for engagement with the consumers and kind of building the consumer. Right now, our use case thinking and thought process there is more around enabling strong customer service. And if you take a life cycle view of it or a better engaged consumer, will definitely provide us opportunity for new sales also going forward, so as to drive our policy density and penetration. But these are just early days.

I think right now, we are only focused on ensuring that the app is meaningful to the consumer and the consumer continues to engage in multiple aspects to that. The app, as Prashant mentioned, has fairly feature-rich features, actually provides a lot of health and associated services, which have been made enabled to all our consumers at no charge to them.

And we are hoping that this engagement will develop and build further, which initially should see better outcomes on both persistency and the customer service cost that the organization incurs. Upsell, definitely a use case, but I think you have to be patient and take very long-horizon views of the overall lifetime value of consumers. We do expect that to pan out, but nothing that I cannot comment on the near term on that.

Moderator: The next question is from the line of Neeraj Toshniwal from UBS.

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Neeraj Toshniwal: My question is again on persistency. I wanted to check which particular channel has seen a slip in terms of lower persistency? And has there been any impact of higher ticket sales, which were done in March 2023, as other competition highlighted that because of that has also been lower. So, are we also seeing partial impact coming from that, or it's only on new impact we are seeing? Just wanted to get more quality.

Amrit Singh: Yes. Thanks, Neeraj, for that question. This is a bit secular kind of impact across channels. So, there is no specific channel that I can point out and say that sharp drop or anything like that. And we've also seen this more on the traditional side of policy, where some bit of collection has been a little slow to start with. But having said that, as every month is progressing, we are also seeing improvements in collection trends overall.

With respect to your comment around the March '23 base, I think I did answer that question more possibly indirectly, that the proportion of greater than INR5 lakh ticket size has reduced in the business. And those greater than INR5 lakh always used to be a higher persistency policy. So, some bit of effect is also because of that.

Neeraj Toshniwal: And if you can refer to some memory on where the wallet share is in Axis Bank right now? And I just wanted some color on that.

Amrit Singh : It continues to be in that range, bound of 65% to 70% level.

Moderator: Ladies and gentlemen, that was the last question for the day. And I would now like to hand the conference over to the management for closing comments.

Amrit Singh: Thank you, everyone, for being on our call, and we look forward to more such interactions. Have a good day and a nice weekend as well. Bye.

Moderator: Thank you. On behalf of Max Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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November 18, 2025

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai – 400 021 National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (East)

Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Transcript of Investors & Analysts Conference Call held on November 12, 2025 , post declaration of unaudited Financial Results of the Company for the quarter and half year ended September 30, 2025 , is enclosed.

The same has also been uploaded on the website of the Company at <https://maxfinancialservices.com/static/uploads/financials/mfsl -q2fy26 -earnings -call-transcript.pdf> .

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

For Max Financial Services Limited

Siddhi Suneja

Company Secretary & Compliance Officer

Encl: as above

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Max Financial Services Limited

Q2 & H1 FY 26 Earnings Conference Call

November 12, 2025

Moderator: Ladies and gentlemen, good morning, and welcome to the Max Financial Services Limited Q2 and H1 FY 26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishant Kumar, Chief Financial Officer of Max Financial Services Limited. Thank you, and over to you, sir.

Nishant Kumar: Good morning, everyone. Thank you for joining Max Financial's earnings call for the quarter ended September 30, 2025. We are pleased to present our quarter 2 financial year 26 results, which are now available on our website as well as on the stock exchanges. Joining me today are Mr. Sumit Madan, Managing Director and CEO and Mr. Amrit Singh, Chief Financial Officer of Axis Max Life Insurance.

With that, I would like to invite Sumit to share the key developments and performance highlights from the second quarter of financial year 26. Over to you, Sumit.

Sumit Madan: Thank you, Nishant, and good morning, everyone. At the onset, I really want to thank all of you for taking the time out for this call. In my new capacity as the MD and CEO, I am genuinely honored to take on this role and very excited about the opportunities ahead. Axis Max Life, as you all know, has always been built on strong fundamentals and a clear sense of purpose, and that gives me utmost confidence as we look to the future.

My focus will be on amplifying our core priorities, namely strengthening our customer -first approach, accelerating digital and data -led growth, deepening our partnerships and driving sustainable long -term value for all the stakeholders. We have, in fact, made some very strong progress on these fronts, and my goal is to build on that momentum, including execution with discipline while nurturing the culture and purpose that always defines us.

Before I get into the progress achieved on strategic areas, I would like to mention that on the regulatory front, the recent GST changes have further improved the affordability of insurance products, and we have passed on the full benefit to all our customers

. We believe this will support

stronger demand over the medium to long term. In fact, early signs of increased traction, particularly in the protection segment are already visible.

While the non -availability of the input tax credit may have a short -term impact on annualized margin, we remain very confident in our ability to offset this through focused initiatives. These include distributor renegotiations, cost optimization and operational efficiencies. As a result, we are maintaining our earlier sales and margin guidance.

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Let me now take you through the key developments across our strategic focus areas for the first half of FY 26.

Sustainable and predictable growth :

Continuing our strong performance, our individual adjusted first year premium grew by 18% in H1 FY26, which, in fact, is more than twice that of the private sector growth at 8%, while the overall industry expanded by just 2%.

Consequently, our private market share improved by 83 basis points, reaching 10.1%. Even on a 2 - year CAGR, we delivered 24% growth, well ahead of the private sector, 16%, and in fact, more than double the industry's growth rate of 11%, a clear reflection of the strength and resilience of our franchise.

In quarter two FY26, individual adjusted FYP grew by 14%, again, outperforming both the private sector, which stood at 8%, and the overall industry at 1%. On an APE basis, we recorded 15% growth driven from both our proprietary and the bancassurance channel. Our proprietary channels continue to be a cornerstone of growth for Axis Max Life Insurance.

Last 3 -year CAGR from these channels stand at a very impressive 39%. In fact, our online business delivered a remarkable 68% CAGR and is supported by the sustained growth, sustained strength of our offline distribution network. Within offline proprietary, our agency channel has seen significant expansion with the agent force growing from around 61,000 in FY22 to now almost 1.42 lakhs, alongside the addition of, of course, 150 new branch units over the past 3 years.

Additionally, our service to sales approach, supported by continued investments in digitizing the sales management process, has been instrumental in driving growth across our cross -sell vertical. On this strong foundation, our offline proprietary channels recorded 26% APE growth in Q2 FY 26, while the online business grew 14%, resulting in an overall 22% growth from the proprietary channels during this quarter.

Our partnership business also continues to gain traction, growing at 10% in Q2 in APE terms, supported by the scaling up of the partnerships we have built over the past 2 years. These new partnerships in banking and the broking space now collectively contribute around 5% of the individual APE. Driven by strong execution, product suite and technological prowess, we have been able to ensure that our counter share in all new banca partnerships is now well over 25%.

Another one of our key strategic growth area has been the NRI segment, which continues to deliver strong consistent performance with about 13% of total sales coming from this segment. To further strengthen our presence in this space, we have received the SEZ approval and NOC from IRDAI and provisional approval from IFSCA to establish an office in GIFT City.

This office will serve as a strategic hub, enabling us to expand access, improve service delivery and capture the increasing opportunities within this growing market. To further enhance our reach and diversify our distribution footprint, we added 31 new partners across the retail and group segments

during the first half of FY 26, further strengthening our multichannel presence and setting a solid foundation for future growth.

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Product innovation to drive margins :

At Axis Max Life, we remain deeply focused on driving product innovation to deliver sustainable value for all our customers, employees, partner

s, investors and the broader community. Our non -

participating savings products continue to perform strongly following the Q1 launch of Smart VIBE, helping us maintain a well -balanced product mix. Protection remains a preferred segment for us. Our award -winning retail protection products have led us to attain the highest market share during H1 FY26 with a 34% growth rate in pure protection category. Consequently, the total retail protection and health segment contributed to 13% of overall sales with 36% growth, supported by 37% rider attachment rate. In addition, group credit protection business is also growing steadily with a 24% growth in Q2, well ahead of the industry average.

Our annuity business grew by 85% in H1 FY 26 and 122% in quarter 2 FY 26, driven by overall, a very strong execution on the retail and the corporate annuity pool. We recently launched our annual retirement study, well known as IRIS, India Retirement Index Survey with the fifth edition, covering more than 2,200 households across 28 cities.

IRIS measures how prepared Indians feel for retirement on a scale of 0 to 100. We are happy to note that the index has improved from 44 to 48 in led by higher health preparedness, while financial and emotional readiness remains stable. These findings do highlight the growing need for retirement planning, reaffirming the strategic importance of our annuity offerings in securing long -term financial well-being for our customers.

Customer Centric Approach

As we move ahead, the third important piece to highlight is our approach towards being a very customer -centric organization. At Axis Max Life, our customers always remain at the heart of everything we do. We are deeply committed to building relationships founded on trust, transparency and service excellence.

Our focus on delivering superior customer experiences continues to set us apart and is reflected in our market -leading retention and satisfaction metrics. We continue to lead the industry in 13 -month persistency by number of policies as per Q1 FY 26 rankings and hold the second position for both 25 and 37 -month persistency on the same metric.

In quarter 2 of FY 26, our 13 -month persistency stood at 83% while the 25 -month persistency reached an all -time high of 76%, up nearly 500 basis points year -on-year. Our Net Promoter Score improved to 57, up from a baseline of 52 at FY 25 exit. Touch point NPS improved to 59 from 55 earlier and relationship NPS improved from 50 to 54, demonstrating strong, robust customer engagement and satisfaction.

We have also made strong progress in grievance resolution with a grievance incidence rate improving to 38 in quarter 2 FY26 from 45 in quarter 2 FY 25. Together, all these outcomes reaffirm our unwavering commitment to customer centricity, which remains at the foundation of our sustainable long-term growth and the trust that defines Axis Max Life brand.

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Digitization for our operational efficiency

Another important area where the organization has really focused is around digitization for our operational efficiency. Our digital transformation journey continues to deliver tangible and measurable gains across customer experience, sales enablement and operational efficiency, strengthening Axis Max Life position as a digitally led insurer of the future.

Our mobile app continues to scale rapidly with over 4 lakh installation within 100 days and 21% new to digital users, supported by some very strong user feedback reflected in our ratings, which is 4.7 on iOS and 4.8, Android. We continue to create seamless journey for our customers, leveraging digital ecosystem, data and analytics and a very superior user experience. This has led to industry -leading NPS score for our digital platforms.

Our customer service website NPS is now at 71 and e -commerce buying stands at 77. Also important to note, we ensured the full GST compliance across all dig

ital journeys and core insurance platform

within just 2 days, enabling the timely issuance of over 15,000 policies while maintaining a seamless customer experience.

Our digital distribution platform, mSpace, as we call it, is now scaled to all proprietary channels and to Axis Bank partnership with a very high adoption rate of almost 90%, leading to higher productivity in our cross -sell channel. Even on the sales enablement front, the Sales Navigator platform, a real -time analytics and incentive management tool, is now adopted by over 75% of our sales force across agency, DSF and Axis channels, further enhancing the productivity and the performance visibility. We continue to leverage AI cross -sell engine for our proprietary and partnership business to generate personalized offers. Each offer includes the best product, the next best product, preapproved sum

assured and a conversational pitch for the sellers.

In fact, even in risk and underwriting, we are leveraging automation to enhance both precision and scale. A comprehensive suite of risk models are fully integrated into our onboarding journey, ensuring meticulous due diligence based on the risk category.

Additionally, our AI-driven income estimation model, utilizing alternative data sources such as CIBIL, PAYU, Account Aggregator have all revolutionized the financial underwriting. This innovation has, in fact, allowed 30% of our term portfolio to undergo financial underwriting without the need for any physical documentation, resulting in faster in-journey decisions.

Our GenAI initiatives continue to scale across the enterprise. Ely, our virtual HR business partner, now engages approximately 17,000 front-line sales employees with a 51% engagement rate. Ely supports continuous listening, personalized communication and assists managers and HR in resolving employee concerns, which contributes to lower attrition levels.

Converse Pro, our AI-based e-mail resolution engine, efficiently handles up to 30% of customer e-mail volume. This automation leads to a faster resolution and has resulted in a 20% reduction in support head count. Additionally, our GenAI immersion program for senior leadership has identified 30-plus high-impact enterprise use cases to be deployed over the next 2 years, further embedding AI-driven innovation across all aspects of business.

To summarize FY 26, it has been an exciting year. FY 26 continues to demonstrate strong momentum with robust growth across key markets driven by our focus on innovation, customer centricity and

operational excellence. Even as global developments continue to influence the market dynamics, we remain confident in our ability to meet our guidance and deliver sustained value creation for all stakeholders.

With that, let me now hand over to Amrit, who will take you through the financial performance for the quarter.

Amrit Singh: Thank you, Sumit, and good morning, everyone. We had made our presentations live last evening. I will just kind of speak about few financial highlights.

- At MFSL level, the revenue, excluding investment now stands at INR15,090 crore, a growth of 18% in the first half. MFSL's consolidated profit after tax is at INR92 crore. It is lower than last year, primarily due to the fair value change account that Ind AS accounting has been taken. And also, the GST expense underlying Axis Max Life franchise has kind of been taken on its profit.
- Axis Max Life gross written premium and renewal premium both have grown healthy at 18%, touching INR15,490 crore and INR9,503 crore, respectively.
- Individual new business sum assured continues to grow at a healthy pace of 25% and has touched INR2.16 lakh crore and we are the number three player with respect to total individuals sum assured in the market.
- Embedded value ending 30th September 2025 is now INR26,895 crore, a year-on-year growth of 15%. The embedded value carries a

nettime GST impact, which is on the back book of INR268 crore.

Annualized operating RO EV is 16.3%. This includes a positive operating variance of INR13 crore.

There is a marginal negative non-operating variance of INR9 crore largely due to yield curve movements and which were offset by some gains in the equity.

- Policyholder opex to GWP is at 15.5%. Policyholder opex has grown by 11%.
- During the quarter, we raised additional INR800 crore of sub-debt with IFC as a strategic partner to this particular round. This has helped strengthen our solvency, which now stands at 208%.
- AUM are at INR1.85 lakh crore, a growth of 9%.
- In H1 FY 26, the retail product mix is very well balanced, participating products at 13%, annuities at 8%, non-par saving at 28%, protection and health at 13% and ULIP at 37%. Each of these categories have delivered healthy growth with the exception of ULIPs.
- The overall balancing of product mix has helped us expand our margins from 23.6% in quarter 2 FY25 to 25.5% in quarter 2 FY26. And for H1, the margins were expanded from 20.2% last year to 23.3% in this current year, which has led to a VNB growth of 27%.
- In the month of September, approximately 75% of sales were impacted due to GST credit disallowances, which contributes to around 0.6% of margin impact in first half.
- Thereby, the GST impact is close to 300 to 350 basis points on a run rate basis. However, despite this impact through a series of actions on costs, product mix, execution, we are confident that we will maintain the margin guidance that we had given earlier of improving the margins from the previous year and be in the range of 24% to 25%.

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This will be along with the higher than market growth that we have been delivering so far. So in conclusion, our agility in navigating regulatory shifts and market dynamics has been able to deliver a healthy operating performance. And with that, we will be happy to take over questions. I will hand it over to moderator for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press star and one on the ir touchstone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while

asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Shreya Shivani from Nomura. Please go ahead. Shreya Shivani: Yes, thank you for the opportunity. Congratulations on a great set of numbers. I have three questions. First is, as you highlighted the impact of GST, if you do nothing, would be a 300, 350 basis points annual Y-o-Y impact that we are talking about. So I just wanted to understand that when it comes to cost, what kind of negotiations are we done with our distributors or what kind of time lines do we have when it takes us 1 quarter, 2 quarter, et cetera? That is my first question. My second question is again on the GST cut, if you can help us understand in your product suite, which product gets impacted the most, which product gets impacted the least. And how would you manage the impact across the product category? Or some understanding of how each product responds to what has happened on the GST bit. My third question is on the channel and I wanted to understand on the channel strategy. So your partnership channel, obviously, your proprietary channel has been running faster than the partnership channel. Within the partnership channel, what has been the trends with the banca partners and particularly with Axis Bank? And yes, that would be my third question? Thank you. Amrit Singh: Hi, Shreya. Thank you for those questions. I will take the first two and I will request Sumit to speak about the third one. Firstly, you are right. If you do nothing, that is the impact, 300

to 350 basis points. But there are series of things that we are trying to do at our end, which beyond distribution negotiation is also cost controls, product tweaks, product mix, renegotiations across our vendor partner, looking at our outsourcing and sourcing decisions as well. With respect to specific negotiations with the distributor, we will not like to kind of comment because these are individual conversations that we will do with our distributors, and some of these conversations are underway and will require couple of months before some closure kind of comes through.

I think the way we are approaching this problem is and I think this is also an answer to your second question, that which product gets impacted the most. There are products which are impacted structurally, and there are products which are more tactical impact. I think the ones which are structurally impacted, which are more in the lines of ULIP and participating design, we are working with the distributors to see how the same can be tweaked. On other product categories, there are more tactical, and we will leverage tactical mechanics to solve for those.

Sumit Madan: Yes. Shreya, on the channel strategy, you will be happy to note, and you must have seen the progress over the last few quarters, there is a very good mix between the partnership and the proprietary channel now. Proprietary channel now constitutes almost 46% of the total business and the remaining 54%, of course, coming from the partnership channel.

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Our new banks, and we have acquired almost across various financial players, 31, like we mentioned in H1, around almost 90 plus odd over the last financial year. These new partnerships have now started adding quite a significant revenue to us. On the new bank side, if I look at the last 6 banks as an example, out of these in 3 banks, our counter share is actually already more than, we are the number 1 player as far the counter share in three out of those 6 banks are concerned.

So I think in terms of growth, it is a very healthy growth as far as various partnership channels also are concerned. Axis Bank, since you specifically asked, we have seen a growth of almost around 7% as far as Axis Bank is concerned. And in the remaining partnership channels, our growth, in fact, has been much faster.

Our growth, if you look at the overall story as well as the partnership channels are concerned, we have seen a growth of around 14% coming from YES Bank, and some of the other players, we have seen a growth of 100% plus coming between H1FY25 and H1FY26. There is a growth of 111% in the new acquisitions that we have done over the last 2 years.

Shreya Shivani: Got it. Just a follow-up on, because the channel strategy, I wanted to understand it better. There has been some media, I mean, the Chairman of Redeye in some media reports has been talking about how insurance is a high-cost industry, and he would want to bring it to medium cost. I understand some of the team may be referring towards the health insurance product specifically. But just wanted to understand your perspective on how to deal with such, I mean how are you thinking about the entire distribution strategy, along with the cost structure in mind because the Chairman of Redeye is making, is speaking in these terms currently?

Amrit Singh: Shreya, as things kind of stand today, there is an expenses of management, which is defined by the regulator. And Axis Max Life actually operates well below the threshold. And all efforts on a progressive year are actually to optimize for that expenses of management at an overall level. Given the nature of the product and I think the regulator understands that as well, it does require a strong distribution footprint to carry this product category, and that enablement needs to be provided. But as time goes by, I think efficiency always comes through, and that is how we think a

bout it.

Shreya Shivani: All right. This is very useful. Thank you and all the best.

Amrit Singh: Thank you, Shreya.

Moderator: Thank you. The next question is from the line of Avinash from Emkay Global. Please go ahead.

Avinash Singh: Yes. Hi, good morning. Thanks for the opportunity. A few questions. The first one is more on accounting clarification. So if I see a material divergence this quarter between the accounting profit or PBT of Max Financial, Max Life, is it just that IndAS and Indian GAAP divergence? Or is there something more? And if that divergence hits broadly, you can sort of explain what are the key factor here in the divergence.

And related to accounting, another question. If I see your EV walk, where you have explained this GST impact around INR260-odd crore, that I see you take it out of NAV. I mean, a simple understanding would suggest that, okay, if the future years GST ITC losses. So it should be ideally part of VIF adjustments. Is there something, I mean, here again my understanding incorrect? So these are on accounting.

And the second question more from a strategy. I mean, you have rightly highlighted that over the last 5 years versus in the backdrop of industry growth at 10%, you have grown at 15 -odd percent. Now if I

were to ask, I mean, Sumit, now because you have just taken over, over the next 5 years now because you have kind of your strategy and particular product and channel strategy in place and also you know the industry dynamics, do you have that kind of a same kind of confidence or kind of aspirations to repeat that last 5 years in the backdrop? If the industry were to grow at 10%, can you grow at 15% even from this list?

Amrit Singh: So I will take the first two and I guess I will request Sumit to come in for the third one. So Avinash ji, your observation is actually correct with respect to the accounting profit in MFSL, which is an Ind AS mechanics. The difference between Axis Max Life IGAAP profit, and Ind AS profit is that in addition to the profit dip, which has happened in Axis Max Life due to GST impact, where from INR231 crore of profit after tax that we had got last year.

We are right now reporting INR149 crore. That is an INR82 crore drop. The residual drop is just because of the Ind AS accounting standard, which actually measures mark -to-market movements all through to the P&L. And there is nothing else beyond that particular element on this particular one.

On the GST impact, it is just a representation to just show what the GST impact is. It should be from VIF only. It is not out of the net worth. And that is how you should kind of read it.

Sumit Madan: I think on your next question as far as the next few years are concerned, coming from a different industry now into insurance, I look at it as a huge opportunity as well as what the industry offers to us. And I am not new to Axis Max any longer. I have been here for almost 2 years, so very much involved as part of the strategy.

Like I said in the opening address also, there are some key parameters we are focusing on. We have looked at segments very closely. We spoke about NRI as a case in point. But I think most importantly, what stands out is the continuity factor for us. And I spoke about that in the initial speech also. There is a very sustainable and predictable growth, which is there.

In terms of some of the other focus areas, like I alluded, the entire digitization for operational efficiency is something that we have taken up with a lot of zeal in the organization. Customers always have remained at the center of Axis Max Life, and the same trend again continues. And even in terms of the product innovation, the idea is to give the best product to the customer but at the same time, driving margins as well.

So over the next 5 years, to answer it specifically, I am very optimistic as far as the industry is concerned

. I am both optimistic and very excited about the future that works for us. We have always maintained that we will be able to deliver better than what the industry is doing by almost around 300 to 500 bps, and I feel very confident about this.

Avinash Singh: Perfect. Thanks. All the best.

Amrit Singh: Thank you, Avinash. Thank you.

Moderator: Thank you. The next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: Hi, sir. Thank you for the opportunity and congrats on a good set of numbers. So first question, sir, just wanted to understand the VNB development for the quarter. I think year -on-year, it is 190 bps. Now you said 60 bps coming due to the GST impact. So adjusting for that, that 250 -odd bps, if you can break it down between how much has come from the product mix, how much may be product

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level improvements and if there has been any operating leverage that has played out during this quarter. If you could give that color, it would be very helpful?

Second is in terms of growth. As you had mentioned that you are maintaining the growth guidance but if I look at your base in second half, it is slightly more benign than what we had in the first half. So are we being conservative in kind of maintaining and not upgrading our growth guidance? Just wanted to understand, particularly given the fact that we have a leadership position on the online channel.

And given that the outlook for protection -oriented products improved meaningfully because of the GST changes, can we not see a better growth and better margin outcome also coming out from that?

And third, again, on the product mix, I just wanted to understand that are we like comfortable with the

current product mix or can the ULIP mix be reduced further? Because I can see that in the banca channel, it has come down meaningfully. So is there any further headroom to reduce ULIP? And lastly, on operating RO EV, sir, so if I were to think about over the next couple of years and given that there might be some impact coming from the interest rate side on the unwind factor, how should we think about our operating RO EV going forward? These will be my questions.

Amrit Singh: Thanks, Swarnabh. I think I will take most of these questions. Firstly, on the VNB, I think your question is where is the improvement in margins coming through. A large part of this answer is product mix led, Swarnabh, some bit of support also coming in certain categories like protection and annuity, but large part of this is coming out of product mix.

On the growth guidance, look, I mean, on an AP E basis, we are growing 15%. We had given for the full year good guidance between 15%, 17%. So I think we are holding on to that number. Your observation is right that on a very tough base, and that is what we said that a 2-year CAGR is right now touching, 24% kind of level, on a very strong base, we have done well. So we are hopeful that on the second half, we will be better, but right now, just holding on to the guidance.

If we have a positive surprise to deliver, I am sure that we will delight you as well. Product mix, I think we are balanced and one of the things around that and largely, this has come because certain discrete steps and actions have been taken in our partnership channels, especially Axis Bank, which you will recall last year was running at a higher ULIP mix of 60% plus.

That has been brought in line at around 50%. We do not see a need to go beyond it. It is important to understand that each category has a consumer and a consumer segment to it. Each of them is VNB additive and hence, kind of helps the organization at an overall level. But we feel that the mix is fairly balanced. We do have certain designs being launched on the participating side, which could see some variances happening through the quarter.

But generally, unit linked in

the last quarter does see a little bit of increase as the momentum of the sales also picks up. So I would not kind of indicate that there is more headroom to reduce ULIP. That is not how we think about it. Operating RO EV, look, it is a mathematical number, Swarnabh. You understand that as EV kind of builds up, there will always be VNB as a portion of opening EV will start becoming smaller and smaller. Over the next 2, 3 years, we are comfortable remaining in the range of 18%, 19%, and that is what we will try to do and target.

Swarnabh Mukherjee: Very helpful, Amrit. Just a quick clarification on the first response. So you were saying it is largely coming out of the product mix. So I just wanted to understand that is there any operating leverage also
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component playing out to this because our growth has been fairly strong. And I am just wondering if maybe our cost base would be kind of geared towards this growth.

But we are getting something over and above that cost base and in a hypothetical scenario where in the future, if there is some at least transient impact on growth, can there be a deleverage? So that is the reason why I asked the question.

Amrit Singh: No, I think on operating leverage, Swarnabh, you are aware and Sumit spoke about in his opening remarks that we have added offices and we are trying to augment a proprietary channel. So there is an investment strategy, which has also been in play for the last couple of years. So the sales and opex growth, our total expense growth have been in line with each other. I would not say that there is a big operating leverage, which has kind of come through. But as time progresses, especially in proprietary channels, we do see significant bit of operating leverage helping us as times unfold going forward.

Swarnabh Mukherjee: Okay. Got it. Very helpful. Thank you and all the very best for the second half.

Moderator: Thank you. The next question is from the line of Kushagra Goel from CLSA. Please go ahead.

Kushagra Goel: Hi, thank you for taking my question. Most of my questions are answered. Just one, first question on the protection side. So you are delivering quite strong growth on the total retail and health protection and you share that 34% is the pure protection. I just wanted to know what was the pure protection growth this quarter last year. And similarly, for the rider attachment rate, that is around 37% right now. What was that, let us say, for the full year FY 25 and this quarter last year?

Sumit Madan: Yes. Thank you, Kushagra. Very relevant one, Kushagra. In fact, we have been seeing protection growth across channels for the last year or so. To answer specifically, we have seen a 34% growth as far as pure protection is concerned. And this growth has come across Axis Bank. This growth has come across banca channel. This growth has come across all our proprietary verticals as well. So we see a very strong momentum now.

In fact, post GST, the momentum has only improved as far as protection is concerned. And we have been looking at the numbers post 22nd September week by week. Across industry and all the more so with AMLI, we have seen strong traction being built up on protection week on week post 22nd September as well. On riders, it is 37% versus a 45% attachment last year, and those are the kind of numbers that we are looking at.

Amrit Singh: And protection was around 30% growth the year prior on which we are right now doing 34%, 36% kind of growth rate until end of September. Post that, there is some acceleration that we are seeing in the protection business.

Kushagra Goel: Perfect, sir. That is very good. Secondly, sort of you answered on the opex side. But this time, our opex to GWP was quite low. So just wanted to understand like how should we see this going forward.

Was this just a timing thing or for the full year, we can see some improvement in our o

pex versus last

year. I just wanted to get more color on that.

Amrit Singh: So opex, the growth has been around 11%. And as I told you that the GWP has grown at around 18%.

So mathematically, if you keep growing your GWP faster than the opex ratio, you will continue getting an improvement in opex-to-GWP ratios. We do expect this trend to stay for full year as well.

Kushagra Goel: Okay, sir. Got it. That is all. Thank you and best of luck.

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Amrit Singh: Thank you.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes. Hi, team congratulations on a great set of numbers. First question is on the GST hit. I think, Amrit, you mentioned 200 to 250 or 300 to 350?

Amrit Singh: 300 to 350 on a run rate basis.

Prayesh Jain: On run rate basis if nothing is done. So in that light, you had earlier guided for a VNB margin expansion of about 100 basis points for FY 26. Now how would you kind of guide for the margins for FY26? Would you change that 100 bps expansion or you would want to increase or cut it? How should we look at it for the full year?

Amrit Singh: Yes. Prayesh, I did speak in the opening remarks. I think we are holding on to the guidances. So we had indicated that we will improve margin profiles, and it will be between 24%, 25%. We are holding on to that guidance.

Prayesh Jain: Okay. Got it. And second is on the question -- second question is on the Axis Bank channel, right? Do you think that we have a lot of headroom here to kind of take advantage of the brand that has been built now and especially in lower-tier cities? And the growth that we have been reporting on the Axis Bank channel is quite muted right now. Do you think that this can be another driver for you going ahead? Or do you think that a 7% to 10% kind of growth is something which is more doable at Axis Bank channel?

Sumit Madan: I think Axis is a very strong brand, Prayesh. And addition of Axis, like you rightfully said, specifically in Tier 2, Tier 3 locations have further up the momentum of sales for us. It is a very well-recognized, very respected brand, and obviously, we are getting a lot of benefit out of it. What we have done specifically, while you see the growth number at 7%.

What we have done is also a lot of changes as far as the product mix is concerned, and that is something we were very conscious about as far as change in the last quarter is concerned. Along with Axis, we are also focusing on some verticals within the bank where probably we can do more. Some of the cross-sell around assets, emerging channel, cards, those are the ones where we need to make use of the entire opportunity.

So as we get into H2, I am actually very optimistic as far as the numbers coming from Axis from a growth rate perspective are concerned. They have done very well in terms of the laid down strategy for quarter 2, and growth numbers at 7% have been pretty strong. And I am looking forward to a far better number in H2.

Prayesh Jain: Great. And just about this 300 to 350 basis points, how much of this you can offset by the product mix in the second half where protection has grown, protection is improving? And even I would assume non-par can have some more legs given the interest rate trajectory. How much of it can be offset by product mix? And how much would you kind of need commission support to completely offset the impact?

Amrit Singh: I think, Prayesh, rather than getting into the specifics, let us just hold to the guidance that we have indicated that for when we started the year, we guided for 24%, 25%. Obviously, we were not aware the GST will come our way. We will navigate some of these things to ensure that we hold on to the

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guidance number. And I will leave it at that rather than kind of give a specific detail around percentage is here.

Prayesh Jain: Got it. Wish you

all the best. Thank you so much.

Amrit Singh: Thank you, Prayesh.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: Hi, congratulations on a great set of numbers and very strong performance. Two questions. See, Axis channel at 6%, 7% sort of a growth number is still a little bit probably lower in my expectation. And I was wondering like what is happening over there in the sense that I know that, okay, you have done some work on the product mix side, etcetera, but still the premium offtake, I would believe would have should have been higher.

We also know some also comment on the counter share and strategy and what should be the number that one should look at in terms of Axis growing year-over-year in the medium term? Some commentary around that will be helpful. Second, I am seeing that Group Credit Life now has started picking up a little bit for us. It is doing about we have got about a 14% growth year-over-year in the first half. So I wanted to get a better sense of what channels are driving this business. How much is it

from Axis? And how much of it is from outside Axis, if you could help with that?

Sumit Madan: Sure. I think the first one first, Madhukar, as far as Axis Bank is concerned. See, I think we need to understand there are a lot of things that we are focusing on as far as Axis is concerned. Like I said earlier, emerging and you really have to look at the picture going function by function. So for example, emerging channel is an area, like I mentioned earlier, which is growing steadily for us. Similarly, for example, we have looked at cards database. We have looked at assets database in terms of further penetrate from an insurance perspective. While the growth is at 7% for H1, we have also taken up an Axis transformation project to further up as far as productivity and efficiency at Axis is concerned. Most importantly for us, like we mentioned, this brand is so strong, and all of us expect better numbers across all our channels, including Axis.

Given the momentum right now, we are actually on the right track, and there was a very conscious intent around correcting some of the product mix at Axis. Even with the changed product mix, a growth of 7%, Madhukar, is actually a very healthy growth. H2 last year, for example, was around 8% for us.

I am actually very confident of doing much more in H2 coming from Axis Bank compared to what we did last year because all the ingredients are right now in place. And with the momentum across all channels behind us, I think Axis should not be an exception. We should do exceptionally well.

There has been a lot of groundwork that we have done, Madhukar, even in terms of some of the digital initiatives that we have taken at Axis just to further strengthen both the teams at Axis Bank and of course at Axis Max Life Insurance. In terms of digital efforts also that we have done, you will see the growth coming at a much faster pace in H2 from Axis Bank. On the second question, as far as GCL is concerned, do you want to comment?

Amrit Singh: Yes. So Madhukar, on GCL actually, our dependence on Axis is around 40%, and the rest comes from other channels. And as we have been updating, we have been augmenting many partners in the last 18

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to 24 months. And even in the first half also, we added partners. Some of those additional partners is actually driving some bit of the growth. Also as the disbursement cycles are kicking off, we will -- we are quite confident that this will build up as the year kind of progressed further.

Madhukar Ladha: Just, Amrit, just a follow-up. In GCL, what is our counter share at Axis? And with the 7% order growth, my guess is that on individual AP E basis, our counter share would have sort of come off a little bit. Is that correct or -- so yes?

Amrit Singh: So on Axis on individual

side, counter share hovers between 65% to 70% kind of ranges. I think we are holding on to 65%, 66% for the first half. No material deterioration in that space as we see it. And we are quite confident that it will remain in that range. Credit Life counter share is slightly lower, more in the likes of 60% kind of levels. But again, there also, we are hopeful that we will be able to enter into new spaces and augment that as well to more like a 65%, 70% over the years.

Madhukar Ladha: Got it. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Yes. Thanks for the opportunity. Amrit, the 60 basis point in the current half margin impact, how do you break it, whether it is only related to new business or the renewal from 1st April to 21st September is also there in 60? If that is the case, can you break it down, that 60 into renewal part and the new part from September 22 onwards?

Amrit Singh: Hi, Sanketh. So 60 bps, as I said, is only for the sale that has been post the GST period, which is 22nd September onwards, which I mentioned in the opening remark is 75% of the sale of the September month. The rest of the impact is something that has got carried in the other number that you saw, the INR268 crore that we showed on the EV walk.

Sanketh Godha: Understood. Sorry, maybe I missed that point. And see, on the INR268 crore also, Amrit, I mean, obviously as a percentage of opening EV, if I do that number, it comes closer to 110 basis points, while most of the other names reported somewhere between 40 to 50. So just wondering why we are almost at 2x compared to what others are reporting. Anything to read there just to have an understanding better why there is a divergence?

Amrit Singh: So actually, Sanketh, I am aware that some of our competitors have reported a lower number. It predominantly is to do with the product mix that is sold and what is as part of our, the VIF in the book. If you have more traditional, which actually intrinsically has more renewal commissions, then the impact on us would always be higher. It is not much of an opex play on the renewal side, on the maintenance side. It is more the renewal commission play, which actually creates this difference between us and anyone else.

Sanketh Godha: So is it fair to say that you have been largely very retail heavy compared to others being grouped? And maybe your conservation ratio being a little superior compared to others is getting reflected in that divergence?

Amrit Singh: It is quite possible. Also, we have not made any assumptions when we have kind of computed this amount with respect to any improvement in persistency or attachments of riders going forward, etcetera. So it is a more conservative estimate of as is where is basis. Because the premium rates have come off, maybe there could be positive elements around persistency, which could flow through,

etcetera. But this is as is where is kind of an estimate of INR268 crore, largely coming out of renewal commissions, the way they are structured in our books.

Sanketh Godha: Understood. And second question, Amrit, is that you are still maintaining your VNB guidance of 24 to 25 -odd percentage. If I gross add back your GST impact, maybe you will be around 28-ish. See, that is a meaningful improvement. Assuming GST would have not happened, then your margins were going from 24 to 28.

I mean that bump-up is predominantly to say that, that happened because at product level, especially in non-par or annuity, product level margins have meaningfully improved because of the shape of the curve, and therefore, it is more tactical or more cyclical benefit, what you are getting today to navigate the problem of GST.

Amrit Singh: So you are partly correct. There are 2, 3 elements. I think if you see in our numbers strong growth in protection, strong growth in annuities and now from quarter 2 onwards, even the credit life business is

picking up. So intrinsically, mix is supporting us. And this is a tailwind that we had not necessarily baked in the time of margin guidance at the start of the year.

So that is something that we are seeing as a strong trend. And additionally, your observations around yield curve, enabling some of the categories that you mentioned is also true. So it is a mix of both the things, which are helping us navigate this particular financial year.

Sanketh Godha: Sir, what is the reason why I am asking this question is that 24 assume going to 28 if GST would have not happened, then product mix would have contributed how much and maybe this product-related tailwind, which is more cyclical in nature compared to the macro environment, how much it has contributed to the margin, if you can give a bit of color there, it will be useful to understand how much is structural and how much is cycle favour?

Amrit Singh: So I think product mix, the contribution would be in the range of 60%, 70% and the rest around 30 - odd percent is coming out of some of those intrinsic category margins improving.

Sanketh Godha: Okay, perfect. Thanks for the answers. That is it from my side.

Moderator: Thank you. The next question is from the line of Sucrit D Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit D Patil: Good morning to the team and best wishes to Mr. Sumit on joining and taking on the reins of the company. I just want to understand a personal outlook from your side. I want to understand the bigger picture. What is the long-term plan for Max Financial beyond quarterly number or distribution expansion?

Is there a deeper tactic that you are building that gives the company a lasting edge over the time? For example, are you thinking about new ways of working or introduction of any digital platforms or customer engagement models, something that makes the company stronger and hard for your competitors to copy the model? That is my first question. I will ask the second question later.

Sumit Madan: Sorry Sucrit are you there?

Amrit Singh: He said he will ask the second question later.

Sumit Madan: Okay. Sorry. You want me to answer the first one first. I think personal outlook, Sucrit, I have said it time and again in various forums. I come from banking. And when I look at insurance as a market, I just look at a huge landscape, whichever number you want to believe 3.8, 4, 4.2 as far as penetration is concerned, there is just so much opportunity as far as India is concerned. And at least in the last 2 years with my experience at Axis Max Life, we have just further up the momentum as far as the numbers, penetration and growth is concerned.

I think from a perspective, Sucrit, first and foremost, we need to just focus on some of the right areas. So whether it is sum assured, whether it is protection, the growth in some of these key areas, along with number of policies as a case in point is something which is very close to us. If you look at the industry numbers also, Sucrit, over H1, our growth as far as number of policies is also concerned is actually pretty high compared to the rest of the players in the market.

Similarly, when you look at the protection of the sum assured numbers, we, again, have a very strong script there. So I think those are some of the focus areas. In terms of the vision, the way I see it and internally, we have divided into two parts, from a short-term perspective, Sucrit, we are looking at ourselves being a breakout number 3 player as far as the market is concerned from a short-term perspective. And I personally want to take a significant lead as far as number three in the market is concerned over some other players. That is the immediate vision.

In terms of data and digital and I think we have, as a company,

done a lot of work both on data and

digital over the last 2 years. In my opening address also, we spoke about Sales Navigator. We spoke about mSpace. We spoke about mPro. Some of those initiatives that we have taken are far better than -- far faster than what we have done in the past.

There have been some very specific strategies, Sucrit. I will give you a small example. Just the content of the training video, whether for our sales teams on the ground or even for our very respected advisers on the ground, we made them much more digitally savvy, made it much more sharper. So it

is a combination of small and big steps that we are doing in terms of looking at the way the future is. In terms of way of working, Sucrit, I think Max has always been a very strong entity. And I think only it is just a little bit tweak of, around execution has helped us reach these kind of numbers. The best part is the consistency is the key. I feel very strongly that these numbers, this momentum is not only sustainable but also further scalable for us.

Sucrit D Patil: My second question is on margin, again, a forward-looking one. When costs rise, whether it is distribution and compliance or tech, how do you make sure the margins stay steady without the growth slowing? Is there any system you have built or you will be putting into place like smarter sourcing, pricing discipline or any digital efficiencies that will help you quietly keep the profits in line even when things are getting -- even when you cannot foresee any unpredictable things or something down the line?

Amrit Singh: So I think on margins, the way we think about margins is we feel 25% is a good steady number. If the number kind of increases beyond that particular range, we were very keen in throwing that back as investment so as to augment and build distribution. But at the same time, we like to remain, keep it range bound.

We do not want it to kind of fall also sharply and hence, pricing discipline, execution, identifying those pockets of opportunities at all points in time is a very, very active element of play in our

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distribution machinery. Our distribution machinery almost kind of runs through a daily VNB rhythm as well. So there is that kind of granularity in the system, which we have built over time.

But just zooming out and stepping back, I think if you really see, there are 3 categories, which as a license we are permitted to play in. There is a disciplined savings category. There is the mortality, morbidity category, and then there is a longevity. The later two categories are fairly underpenetrated, and India continues to provide significant opportunities in that space.

Those also, with respect to competitive dynamics, is less competed from other product forms and hence, continue to remain a good source of margin profile for the company. And building and augmenting some of those mixes will help us stay steadfast on it. The remaining category of savings, I think scale solves and creates an operating leverage play and especially in our own channels, where we see this pan out quite significantly is something that we closely watch and ensure that the productivity outcomes of our sales force year-on-year actually improves. So that is largely around margins, especially how we think about it.

Sucrit D Patil: Thank you for the guidance and I wish the entire team and you personally best of luck for Q3.

Amrit Singh: Thank you, Sucrit.

Moderator: Thank you. The next question is from the line of Sneha Ganatra from SUD Life. Please go ahead. Sneha Ganatra please proceed with your question. Sneha Ganatra please proceed with your question. Due to no response, we will take the next participant. The next question is from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe: Hi, Nischint here. Just one question, and this is actually on product mix. If I kind of try to break this

is between proprietary and partnerships, I mean, one common thing that we see is that on a year-on-year basis, ULIP has gone down. But within the proprietary channel, what we can see is that there has been some meaningful improvement in protection and health and par book. But when I look at partnerships, there is bigger increase in the non-par savings book.

So is it something by design? And I think if I look at structurally as well, the share of protection and health and proprietary is much higher than that of partnerships. So is this something which is there by design, by strategy or is it something that you would want to kind of equalize at some point of time? How should one think about it?

Amrit Singh: Nischint, your observation is correct actually. And it is some bit of it is by design. Protection selling, by nature, is a bit of a long selling because it kind of entails medicals, collecting financial documents, and the time that it takes to close the protection sale is always longer. And we have seen the ability to navigate and leverage this in proprietary channels to be higher. Then partnership channels where savings and instant product, which actually can be issued quickly find more popularity.

So at least in the near future, I think our focus of driving protection, health in the proprietary channels will continue to remain. We have a special emphasis and special focus on driving that. Whereas in partnership channels, we do try, but you need to understand that there are multiple SKUs that they are selling, and time is a bit of an essence for them. So there is always a prioritization that will keep happening at their end.

Nischint Chawathe: And partnerships, if I try to break between online and offline, the breakup would be different? Or would it be similar?

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Amrit Singh: So in our proprietary, we actually have 3 channels as part of the proprietary. We have our own agency network, our cross-selling engine and our e-commerce channel, which also includes partners in the e-commerce channel, largely because it is a marketplace and the brand is what gets sold versus partnership, which are pure play more banks and brokers actually.

Nischint Chawathe: Got it. So the question is that the offline proprietary looks similar to partnership or does it...

Amrit Singh: No, even offline proprietary also has higher proportion of protection.

Nischint Chawathe: Got it. Thank you very much.

Amrit Singh: I think your question is agency and direct selling teams, do they sell more protection. Answer is yes.

Nischint Chawathe : Got it. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Nishant Kumar for closing comments.

Nishant Kumar: Thank you, everyone, for being part of Max Financial's earning call. We look forward to more such interactions in the future. Have a good day. Goodbye.

Moderator: Thank you. On behalf of Max Financial Services Limited, that concludes our conference. Thank you for joining us today and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company

takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Mar 2026

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February 18, 2026

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai – 400 021 National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (East)

Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Transcript of Investors & Analysts Conference Call held on February 12, 2026 , post declaration of unaudited Financial Results of the Company for the quarter and nine months ended December 31, 2025 , is enclosed.

The same has also been uploaded on the website of the Company at <https://maxfinancialservices.com/static/uploads/financials/earnings-call-transcript-q3-fy26.pdf>

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

For Max Financial Services Limited

Siddhi Suneja

Company Secretary & Compliance Officer

Encl: as above

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Max Financial Services Limited

Q3 & 9M FY '26 Earnings Conference Call

February 12, 2026

Moderator: Ladies and gentlemen, good morning, and welcome to the Max Financial Services Limited Q3 and 9M FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Nishant Kumar, Chief Financial Officer of Max Financial Services Limited for opening remarks. Thank you, and over to you, sir.

Nishant Kumar : Good morning, everyone, and thank you for joining Max Financial's earnings call for the quarter ended December 31, '25. We are pleased to present our quarter 3 FY '26 results, which are now available on our website as well as on the stock exchanges. Joining me today are Mr. Sumit Madan , Managing Director and CEO; and Mr. Amrit Singh, Chief Financial Officer of Axis Max Life Insurance. With that, I would like to invite Sumit to share the key developments and performance highlights from the third quarter of financial year '26. Thank you and over to you, Sumit .

Sumit Madan: Sure. Thank you, Nishant. Thank you very much. Good morning, everyone and thank you for taking the time out. I will start with a quick summary first. In quarter 3, the Insurance Act amendments were approved through the Sabka Bima Sabka Raksha Act 2025. These amendments, of course, aim to attract additional capital into the sector by increasing the FDI limit from 74% to 100%, while also enhancing ease of doing business and strengthening policyholder protection.

As part of this reform, Section 35 was amended to permit the merger of an insurer with a non -insurer subject to IRDAI approval. This is a positive development for Axis Max Life. Accordingly, we have received in -principle approval from our Board to initiate the process for the proposed amalgamation of Axis Max Life and MFSL. As we progress on the journey, we will continue to provide regular updates on the progress we are making on this.

Moving forward, let me now take you through the key developments across our strategic focus areas for the first 9 months of FY '26.

1. Sustainable and predictable growth

To begin with, number one, sustainable

and predictable growth. At Axis Max Life, our strategy is to

deliver consistent and broad -based outcomes. Continuing our strong trajectory, individual adjusted first year premium grew by 20% in 9 months FY '26, led by 18% growth in the number of policies.

Our sales growth is twice the overall industry growth of 10%, translating into a private market share expansion of 53 basis points, taking our share now to 9.8%. Over a longer horizon of 3 years, we

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delivered a CAGR of 21%, which is well ahead of the private sector's 15% and is more than double the industry growth of 10%, underscoring the durability and resilience of our franchise.

Growth momentum, in fact, accelerated further in quarter 3 FY '26 with retail APE growing a strong 30%, led by our proprietary channel. Proprietary channels delivered 52% growth in the quarter, driven by secular expansion across agency, online and cross -sell engines. Agency growth was fuel led by improved activation rates among new advisers and top distributors alongside some very steady gains in productivity.

Direct sales force growth was driven by both capacity expansion and improved productivity. Overall, off-line proprietary channels grew by 43% while online business grew an impressive 75% during the quarter. Even on the partnership side, our business continued to gain traction, delivering 13% growth in APE terms in quarter 3, driven by the scaling up of the partnerships established over the last 2 years.

New partnerships in the banking and broking segments now contribute around 5% of our individual APE, backed by strong execution, our competitive product suite and technological capabilities, we have ensured a counter share exceeding 25% across all new banca partnerships. On group credit life business also grew by strong 45% in Q3 FY '26, driven by the pickup within MFI segment, scaling of partnership built over the last couple of years and launch of the newer group product, Group Smart Health Insurance Plan in Q2 of FY '26.

The NRI segment remains another strategic growth pillar, contributing approximately 12% of individual adjusted first year premium and delivering consistent performance. To further strengthen our presence, we have received all the requisite regulatory approvals to establish an office in the GIFT City.

This will act as a strategic hub to enhance access, improve service delivery and capture growing opportunities in this segment. To broaden our reach and further diversify our distribution footprint, we added 51 new partners across retail and group segments during the first 9 months of FY '26. Going ahead, we remain focused on deepening of our existing partnerships while scaling newly onboarded relationships to further accelerate the growth in this segment.

Before we move ahead, happy to note that our growth trajectory continues in the month of January as well. Our sales grew by 29% at a company level with proprietary and partnership channels growing at equal growth rate with a very significant contribution coming from a leading bank partner, Axis Bank.

2. Product innovation to drive margins

Second point which we want to emphasize is around the product innovation to drive margins.

At Axis Max Life, product innovation remains a key strategic lever in creating sustainable value for our customers, partners, employees, investors and of course, the broader ecosystem. Our focus continues to be on building a well -balanced product portfolio aligned with long -term protection, retirement and savings needs.

During Q3, our protection franchise delivered strong growth supported by GST -related tailwinds and a targeted execution approach. Retail protection grew by 99% in Q3 with pure protection growing by

95% and riders by over 100%. In addition, our group credit protection business continued to scale steadily, recording 45% growth in Q3 ahead of the industry average, reflecting increasing penetration and a

very strong partner engagement.

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Our annuity business also reported healthy momentum, growing 141% in Q3 FY '26 and by 107% during 9 months FY '26. This performance was driven by consistent execution across both retail and corporate annuity pools as well as growing customer demand for guaranteed retirement income solutions.

We also strengthened our product suite during the quarter through the launch of several customer-centric propositions. We introduced the Online Savings Plan Plus which offers 0 premium allocation charges, unlimited free switches and premium redirections along with some exclusive benefits for existing Axis Max Life customers.

In the Corporate segment, we launched Corporate Advantage and Retirement and Employee Benefit Smart Plan, which is a comprehensive solution addressing end-to-end employee saving needs, including superannuation, gratuity, leave encashment and postretirement medical benefit schemes. We also launched a new participating proposition in Q3, supporting portfolio rebalancing and diversification.

Due to all these actions, our Q3 APE product mix stood at approximately par at 20%, non-par savings at 18%, protection at 15%, annuity at 10% and ULIP at 38%, all this reflecting a balanced and resilient portfolio aligned with the long-term value creation objectives.

3. Customer-centric approach

The third pillar, which I want to highlight is around the customer-centric approach that we have always followed at AMLI.

At Axis Max Life, customer centricity remains central to how we build and grow the franchise. Our approach is anchored in trust, transparency and consistent service excellence with a clear focus on fostering long-term customer relationship. This discipline continues to translate into some very superior customer outcomes and strong operating metrics.

We continue to lead the industry on persistency. As per Q2 FY '26 rankings, we remain the top ranked insurer on the 13-month persistency by number of policies and hold a second position on both 25-month and 37-month persistency on the same measure. Our performance strengthened further this year. In Q3 FY '26, 13-month persistency stood at 85% while 25-month persistency improved to an all-time high of 76%, which reflects a nearly 420 basis point year-on-year improvement.

These trends underscore the quality of our customer acquisition and the effectiveness of our engagement and servicing capabilities. Customer advocacy has also continued to improve. Our Net Promoter Score increased to 58, up from 52 at FY '25 exit. Touchpoint NPS improved to 16 from 55 while relationship NPS increased from 50 to 55, all this indicating a very deep engagement and stronger customer confidence across the life cycle.

In parallel, we have made meaningful progress on service responsiveness. Grievance incident rate improved to 36 in quarter -3 FY '26 from 42 in quarter -3 FY '25, reflecting sustained focus on resolution quality and turnaround times. Taken together, these metrics reaffirm our commitment to building a high-quality customer-led life insurance franchise. Customer trust and persistency remain foundational to our strategy and continue to support sustainable long-term growth for Axis Max Life.

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4. Digitization for operational efficiency

The fourth pillar we really want to focus and we have been working very hard towards it is on digitization for operational efficiency. At Axis Max Life, digital innovation, AI and data engineering are deeply embedded across the value chain, enhancing customer experience, strengthening underwriting and persistency and improving operational efficiency, along with acceleration in sales productivity.

These investments are not incremental. They are, in fact, foundational to improving franchise quality and long-term competitiveness, sharing some progress made in various areas during this quarter. In the area of custom

er experience and service efficiency, we have materially improved digital service efficiency and customer engagement enhancements to our GenAI-powered e-mail bot have doubled 1-day ticket closures from 20% to 40%, significantly improving the turnaround times.

Our customer app continues to scale strongly with about 6 lakh downloads and 3 lakh monthly active users only within a few months of its launch. The app currently holds a 4.8 star rating, and cumulative transactions have already exceeded INR 50 crore. Website digital NPS reached a record 74, up by 9 points, reflecting improved customer satisfaction.

Our transition from maxlifeinsurance.com to axismaxlife.com was a strategic brand shift. While it temporarily, of course, impacted the SEO rankings, we have successfully restored visibility. We are now ranked number one in term insurance across the top 50 keywords and number two in savings, strengthening our digital-led customer acquisition in SEO.

In the area of persistency and renewal strengthening, we deployed voice AI -led transcription analytics, enabling 100% automated audits and deeper customer insight. This has further strengthened governance around renewal collection efficiency. In the area of claims and operational excellence, the straight-through processing, STP as it is called, has reached 36% for non-early claims, surpassing industry benchmarks for claims up to INR 7.5 lakhs.

This enables faster settlement and reinforces customer trust at crucial moments. For the sales enablement, we continue to scale our mSales app across channels. mSpace is a one-stop solution for a sales frontline employee. We launched ELY, a conversational HRBP copilot within the app supporting over 17,000 sales employees with instant HR assistance. ELY also leverages predictive analysis to identify attrition risk, enabling some very targeted retention interventions.

Concluding on our digital strength, our investments are delivering measurable improvements across customer experience, sales productivity, persistency, underwriting quality, claims efficiency and workforce effectiveness. These capabilities are central to building a technology-enabled customer-centric life insurance franchise.

I think overall, in summary, I just want to say that in the ever-changing geopolitical environment and uncertainty, we remain focused on some very disciplined expansion and strengthening our competitive positioning while creating long-term value creation for our stakeholders. With this, I now want to hand over to Amrit to take you all through the financial performance for the quarter.

Amrit Singh: Thank you, Sumit, and good morning, everyone. A quick update on key financial metrics. Page 5 of 18

- At the MFSL level, the revenue, excluding investment income now stands at INR 24,625 crore. A strong growth of 18% in 9 months FY '26. Consolidated profit after tax is at INR 137 crore. It is largely lower than last year due to fair value chain impact and GST expense impact at MFSL level.

- At Axis Max Life, gross written premiums experienced a healthy growth of 18%, reaching INR 25,195 crore. And more importantly, the renewal premium is also seeing a strong momentum growing at 17% to INR 15,591 crore. Individual new business, Sum assured which is a very critical parameter for us, grew by 41% to now reach INR 3.6 lakh crore.

- Embedded value as at 31st December 2025 stands at INR 28,110 crore, a growth of 16% year-on-year. Annualized operating ROEV stood at 16.9% in 9 months FY '26. Even though for this quarter, we do not do detailed analysis of movement, at a higher level, we have experienced almost marginally positive operating variance during the quarter.

- On policyholder opex to GWP, the ratio stands at 15.8% during 9 months FY '26 and the policyholder opex has grown by 25%, largely due to the GST disallowance, which actually sits in the operating expense and also on

etime gratuity provision, which we had to take

because of labor code changes. The GST disallowance was around INR 295 crore and the labor code change around gratuity was INR 60 crore. Adjusting for this, the opex has only grown at 14% level.

- Solvency position is healthy at 201% as we end 31st December 2025.

- Assets under management have now reached INR 1.93 lakh crore, a growth 12%.

- For 9 months FY '26, as Sumit also highlighted, retail product mix is very well balanced with participating products at 16%, annuities at 9%, non-participating savings signed at 24%, Protection & Health at 14% and ULIP at 37%. Each of these categories are experiencing healthy growth with the exception of ULIP, where some moderation was also intentional, which was driven by a series of targeted initiatives to improve overall quality and profitability.

- In 9 months FY '26, margins have now expanded from 21.9% last year to 23.6% in current year, leading to a growth of 30% in VNB despite the pressures which we experienced due to GST. Quarter 3 FY '26 margins also stands at 24.1%, an improvement of 90 bps from last year quarter 3 FY '25.

- As we had guided earlier, in the first half call, the gross impact on margins is close to around 350 basis points due to GST, though through a series of cost actions, commercial conversations, product mix tweaks, we have been able to mitigate almost one-third of this impact in quarter 3 FY '26.

And more importantly, in the run rate, we are kind of experiencing that we have been able to mitigate almost 70% to 80% of this impact. And we are fairly confident that over a few quarters, we will be able to mitigate this completely. We continue to reinforce our guidance, which we had set out at the start of the year that -- which is for FY '26, the NBMs will land in the range of 24% to 25%, along with now stronger sales outcome that we are experiencing. I will pause now and I will request the moderator to open the floor for questions.

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Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use their handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the

question queue assemblies. We take the first question from the line of Shreya Shivani from Nomura. Please go ahead.

Shreya Shivani : Yes. Hi, good morning. Thank you for the opportunity and congratulations on a good set of numbers. I have two questions. My first question is on the VNB margins itself. Now you have mentioned, obviously, the product mix and opex ratio, et cetera, have helped you in mitigating one-third of the impact that you had spoken about. But however, I thought the distributor negotiation was yet not completed or was it completed enough to bring about such a big impact because the margins between 2Q to 3Q is very much far away from 300 or 350 bps that we had spoken about.

So some understanding on how much of the mitigation happened due to cost action, product mix and distributor negotiation. That is my first question. My second question is on some of the regulatory changes that are happening, and there was an RBI document as well last night. Can you highlight what sort of impact do you expect in your banca channel going ahead? And this conversation actually started for the banca channel back in November '24 itself. So, what all changes do you expect going ahead or were the processes at the bank level already changed back in 2025?

Amrit Singh: Thanks. I will take the first one and then I will request Sumit to get in on the regulatory one. I think on the distribution conversation as we mentioned in the last call, we have taken a very balanced approach when we had approached t

he challenge that we were faced with, with respect to the impact coming on GST. And we had indicated in the product categories where this is more structural in nature, we will have those dialogues and conversations with the distributors.

We have, to a fairly large extent, actually executed some of those things. And on the categories which are more critical and important in our assessment, that has largely, it is kind of achieved and done. Beyond this, I think the recovery and recouping would be more the product structure changes, management and navigation of product variants within the product per se. to mitigate the impact that kind of came across.

Sumit Madan: Yes, Shreya, I think on the second one, you mentioned about the circular, which came in yesterday also some of the changes that have happened since November 2024. In all our interactions and whatever we have seen so far of the circular, I think these are all steps in the right direction. Eventually, they build more customer confidence.

They help us improve the penetration because of that. And I think industry largely is positive towards some of the changes that have happened. So, I see the circular which came in a very positive light with some of the changes, which will only help us build long-term customer confidence as far as insurance is concerned.

Shreya Shivani : Just a follow-up on that. So, there were a lot of changes which were being taken in, November '24 already. So, is there anything which you can highlight which is incremental, which again Axis Bank by whatever, whichever of our banca channel, we will have to go and make some more changes with that regard? Because I remember in our conversations back in 2025 also, there were changes being implemented at the bank level?

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Amrit Singh: Yes. So, this is Amrit here. With some of the banks that we work with are really the leading banks in the country. And they also have very heightened sensitivity towards overall misselling, grievances, which kind of come along some of these things. Using a lot of analytics and checks in our journeys, what we had and this is largely implemented in all our large bank relationships, that each and every sale that is done, it is assessed for its suitability.

And also, there is a very smart verification process to independently assess whether the quality of sale is adequate and understood by the customer. So, some of these steps, I mean, even it predates this November '24 journey, I can only say that we have now moved more if there was only X percentage coverage of the portfolio, that portfolio from a new business perspective, now almost under 100% kind of levels.

So, we have progressed quite healthy both at least in the top 2 banks that we work with on some of these elements. So, I do not think we in our assessment, it is a little early for us to also understand the circular in full detail. But some of this from a mis-selling perspective, I think the safeguards have been in play for some point in time.

There is always room for further improvement. But as Sumit said, I mean, anything which curb mis-sell might appear on a short-term basis from a sales perspective, a bit negative. Over a longer horizon, all of this is very positive. It is as we internally call it a froth in a sales perspective, it gets eliminated, which is always a healthy sign for any industry.

Shreya Shivani : All right. Okay. This is useful. Thank you and all the best.

Sumit Madan : Thank you.

Moderator: Thank you. We take the next question from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh : Yes. Hi, thanks for the opportunity and great set of performance. The first question would be more on growth. So right now, if I see, of course, on an APE basis, the growth is extraordinarily strong even on that individual rated premium, the growth is strong. Now looking forward, I mean, because

e in the

last 1 year or so, there have been some mathematics around the monthly premium paying terms coming in between earlier. So of course, right now, the APE versus to, I would say, strong.

Now looking at growth, where do you see your anchor to be? I mean more like the 20% plus where your IRP is growing or you can still grow faster than that? I mean, particularly, I am asking this question because in the recent months, there could have been some tailwinds in terms of the GST and all and that at some point, we start to stabilize. So, some bit of a guidance on growth?

And second, I mean, again, more from the industry any perspective, of course, your non -par growth has come good in Q3. But looking ahead, given the scenario where kind of a bond yields are rather sticky, where deposit rates have seen a significant decline. Is it kind of a typically a very, conducive environment for non -par sales. Do you see that non -par sales to kind of accelerate? Because I mean, your non -par sales is good, but overall industry has not done that greatly non -par in an environment that would be likely a conducive non -par. So, these are my two questions? Thanks.

Amrit Singh: So, thank you, Avinash ji. I think from a growth perspective, our momentum has been quite strong. As Sumit also mentioned, on the individual adjusted basis, we are growing at 20%. The private industry is at 13%. So good solid differential, and we have seen that trends to actually continue

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through. And also on APE basis, now for the full 9 months period, the growth is back to, in line with individual adjusted growth that you see of around 21%. So, there is only a small differential.

Very frankly setting in 9 months right now, we are very confident. I think we will be able to continue through this momentum, which may be an upward revision to certain guidances that we provided at the start of the year. So at least on sales, the teams are quite confident with the momentum that we are experiencing.

Over longer horizons, we have always maintained that from a market growth perspective, from the industry's overall growth that happens in experiences, we will always try to aspire for a 300 to 500 basis points faster growth than the market. And that remains that we hold on to. On non -par sales, I think sometimes it is also about product launches and introductions this quarter specifically saw an introduction of the participating product.

So, we saw some support kind of come through. But if you step out from quarterly introductions, etcetera, I think a non -participating design with the long -term guarantee proposition that it offers is a very important product, which the consumers can have as part of their asset allocation decisions. We will, this is an important category. We will always never want to have overdependence on any single category. So we will keep the overall product mix balance and you will keep seeing from our products teams innovations coming in this specific area. So it is, I think it has it is there is a demand component to it, which always remains structurally intact given the inherent role long -term guarantee proposition provides. And there are some supply dynamics, which is around protection, which can keep varying from quarter -to-quarter.

Avinash Singh : Got it. Thank you.

Moderator: Thank you. We take the next question from the line of Swarnabh Mukherjee from B&K Securities.

Please go ahead.

Swarnabh Mukherjee: Hi, sir. Thank you for the opportunity and congrats on a great set of numbers. Sir, 2-3 questions. First, on VNB margin. So, you if you could give some color on the VNB walk because what I was trying to understand was that had this impact of GST and labor law not been here? What would at a core level or margin? So, you mentioned that out of that 300 -odd basis points kind of 100 bps you have mitigated this year.

So is it fair to think that like

margins would have been 200 bps higher because if this was not there.

So, some color on that? And also labor law, what is the impact? And I am assuming that would be onetime. And so going forward, like you said that you have reduced 70%, 80% of the impact now on a 100 basis will carry kind of 50, 60 bps ahead into next year. Some quantification or granularity in this figure from the current margin perspective and how do we see it in the next year would be very helpful. That is the first one.

Secondly, sir, I think commendable execution on the protection piece. On the partnership channel also the mix has kind of gone up. So is this do you think this is sustainable? Or is it like an immediate tailwind of the GST scenario and maybe normalize to a 70% level, which we have seen in the earlier quarters? So what is the trend you are seeing in this last maybe 40 to 45 days, if you could say it? And on the 13th month persistency, so I just wanted to clarify that on the 8 -month basis number that you have provided in the presentation, the drop that we have seen is similar to what you have reported

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on a one -eight basis also, I think. So, what is the reason for that? And anything specific that has incrementally played out in 9 months if you could highlight?

Amrit Singh: Okay. Lots of questions here. I will take a few. So your observation that if there was no change on GST, I mean, though these are a bit theoretical in nature because we should always understand that the change in GST in which we welcome the change because it kind of provided our category almost in essential goods status created a positive flip around demand duration on protection business. But assuming that, that also stays and GST impact was not there, your observation is right. The margins could have been 200 basis points higher than what we have reported, for sure. And largely, a

significant a reasonable portion of this is also coming from the yield curve support that we are experiencing for ourselves.

On labour law impact on the P&L, the impact is around on the gratuity provisions, an impact of around INR 60 crore that we had to take. This is a onetime hit which we had to provide for. This is actually routed not through the margins, but through the EV because it is a onetime and a one-off margins anyways will over time horizons kind of bake in, let us say, this increase outflows, but obviously, certain actions at our end will also happen in restructuring overall compensation philosophy, so that some mitigation is also provided to these.

On 13 months, again, your observation is correct. We have experienced certain pressure on this particular 13-month persistency largely coming from certain product category, which is in play for the last year, especially post the surrender regulations also. This the proportion of that also in the book is kind of reducing and some bit of likely drop in persistency was also baked into our thinking when we were pricing some of these products.

So this impact has come through, but all actions at our end will be taken to ensure that we are on an improvement journey towards 13 months as we have been across other cohorts of products because eventually, this is a reflection of whether we have sold product which the customer has understood and is willing to kind of continue to that commitment. On the growth momentum and partnerships are request Sumit to this.

Sumit Madan : Sure. I think on , Swarnabh, on protection specifically, we have been observing the numbers since 22nd of September. And on a daily basis, we have seen our traction improving as far as protection is concerned. When we were looking at the numbers, other than the exception of Diwali, 1 day prior to Diwali and 1 -day post -Diwali, we have seen some very healthy growth as far as protection numbers are concerned. So I think there is a good momentum. And the momentum still continues.

So to your question, whether it is sustainable, at least right now, the momentum still holds good. So we do not see much of a concern. We may be slightly better than the market. And also we are growing pure protection by 95%. Some of our marketing efforts in quarter 4 actually are specifically focused around protection. And that is the impact that we have seen coming from across partners, including Axis where we have a story moving around as far as the protection business is also concerned.

Amrit Singh : I think his question was also generic on overall sales.

Sumit Madan : On overall sales, Swarnabh , we have an exceptionally good mix as far as quarter 3 is concerned, like we mentioned in the beginning, growth has come across proprietary and partnership channels . All the banks are firing well. Even the current momentum continues in the month of January. As we were
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discussing some of the large players like an Axis Bank have seen some exceptionally good growth in the month of January as well on the life insurance side.

Swarnabh Mukherjee: Right sir Understood. I mean just a follow -up like in Axis, vis -a-vis, say, third quarter, what has changed why you were I mean , I think what I understood was that Ulip was a drag in terms of the growth also in the partnership channel. So , what has changed which is leading to this growth? And just another question I just wanted to use any color on terms of the time line for the amalgamation ?

Sumit Madan : Yes, I think , to answer the first question first. Some of the work we have done over the last 3, 4, 5 quarters is now actually taking shape as far as Axis Bank is concerned. In Axis banks, we have been focusing not only on branch banking, but some of the other channels as well. So what you see in the numbers now is some of the emerging channels really firing exceptionally well for us other than branch banking.

So I think the growth coming from some of the asset verticals on the life insurance side is again very healthy. Some of the tech initiatives that we took, Swarnabh , on the Axis Bank side, again, those are making some of the productivity improvements as far as our sales people are concerned. So the productivity numbers have also gone up.

So I think it is a momentum of a lot of hard work which has been put on the ground over the last few quarters, and I think it is all coming together now as far as Axis Bank is concerned. To your next question, Amrit, do you want to take that?

Amrit Singh : Yes, Sumit actually spoke about that post the amendment in the act, we have from both the Boards at MFSL and Axis Max Life Board taken in principle approval to start preparing for the amalgamation steps. Now you should understand that the act has been passed now.

Obviously, there will be a regulatory framework which needs to get created. We await guidance and clarity and direction from the regulator on that aspect. As in once that is closed, from the date of filing of the scheme, we do not expect it to be more than 12 to 14 months kind of a time frame.

Swarnabh Mukherjee: Okay. Understood.

Amrit Singh : But we will update all of you as and when there is more progress on it, and we will keep providing periodic updates here.

Swarnabh Mukherjee: Sure, sure, sir. Thank you. Thank you for all the answers. All the best. Thank you.

Sumit Madan : Thank you

Moderator: Thank you. We take the next question from the line of Sucrit D. Patil from Eyesight Fintrade Private Limited . Please go ahead.

Sucrit Patil : Good morning to your team. I have two questions. My first question to sir, Mr. Sumit is , looking ahead, what will be the key priority guiding Max Financial's tactics to strengthen the profitability

while sustaining growth in the life insurance business?

How do you see or how do you plan to balance expansion, product innovation and margin protection over the next few quarters? I just want to understand

your point of view on this particular thing. That is my first question. I will ask my second question afterwards.

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Sumit Madan : I think, Sucrit, it is a very relevant question. As we look ahead, we have a very good sales momentum. But I think like you rightfully pointed out, for sustainable growth. One of the key priorities, Sucrit, if you look at the numbers also is how some of the new partnerships are shaping taken shape for us. We have been working very hard on acquiring some new relationships, and we specifically called out that some of the new partnerships actually now add up to 5%, 5.5% as far as the overall number contribution is concerned.

In every quarterly update, we have been also updating in terms of the progress as far as new partnerships are concerned. So if you look at the number we have disclosed in this report has been. We have had 51 new partnerships as far as those numbers .

Sumit Madan : , Sucrit, in terms of growth from a future lens perspective, new partnerships from a key part of the discussion, the earlier gentleman also asked us how we are doing against some of the large partnerships at Axis. We have really focused on some of the larger relationships as well. There is a big transformation project we are running along with Axis, which is helping us reach the last mile some of the productivity improvement areas.

That transformation project now is really coming into its true avatar, giving us benefits along with it. Even at some of the other large counters like YES Bank , we remain in terms of counter share the largest player. If you look at some of the newer bank partnerships, it is never easy to be the fourth, fifth or the sixth player. But in the recent partnership that we have acquired, we have already become the number 1 in terms of counter share across new partnerships.

I think number 2 is around the quality of the sales . I think there is a lot of work being done towards the quality of sales. That is the reason why you see some of the numbers around 13, 25 and further ahead. Those numbers are improving. And some of the circulars also which recently came out, there was a question earlier, I think, again, we look at some of these changes in a very positive direction. They all come and help the customer.

There has been a lot of automation at the sales, Sucrit. There are various tools now which have just made the governance much more effective with the help of data today, the propensity to buy insurance for a customer is a much sharper analysis, so as a company, we have really invested a lot not only on digital but even on data because we feel that could be one defining moment for us. So, I think it is a combination of all these things, which are leading to this kind of a growth because even if you look at the agent activation, even if you look at the productivity increase as far as proprietary channels are concerned, so I think it is a good mix coming across. So , I am actually very confident as far as the future ahead is concerned.

Sucrit Patil: Thank you. My second question to Mr. Singh. The profitability has come under some pressure in this particular quarter. But as you plan ahead, what financial signals will guide your decision -making process on cost control, capital allocation and margin protection? How will these particular signals shape the long -term earnings stability and shareholder value creation? Just want to understand your plan of action on this.

Amrit Singh : Yes. Thank you, Sucrit. Firstly, I think being financially disciplined is one of the key priorities internally that we drive as well, and we have always committed that we are anchored to maintaining the margin profile in the range of 25% plus/minus. With the bias towards distribution expansion, given the severe underpenetration, the country has and the opportunity that lies in front of us. So we

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will keep the growth momentum

going , but always ensuring that the margin is also maintained in a steady position.

If here that the margins will run up, it could either be passed on to the consumers or further accelerated towards distribution investments. But at no point in time, you will see that we are deteriorating the margins only at the expense of sales. So this is one of the guiding principles that we have been at it, and we will remain committed to that in time. In cost, definitely, there is a significant opportunity.

I think some of these digital tools and AI interventions that are in various stages of some in POC and some in execution is providing significant uplift not only in the back -end part of the journeys but even from a sales productivity enhancement programs as well. So the task is very cut out for us that leveraging some of these tools and developments, rationalize overall cost structures and work towards enhancing overall consumer value and shareholder value.

Sucrit Patil: Thank you and best wishes going ahead .

Sumit Madan : Thank you.

Amrit Singh : Thank you.

Moderator: Thank you. We take the next question from the line of Vinod Rajamani from Nirmal Bang Securities.

Please go ahead.

Vinod Rajamani : Yes. Thank you for taking my questions. So, I had three questions. So firstly, on this Axis channel, so the Axis channel has delivered kind of stable growth, but there has been a significant improvement in the mix. So, should we assume that this is a little more permanent in nature? Or is it just, is it just temporary in terms of some of the ULIPs coming off and some of the other more higher-margin products doing better? So that is the first question on the Axis Bank.

Second was on margins, again, at an overall level, because of the improvement in the product mix, margins have come to a very healthy 24.1%. So I just wanted to know what is this sustainable? Or is it how do we kind of see, say, Q4 playing out? Is it sustainable? Or is just that this quarter was much better in terms of the product mix?

And thirdly, just on this group credit life that is already gone up by around 45% in Q3. So, if there is, for example, if this Axis Bank, this reported inorganic microfinance ambitions crystallize, are you ready for a step-function jump in rural volume in terms of access to credit access, micro finance book and so on? So, I just wanted to know around that. So, these are the three questions.

Amrit Singh : Yes. So, thanks Vinod. On the first one, the mix change, which has happened at the bank. You would recall, at the start of the last year in January of last year itself, we had started indicating that along with bank we are working towards navigating the product mix in a more balanced nature rather than overdependence on a single product form.

And we are very happy to see that actually, that navigation, we have been able to execute that did mean for the first 9 months, the numbers to be steady. But as Sumit updated in the month of January itself now on full cycle has kind of come through, the momentum is picking up. We remain quite confident that along with the balanced mix, which the bank and us run, the sales momentum will be maintained going forward as well.

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On margins, I think your question is what is causing it and what is the sustainability around some of these things. So, if you really see from a last year walk to this year walk perspective, there is almost 1.5% due to mix in 1.5% due to margins broadly, getting lifted has aided the margins. But obviously, the GST impact, which is still residual in the business kind of brought those numbers down.

In this mix is fairly sustainable. Those opportunity of protection, annuity continues to be long-term opportunities. We are seeing a positive clip there. There could be some moderation over long horizons, but overall, on those categories, we remain fairly bullish.

With respect to margins getting lifted

due to yield curve, as and when the yield curve also changes, there is always a repricing opportunity available in the industry in the market. So we do think these are some things, these are not one-offs that you will experience in this quarter and they will disappear, nothing like that at all.

On GCL, firstly, I think we are not in any position to comment on the speculative aspect that you were asking around what our parent bank is actually having a dialogue on or not having a, we have absolutely no idea to that. But we are definitely seeing strong disbursement trends across product categories, not just MFI, but even home loans and other personal loans that we run portfolios across our partners, not just 1 specific partner, across our partners.

With respect to our readiness capability of writing any product from we have been in this business for a very long period of time. So there should be no doubt that we have that capability to write some of these product forms.

Vinod Rajamani: Yes. Thank you. That answers all my questions. Thanks so much.

Moderator: Thank you. Ladies and gentlemen, in the interest of time and fairness to others, we request you to restrict to two questions per participant. We take the next question from the line of Prayesh Jain from Motilal Financial Services Limited. Please go ahead.

Prayesh Jain : Yes, hi. Good morning and congrats on good set of numbers. Just a couple of questions. Firstly, what does mean the product-level margins change that you would have seen, say, 9 months this year versus 9 months last year? And the reason I am asking this is in spite of the fact that we had such a strong flip to protection, we have increased attachment rates, credit protection has seen a growth.

Still the margin profile obviously has been impacted by the GST. But product level margins, if you could allude to whether there are other protection margins that are weaker than what we had seen last year? Or how should we think about those product level margins? That will be the first one.

And second would be, on brand d Axis Max Life was at Max Life earlier, that benefit how it has been kind of rolling out and the kind of growth that we have seen. So basically, that would hold, reflect in more growth coming in from Tier 2, Tier 3 towns. And what is the kind of profitability or any risks in those areas? Those are my two questions.

Amrit Singh : Yes, I will take the first one, and I will request Sumit to kind of speak on the brand aspect. Prayesh, we obviously do not disclose product level margins. But from a directional trend perspective, I can provide you certain inputs to get some better sense. Look, par margins are stable. So there is not like a big change happening these 9 months as compared to previous 9 months.

On protection, your observation is right, there is an improvement in the margin profiles, which kind of comes through. The nonpar savings business as compared to last year, you will recall this full year,

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we have run through the surrender regulations impact as well. So there also, there is not like any large improvement, some pressure only on those specific individual margins in that particular product category.

Unit-linked margins because now as part of the selling process, overall increase in sum assured in unit linked, has become almost like a muscle that we have developed. The unit-linked margins have also seen some improvement. Credit line margins are largely stable, but that is an overall layoff plan. On the brand aspects and the benefits, Sumit?

Sumit Madan: Yes, Prayesh, I think...

Prayesh Jain: Sumit, before that just. So, Amit, on the, so where is the impact maximum in margins on from a GST standpoint, if you could allude to that?

Amrit Singh: Where is the impact maximum? Look, there are some counterbalancing elements also which are happening. The support in the interest en

vironment is also supported so the maximum impact, if you really ask me where mitigation is accelerated and required more is generally in the unit-linked segment.

Prayesh Jain: Got that, thanks.

Sumit Madan: Yes, I think on the awareness side, Prayesh, there is a clear impact. So while when you meet the agents, when you meet the partners, you can touch and feel. But even if you look at some quantifiable numbers, there is a certain parameter that we observed.

In terms of total awareness in Tier 2 and Tier 3, our score has actually improved from 85 to 90. What is also more important in Tier 2 and Tier 3 is that our consideration score has also gone up from 78% to 82%. Before the merger or let us say, before the brand refresh happened with Axis, some of the weaker markets used to be South and East, and we have seen a clear shift towards positive as for these markets are also concerned.

We have seen our total awareness score in these 2 markets, moving from an 85 now to 90. Even the considerations score from a 77 has actually moved to 80. So I think it is been a very positive impact for us, and some of those changes is clearly being reflected in the growth numbers that we have.

Moderator: Thank you. We take the next question from the line of Madhukar Ladha from JP Morgan. Please go ahead.

Madhukar Ladha: Hi, morning. Congratulations on a very good set of numbers. So just going back on the partnership channel. And there, actually, Axis Bank growth, if I look at 9 months number is just about 7.5% year-over-year. Now even within that, I am assuming that, obviously, there will be some bit of group credit life also where you would have seen higher growth. So what is the organic individual business growth? And that seems to be a little bit sluggish.

On the other hand, if you look at the other partnerships, their growth is much better. So can you also talk a little bit about - who are the key sort of partnerships or and what is the growth runway available in those key partnerships. I understand that we are also adding a lot of partnerships right now. So if you could speak a little bit about that.

And the other thing I wanted to know was the merger process, how this is like you have to get Axis Max Life listed and however, Max Financial is listed right now, which is also the holding company.

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So what are you thinking in terms of the structure of the reorganization that will happen on this. Any thought process? I understand that the guidelines are yet to come out. But those two would be my questions. Thanks.

Sumit Madan: Yes, Madhukar, thank you for all the three. We will try our best to answer all the three questions. I think on question number one, around Axis, the growth here is at around 7% or so for the 9-month period. When we go out since you spoke about some of the other partners also, there is a clear realization that it is a privilege to have a large bank like Axis because just in terms of volume, that is the kind of change that we can see as far as a large bank like Axis is concerned.

And I think it is clearly getting reflected Madhukar, like I said earlier, some of the actions we had taken earlier. So if you look at the month of January also, I think, clearly, the changes are now coming into shape. When you do a comparison with some of the other channels, the growth that we have in the month of January from Axis looks steady.

Amrit also mentioned that the last quarter has also been about balancing some of the product mix at Axis. Today, for example, the ULIP mix is largely in control. We follow a very segmented approach as far as Axis is concerned, where we look at online, the bank RMs accordingly. So I think some of those changes are there, which have helped us grow profitably as far as Axis is concerned.

I also mentioned earlier, Madhukar, in terms of the emerging channel, the kind of scope that a large bank like Axis has. So I th

ink some of those stories are now only playing out that the growth momentum even at Axis, I am very confident that it is going to be much higher. Our projection around this quarter also are reasonably aggressive, Madhukar. And I do not see any challenge the way the momentum at this point of time it Axis is.

Some of the other partnership in my opening pitch also, Madhukar, I mentioned that we observe it very closely in terms of how the business is coming across new partners. They have already started

making and adding to the numbers to the tune of 5%. Some of the new banks that we have added other than YBL also, whether it is a CSB, whether it is an SIB, whether it is a TMC. So I think some of those banks clearly are adding value along with some marquee brokers that we have reengaged and started the business now to flow as far as those discussions are concerned.

If you look at the overall split also, Madhukar, between a partnership and the proprietary side of the business, I think we are one of the few companies which has a very good spread between the 2 without being overdependent on any. So I think that way is it looks good moving ahead as well because there is momentum there is wind beneath our wings. So the story looks good. As far as the last question around merger is concerned, I will ask Amrit to just elaborate on that.

Amrit Singh : So Madhu kar, I think it is a little premature for me to comment on the exact and the specific structure . But needless to say, our , collapse of the structure is a very fairly simplistic thing, we have MFSL where large portions of their asset is nothing but the equity that they own in the underlying entity. And at MFSL level on the balance sheet, both on the asset and liability aspects, there is n't anything which is which is very significant or material. So , it will be a fairly simplistic collapse, but please allow us time for the specifics and associated details to come.

Moderator: Thank you. We take the next question from the line of Sanketh Godha from Avendus Spark. Please go ahead.

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Sanketh Godha : Thank you for the opportunity. My first question is, again, probably on the growth, the Prop channel you made investments, it led to a very strong growth. And now you have a meaningful base. So to deliver the same kind of a growth of around 15, 20 in that range, then your bank, especially Axis should do well.

So I just wanted to understand a bit of color that the Prop channel growth, which is around 29 percentage will continue for how long or how underutilized it is still given you have increased the capacity and maybe a mid -teen growth or high -teen or low-teen growth in Axis when we can expect it to happen ? So that is some on growth.

And second point was on annuity, given it has done very well in either quarter or on 9 months. Just can you give a color whether it is individual led or a lumpy group led to just to understand how sustainable this growth is. Sir, these are my two questions.

And lastly, on 13-month persistency, Amrit, did you allude, I missed that answer a bit. You said the 13-month position was under a bit of pressure also because of the new surrender rules? Or it is just a base effect?

Sumit Madan : Yes. We take all the questions and get one by answer. So , Sumit this side. On the growth I just want to highlight, we have had some very consistent quarters as far as our growth numbers are concerned.

So not only this quarter, but if you look at the previous few quarters also, we have been very consistent with our growth as far as partnership and proprietorship channel is concerned.

If you really break down the numbers even on the proprietary side, whether it is agency, whether it is DSF, whether it is E-com, whether it is other businesses, there has been very healthy growth. Agency, in fact, in quarter -3, we came in amongst the top 4 agency channels in terms of sales after almost a

gap of 5 or 6 years. So , I think a lot of work has happened behind that today to come at those kind of levels on the core agency side.

Some of the new initiatives that we had taken on agency of moving to Tier 2, Tier 3 locations in the form of a specific initiative, we have called Arohan, that is also working out well for us. And that is the reason why you see the kind of growth that we have had as far as the agency channel is concerned. Our DSF continues to grow very healthy , on the E-comm side, both on savings, protection, we are the number 1 player as far as some of the larger aggregates are concerned. We take great pride in the D2C channel that we have built on the E-comm side because now, of course, it is the number 1 channel as well as the industry on the D2C side is also concerned. So , I think it is a very good mix on the Prop side.

On the partnership side, if you really break the numbers, I think Axis is doing well because like I said, we wanted to correct the product mix. We have taken those corrections. And despite that, Axis is now growing at almost 7%, 8%, 9%. And I have been saying January looks even better. So I am actually very optimistic as far as quarter 4 is concerned.

Whether it is high teens, whether it is some other number, very difficult to come in once at this point of time. But all that I can tell you is from an Axis growth perspective, quarter 4 looks quite good. You want to answer the question on annuity and persistency?

Amrit Singh : I think my annuity, Sanketh, first is it is very broad -based. It is not lumpy. It is not associated to any specific deal. Actually, on the retail side, the annuity numbers are growing upwards of 100% . And

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Group annuity momentum is also strong in the ranges of 40 %-odd. So , it is firstly not lumpy, and it is fairly retail in its nature, this growth.

On persistency, what I indicated was, yes, there is some pressure because of 13 months. There are certain specific designs where we are experiencing that pressure. And post post-surrender revision, as you are aware , that there was a surrender value which was accruing immediately. So some of that element also creates some bit of a pressure. But needless to say, I think all actions being taken to

mitigate some of these things.

But more importantly, for that particular product, you will recall during these investor conversations, we did bake in a certain impact in persistency, that we might experience, because of the surrender value is being available in the first year.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we take the last question from the line of Dipanjan Ghosh from Citi Group. Please go ahead.

Dipanjan Ghosh: Hi, good morning sir. Just taking cues from one of the previous participant's question. On your partnership business, we have already seen, your counter share across all the new partnerships going up to 25% plus, which obviously has benefited you over the past few quarters.

Now in terms of scope for onboarding new large partnerships or let us say, this counter share increasing further, which could support the growth trajectory? What sort of visibility do we have on that? And also in line with that, can you break up your or at least give us some color on your product need between Axis or non-Axis channels, I mean, the non-Axis partnership channels.

Sumit Madan: Yes. I think 2 large banks one to begin with, whether it is Axis or Yes Bank. We are number 1 as far as a counter share is concerned. And both the businesses, in terms of some of the approach that we have taken, those have given us some very sustained results over the last 4 to 5 quarters. We have been consistently maintaining this position. So from that perspective, yes, we are in a bit of a good zone.

The new banks, like I mentioned, across 7 banks, that we have acquired recently in all the 7 banks, we have a counter

share of more than 25%. In 3 of those 7 banks, we have already become, the number 1 player as far as counter share is concerned. I think whenever you enter into a new bank, it is not easy, really to make your presence felt, because there is an existing relationship between the 2 teams.

There are these products that every team is familiar with of the previous company. I think their credit to our tech platform, credit to our integration, to create some of the training modules that we have, that we have been able to make a difference in a very short span of time. And like I mentioned, 3 banks, we already are number 1 across all banks. Other banks, we are already at 25% plus. So I think there is a good story going.

As far as new partnerships are concerned, I have to say, there is a lot of opportunity as far as the market is concerned. We are in advanced discussions, as far as some of those businesses are also concerned with the various banks across. It would be a little premature to mention, but the opportunity exists across many of the PSU, private banks. So very optimistic in the further growth coming in.

If you look at our growth in the overall new bank's channel, the growth is actually already 103% over last year. So good story going along, a lot of discussions happening across new players. So partnership is a channel which we are exceptionally bullish about.

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Amrit Singh: On the product mix between Axis and Non-Axis bank channels, the non-Axis bank channels are actually are more towards traditional designs than unit-linked designs. So there the mix is a little bit more biased actually I would say towards the traditional designs and anything else.

Moderator: Thank you. Ladies and gentlemen, with that, we conclude the question-and-answer session. I now hand the conference over to the management for their closing comments.

Nishant Kumar: Thank you, ladies and gentlemen, for being part of Max Financials earnings call. We look forward for more interactions in the future. Thank you once again. Goodbye. Thank you.

Moderator: Thank you. On behalf of Max Financial Services Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

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